REPUBLIC OF THE PHILIPPINES
Commission on Audit
REGIONAL OFFICE NO. I
City of San Fernando, La Union

June 25, 2025

HONORABLE RAPHAELLE VERONICA "RAFY" ORTEGA-DAVID
Provincial Governor
Province of La Union

Dear Governor Ortega-David:

We transmit herewith the report on the financial, compliance, and revenue audit of the accounts and operations of the Province of La Union for the year ended December 31, 2024 in compliance with Section 2, Article IX-D of the Philippine Constitution and pertinent sections of Presidential Decree No. 1445.

The audit was conducted to ascertain the propriety of financial transactions and compliance with prescribed rules and regulations. It was also made to ascertain the accuracy of financial records and reports, as well as the fairness of the presentation of the financial statements.

The report consists of three parts: Part I - Audited Financial Statements, Part II – Audit Observations and Recommendations and Part III – Status of Implementation of Prior Years' Audit Recommendations. We discussed our observations and recommended courses of action with the concerned Management officials and staff during the exit conference held on June 5, 2025. Management's comments are included in the report, where appropriate.

We rendered a qualified opinion on the fairness of presentation of financial statements of the Province of La Union for the year ended December 31, 2024.

Significant audit observations are as follows:

1. The "Trust Liability- Local Disaster Risk Reduction and Management Fund (LDRRMF)" account was overstated by ₱51,460,482.88 in the Statement of Financial Position compared to its balance disclosed in the corresponding Notes to the Financial Statements, due to the failure to derecognize trust liabilities related to completed programs, projects, and activities, contrary to the relevant provisions of COA Circular No. 2012-002, hence distorting the reported trust liabilities and

impacting the presentation of the equity and related asset accounts, thereby undermining the fair presentation of the Province's financial statements.

2. Inefficiencies in the procurement of goods totaling ₱85,654,560.80, including prolonged intervals between the issuance and receipt of Purchase Orders, Call-Offs, and Notices to Proceed, as well as unwarranted extensions in delivery, contravene the key provisions of the 2016 Revised Implementing Rules and Regulations (IRR) of Republic Act (RA) No. 9184, the Generic Procurement Manual, Volume II: Manual of Procedures for the Procurement of Goods, and Volume I of the Manual on New Government Accounting System for Local Government Units, resulting in missed project deadlines, non-imposition of applicable liquidated damages amounting to at least ₱1,831,471.74, and significant delays in delivering the intended benefits of the procurements, ultimately undermining the effective and efficient use of public funds and resources.

3. The reasonableness of work suspensions and the subsequent granting of Contract Time Extensions for 60 infrastructure projects, with a total contract cost of ₱548,088,013.26, could not be ascertained due to Management's leniency and weak internal controls over the evaluation and approval processes which contravene key provisions of the Revised IRR of RA No. 9184, resulting in delays in the implementation of these projects by 45 to 744 calendar days, and ultimately hindering the timely delivery of public services, and depriving constituents of the immediate and optimal use of public infrastructures.

The other audit observations are presented in detail in Part II – Audit Observations and Recommendations portion of this report.

We request that the recommendations contained in the report be promptly implemented and we will appreciate being informed of the actions taken thereon within 60 days from receipt hereof, pursuant to Section 99 of the General Provisions of the General Appropriations Act of FY 2024 (Republic Act No. 11975), using the prescribed format of the attached copy of the Agency Action Plan and Status of Implementation (AAPSI).

We acknowledge the cooperation extended to the Audit Team by the officers and staff of the Agency.

Very truly yours,

ATTY. ROBERT V. OCAMPO, SR.
OIC-Director III

Copy furnished:

1. The Secretary
   Department of the Interior and Local Government
   Franscisco Gold Condominium, EDSA, Cubao, Quezon City

2. The Regional Director
   Bureau of Local Government Finance
   Region I, City of San Fernando, La Union

3. The Presiding Officer
   Sangguniang Panlalawigan
   Province of La Union

4. The Director (e-copy)
   National Library of the Philippines
   T.M. Kalaw St., Ermita, Manila

5. UP Law Center (e-copy)
   Bocobo Hall, UP Law Complex
   University of the Philippines, Diliman, Quezon City

6. Commission Central Library (e-copy)
   Commission on Audit
   Commonwealth Avenue, Quezon City

PROVINCIAL GOVERNMENT OF LA UNION

AGENCY ACTION PLAN and
STATUS of IMPLEMENTATION
Audit Observations and Recommendations
For the Calendar Year 2024
As of ______________________

Ref	Audit Observations	Audit Recommendations	Agency Action Plan				Status of Implementation	Reason for Partial/Delay/Non-Implementation, if applicable	Action Taken/Action to be Taken
			Action Plan	Person/Dept. Responsible	Target Implementation Date				
					From	To			

Agency sign-off:

____
Name and Position of Agency Officer

Date

Note: Status of Implementation may either be (a) Fully Implemented, (b) Ongoing, (c) Not Implemented, (d) Partially Implemented, or (e) Delayed

Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

ANNUAL AUDIT REPORT

on the

PROVINCE OF LA UNION

For the Year Ended December 31, 2024

EXECUTIVE SUMMARY

A. Introduction

The Province of La Union was created by virtue of “Superior Decreto” issued on March 2, 1850, by Governor-General Antonio Maria Blanco. Today, La Union is classified as a first-class, progressive, growth-oriented province comprising one city and 19 municipalities, with a total of 576 barangays.

The Province is under the leadership of Governor Raphaelle Veronica “Rafy” Ortega-David. As of December 31, 2024, the total personnel complement of the Provincial Government of La Union (PGLU) is 1,941, consisting of: elected officials – 16; permanent – 1,085; temporary/co-terminus – 82; casual/contractual/job order – 747; and consultants – 11.

Audit procedures conducted included an internal control review; examination of documents, records, and reports; and analysis, confirmation, and inspection of selected accounts, transactions, programs, and projects. The procedures selected were based on the auditor’s judgment, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we limited our internal control testing to those controls over financial reporting and compliance matters that we considered necessary, based on our professional judgment.

The audit covered the financial transactions and operations of the PGLU for the period January 1 to December 31, 2024.

A. Operational Highlights

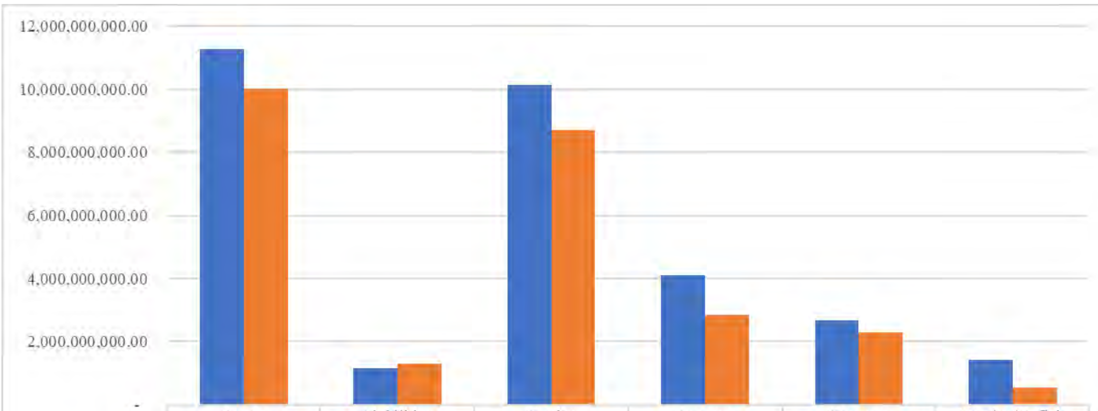
The following are the major programs, projects, and activities (PPAs) of the PGLU and the corresponding total contract costs for the Calendar Year (CY) 2024:

PPAs	No. of Projects	Amount (₱)
Infrastructure Development	4	78,903,305.18
Agriculture Sector	79	403,601,146.80
Education Sector	37	148,744,041.63
Health Sector	46	325,790,643.42
Disaster Risk Reduction and Management (DRRM) Sector	11	57,706,929.71
Other Infrastructure Projects	45	258,299,538.66
Total	**222**	**1,273,045,605.40**

Out of the 222 infrastructure projects, 181 were completed in CY 2024, with a total project cost of ₱963,485,619.78. Of these completed projects, 86 were continued from previous years, amounting to ₱590,703,655.87, and 95 were started and completed within CY 2024, with a total cost of ₱372,781,963.91.

B. Financial Highlights

The comparative data on the Financial Position and Financial Performance of the Province for the CYs 2024 and 2023 are presented below:



	Assets	Liabilities	Equity	Income	Expense	Surplus/Deficit
2024	11,279,057,472.4	1,150,012,917.74	10,129,044,554.6	4,089,624,605.68	2,675,318,253.74	1,414,306,351.94
2023	10,002,864,464.6	1,288,126,261.85	8,714,738,202.75	2,847,397,234.72	2,296,546,492.56	550,850,742.16

Government Equity increased in CY 2024 by 16.23% or ₱1,414,306,351.94, mainly due to a significant increase in certain assets, particularly in Cash and Cash Equivalents. This was driven by increased collections from excise taxes under Republic Act (RA) Nos. 7171 and 8420 (as amended by RA 10351), the National Tax Allotment (NTA), local revenues, and the recognition of donated property from the Department of Public Works and Highways. Concurrently, liabilities decreased due to the prompt settlement of obligations, liquidation of inter-agency payables, and payments to local government units (LGUs).

Income also grew significantly, led by a 253.40% surge in the Tobacco Excise Tax share. The NTA share increased by 6.23%, contributing nearly 10% to the overall increase in income. Furthermore, service and business income rose by 38.70%, while Transfers, Assistance, and Subsidy increased by 35.22% due to donations from national government agencies. Meanwhile, expenses increased, primarily under Maintenance and Other Operating Expenses, which include expenditures related to tourism promotion programs, health emergency allowances, social aid programs, scholarships, and agricultural support to LGUs, Non-Governmental Organizations and People's Organizations (NGOs/POs).

The comparative sources and applications of funds for CYs 2024 and 2023 are summarized as follows:

Particulars	2024	2023
General Fund		
Allotments	2,709,017,691.19	3,905,410,293.93
Obligations	2,234,372,109.21	2,922,017,538.97
Balance	**474,645,581.98**	**983,392,754.96**
Continuing Appropriations		
Allotments	926,091,338.66	684,290,975.53
Obligations	566,467,598.59	429,070,886.79
Balance	**359,623,740.07**	**255,220,088.74**
Special Education Fund		
Allotments	88,047,498.40	131,000,000.00
Obligations	83,202,360.78	129,512,501.60
Balance	**4,845,137.62**	**1,487,498.40**

C. Scope of Audit

A comprehensive audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAIs). The audit was conducted to ascertain the fairness of the presentation of the financial statements and compliance of the Province with laws, rules and regulation, as well as the economical, efficient and effective utilization of resources.

D. Auditor's Opinion on the Financial Statements

A qualified opinion on the fairness of presentation of the financial statements was rendered because: (1) the "Trust Liability- Local Disaster Risk Reduction and Management Fund" account was overstated by ₱51,460,482.88 in the Statement of Financial Position (SFPo) compared to its balance disclosed in the corresponding Notes to the Financial Statements (NFS), contrary to the relevant provisions of COA Circular No. 2012-002; (2) 49 School Buildings totaling ₱27,142,467.28 were still recognized in the books despite indications that they may have already been replaced or no longer exist which undermines the accuracy and reliability of the balances in the Buildings and Other Structures-School Buildings account, along with its Accumulated Depreciation and Government Equity, amounting to ₱27,142,467.28, ₱25,785,343.95 and ₱1,357,123.33, respectively, contrary to International Public Sector Accounting Standards (IPSAS) 17; and (3) the commitments declared by PGLU totaling ₱90,556,883.35, were found to be unreliable which resulted in the (a) understatement of expenses in the Statement of Financial Performance (SFPer), and assets in the SFPo by ₱22,977,807.84 and ₱44,632,237.80, respectively; (b) overstatement of actual amounts in the Statement of Comparison of Budget and Actual Amounts by ₱12,401,874.83; and (c) inaccurate presentation of reconciliations in the NFS are contrary to relevant provisions of IPSAS 1, thereby impairing the fair presentation of the financial statements.

E. Significant Audit Observations and Recommendations

We commend the Provincial Accounting Office for the early submission of the Year-End Financial Statements for CY 2024 on February 10, 2025. We likewise acknowledge the positive response of Management on our previous years' audit recommendations and current year's Audit Observation Memoranda.

The Audit Team also noted the following other significant audit observations on the operations of the PGLU for the CY 2024, and has given corresponding recommendations, as follows:

1. Several deficiencies were observed in the budgeting process and its execution by the PGLU, including the (a) enactment of appropriations for prior period expenses; (b) premature obligation of fund transfers; and (c) the appropriation of expenditures not aligned with public purpose, contrary to key provisions of the Local Government Code (LGC) of 1991, Presidential Decree No. 1445, and IPSAS, due to lapses in project implementation, impacting the integrity, reliability, and credibility of the PGLU's financial reporting and overall public accountability.

   We recommended that the Provincial Governor direct the Provincial Budget Officer to: (i) stop the practice of appropriating prior period expenses and ensure that all expenditures, particularly those involving mandated employee benefits, are properly appropriated and obligated within their respective fiscal years, in accordance with applicable budgeting and accounting laws, rules and standards; (ii) discontinue the practice of obligating fund transfers to NGOs/POs and other LGUs without the actual release of funds and in the absence of complete and appropriate supporting documentation; and (iii) strengthen internal legal and technical review mechanisms for all proposed appropriations to ensure strict compliance with the public purpose requirement, as mandated under Sections 305(b) and 355 of the LGC.

2. Inefficiencies in the procurement of goods totaling ₱85,654,560.80, including prolonged intervals between the issuance and receipt of Purchase Orders, Call-Offs, and Notices to Proceed, as well as unwarranted extensions in delivery, contravene the key provisions of the 2016 Revised Implementing Rules and Regulations (IRR) of Republic Act (RA) No. 9184, the Generic Procurement Manual (GPM) Volume II: Manual of Procedures for the Procurement of Goods, and Volume I of the Manual on New Government Accounting System for LGUs, resulting in missed project deadlines, non-imposition of applicable liquidated damages amounting to at least ₱1,831,471.74, and significant delays in delivering the intended benefits of the procurements, ultimately undermining the effective and efficient use of public funds and resources.

We recommended that the Provincial Governor, in her capacity as Head of Procuring Entity to: (a) direct the Bids and Awards Committee (BAC) to strengthen their post-qualification procedures by implementing a more thorough evaluation of potential suppliers to ensure they meet all necessary qualifications to fulfill the contract; (b) institutionalize a comprehensive set of procedures and guidelines for the deliberation, investigation, and assessment of the validity and propriety of every request for delivery extensions from suppliers; and (c) grant delivery extensions only when they strictly adhere to the guidelines set forth in Volume II of the GPM. We also recommended that the BAC, in collaboration with its Technical Working Group, conduct site visits to verify that suppliers have the required goods in stock and are fully capable of meeting the specified delivery period. For cases where extensions were improperly granted, we recommended that Management review all related contracts and impose the applicable liquidated damages, amounting to at least ₱1,831,471.74.

3. The reasonableness of work suspensions and the subsequent granting of Contract Time Extensions (CTEs) for 60 infrastructure projects, with a total contract cost of ₱548,088,013.26, could not be ascertained due to Management's leniency and weak internal controls over the evaluation and approval processes which contravene key provisions of the Revised IRR of RA No. 9184, resulting in delays in the implementation of these projects by 45 to 744 calendar days, and ultimately hindering the timely delivery of public services, and depriving constituents of the immediate and optimal use of public infrastructures.

   We recommended that the Provincial Governor direct the Provincial Engineer to strengthen internal controls over the evaluation and approval of work suspensions and the subsequent granting of CTEs.

F. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations are as follows:

Status of Implementation	Quantity
Fully Implemented	30
Not Implemented	85
Total	**115**

H. Status of Settlement of Audit Suspensions, Disallowances and Charges

For CY 2024, there were no Notices of Suspensions, Disallowances or Charges issued.

I. Report on Real Property Disposal

The Report on Real Property Disposal showed that PGLU has no real property disposed of for CY 2024.

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PART I

AUDITED FINANCIAL STATEMENTS

REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

INDEPENDENT AUDITOR'S REPORT

THE PROVINCIAL GOVERNOR
Provincial Government of La Union
Province of La Union

Qualified Opinion

We have audited the financial statements of the Provincial Government of La Union, which comprise the statement of financial position as at December 31, 2024, and the statement of financial performance, statement of changes in net assets/equity, statement of cash flows and statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements, including summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the *Basis of Qualified Opinion* section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the Province of La Union as at December 31, 2024, and its financial performance, its cash flows and its comparison of budget and actual amounts for the year then ended in accordance with International Public Sector Accounting Standards (IPSAS).

Basis for Qualified Opinion

As discussed in Part II, the fairness of the presentation of the financial statements was affected because (1) the "Trust Liability- Local Disaster Risk Reduction and Management Fund" account was overstated by ₱51,460,482.88 in the Statement of Financial Position (SFPo) compared to its balance disclosed in the corresponding Notes to the Financial Statements (NFS), contrary to the relevant provisions of COA Circular No. 2012-002; (2) 49 School Buildings totaling ₱27,142,467.28 were still recognized in the books despite indications that they may have already been replaced or no longer exist which undermines the accuracy and reliability of the balances in the Buildings and Other Structures-School Buildings account, along with its Accumulated Depreciation and Government Equity, amounting to ₱27,142,467.28, ₱25,785,343.95 and ₱1,357,123.33, respectively, contrary to IPSAS 17; and (3) the commitments declared by the Provincial Government of La Union totaling ₱90,556,883.35, were found to be unreliable which resulted in the (a) understatement of expenses in the Statement of Financial Performance (SFPer), and assets in the SFPo by ₱22,977,807.84 and ₱44,632,237.80, respectively; (b) overstatement of actual amounts in the Statement of Comparison of Budget and Actual Amounts by ₱12,401,874.83; and (c) inaccurate presentation of reconciliations in the NFS are contrary to relevant provisions of IPSAS 1, thereby impairing the fair presentation of the financial statements.

We conducted our audit in accordance with ISSAIs. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Agency in accordance with the Revised Code of Conduct and Ethical Standards for Commission on Audit (COA) Officials and Employees (Code of Ethics) together with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the IPSAS, and for such internal control as Management determines is necessary to enable the preparation of the financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the financial statements, Management's responsibility for assessing the agency's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless Management either intend to liquidate the agency or to cease operations, or has no alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the Province of La Union.

Auditor's Responsibilities for the Audit of Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Agency's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.

- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Agency's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Agency to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit observations, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

COMMISSION ON AUDIT

By:

/S/

MARIE PAZ B. CUYO
Supervising Auditor
Audit Group C - La Union
June 18, 2025

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Management of the PROVINCIAL GOVERNMENT OF LA UNION is responsible for all the information and representations contained in the accompanying Statement of Financial Position as of December 31, 2024 and the related Statement of Financial Performance, Statement of Cash Flows, Statement of Comparison of Budget and Actual Amounts, Statement of Changes in Net Assets/Equity and the Notes to the Financial Statements for the year then ended. The Financial Statements have been prepared in conformity with the International Public Sector Accounting Standards and reflect amounts that are based on best estimates and informed judgment of management with an appropriate consideration to materiality.

In this regard, management maintains a system of accounting and reporting which provides for the necessary internal controls to ensure that transactions are properly authorized and recorded, assets are safeguarded against unauthorized use or disposition and liabilities are recognized.

ATTY. ALBERT F. PADILLA, CPA	**RAPHAELLE VERONICA ORTEGA-DAVID**
Provincial Accountant	**Provincial Governor**
February 10, 2025	**February 10, 2025**

Note 1 – Profile

The province of La Union is a first-class province located in Region I, La Union, which translates to “The Union,” was created by virtue of “Superior Decreto” issued on March 2, 1850 by Governor-General Antonio Maria Blanco. The province was formed by merging towns from the neighboring provinces of Ilocos Sur, Pangasinan, and Benguet. It is geographically situated 273 km North of Manila and 57 km from Baguio City and bordered by Ilocos Sur to the North, Pangasinan to the South, Benguet to the East and to the west, by the shores of the West Philippine Sea. It covers a total area of 1,497.70 square kilometers, with 20 component local government units (LGUs), 1 city and 19 municipalities, with 576 barangays.

The province has flourished since its creation and was designated as the center of the Ilocos Region (Region I). Its capital is the City of San Fernando, La Union and also serves as the regional center of the Ilocos Region. La Union has been a springboard to the vigorous East Asian economies. The major industries include trading, tobacco re-drying, basi making, bamboo furniture, antique furniture making, cement, feeds, GI sheets and fertilizer, and its growing tourism industry. The province’ traditional products are soft brooms, baskets, hand-woven blankets (Inabel), clay pottery, rice wine (Tapuey), sugarcane wine (Basi), sugarcane vinegar, wood carving, native rice cakes and dried fish.

The PGLU, through its youngest and first female governor, Governor Raphaelle Veronica “Rafy” Ortega-David, continuously envisions the province to be the “Heart of Agri-Tourism in Northern Luzon by 2025. During her second year as the visionary leader of La Union, she strengthens LA UNION PROBINSYAnihan, Performance Governance System as well as International Organization for Standardization (ISO) certifications transformative measures. In a number of engagements with KaPROBINSYAnihan, she acknowledges that the successes of the provincial government are the results of the collective efforts of the whole constituency. LA UNION PROBINSYAnihan is a call to action for all La Union constituents as key players to work together as one strong, united province, for a shared vision to uplift the quality of lives of all kaprobinsian. Equally important is the call for environmental awareness through the KalikasanNaman campaign.

Five district hospitals were devolved to the PGLU in 1992 which are located at the Municipalities of Bacnotan, Balaoan, Caba, Naguilian, and Rosario. The Provincial Capitol is located at Aguila Road, Barangay II, City of San Fernando, La Union.

Note 2 – The consolidated financial statements of the PGLU have been prepared in accordance with the International Public Sector Accounting Standards (IPSAS). The accounting policies have been applied starting the year 2015.

Note 3 – Summary of Significant Accounting Policies

3.1 Basis of Accounting

The consolidated financial statements are prepared on an accrual basis in accordance with the IPSAS.

3.2 Consolidation

The controlled entities (funds) are all those over which the controlling entity has the power to govern the financial and operating policies. Inter-group transaction, balances and unrealized gains and losses on transactions between entities and funds are eliminated in full. The PGLU maintains special accounts under the General Fund (GF) for the following economic enterprises it operates:

- Balaoan District Hospital
- Bacnotan District Hospital
- Naguilian District Hospital
- Rosario District Hospital
- La Union Honeybee Center (LUHC)

In December 2023, SP Resolution No. 1915-2023 was issued reintegrating the Caba District Hospital as part of the regular operations of the PGLU and no longer continue its status as a local economic enterprise.

3.3 Revenue Recognition

Revenue from Non-Exchange Transactions

Taxes, fees and fines

The PGLU recognizes revenues from taxes, fees and fines when the event occurs and the asset recognition criteria are met. To the extent that there is a related condition attached that would give rise to a liability to repay the amount, liability is recognized instead of revenue. Other non-exchange revenues are recognized when it is improbable that the future economic benefit or service potential associated with the asset will flow to the entity and the fair value of the asset can be measured reliably.

Transfers from other government entities

Revenues from non-exchange transactions with other government entities are measured at fair value and recognized on obtaining control of the asset (cash, goods, services and property) if the transfer is free from conditions and it is probable that the economic benefits or service potential related to the asset will flow to PGLU and can be measured reliably.

The PGLU availed of the 5 – year transitional provision for the recognition of Tax Revenue- Real Property Tax (RPT) and Special Education Tax (SET). For the first year, there will be no change in policy for the recognition of the aforementioned tax revenue.

Revenue from Exchange Transactions

Rendering of services

The PGLU recognizes revenue from rendering of services by reference to the stage of completion when the outcome of the transaction can be estimated reliably. The stage of completion is measured by reference to labor hours incurred to date as a percentage of total estimated labor hours.

Where the contract outcome cannot be measured reliably, revenue is recognized only to the extent that the expenses are incurred.

Sale of goods

Revenue from the sale of goods is recognized when the significant risks and rewards of ownership have been transferred to the buyer, usually on delivery of the goods and when the amount of revenue can be measured reliably and it is probable that the economic benefits or service potential associated with the transaction will flow to the PGLU.

Interest income

Interest income is accrued using the effective yield method. The effective yield discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount. The method applies this yield to the principal outstanding to determine interest income each period.

Dividends

Dividends or similar distributions must be recognized when the shareholder's or the PGLU's right to receive payments is established.

Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms and included in revenue.

3.4 Investment Property

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the replacement cost of components of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day maintenance of an investment property.

Investment property acquired through a non-exchange transaction is measured at its fair value at the date of acquisition. Subsequent to initial recognition, investment properties are measured using the cost model and are depreciated over a 30-year period.

Investment properties are derecognized either when they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit or service potential is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognized in the surplus or deficit in the period of derecognition. Transfers are made to or from investment property only when there is a change in use.

3.5 Property, Plant and Equipment (PPE)

All PPE are stated at cost less accumulated depreciation and impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the items. When significant parts of property, plant and equipment are required to be replaced at intervals, the PGLU recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in surplus or deficit as incurred. Where an asset is acquired in a non-exchange transaction for nil or nominal consideration the asset is initially measured at its fair value.

Depreciation on assets is charged on a straight-line basis over the useful life of the asset.

Depreciation is charged at rates calculated to allocate cost or valuation of the asset less any estimated residual value over its remaining useful life in accordance with Commission on Audit (COA) issuances on prescribed useful life of assets.

Leased assets may consist of vehicles and machinery. The assets' residual values and useful lives are reviewed, and adjusted prospectively, if appropriate, at the end of each reporting period. An asset's carrying amount is written down immediately to its recoverable amount, or recoverable service amount, if the asset's carrying amount is greater than its estimated recoverable amount or recoverable service amount. The PGLU derecognizes items of property, plant and equipment and/or any significant part of an asset upon disposal or when no future economic benefits or service potential is expected from its continuing use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the surplus or deficit when the asset is derecognized.

Public Infrastructures were not previously recognized in the books. The PGLU availed of the 5-year transitional provision for the recognition of the Public Infrastructure.

3.6 Leases

LGU as a lessor

Leases in which the PGLU does not transfer substantially all the risks and benefits of ownership of an asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized over the lease term.

Rent received from an operating lease is recognized as income on a straight-line basis over the lease term. Contingent rents are recognized as revenue in the period in which they are earned.

3.7 Financial Instruments

Financial assets

Initial recognition and measurement

Financial assets are classified as financial assets at fair value through surplus or deficit, loans and receivables, held-to-maturity investments or available-for-sale financial assets, as appropriate. The PGLU determines the classification of its financial assets at initial recognition.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the LGU commits to purchase or sell the asset.

The PGLU's financial assets include: cash and short-term deposits; trade and other receivables; loans and other receivables and quoted and unquoted financial instruments.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification.

Financial assets at fair value through surplus or deficit

Financial assets at fair value through surplus or deficit include financial assets held for trading and financial assets designated upon initial recognition at fair value through surplus and deficit. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through surplus or deficit are carried in the statement of financial position at fair value with changes in fair value recognized in surplus or deficit.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. Losses arising from impairment are recognized in the surplus or deficit.

Held-to-maturity

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the PGLU has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. The losses arising from impairment are recognized in surplus or deficit.

Derecognition

The PGLU derecognizes a financial asset or, where applicable, a part of a financial asset or part of a group of similar financial assets when:

a. The rights to receive cash flows from the asset have expired or is waived;

b. The LGU has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party; and either: (a) the LGU has transferred substantially all the risks and rewards of the asset; or (b) the LGU has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Impairment of financial assets

The PGLU assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include the following indicators:

a. The debtors or a group of debtors are experiencing significant financial difficulty;

b. Default or delinquency in interest or principal payments;

c. The probability that debtors will enter bankruptcy or other financial reorganization; and

d. Observable data indicates a measurable decrease in estimated future cash flows (e.g. changes in arrears or economic conditions that correlate with defaults)

Financial assets carried at amortized cost

For financial assets carried at amortized cost, the PGLU first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the PGLU determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the amount of the losses recognized in surplus or deficit. If in a subsequent year the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a future write-off is later recovered, the recovery is credited to finance costs in surplus or deficit.

Financial liabilities

Initial recognition and measurement

Financial liabilities within the scope of IPSAS 29 are classified as financial liabilities at fair value through surplus or deficit or loans and borrowings, as appropriate. The PGLU determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings.

The PGLU Group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

Subsequent measurement

The measurement of financial liabilities depends on their classification.

Financial liabilities at fair value through surplus or deficit

Financial liabilities at fair value through surplus or deficit include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through surplus or deficit.

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest method. Gains and losses are recognized in surplus or deficit when the liabilities are derecognized as well as through the effective interest method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or canceled or expired.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

Fair value of financial instruments

The fair value of financial instruments that are traded in active markets at each reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.

3.8 Cash and Cash Equivalents

Cash and cash equivalents account comprises of cash on hand and cash at bank, deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consists of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

3.9 Inventories

Inventory is measured at cost upon initial recognition. To the extent that inventory was received through non-exchange transactions (for no cost or for a nominal cost), the cost of the inventory is its fair value at the date of acquisition.

Costs incurred in bringing each product to its present location and conditions are accounted for, as follows:

a. Raw materials: purchase cost using the weighted average cost method;

b. Finished goods and work in progress: cost of direct materials and labor and a proportion of manufacturing overheads based on the normal operating capacity but excluding borrowing costs.

After initial recognition, inventory is measured at the lower of cost and net realizable value. However, to the extent that a class of inventory is distributed or deployed at no charge or for a nominal charge, that a class of inventory is measured at the lower of cost and current replacement cost.

Net realizable value is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution. Inventories are recognized as an expense when deployed for utilization or consumption in the ordinary course of operations of PGLU.

3.10 Provisions

Provisions are recognized when the PGLU has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation and a reliable estimate can be made out of the amount of the obligation.

Where the PGLU expects some or all of the provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognized as a separate asset only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the statement of financial performance net of any reimbursement.

Rehabilitation liability

Rehabilitation costs are provided at the present value of expected costs to settle the obligation using estimated cash flows and are recognized as part of the cost of that particular asset. The cash flows are discounted at a current rate that reflects the risks specific to the rehabilitation liability. The unwinding of the discount is expensed as incurred and recognized in the statement of financial performance as a finance cost. The estimated future costs of decommissioning are reviewed annually and adjusted as appropriate. Changes in the estimated future costs or in the discount rate applied are added to or deducted from the cost of the asset.

Contingent liabilities

PGLU does not recognize a contingent liability, but discloses details of any contingencies in the notes to the financial statements, unless the possibility of an outflow of resources embodying economic benefits or service potential is remote.

Contingent assets

The Group does not recognize a contingent asset, but discloses details of a possible asset whose existence is contingent on the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of PGLU in the notes to the financial statements. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. If it has become virtually certain that an inflow of economic benefits or service potential will arise and the asset's value can be measured reliably, the asset and the related revenue are recognized in the financial statements of the period in which the change occurs.

3.11 Changes in Accounting Policies and Estimates

PGLU recognizes the effects of changes in accounting policy retrospectively. The effects of changes in accounting policy are applied prospectively if retrospective application is impractical.

PGLU recognizes the effects of changes in accounting estimates prospectively by including in surplus or deficit.

3.12 Borrowing Costs

Borrowing costs are capitalized against qualifying assets as part of property, plant and equipment. Such borrowing costs are capitalized over the period during which the asset is being acquired or constructed and borrowings have been incurred. Capitalization ceases when construction of the asset is complete. Further, borrowing costs are charged to the statement of financial performance.

3.13 Related Parties

The PGLU regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise significant influence over the LGU, or vice versa. Members of key management are regarded as related parties and comprise the Governor, Mayors, Vice-Governors and Vice-Mayors, Sanggunian Members, Committee Officials and Members, Accountants, Treasurers, Budget Officers, General Services and all Chiefs of Departments/Divisions.

3.14 Budget Information

The annual budget is prepared on the modified cash basis, that is, all planned costs and income are presented in a single statement to determine the needs of PGLU. As a result of the adoption of the Modified cash basis for budgeting purposes, there are basis, timing or entity differences that would require reconciliation between the actual comparable amounts and the amounts presented as a separate additional financial statement in the statement of comparison of budget and actual amounts. Explanatory comments are provided in the notes to the annual financial statements; first, the reasons for overall growth or decline in the budget are stated, followed by details of over spending or under spending on line items.

3.15 Significant Judgments and Sources of Estimation Uncertainty

Judgments

In the process of applying PGLU's accounting policies, management has made judgments, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Operating lease commitments – PGLU as lessor

PGLU has entered into property leases of certain properties. PGLU has determined, based on an evaluation of the terms and conditions of the arrangements, (such as the lease term not constituting a substantial portion of the economic life of the commercial property) that it retains all the significant risks and rewards of ownership of the properties and accounts for the contracts as operating leases.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. PGLU based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising beyond the control of PGLU. Such changes are reflected in the assumptions when they occur.

Useful lives and residual values

The useful lives and residual values of assets are assessed using the following indicators to inform potential future use and value from disposal:

a. The condition of the asset based on the assessment of experts employed by PGLU;

b. The nature of the asset, its susceptibility and adaptability to changes in technology and processes;

c. The nature of the processes in which the asset is deployed; and

d. Changes in the market in relation to the asset

Impairment of non-financial assets – cash-generating assets

The recoverable amounts of cash-generating units and individual assets have been determined based on the higher of value-in-use calculations and fair values less costs to sell. These calculations require the use of estimates and assumptions. It is reasonably possible that the assumptions may change, which may then impact management's estimations and require a material adjustment to the carrying value of tangible assets.

PGLU reviews and tests the carrying value of assets when events or changes in circumstances suggest that the carrying amount may not be recoverable. Cash-generating assets are grouped at the lowest level for which identifiable cash flows are largely independent of cash flows of other assets and liabilities. If there are indications that impairment may have occurred, estimates of expected future cash flows are prepared for each group of assets. Expected future cash flows used to determine the value in use of tangible assets are inherently uncertain and could materially change over time.

Impairment of non-financial assets – non- cash generating assets

PGLU reviews and tests the carrying value of non-cash-generating assets when events or changes in circumstances suggest that there may be a reduction in the future service potential that can reasonably be expected to be derived from the asset. Where indicators of possible impairment are present, PGLU undertakes impairment tests, which require the determination of the fair value of the asset and its recoverable service amount. The estimation of these inputs into the calculation relies on the use estimates and assumptions.

Any subsequent changes to the factors supporting these estimates and assumptions may have an impact on the reported carrying amount of the related asset.

Fair value estimation – financial instruments

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, judgment is required in establishing fair values. Judgment includes the consideration of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

Provisions

Provisions were raised and management determined an estimate based on the information available. Provisions are measured at the management's best estimate of the expenditure required to settle the obligation at the reporting date, and are discounted to present value where the effect is material.

Held-to-maturity investments and loans and receivables

PGLU assesses its loans and receivables (including trade receivables) and its held-to-maturity investments at the end of each reporting period. In determining whether an impairment loss should be recorded in surplus or deficit, PGLU evaluates the indicators present in the market to determine if those indicators are indicative of impairment in its loans and receivables or held-to-maturity investments.

Where specific impairments have not been identified the impairment for trade receivables, held-to-maturity investments and loans and receivables is calculated on a portfolio basis, based on historical loss ratios, adjusted for national and industry-specific economic conditions and other indicators present at the reporting date that correlate with defaults on the portfolio. These annual loss ratios are applied to loan balances in the portfolio and scaled to the estimated loss emergence period.

Note 4 – Cash and Cash Equivalents

This account comprises of the following:

	2024	2023
Cash on Hand	18,737,581.98	3,555,800.08
Cash in Bank – Local Currency	3,821,752,666.45	3,312,753,806.29
Total Cash and Cash Equivalents	**3,840,490,248.43**	**3,316,309,606.37**

The Cash and Cash Equivalents account is composed of the following:

	2024	2023
Cash on Hand		
GF	13,995,064.05	2,701,246.50
Special Education Fund (SEF)	4,742,517.93	854,553.58
Subtotal	**18,737,581.98**	**3,555,800.08**
Cash in Bank – Local Currency		
Cash in Bank-Local Currency-Current Account		
GF	480,102,296.39	625,608,199.15
SEF	18,936,152.78	41,547,919.73
Trust Fund (TF)	165,829,503.36	115,746,852.93
Special Health Fund (SHF)	30,013.78	30,001.60
Cash in Bank-Local Currency-Savings Account	355,576,786.54	-
Subtotal	**1,020,474,752.85**	**782,932,973.41**
Cash in Bank-LCCA-Time Deposits		
GF	2,727,906,328.20	2,456,800,889.33
SEF	73,371,585.40	73,019,943.55
Subtotal	**2,801,277,913.60**	**2,529,820,832.88**
Total Cash and Cash Equivalents	**3,840,490,248.43**	**3,316,309,606.37**

The PGLU established Petty Cash Fund under the Imprest Fund System in an amount not exceeding ₱200,000.00. At the end of the year, the Petty Cash Custodian refunded the unexpended balance.

The Cash Local Treasury account consists of the undeposited collections of PGLU on the final working day of the year 2024, which were then deposited on the subsequent banking day. Regarding the SEF, the balance reflects the collection of the RPT-

Provincial SEF share which was deposited on the next working day. For the GF, the details are as follows:

Particulars	Amount
Refund of Cash Advance	375,495.65
Collection of Due from Government-Owned and/or Controlled Corporation (GOCC)-LUMC	7,000,000.00
Collection of Taxes and other Income	6,593,578.40
Others	25,990.00
Total	**13,995,064.05**

The Cash in Bank-Local Currency, Savings Account refers to the placement made by PGLU for the Easy Savings Plus (ESP) at Land Bank of the Philippines (LBP). The ESP is a premium savings account offered to individual and institutional customers with higher interest rates than a regular savings account and with no term.

The PGLU had entered into a Tripartite Memorandum of Understanding on March 31, 2022 with the Department of Health (DOH) and Philippine Health Insurance Corporation (PHIC) to facilitate the activities and outputs for the integrated Province-Wide Health System (PWHS) that delivers high quality and affordable health care Services. Pursuant to Section 20 of RA 11223, otherwise known as the Universal Health Care Act, all resources intended for health Services to finance population-based and individual-based health Services, health systems operating costs, capital investments, and remuneration of additional health workers and incentives for all health workers shall be pooled and managed by the PHWs through a SHF.

The amount and nature of restricted cash balances are as follows:

Fund	2024	2023
Cash In Bank - Local Currency, Current Account		
GF Proper (Untransferred LDRRMF MOOE and Continuing)	98,922,513.31	116,108,827.50
RA 7171 and RA 8240 (Tobacco Excise Taxes Fund)	85,225,212.92	50,269,942.81
20% Local Development Fund (DF)	51,049,670.23	173,061,484.06
SEF	18,936,152.78	41,547,919.73
SHF	30,013.78	30,001.60
TF	165,829,503.36	115,746,852.93
Subtotal	**419,993,066.38**	**496,765,028.63**
Cash In Bank - Local Currency, Savings Account		
Tobacco Excise Taxes Fund	350,186,666.66	-
Subtotal	**350,186,666.66**	**-**
Cash In Bank - Local Currency, Time Deposits		
RA 7171 and RA 8240 (Tobacco Excise Taxes Fund)	1,247,011,874.83	1,074,100,381.38
20% Local DF	296,303,103.88	234,435,512.36
SEF	73,371,585.40	73,019,943.55
Subtotal	**1,616,686,564.11**	**1,381,555,837.29**
Total Restricted Cash Balances	**2,386,866,297.15**	**1,878,320,865.92**

Note 5 – Investment

	2024	2023
Other Investment	290,073.40	290,073.40
Total Investment	**290,073.40**	**290,073.40**

The Other Investment account under TF constitutes the balance of Investment in Securities for Other Interest-Bearing Loans that has been entered in the Books of Accounts in December 1998.

In COA Circular No. 2023-008, dated August 17, 2023, dormant accounts refer to individual or group of account balances within the general ledger account, which remained non-moving in the books of accounts for 10 years or more from the last transaction recorded in the book.

The account is considered as dormant since it remained non-moving for more than 10 years from recording in the 1998 Trial Balance. The Accounting office exhausted all efforts to locate the same but there were no other records available for the details of the investment. These are balances in 1998 and carried over in the financial statements and for this, the Accounting Office recognized an allowance for impairment last 2023.

Note 6 – Receivables

This account comprises of the following:

	2024	2023 (Restated)
Loans and Receivable Accounts	12,802,025.88	20,632,733.61
Inter-Agency Receivables	81,845,522.79	112,363,705.38
Intra-Agency Receivables	80,610,474.04	95,172,411.60
Advances	139,692.44	148,952.55
Other Receivables	12,963,305.20	12,196,964.80
Total Receivables	**188,361,020.35**	**240,514,767.94**

	2024	2023
Interests Receivable	4,468,694.88	632,733.61
Loans Receivable - GOCC	8,333,331.00	20,000,000.00
Total Loans and Receivable Accounts	**12,802,025.88**	**20,632,733.61**

As of December 31, 2024, the following are the Accrued Interest Income of the Time Deposit accounts as well as the maturity periods and interest rates:

Code	Bank	Account Number	Amount	Placement Date	Maturity Date	Rate (%)	Net Accrued Interest as of December 31, 2024
GF Proper							
10201010-003-001	LBP-LU, Bauang	2521-0711-xx	34,504,106.75	12/02/24	01/02/25	0.50	11,117.99

Code	Bank	Account Number	Amount	Placement Date	Maturity Date	Rate (%)	Net Accrued Interest as of December 31, 2024
10201010-001-019	LBP-LU, Main	0201-2447-xx	5,888,948.87	12/06/24	01/06/25	0.50	1,635.82
10201010-001-020	LBP-LU, Main	0201-2454-xx	12,119,107.18	12/18/24	01/17/25	0.50	1,750.54
10201010-001-043	LBP-LU, Main	0201-2526-xx	1,100,850,462.40	10/08/24	01/06/25	1.50	3,082,381.29
10201010-001-059	LBP-LU, Main	0201-2669-xx	31,228,724.29	11/25/24	02/24/25	1.50	37,474.47
Subtotal			**1,184,591,349.49**				**3,134,360.11**
20% Local DF							
10201010-003-002	LBP-LU, Bauang	2521-0720-xx	18,540,645.34	12/02/24	01/02/25	0.50	5,974.21
10201010-001-026	LBP-LU, Main	0201-2507-xx	159,695,458.08	12/27/24	01/27/25	0.50	7,097.58
10201010-001-057	LBP-LU, Main	0201-2548-xx	118,067,000.46	12/13/24	01/13/25	1.50	70,840.20
Subtotal			**296,303,103.88**				**83,911.99**
R.A. 7171 Fund							
10201010-003-003	LBP-LU, Bauang	2521-0697-xx	32,596,581.97	11/04/24	01/03/25	0.60	24,773.40
10201010-001-035	LBP-LU, Main	0201-2520-xx	50,676,751.95	12/13/24	01/13/25	0.50	10,135.35
10201010-001-036	LBP-LU, Main	0201-2520-xx	50,675,670.17	12/18/24	01/17/25	0.50	7,319.82
10201010-003-007	LBP-LU, Bauang	2521-0804-xx	50,794,764.52	12/02/24	01/02/25	0.65	21,277.36
10201010-001-051	LBP-LU, Main	0201-2542-xx	50,462,578.18	12/13/24	01/13/25	0.50	10,092.52
10201010-001-056	LBP-LU, Main	0201-2546-xx	305,872,568.46	12/04/24	01/03/25	1.50	275,285.31
10201010-001-058	LBP-LU, Main	8803-200001-xx	655,932,959.58	11/25/24	02/24/25	1.50	787,119.55
10201010-006-002	PVB, LU	0201-2546-xx	50,000,000.00	12/13/24	02/11/25	3.875	77,500.00
Subtotal			**1,247,011,874.83**				**1,213,503.31**
TOTAL GF			**2,727,906,328.20**				**4,431,775.41**
SEF							
10201010-001-007	LBP-Main	0201-2394-xx	10,654,352.10	12/13/24	01/13/25	0.50	2,130.87
10201010-001-008	LBP-Main	0201-2423-xx	15,777,749.78	12/04/24	01/03/25	0.50	4,733.32
10201010-001-027	LBP-Main	0201-2512-xx	30,534,843.01	12/23/24	01/22/25	0.50	2,714.21
10201010-007-01	PVB, LU	8803-200001-xx	16,404,640.51	12/06/24	02/04/25	3.00	27,341.07
TOTAL SEF			**73,371,585.40**				**36,919.47**
GRAND TOTAL			**2,801,277,913.60**				**4,468,694.88**

The LUMC issued Board of Trustees Resolution No. 14 series 2022 requesting the PGLU to allow it to apply for a loan for the purpose of funding its unpaid current maturing obligations. The PGLU, through Sangguniang Panlalawigan Ordinance No. 433-2023 entitled "An Ordinance establishing the loan assistance program for LUMC, Appropriating Funds thereof and Authorizing the Provincial Governor to Enter into a Memorandum of Agreement (MOA) Related thereto", extended a loan in the amount of ₱20,000,000.00 to LUMC and the parties therein executed a Loan Agreement to govern the terms and conditions thereof. LUMC was short of cash because of its huge amount of receivables from PhilHealth which are still uncollected. The purpose of the loan is to help the LUMC pay its prior years accounts payable. The LUMC will pay monthly amortization for 12 months to the PGLU from its collections from its PhilHealth receivables from prior years.

The LUMC had difficulty in the payment of its loan amortizations for the last five months of 2024 because it needs to prioritize the funding of hospital and patient needs. The PGLU then issued a demand letter for the collection of the said loan amortizations and subsequently, LUMC paid portion of the balance and committed to fully pay the loan balance this early 2025.

LUMC Loans Receivable	20,000,000.00
Payments: January to July 2024	11,666,669.00
Balance, December 31, 2024	**8,333,331.00**

	2024	2023 (Restated)
Due from National Government Agencies	2,983,706.70	17,601,605.17
Due from GOCCs	28,346,810.83	33,506,194.20
Due from LGUs	50,515,005.26	61,255,906.01
Total Inter-Agency Receivables	**81,845,522.79**	**112,363,705.38**

The Due from NGAs account pertains to the following:

	Amount
GF Proper	
Commission on Election (COMELEC)	1,140,078.00
Department of the Interior and Local Government (DILG)	200,000.00
Department of Education (DepEd)	300,000.00
Technical Education and Skills Development Authority (TESDA)	345,500.00
R.A. 7171	
National Food Authority (NFA)	1,128.70
Subtotal – GF	**1,986,706.70**
SEF	
DepEd – Division of LU	997,000.00
Subtotal – SEF	**997,000.00**
Total Due from NGAs	**2,983,706.70**

The fund transferred to COMELEC was made in the year 2003 for the purpose of conducting a Special Election in Agoo, La Union in 2003. The PGLU made series of requests for the liquidation of the same to COMELEC.

On the one hand, the fund transfer to DILG pertains to assistance for the implementation of the "Pagkilala sa mga Tagapagtaguyod ng Kapayapaan at Kaunlaran: Peace and Order Councils and Anti-Drug Abuse Councils Performance Awarding Ceremony last November 2024. As for the Due from NGAs under R.A. 7171, it refers to unexpended balance of PGLU subsidy to NFA in support to the Palay Marketing Assistance for Legislators and LGU.

The fund transferred to the DepEd refers to financial assistance for the conduct of Provincial Meet.

The Due from GOCCs account pertains to receivables from PhilHealth for hospital fees of the district hospitals and Professional Fees of medical doctors and hospital employees.

The Due from LGUs account of GF pertains to provincial shares from collections of RPTs, professional taxes and collection from provincial ordinance violation charges of LGUs. This also refers to financial assistance for the prizes of LGUs that won the PGLU programs on the Search for the Cleanest, Safest and Greenest LGU in the Province of La Union, repair of Child Development Center in Brgy. Lettac, Santol, La Union, Paskuhang Bayan, Bakuna Muna Vaccination Incentives Program, Sports Development, La Union Surfing Break and Community-Based Monitoring System Program. Also, the amount under SEF represents the share of the PGLU from the RPT collections of various municipalities of La Union, while the Due from LGUs account under Trust Fund represents the balances of the Early Childhood Care and Development Program, KKK Loans and over withdrawals of various LGUs. The PGLU made efforts to communicate with concerned LGUs for the collection or liquidation of the said accounts. It sought the assistance of the LGUs concerned, Provincial Treasury office and Provincial Legal office for the collection of long outstanding receivables. Details of the said account are as follows:

Particulars/Program	Amount
GF	
GF Proper	
RPT Provincial Share	2,408,441.23
Professional Tax	983.40
Provincial Ordinance Violation Charges	79,500.00
Lettac Sur- Development of Child Development Centers	2,864,091.75
Search for the Cleanest, Safest and Greenest LGU in the LU - Municipality	11,759,260.00
Barangay	3,700,000.00
Bakuna Muna Vaccination Incentives Program	2,000,000.00
Sports Development Program	2,643,020.00
Paskuhang Bayan	3,266,908.50
Community-Based Monitoring System	4,540,871.00
La Union Surfing Break	100,000.00
Santol-Accountable Forms	3,375.00
Subtotal	**33,366,450.88**
20% Local DF	
Bakuna Muna Vaccination Incentives Program	4,000,000.00
Search for the Cleanest, Safest and Greenest LGU in the LU - Municipality	2,841,628.23
Search for the Cleanest, Safest and Greenest LGU in the LU - Barangay	2,700,000.00
Subtotal	**9,541,628.23**
TF	

Particulars/Program	Amount
Early Childhood Care and Development Program	160,771.79
KKK Loan	945,723.50
Over withdrawal	2,985,338.87
Various	74,461.81
Subtotal	**4,166,295.97**
SEF	
RPT Provincial Share	3,440,630.18
Total Due from LGUs	**50,515,005.26**

	2024	2023 (Restated)
Due from Other Funds	50,125,994.45	55,185,555.26
Due from Special Accounts	29,788,490.96	36,654,209.71
Due from Local Economic Enterprise	695,988.63	3,332,646.63
Total Intra -Agency Receivables	**80,610,474.04**	**95,172,411.60**

Details of Due from Other Funds account are as follows:

	Amount
GF	
TF Proper	2,923,638.16
TF - 1590 DLF (ER 1-94)	498.33
TF - 1590 RMWHEEF (ER 1-94)	1,181.86
TF - CIP II Power Corporation DLF (ER 1-94)	9.15
TF - CIP II Power Corporation RWMHEEF (ER 1-94)	9.15
TF - LDRRMF	24,109.42
Subtotal	**2,949,446.07**
TF	
SHF	30,000.00
GF	47,146,548.38
Subtotal	**47,176,548.38**
Total Due from Other Funds	**50,125,994.45**

Details of Due from Special Account are as follows:

	Amount
GF	
20% Local DF	2,264,199.31
Bacnotan District Hospital	86,735.84
Bacnotan District Hospital – HIRM	800,000.00
Balaoan District Hospital	3,807.53
Balaoan District Hospital – HIRM	1,700,000.00
GF Proper	20,000,000.00
Naguilian District Hospital	9,364.10
Naguilian District Hospital – HIRM	1,000,000.00
Rosario District Hospital	4,384.18
Rosario District Hospital – HIRM	3,800,000.00
Subtotal	**29,668,490.96**

	Amount
TF	
Philippine Rural Development Project (PRDP) - I-BUILD Equity	20,000.00
PRDP - I-BUILD GOP	20,000.00
PRDP - I- BUILD LP	20,000.00
PRDP - I- REAP Equity	20,000.00
PRDP - I- REAP GOP	20,000.00
PRDP - I-REAP LP	20,000.00
Subtotal	**120,000.00**
Total Due from Special Account	**29,788,490.96**

The Hospital Interim Revenue Mechanism (HIRM) of the five district hospitals of La Union was created under Provincial Ordinance No. 329-2021 and its Implementing Rules and Regulations (IRR) was approved on May 17, 2022. Under the said HIRM, the GF Proper account shall extend emergency cash advances to the five district hospitals to support their funding requirements that are usually covered by hospital revenues while waiting for the collections of their PhilHealth receivables. The hospitals shall return said cash advance to the GF Proper upon receipt of their PhilHealth collections. The HIRM shall be a mechanism to pay their maturing obligations and shall be paid back upon collection or receipt of receivables and other revenues. The IRR defines the responsibilities of the PGLU and the five district hospitals as well as the guidelines and conditions of the grant and availment of HIRM.

The HIRM System was implemented initially for a period of two years, reckoned from September 23, 2021, upon approval of the ordinance creating HIRM, until September 23, 2023. This HIRM mechanism continues based on the assessment of the five-district hospital's ability to continue as a going concern and will continue in operation and meet its statutory obligations for the foreseeable future. The balances of HIRM Advances to district hospitals as of December 31, 2024 are as follows:

Schedule of HIRM				
As of December 31, 2024				
Hospitals	**January 1, 2024**	**Payments**	**Reversion**	**December 31, 2024 Balance**
Bacnotan District Hospital	2,500,000.00	1,700,000.00	-	800,000.00
Balaoan District Hospital	3,450,000.00	1,750,000.00	-	1,700,000.00
Caba District Hospital	17,350,501.34	350,501.34	17,000,000.00	-
Naguilian District Hospital	2,395,165.55	1,395,165.55	-	1,000,000.00
Rosario District Hospital	4,857,655.23	1,057,655.23	-	3,800,000.00
Total	**30,553,322.12**	**6,253,322.12**	**17,000,000.00**	**7,300,000.00**

Under the amended IRR of HIRM, the HIRM Committee shall recommend to the Governor an exit strategy if based on their evaluation the district hospitals failed to attain viability. The exit strategies under LBC 111 include: reversion of district hospitals from economic enterprise to the regular accounts under the GF, on the condition that, the expenditures for Personal Services (PS) do not exceed the PS limitation as provided under Section 325 of the Local Government Code (LGC) of 1991. Based on Sangguniang Panlalawigan Resolution No. 1915-2023 and Joint Resolution No, 1, series of 2023 of PHO Health Board and the Local Finance Committee (LFC), the Caba District Hospital was reintegrated into the regular operations of the PGLU because it failed to satisfy the requirements of self-sufficiency under LBC 111.

In December 2023, SP Resolution No. 1915-2023 was issued reintegrating the Caba District Hospital as part of the regular operations of the PGLU and no longer continue its status as a local economic enterprise. Consequently, the Caba District Hospital economic enterprise and its HIRM Advances were reverted to the GF account of PGLU.

The Due from Local Economic Enterprises account pertains to the transactions between the GF and cash pharmacies of the hospitals in relation to the issuances of inventories for their PHIC patients.

	2024	2023
Advances for Operating Expenses	139,692.44	148,952.55
Total Advances	**139,692.44**	**148,952.55**

The Advances for Operating Expenses account pertains to the unliquidated Cash Advances granted to the disbursing officers for the following:

Disbursing Officer	Advances	Amount
Halog, Sentinelled Gaco	Dietary/food	40,773.00
Mendoza, Eufrocina Obra	Dietary/food	68,683.00
Remiendo, Nora Tavares	Dietary/food	16,451.06
Villanueva, Mario F.	Dietary/food	13,785.38
Total		**139,692.44**

	2024	2023 (Restated)
Receivables – Disallowances and Charges	40,635.36	40,635.36
Allowance for Impairment	-	-
Due from Officers and Employees	1,877,472.64	419,316.19
Due from Non-Government Organizations (NGOs)/Peoples Organization (PO)	5,970,400.00	6,936,514.00
Allowance for Impairment	*(498,760.00)*	-
Other Receivables	5,573,557.20	4,800,499.25
Total Other Receivables	**12,963,305.20**	**12,196,964.80**

The Receivables - Disallowance and charges account is a longstanding balance in the books of Trust Fund which pertains to Claims for Disallowed Payments which balance remained the same since 2000 and eventually carried over every year.

The Due from Officers and Employees account represents overpayment of salaries, allowances, other benefits of employees and under withholding of taxes.

The Due from NGOs/POs-General Fund represents the loan assistance extended to some Cooperatives of La Union. The Cooperative Bank of La Union (CBLU) account balance is the unliquidated fund transfer for its program on Cooperative Financing Program for Countryside Development. On the other hand, the loan granted to La Union Beekeepers Development Cooperative funded under R.A. 7171 is for the expansion of the La Union Apiculture Development Program of the Province and remains unpaid despite demands for collection. For the Due from NGOs/POs account of the Trust Fund, the loan balance pertains to the grant to Bucao, Bumbuneg Irrigators Association, Inc. and Rosario (LU) Seed Growers Association under the Isang Bayan, Isang Produkto, Isang Milyong Piso Program.

In the Due from NGOs/POs account, the PGLU through the La Union PROBINSYAnihan advocacy of Gov. Rafy, enabled the Civil Society Organizations (CSOs) as catalysts for social and economic progress by accrediting them and extending financial assistance for programs and projects that will help the PGLU in delivering essential public services to kaprobinsiaan and for the realization of a people-centered governance. This account consists of:

Particulars/Program	Amount
GF-Proper	
Assistance to various NGOs/CSOs/POs for their development programs	3,556,695.00
Organizations/POs	(498,760.00)
RA 7171	
Development Programs	2,055,560.00
Unlad Elyupreneur Agri Development Enterprises Program	213,645.00
Total Due from NGOs/POs - under GF	**5,327,140.00**
TF	
Isang Bayan, Isang Produkto, Isang Milyong Piso Program	144,500.00
Total Due from NGOs/POs – under TF	**144,500.00**

The Other Receivables - GF account comprises the outstanding loan balances of PGLU officials and employees who availed of the PGLU Salary and Livelihood Loan Program (PGLU SLLAP). The books of accounts of PGLU SLLAP has been reverted to the GF Proper and all loan receivable collections are transferred to the GF Proper account. Also included are receivables from sand and gravel permit holders, stall owners for lease or rentals, violators of provincial ordinances and from Globe Telecom and Royal AGL Foods Corporation (Moon Leaf) for their electricity consumptions.

The COA issued COA Circular No. 2023-008 dated August 17, 2023, which prescribes the guidelines on the proper disposition of dormant accounts of National Government Agencies (NGAs) and Instrumentalities, LGUs and Government Corporations (GCs). Impairment, as defined therein, is a loss in the future economic benefits due to uncertainty of collectability of the receivables of the amount in respect of which recovery has ceased to be probable.

The Provincial Accounting Office conducted a verification, analysis and validation of the existence of all dormant accounts based on the available documents, such as the financial statements of the PGLU since 1986. Upon scrutiny thereof, the balances of dormant accounts were carried over for such a long time. The Accounting office sought the assistance of city and municipal accountants concerned, as well as the implementing offices, Provincial Treasury office and Legal office for the collection or liquidation of the same.

Note 7 – Inventories

This account comprises of the following:

	2024	2023 (Restated)
Inventory Held for Sale	4,345,258.50	4,840,916.89
Inventory Held for Distribution	22,956,085.30	155,830,613.01
Inventory Held for Manufacturing	1,636,125.86	1,636,125.86
Inventory Held for Consumption	57,244,739.69	46,542,323.10
Total Inventories	**86,182,209.35**	**208,849,978.86**

	2024	2023 (Restated)
Inventory Held for Sale		
Merchandise Inventory	4,345,258.50	4,840,916.89
Inventory Held for Distribution		
Welfare Goods for Distribution	3,489,597.40	4,106,988.32
Medical, Dental and Laboratory Supplies for Distribution	58,990.00	-
Agricultural and Marine Supplies for Distribution	6,676,260.00	27,866,413.00
Textbooks and Instructional Materials for Distribution	-	9,878,823.08
Agricultural Produce for Distribution	5,317,380.00	-
PPE for Distribution	1,941,523.00	105,754,000.00
Other Supplies and Materials for Distribution	5,472,334.90	8,224,388.61
Subtotal	**22,956,085.30**	**155,830,613.01**
Inventory Held for Manufacturing		
Raw Materials Inventory	1,636,125.86	1,636,125.86
Inventory Held for Consumption		
Office Supplies Inventory	1,239,449.85	2,045,587.58
Accountable Forms, Plates and Stickers	82,805.78	126,630.28
Animal/Zoological Supplies Inventory	1,204,888.00	-
Drugs and Medicines Inventory	20,569,798.69	20,372,845.86
Medical, Dental and Laboratory Supplies Inventory	28,669,154.62	20,409,684.38
Agricultural and Marine Supplies Inventory	1,530,556.30	939,693.30

	2024	2023 (Restated)
Construction Materials Inventory	-	1,721,523.00
Other Supplies and Materials Inventory	3,948,086.45	926,358.70
Subtotal	**57,244,739.69**	**46,542,323.10**
Total Inventories	**86,182,209.35**	**208,849,978.86**

PGLU adopts the Perpetual Inventory System in recording inventories and uses the Weighted Average Method in measuring inventories. The Accounting office recognized inventories as Expenses in the books of accounts upon issuance of the Requisition and issue Slips issued by the Provincial General Services office. At the end of the year, it conducts physical count of inventories.

The Merchandise Inventory account represents the cost of drugs and medicines, medical and laboratory supplies for sale in the 24-Hour Cash Pharmacy of the district hospitals and inventories of the Provincial Treasurer's office on accountable forms, delivery receipts and annual fixed tax stickers.

The Welfare Goods for Distribution account pertains to stockpiles for non-food items for distribution to the constituents of La Union during calamities.

The Agricultural and Marine Supplies for Distribution account pertains to various fishing materials, various seedlings, grasscutter, fertilizers, jetmatic, knapsack sprayer, life vest, PE Hose and other agricultural and marine supplies for distribution to the constituents of the province.

The significant amount of adjustments includes those Inter-Agency transfers of PPE which were previously recorded under the Government Equity Account instead of the accounts: Subsidy to NGA; Subsidy to LGU and Subsidy from National Government.

GF	Amount
Crutches Elbow/Forearm, Adult (Widecare-HF7-05)	9,280.00
Walker Foldable (Feiyang, FY13L)	9,910.00
Wheelchair, Adult (Keling)	39,800.00
Total	**58,990.00**

PPE for distribution include the following:

GF	Amount	Purpose
Technical and Scientific Equipment		
Musical Instruments (gong and solibao)	220,000.00	to be distributed to the IPs.
POSTE (Police Outpost for Security of Tourism and Other Economic Activities)	1,721,523.00	for Police Outpost for Security of Tourism and Other Economic Activities
Total	**1,941,523.00**	

The Other Supplies and Materials for Distribution account refers to goods for distribution to PGLU constituents and the remaining balance composed of the following:

GF	Amount
Rescue Tools and Supplies	427,345.00
Food Commodities	119,700.00
Assistive Devices for PWDs and Senior Citizens	1,202,440.00
Other Supplies	3,124,849.90
Sports Equipment	598,000.00
Other Supplies and Materials for Distribution	**5,472,334.90**

The Raw Materials Inventory account consists of raw honey and other materials used for the production of bottled honey at the LUHC, Raois, Bacnotan, La Union. The Honey Bee Center is being operated by the PGLU through the Provincial Agriculture Office with License to Operate No. LTO-3000007659068 issued by the Food and Drug Administration (FDA), DOH and which is valid until July 31, 2026. However, the LUHC did not operate for the current year. A Technical Working Group was established to facilitate the turn-over of LUHC to LGU Bacnotan.

The Animal/Zoological Supplies Inventory consists of various veterinary supplies for use by the Office of the Provincial Veterinarian.

The Drugs and Medicines Inventory account consists of drugs and medicines for use in the various medical-dental missions, outreach program of PGLU and for the operation of the five district hospitals.

The Medical, Dental and Laboratory Supplies Inventory account consists of the balances of the supplies for use in the operation of the five district hospitals.

The Other Supplies and Materials Inventory includes the materials for the propagation and production of various fruits, ornamental and tree seedlings at various provincial nurseries of the province; supplies such as disinfectant solutions, alcohol, sleeping kits, blankets, hygiene kits and family packs received from the office of the Civil Defense; medical supplies and other supplies donated by Ferdinand "Bongbong" Marcos, Jr.

Note 8 – Prepayments and Deferred Charges

	2024	2023
Advances to Contractors	5,049,786.59	19,610,405.87
Prepaid Insurance	6,875,379.76	899,959.04
Total Prepayments and Deferred Charges	**11,925,166.35**	**20,510,364.91**

The Advances to Contractors account pertains to the 15% Mobilization Fees paid to various contractors of the PGLU and which are collected or deducted from the payment of projects.

The Prepaid Insurance account pertains to the insurance of various buildings and vehicles of PGLU with the Government Service Insurance System (GSIS) for the period January to November 2025.

Note 9 – PPE

	2024	**2023 (Restated)**
Land	248,281,571.20	227,734,795.19
Land Improvements	71,670,108.16	25,079,694.49
Road Networks	3,309,144,492.25	3,157,787,117.31
Flood Control System	195,716,717.12	157,178,246.28
Water Supply Systems	147,551,394.59	126,202,987.21
Power Supply Systems	9,231,606.48	9,700,419.48
Communication Networks	145,215,015.41	154,502,259.05
Parks, Plazas and Monuments	1,767,290.03	1,876,246.67
Other Infrastructure Assets	406,728,893.66	401,484,780.74
Buildings and Other Structures	1,737,400,143.87	1,087,583,868.55
Machinery and Equipment	363,941,852.12	273,006,114.06
Transportation Equipment	145,859,704.42	156,490,889.72
Furniture, Fixtures and Books	17,110,326.33	16,321,000.89
Construction in Progress (CIP)	346,952,301.35	414,255,471.80
Other PPE	5,059,500.83	6,576,589.25
Total PPE	**7,151,630,917.82**	**6,215,780,480.69**

The Land account consists of the parcels of land owned by the PGLU.

The parcels of land owned by PGLU are supported by tax declarations and the processing of land titles is ongoing. Some land accounts are meanwhile supported with Deeds of Sale and tax declarations. In Spouses Llanes v. Republic, the earliest tax declaration presented in the application under Section 14(1) of P.D. 1529 was only for 1948. The Court, nevertheless, espoused that xxx "While tax declarations and receipts are not incontrovertible evidence of ownership, they constitute, at least, proof that the holder has a claim of title over the property, xxx Tax declarations are good indicia of possession in the concept of an owner, for no one in his right mind would be paying taxes for a property that is not in his actual or constructive possession. Moreover, while tax declarations and receipts are not conclusive evidence of ownership and do not prove title to the land, nevertheless, when coupled with actual possession, they constitute evidence of great weight and can be the basis of a claim of ownership through prescription.

In March 2024, the PGLU and Cybercrime Investigation and Coordinating Center entered into a Deed of Usufruct whereby PGLU as the declared owner of a parcel of land or lot 3349 covered by Tax Declaration No. 18-056-105-155 situated at Barangay Sevilla, City of San Fernando, La Union, with a total area of 70,137 sq.m., will allow the usufructuary to use 5,000 sq.m. portion of the aforesaid lot 3349 for the construction of its Data Center which will house its own power plant and a satellitebased earth station. The term of the usufruct shall be for a period of 25 years renewable at the discretion of the PGLU and the usufructuary but not to exceed 50 years.

As of December 31, 2024, the Local Road Network (LRN) -La Union Provincial Road has an aggregate road length of 266,864 kilometers. LRN components include Road Lot, Pavement, Drainage and Slope Protection Structures and Other Miscellaneous Structures. Only road lots with Tax Declaration in the name of PGLU are included as part of the LRN. Pavements, Drainage, Slope Protection and Other Miscellaneous Structures in Barangay and Municipal Roads constructed by PGLU remain in the books of PGLU until completion of transfer documents. During the reconciliation of PGLU lots, there were also lots/road lots recorded this year based from the list of lot inventory given by the Assessor's Office with tax declarations. However, the Assessor's Office and Engineering Office are still in the process of identifying the road name of such road lots through the map and with the use of technologies like Computer Aided Design/Civil 3D, QGIS and Google earth.

For the year 2024, various projects were completed. As per the Provincial Legal officer, the Deeds of Donation for various Multi-purpose Centers, processing centers, school covered courts, livelihood development centers, trading centers, sanitary landfill support facilities, evacuation centers and other structures constructed by PGLU for intended recipients are for the signature of respective donees and completion of documents for transfer.

The PGLU has a zero audit suspensions, disallowances and charges on various transactions as of December 31, 2023 based on COA issued a Statement of Audit Suspensions, Disallowances and charges (SASDC) dated January 2, 2025.

The Communications Network includes the La Union Wireless Mess High Speed Local Area Network Backbone project, which was financed thru a loan from the LBP. The said borrowing was authorized under Sangguniang Panlalawigan Ordinance No. 138-2018. The cost of the said asset includes borrowing costs which are interests and other expenses incurred in borrowing the fund from LBP to finance its procurement and installation.

The Accounting office has adopted the Allowed Alternative Treatment under IPSAS 5.18, which states that "borrowing costs that are directly attributable to the acquisition, construction, or production of a qualifying asset shall be capitalized as part of the cost of that asset. Further in 5.19, under the allowed alternative treatment, borrowing costs that are directly attributable to the acquisition, construction, or production of an asset are included in the cost of that asset. Such borrowing costs are capitalized as part of the cost of the asset when (a) it is probable that they will result in future economic benefits or service potential to the entity, and (b) the costs can be measured reliably.

Also, the Accounting office has implemented the policy on the increase of capitalization threshold as provided in COA Circular No. 2024-006 dated March 14, 2024 re: Supplemental Guidelines on the Implementation by LGUs of COA Circular

No. 2022-004 dated May 31, 2022, Prescribing the Guidelines on the Implementation of Section 23 of the General Provisions of RA No. 11639 also known as the General Appropriations Act (GAA) for Fiscal Year (FY) 2022 relative to the increase in the capitalization threshold from ₱l5,000.00 to ₱50,000.00.

The carrying amount of tangible items below ₱50,000.00 acquired and issued prior to CY 2024 and which have been classified as PPE, are expensed/charged to Prior Period Adjustment and the corresponding accumulated depreciation were closed in the books of accounts.

Below is the summary of PPE adjustment in compliance with the aforecited capitalization threshold policy:

GF	Amount
School Buildings	60,670.00
Machinery	272,395.00
Office Equipment	9,561,982.89
Information and Communication Technology Equipment	55,261,963.17
Agricultural and Forestry Equipment	177,950.00
Communication Equipment	6,326,406.17
Military, Police and Security Equipment	1,124,995.00
Medical Equipment	26,874,463.31
Technical and Scientific Equipment	2,364,258.38
Other Machinery and Equipment	19,151,075.61
Motor Vehicles	47,500.00
Furniture and Fixtures	27,988,108.97
Books	179,884.00
Other PPE	4,054,579.13
Marine and Fishery Equipment	155,000.00
Disaster Response and Rescue Equipment	3,853,596.00
Hospital and Health Centers	53,611.40
Other Structures	75,160.00
Total	**157,583,599.03**

This year, the Department of Public Works and Highways (DPWH) transferred ownership of the La Union Convention Center located at Barangay Sevilla, City of San Fernando, La Union and the Provincial Capitol Executive Building constructed within the premises of Provincial Capitol, Barangay 2, City of San Fernando, La Union. The said structures were recorded as Subsidy from National Government.

The Machinery and Equipment account includes generator sets, welding machines, grinder, power sprayer, electric plainer, medical cabinet and other types of machineries.

For the CY 2024, the additions to Transportation Equipment encompass the acquisition of vehicles along with the receipt of donated vehicles from the DOH.

Particulars	Amount	Date Purchased
1 hauling truck for hauling/transporting of hazardous wastes of PGLU	1,495,000.00	05/23/24
3 units of motorcycle for monitoring of quarry under Mines and Geosciences and other environmental monitoring activities of PGLU	299,700.00	07/08/24
ENRO Installed fixtures of service vehicle with plate no. S9V 647	103,400.00	12/27/24
Service vehicle Toyota Hilux to be used by the office of the Vice Governor and Sangguniang Panlalawigan	2,233,610.32	12/27/24
Service vehicle at Home for the Elderly.	1,961,582.70	12/27/24
1 unit boat trailer for use in the implementation of the ordinance on the protection, conservation and management of coastal and aquatic resources	788,393.00	05/31/24
Total	**6,881,686.02**	

Particulars	Amount	Date Received
1-unit mobile clinic from DOH	9,990,000.00	11/03/24
1-unit ambulance from DOH	2,184,380.00	12/19/24
Total	**12,174,380.00**	

For CY 2024, a Motor Vehicle with plate no. A7R237/010109 has been dropped from the books due to Constructive Total Loss (CTL) since the subject vehicle is beyond economic repair as assessed by the GSIS. Consequently, a due from the concerned accountable officer has been recognized in relation to this.

Donated PPE for the year included the following:

GF	Amount	Date of Donation
Office Equipment		
Donated 5 units of Everest-Split Type Wall Mounted Air Conditioner (2.0HP) with free installation to RTC Branch 27, RTC Branch 67 , RTC Branch 29, RTC Branch 66, Department of Justice National Prosecution Service (DOJ-NPS)- office of the Provincial Prosecutor, La Union; Donated 1 unit of Epson L3250 to RTC Branch 11 and Donated 1 unit of Everest-Split Type Wall Mounted Air Conditioner (1.5HP) with free installation to Branch 66; Donated 1 Acer Computer Set and 1 Epson L3250 to Municipal Trial Court of Luna, La Union	604,100.00	05/30/24

GF	Amount	Date of Donation
Donated 29 units desktops, 1 unit laptop, 5 units Epson L3250 printer, units Epson L5290 printer, and 26 units Epson L121 printer to Bureau of Fire Protection-Region I.	1,949,100.00	05/30/24
Furniture and Fixtures		
Donated JP brand of tables and chairs to RTC Branch 11	80,150.00	04/08/24
Donated 15 office chairs (JP brand) to TESDA	81,300.00	04/08/24
Total	**2,714,650.00**	

20% Local DF	Amount	Date of Donation
Land		
The PGLU ceded portion (500 sq.m.) of its lot covered by Tax Declaration No. 2020-14-0006-00013 located at Brgy. Bucao, San Gabriel, La Union to Bureau of Fire Protection, San Gabriel Fire Station for the purpose of carrying out the construction, repair, rehabilitation and improvement of local fire stations.	39,388.32	12/27/24
Transportation Equipment		
22 units Multi-Purpose Health and Rescue Vehicles to the 10 barangays of Bagulin and 12 barangays of Burgos, La Union	25,289,000.00	04/08/24
14 units Multi-Purpose Health and Rescue Vehicles to the Municipality of Pugo, La Union	16,093,000.00	04/24/24
17 units Multi-Purpose Health and Rescue Vehicles to the Municipality of Caba, La Union	19,541,500.00	05/28/24
39 units Multi-Purpose Health and Rescue Vehicles to the barangays of Bauang, La Union	44,830,500.00	07/01/24
Disaster Response and Rescue Equipment		
Donation of WASAR, HARTEAS & SCRTEAS equipment for Project ALERT to Philippine National Police (PNP) - La Union Police Provincial Office, San Fernando City, La Union.	417,475.00	06/01/24
Total	**106,210,863.32**	

The aforementioned capital outlays which were donated to various national government agencies and local government units were recorded as Subsidy to National Government and/or Subsidy to LGUs, as applicable.

The CIP account consists of provincial road pavements, rehabilitation and repairs, farm-to-market roads, bridges, water systems, farmers' multi-purpose centers, school buildings and covered courts, solid waste management facilities and other service facilities that are still undergoing construction.

The PGLU used the cost model for the recognition of purchased property, plant and equipment and uses the straight-line method of depreciation, with an estimated residual value of five percent (5%) of the cost of the asset. All PPE depreciation were adjusted to conform with the 5% residual policy. The estimated useful life of the asset is based on COA Circular No. 2017-004 dated December 13, 2017, as follows:

Item of PPE	Estimated Useful Life
Infrastructure Assets	20 to 50 years
Buildings and Other Structures	30 to 50 years
Machinery and Equipment	5 to 15 years
Motor Vehicles	5 to 15 years
Watercrafts	10 to 25 years
Furniture, Fixtures and Books	2 to 15 years
Other PPE	2 to 15 years

PPE	31-Dec-22	Additions	Disposals	Transfers/ Adjustments	31-Dec-23	Additions	Disposals	Transfers/ Adjustments	31-Dec-24
Land									
Land	229,804,821.99	-	-	(2,070,026.80)	227,734,795.19	20,586,164.33	-	(39,388.32)	248,281,571.20
Land Improvements									
Other Land Improvements	35,787,534.68	10,546,975.14	-	(1,894,595.00)	44,439,914.82	50,036,751.87	-	-	94,476,666.69
Infrastructure Assets									
Road Networks	3,216,733,117.20	543,561,127.85	(13,195,864.92)	(23,587,488.85)	3,723,510,891.28	317,704,689.38	(12,714,411.76)	(7,794,100.00)	4,020,707,068.90
Flood Control Systems	113,615,516.11	61,246,514.19	-	-	174,862,030.30	48,226,624.24	-	-	223,088,654.54
Water Supply Systems	102,093,233.84	41,704,820.79	-	-	143,798,054.63	28,915,871.81	-	-	172,713,926.44
Power Supply Systems	-	9,869,750.00	-	-	9,869,750.00	-	-	-	9,869,750.00
Communications Networks	195,520,918.37	-	-	-	195,520,918.37	-	-	-	195,520,918.37
Parks, Plaza and Monuments	1,346,801.53	947,021.29	-	-	2,293,822.82	-	-	-	2,293,822.82
Other Infrastructure Assets	380,155,855.61	87,364,853.05	-	-	467,520,708.66	27,747,545.90	-	-	495,268,254.56
Buildings and Other Structures									
Buildings	391,001,927.99	38,708,747.77	-	272,452,247.65	702,162,923.41	86,443,616.07	-	212,131,894.52	1,000,738,434.00
School Buildings	77,698,024.82	32,381,235.69	-	(60,670.00)	110,018,590.51	37,077,427.67	-	-	147,096,018.18
Hospitals and Health Centers	315,114,024.23	23,803,026.41	-	(53,611.40)	338,863,439.24	214,290,517.56	-	-	553,153,956.80
Other Structures	205,950,885.85	72,460,205.61	-	(75,160.00)	278,335,931.46	163,593,367.39	-	-	441,929,298.85
Machinery and Equipment									
Machinery	26,356,175.24	11,996,000.00	-	(272,395.00)	38,079,780.24	-	-	-	38,079,780.24
Office Equipment	36,967,377.89	3,262,228.67	(148,450.00)	(8,077,153.91)	32,004,002.65	14,692,343.82	-	-	46,696,346.47
Information and Communication Technology Equipment	136,681,185.81	13,469,705.00	(286,367.00)	(53,663,701.21)	96,200,822.60	17,520,642.15	-	-	113,721,464.75
Agriculture and Forestry Equipment	3,302,330.00	-	-	(177,950.00)	3,124,380.00	-	-	-	3,124,380.00
Marine and Fishery Equipment	390,800.00	-	-	(155,000.00)	235,800.00	-	-	-	235,800.00
Communication Equipment	22,039,504.78	-	(70,140.00)	(6,326,406.17)	15,642,958.61	-	-	-	15,642,958.61
Construction and Heavy Equipment	127,200,482.48	-	-	(2,235,790.02)	124,964,692.46	26,371,000.00	-	-	151,335,692.46
Disaster Response and Rescue Equipment	50,765,881.00	7,717,200.00	-	(3,853,596.00)	54,629,485.00	16,904,830.08	-	-	71,534,315.08
Military, Police and Security Equipment	6,757,301.00	-	-	(1,124,995.00)	5,632,306.00	150,000.00	-	-	5,782,306.00

PPE	31-Dec-22	Additions	Disposals	Transfers/ Adjustments	31-Dec-23	Additions	Disposals	Transfers/ Adjustments	31-Dec-24
Medical Equipment	359,254,797.11	13,926,200.00	(98,000.00)	(26,874,463.31)	346,208,533.80	36,212,603.50	-	-	382,421,137.30
Technical and Scientific Equipment	13,907,594.38	1,192,130.00	-	(2,364,258.38)	12,735,466.00	39,897,740.00	-	-	52,633,206.00
Other Machinery and Equipment	52,136,665.35	635,500.00	(296,380.00)	(19,151,075.61)	33,324,709.74	647,450.00	-	-	33,972,159.74
Transportation Equipment									
Motor Vehicles	190,237,612.42	90,484,259.96	(1,530,500.00)	(47,500.00)	279,143,872.38	6,093,293.02	-	10,515,380.00	295,752,545.40
Watercrafts	6,654,344.64	904,500.00	-	-	7,558,844.64	788,393.00	-	-	8,347,237.64
Other Transportation Equipment	84,315,410.84	-	-	-	84,315,410.84	-	-	-	84,315,410.84
Furniture, Fixtures and Books									
Furniture and Fixtures	72,282,940.92	726,150.00	(179,095.66)	(27,988,108.97)	44,841,886.29	3,472,674.00	-	-	48,314,560.29
Books	202,291.00	-	-	(202,291.00)	-	-	-	-	-
Construction in Progress									
Construction in Progress-Land Improvements	8,391,834.14	21,296,974.08	-	(13,763,967.13)	15,924,841.09	43,983,237.69	-	(50,036,751.87)	9,871,326.91
Construction in Progress-Infrastructure Assets	164,901,706.61	590,636,333.99	-	(527,722,457.02)	227,815,583.58	434,605,442.76	-	(459,651,863.47)	202,769,162.87
Construction in Progress-Buildings and Other Structures	8,067,223.86	307,697,074.62	-	(145,249,251.35)	170,515,047.13	383,727,114.46	-	(419,930,350.02)	134,311,811.57
Other PPE									
Other PPE	20,633,948.97	1,187,000.00	(99,850.00)	(4,054,579.13)	17,666,519.84	-	-	-	17,666,519.84
Biological Assets									
Breeding Stocks	155,375.00	453,817.43	-	-	609,192.43	-	-	(431,355.70)	177,836.73
Total	**6,656,425,445.66**	**1,988,179,351.54**	**(15,904,647.58)**	**(598,594,243.61)**	**8,030,105,906.01**	**2,019,689,340.70**	**(12,714,411.76)**	**(715,236,534.86)**	**9,321,844,300.09**

Depreciation	31-Dec-22		31-Dec-23				31-Dec-24			
	Accumulated Depreciation	Net Book Value	Depreciation	Disposal/ Transfer/ Adjustment	Accumulated Depreciation	Net Book Value	Depreciation	Disposal/ Transfer/ Adjustment	Accumulated Depreciation	Net Book Value
Land										
Land	-	229,804,821.99	-	-	-	227,734,795.19	-	-	-	248,281,571.20
Land Improvements										
Other Land Improvements	17,832,983.51	17,954,551.17	1,985,617.24	458,380.42	19,360,220.33	25,079,694.49	3,446,338.20	-	22,806,558.53	71,670,108.16

Depreciation	31-Dec-22		31-Dec-23				31-Dec-24			
	Accumulated Depreciation	Net Book Value	Depreciation	Disposal/ Transfer/ Adjustment	Accumulated Depreciation	Net Book Value	Depreciation	Disposal/ Transfer/ Adjustment	Accumulated Depreciation	Net Book Value
Infrastructure Projects										
Road Networks	405,472,985.28	2,811,260,131.92	138,689,156.47	(21,561,632.22)	565,723,773.97	3,157,787,117.31	152,269,981.00	6,431,178.32	711,562,576.65	3,309,144,492.25
Flood Control Systems	9,696,426.39	103,919,089.72	6,822,885.90	(1,164,471.73)	17,683,784.02	157,178,246.28	9,688,153.40	-	27,371,937.42	195,716,717.12
Water Supply Systems	10,569,890.41	91,523,343.43	5,578,094.08	(1,447,082.93)	17,595,067.42	126,202,987.21	7,567,464.43	-	25,162,531.85	147,551,394.59
Power Supply Systems	-	-	169,330.52	-	169,330.52	9,700,419.48	468,813.00	-	638,143.52	9,231,606.48
Communications Networks	31,731,415.70	163,789,502.67	9,287,243.62	-	41,018,659.32	154,502,259.05	9,287,243.64	-	50,305,902.96	145,215,015.41
Parks, Plaza and Monuments	309,203.29	1,037,598.24	97,710.75	(10,662.11)	417,576.15	1,876,246.67	108,956.64	-	526,532.79	1,767,290.03
Other Infrastructure Assets	39,710,496.89	340,445,358.72	21,069,442.50	(5,255,988.53)	66,035,927.92	401,484,780.74	22,503,432.98	-	88,539,360.90	406,728,893.66
Buildings and other Structures										
Buildings	100,639,658.14	290,362,269.85	16,296,507.71	(45,427,408.09)	162,363,573.94	539,799,349.47	27,912,995.80	-	190,276,569.74	810,461,864.26
School Buildings	29,566,524.17	48,131,500.65	2,261,768.23	(1,264,402.50)	33,092,694.90	76,925,895.61	4,139,224.96	-	37,231,919.86	109,864,098.32
Hospitals and Health Centers	59,318,181.11	255,795,843.12	11,908,251.08	(36,012,518.54)	107,238,950.73	231,624,488.51	15,799,117.28	-	123,038,068.01	430,115,888.79
Other Structures	23,052,204.47	182,898,681.38	9,396,040.58	(6,653,551.45)	39,101,796.50	239,234,134.96	15,869,209.86	-	54,971,006.35	386,958,292.50
Machinery and Equipment										
Machinery	10,811,911.96	15,544,263.28	2,176,035.09	(300,548.88)	13,288,495.93	24,791,284.31	2,817,701.89	-	16,106,197.82	21,973,582.42
Office Equipment	21,943,689.01	15,023,688.88	3,610,595.30	4,321,286.52	21,232,997.79	10,771,004.86	4,934,633.20	-	26,167,630.99	20,528,715.48
Information and Communication Technology Equipment	92,384,422.65	44,296,763.16	9,232,697.81	25,621,161.30	75,995,959.16	20,204,863.44	7,511,196.26	-	83,507,155.42	30,214,309.33
Agriculture and Forestry Equipment	2,865,900.85	436,429.15	23,750.04	77,844.06	2,811,806.83	312,573.17	23,750.04	-	2,835,556.87	288,823.13
Marine and Fishery Equipment	-	390,800.00	74,252.16	29,449.92	44,802.24	190,997.76	44,802.24	-	89,604.48	146,195.52
Communication Equipment	14,252,666.72	7,786,838.06	907,954.24	3,473,794.35	11,686,826.61	3,956,132.00	903,360.10	-	12,590,186.71	3,052,771.90
Construction and Heavy Equipment	91,650,497.48	35,549,985.00	3,727,456.20	(360,491.65)	95,738,445.33	29,226,247.13	5,667,253.25	-	101,405,698.58	49,929,993.88
Disaster Response and Rescue Equipment	29,732,528.80	21,033,352.20	6,912,256.88	1,192,473.20	35,452,312.48	19,177,172.52	7,608,901.37	-	43,061,213.85	28,473,101.23
Military, Police and Security Equipment	3,691,008.03	3,066,292.97	247,673.64	570,460.91	3,368,220.76	2,264,085.24	258,361.14	-	3,626,581.90	2,155,724.10
Medical Equipment	188,275,783.20	170,979,013.91	25,935,965.81	8,312,426.79	205,899,322.22	140,309,211.58	27,413,798.56	-	233,313,120.78	149,108,016.52

Depreciation	31-Dec-22		31-Dec-23				31-Dec-24			
	Accumulated Depreciation	Net Book Value	Depreciation	Disposal/ Transfer/ Adjustment	Accumulated Depreciation	Net Book Value	Depreciation	Disposal/ Transfer/ Adjustment	Accumulated Depreciation	Net Book Value
Technical and Scientific Equipment	7,972,557.44	5,935,036.94	760,917.91	1,579,833.01	7,153,642.34	5,581,823.66	1,770,768.67	-	8,924,411.01	43,708,794.99
Other Machinery and Equipment	25,592,069.69	26,544,595.66	2,463,654.41	10,951,732.75	17,103,991.35	16,220,718.39	2,506,344.77	-	19,610,336.12	14,361,823.62
Transportation Equipment										
Motor Vehicles	115,760,801.27	74,476,811.15	17,055,927.37	(4,580,242.20)	137,396,970.84	141,746,901.54	27,248,918.45	931,212.50	163,714,676.79	132,037,868.61
Watercrafts	4,251,746.05	2,402,598.59	653,644.65	(75,382.73)	4,980,773.43	2,578,071.21	416,217.93	-	5,396,991.36	2,950,246.28
Other Transportation Equipment	69,513,055.36	14,802,355.48	1,294,327.44	(1,342,111.07)	72,149,493.87	12,165,916.97	1,294,327.44	-	73,443,821.31	10,871,589.53
Furniture, Fixtures and Books										
Furniture and Fixtures	38,276,113.00	34,006,827.92	2,453,279.39	12,208,506.99	28,520,885.40	16,321,000.89	2,683,348.55	-	31,204,233.96	17,110,326.33
Books	97,421.74	104,869.26	-	97,421.74	-	-	-	-	-	-
Construction in Progress										
Construction in Progress-Land Improvements	-	8,391,834.14	-	-	-	15,924,841.09	-	-	-	9,871,326.91
Construction in Progress-Infrastructure Assets	-	164,901,706.61	-	-	-	227,815,583.58	-	-	-	202,769,162.87
Construction in Progress-Buildings and Other Structures	-	8,067,223.86	-	-	-	170,515,047.13	-	-	-	134,311,811.57
Other Property, Plant and Equipment										
Other Property, Plant and Equipment	11,909,724.02	8,724,224.95	1,439,480.77	2,259,274.20	11,089,930.59	6,576,589.25	1,517,088.42	-	12,607,019.01	5,059,500.83
Other Property, Plant and Equipment										
Breeding Stocks	-	155,375.00	-	-	-	609,192.43	-	-	-	177,836.73
Total	**1,456,881,866.63**	**5,199,543,579.03**	**302,531,917.79**	**(54,302,448.47)**	**1,813,716,232.89**	**6,216,389,673.12**	**363,681,703.47**	**7,362,390.82**	**2,170,035,545.54**	**7,151,808,754.55**

The PPE account includes properties, infrastructure assets and buildings which are to be donated to the different LGUs of La Union amounting to ₱2,795,521,942.35. The documents such as Deeds of Donation, LGU Resolutions and other supporting papers to effect the transfer and subsequent dropping from the books of accounts are still in progress. Below is the list of said PPEs for donation and/or transfer:

Road Networks	Amount
Completion of Pagudpud Farm-to-Market Road (FMR), Purok 5 Section	1,455,463.00
Concrete Paving and Riprapping of FMR, Nagrebcan, Luna	6,864,284.67
Concrete Paving of Baccuit Barangay Road, Bauang	140,281.80
Concrete Paving of Balballosa FMR, San Juan	112,169.82
Concrete Paving of Bimmotobot FMR, Naguilian	161,296.08
Concrete Paving of Bungro FMR (Purok I to Purok IV)	1,944,804.24
Concrete Paving of Butubut Este FMR, Balaoan	280,735.83
Concrete Paving of Cabalitocan FMR, Luna	561,700.00
Concrete Paving of Corro-oy FMR, Santol	771,558.33
Concrete Paving of Dagup-Cardiz Barangay Road, Bagulin	299,296.93
Concrete Paving of FMR at Sitios 1 and 2, Biday	2,916,225.00
Concrete Paving of Gusing Norte FMR, Naguilian	163,753.20
Concrete Paving of Gusing Sur FMR, Naguilian	163,753.20
Concrete Paving of Lipay Proper FMR, San Gabriel	117,137.31
Concrete Paving of Lipay Sur Barangay Road (Sitio Captaoan Section), San Gabriel	249,649.13
Concrete Paving of Masicong-Bancagan Road	2,959,574.61
Concrete Paving of Nagsabaran Sur FMR	1,964,005.59
Concrete Paving of Pagbennecan FMR, Balaoan	278,686.67
Concrete Paving of Palintucang FMR, Bauang.	280,845.87
Concrete Paving of Pangao-Aoan West Barangay Road, Aringay.	95,777.71
Concrete Paving of Pantar Norte FMR, Balaoan	282,785.00
Concrete Paving of Payas FMR, Lettac Norte, Santol	152,600.83
Concrete Paving of Sengngat FMR, Sudipen	364,900.00
Concrete Paving of Sitio Payao FMR, Lettac Norte,Santol	362,347.92
Concrete Paving of Sta. Theresa Barangay Road, Tubao	162,027.66
Concrete Paving of Tabtabungao Barangay Road, Rosario. - 1	149,199.05
Concrete Paving of Tabtabungao Barangay Road, Rosario. - 2	107,412.49
Concrete Paving of Tabtabungao FMR, Rosario	112,323.37
Concrete Paving of Tuddingan FMR, Naguilian	163,753.20
Concrete Paving of Tuddingan FMR, Naguilian.	252,300.10
Concrete Paving of Tuddingan-San Antonio FMR, Naguilian	109,712.85
Concrete Paving of Wenceslao FMR, Caba.	106,437.87
Concreting of Bangbangolan FMR	1,941,741.80
Concreting of Castro-Porporiket, Castro-Duplas-Bulalaan and Up-uplas FMR	4,859,687.47
Concreting of Pongpong FMR	1,949,059.79
Concreting of San Joaquin-Purok FMR with Slope Protection, Agoo	2,834,980.14
Concreting of Sitio Payao FMR, Lettac Norte, Santol	758,885.42
Construction and Improvement of Balay-Anito FMR	1,953,167.44
Construction of Alibangsay Hanging Bridge (Phase I)	7,780,000.00
Construction of Alibangsay Hanging Bridge (Phase II)	4,867,600.00
Construction of Ambangonan Hanging Bridge	8,770,600.00
Construction of Ambangonan Hanging Bridge (Phase II)	6,818,000.00
Construction of Apaleng FMR, San Fernando City	1,948,433.37
Construction of Bangaoilan Slope Protection, Bangar	1,964,102.54

Road Networks	Amount
Construction of Bangbangolan FMR at Purok 2 (Phase II)	4,860,375.00
Construction of Bangbangolan FMR of Purok 2 (Phase III)	6,161,949.89
Construction of Bangbangolan FMR, San Fernando City	1,949,015.08
Construction of Baraoas-Pao Sur Cabarsican-Masicong Road	3,930,150.02
Construction of Biday FMR	3,880,476.95
Construction of Biday FMR-RA 7171	3,884,142.00
Construction of Borobor Creek Slope Protection, Bangar	4,885,440.70
Construction of Bugbugcao-Pagdildilan Bridge (Phase I)	9,735,355.20
Construction of Bulalaan FMR (Phase II)	4,860,375.00
Construction of Bulalaan-Maliclico FMR	4,858,800.00
Construction of Bulalaan-Maliclico FMR (Phase II)	3,888,300.00
Construction of Bulalaan-Maliclico FMR (Phase III)	4,860,375.00
Construction of Bulalaan-Maliclico FMR (Phase IV)	4,860,375.00
Construction of Busilac River Slope Protection, Bangar	4,410,507.34
Construction of Cabaroan FMR, San Fernando City	1,992,986.35
Construction of Calabugao FMR	1,966,513.37
Construction of Camansi-Cadaclan Creek Slope Protection (Phase II)	3,852,000.00
Construction of Casilagan FMR	2,910,387.07
Tumapoc Farm to Market Road (Phase III)	3,996,200.00
Construction of Dalacdac FMR, Burgos	1,964,001.24
Construction of Dalacdac Road Leading to Lower Tumapoc FMR (Phase II)	3,888,291.28
Construction of Dallangayan Oeste FMR, San Fernando City, La Union	4,869,633.88
Construction of FMRat Purok 1, 2 & 3, Brgy. Masicong	6,794,535.00
Construction of FMRat Purok 6, Brgy. Bangbangolan	2,883,747.00
Construction of Footbridge, Bato	4,489,999.34
Construction of Gindayan Road, Lower San Agustin	2,911,378.39
Construction of Guinabang Hanging Bridge	2,919,414.51
Construction of Gumot-Nagcolaran Farm to Market Road	1,966,201.55
Construction of Ipet FMR (Sitio Abagatan Section)	2,492,500.00
Construction of Malicnao Bridge	38,947,267.22
Construction of Masicong Bridge	6,982,330.12
Construction of Masicong Foot Bridge	971,975.72
Construction of Nagyubuyuban FMR (Phase III)	3,893,717.00
Construction of Nagyubuyuban FMR (Sitio Kalaongan), San Fernando City	1,967,182.06
Construction of Nagyubuyuban FMR, San Fernando City	3,875,433.64
Construction of Namtutan-Pias FMR, San Fernando City	1,949,519.18
Construction of Ortega FMR	2,139,457.06
Construction of Paagan FMR Slope Protection, Santol	4,985,999.52
Construction of Pacpacac FMR	4,865,678.09
Construction of Pacpacac FMR (Phase II)	4,870,554.50
Construction of Pacpaco FMR (Purok 6 Section)	1,945,711.39
Construction of Pacpaco FMR, San Fernando City	1,943,042.10
Construction of Pagdildilan FMR	2,916,133.76
Construction of Pagdildilan FMR (Phase III)	2,921,007.61
Construction of Pagdildilan FMR (Purok 2 and 7 Sections)	4,852,082.03
Construction of Pagudpud FMR, San Fernando City	1,941,921.14
Construction of Pao Sur FMR	2,914,761.75
Construction of Pao Sur-Pao Norte FMR	2,920,611.80
Construction of Payao Bridge	4,983,786.25
Construction of San Antonio FMR	1,940,000.00
Construction of Santiago Sur-Narra FMR	1,942,902.63
Construction of Sevilla FMR, San Fernando City	5,850,775.07

Road Networks	Amount
Construction of Siboan-Otong FMR	3,883,890.89
Construction of Sinapangan Sur Creek Slope Protection, Bangar	1,954,167.40
Construction of Sitio Cabaroan Bridge (Phase I)	5,984,982.56
Construction of Slope Protection Along Borobor River, Napaset, Luna	5,865,420.23
Construction of Slope Protection Along Borobor River, Rissing, Luna	5,862,456.65
Construction of Tanquigan FMR	3,395,889.90
Construction of Upper Abut FMR (Purok 6 Section), Abut	1,067,959.38
Construction of Up-Uplas FMR (Phase II)	3,888,300.00
Construction of Up-Uplas-Porporiket FMR	2,916,225.00
Construction/Improvement of Access Road Leading to Tangadan Falls	3,981,927.27
Emergency Repair of Malicnao Bridge, Rosario	1,600,000.00
Improvement Nagyubuyuban FMR	3,892,370.00
Improvement of Agpay-Libtong-Imelda FMR	1,940,387.79
Improvement of Al-Alinao Norte FMR	2,997,000.00
Improvement of Al-Alinao Sur FMR	3,880,500.00
Improvement of Apatut FMR, Balaoan	977,089.25
Improvement of Arosip FMR	1,940,984.61
Improvement of Bakawan Eco-tourism Park Access Road	4,984,996.16
Improvement of Balecbec-Basca FMR	1,949,000.00
Improvement of Balecbec-Basca FMR (Phase II)	2,913,293.55
Improvement of Balecbec-Basca FMR (Phase III)	972,564.42
Improvement of Balecbec-Basca FMR (Phase IV)	997,050.00
Improvement of Ballay FMR	1,993,926.28
Improvement of Balsaan Barangay Road, Sto. Tomas	165,975.49
Improvement of Bangaoilan East FMR	988,264.46
Improvement of Bangbangolan FMR	2,929,287.04
Improvement of Barangay 1 FMR	1,940,561.61
Improvement of Baraoas FMR	2,879,728.15
Improvement of Barrientos Road Going to Sucoc Norte-Sucoc Sur Road	995,750.55
Improvement of Basca-Gallano FMR	4,855,629.31
Improvement of Biday FMR (Purok 3 & 5 Sections)	5,840,751.27
Improvement of Bilis FMR (Sitio Soyboan Section), Burgos	987,751.24
Improvement of Bilis-Upper Tumapoc-Delles FMR	4,852,770.39
Improvement of Bilis-Upper Tumapoc-Delles FMR (Phase II)	3,892,200.00
Improvement of Bilis-Upper Tumapoc-Delles FMR (Phase III)	3,996,150.00
Improvement of Bolikewkew FMR	1,971,991.43
Improvement of Bulalaan FMR	4,858,806.38
Improvement of Bulalaan-Maliclico FMR	4,850,871.54
Improvement of Bungro Barangay Road	995,751.99
Improvement of Bungro Farm to Market Road	1,946,304.00
Improvement of Butubut Norte FMR, Balaoan	977,035.15
Improvement of Cabalayangan Road, Bauang - 1	403,850.43
Improvement of Cabalayangan Road, Bauang - 2	732,251.07
Improvement of Cabaroan FMR	3,898,050.00
Improvement of Cabarsican FMR	2,914,267.98
Improvement of Cabarsican FMR, San Fernando City	3,191,393.87
Improvement of Cabarsican FMR, San Fernando, La Union	1,572,075.30
Improvement of Cadaclan FMR	2,910,376.25
Improvement of Camansi FMR	6,305,000.00
Improvement of Camansi FMR (Phase II)	4,863,650.00
Improvement of Caoayan-Old Poblacion FMR, Burgos	1,890,741.39
Improvement of Capas FMR, Agoo	2,578,863.54

Road Networks	Amount
Improvement of Casilagan FMR	2,889,003.51
Improvement of Casilagan FMR, Sto. Tomas	219,926.72
Improvement of Casilagan FMR-RA 7171	2,910,375.00
Improvement of Casilagan FMR-RA 7171 2020	418,007.99
Improvement of Casilagan-Caudingan FMR, Bauang	762,102.61
Improvement of Castro-San Francisco FMR	2,919,641.72
Improvement of Central East-Upper San Agustin Road	9,980,181.33
Improvement of Central East-Upper San Agustin-Sibuan-Otong Road	27,954,160.07
Improvement of Dacnap-Kagaling Road	6,836,058.12
Improvement of Dacnap-Kagaling Road, Pugo	2,985,477.10
Improvement of Dalacdac FMR and Hanging Bridge	5,406,986.68
Improvement of Dalacdac FMR, Burgos	971,582.00
Improvement of Dalacdac-Lower Tumapoc Road	3,887,170.45
Improvement of Delles FMR	982,750.10
Improvement of FMR at Purok 3, Brgy. Namtutan	1,165,000.00
Improvement of FMR at Sitios 1 & 2 Section (Phase II), Biday	3,888,300.00
Improvement of FMR at Sitios 1 & 2 Section (Phase III), Biday	2,985,000.00
Improvement of Gallano FMR, Aringay, La Union	3,885,306.57
Improvement of Gov. Asprer Road at Barangay Pagdalagan, San Fernando City	179,739.58
Improvement of Ipet-Poblacion-Turod FMR (Phase III)	3,888,300.00
Improvement of Kilat-Lon-Oy FMR (Burayok Section)	14,551,869.66
Improvement of Kilat-Lon-Oy FMR (Burayok Section, Phase II	9,739,407.23
Improvement of Langcuas FMR	1,937,188.41
Improvement of Lettac Norte FMR, Santol	733,937.66
Improvement of Linuan FMR, Burgos	971,980.00
Improvement of Lipay Norte FMR, San Gabriel	428,450.00
Improvement of Lower Tumapoc FMR	979,779.66
Improvement of Luzong Sur FMR	4,866,351.95
Improvement of Malicnao Bridge	1,458,842.93
Improvement of Mamay Barangay Road	995,751.99
Improvement of Mameltac-Dallangayan Oeste FMR	3,886,680.69
Improvement of Mangga FMR, Aringay	3,893,451.77
Improvement of Marcos FMR, Rosario	259,384.76
Improvement of Masicong FMR (4 Sections)	3,930,150.01
Improvement of Masicong-Cabarsican FMR (Phase II)	4,871,500.00
Improvement of Nadsaag-Pacpacac FMR (Phase III)	4,813,152.27
Improvement of Nadsaag-Pacpacac-Pagdildilan FMR	1,943,388.69
Improvement of Nadsaag-Pacpacac-Pagdildilan FMR (Phase IV)	4,865,172.00
Improvement of Nadsaag-Pacpacac-Pagdildilan FMR (Phase V)	3,992,895.00
Improvement of Nadsaag-Pacpacac-Pagdildilan-Puspus FMR	3,892,079.00
Improvement of Nagrebcan FMR	2,904,172.84
Improvement of Nagrebcan FMR (Phase II)	4,866,433.86
Improvement of Naguilian-San Fernando FMR (Via Mamat-ing	4,861,528.72
Improvement of Naguilian-San Fernando Road	9,702,028.79
Improvement of Naguilian-San Fernando Road (Naguilian Section)	29,100,466.34
Improvement of Naguilian-San Fernando Road (Phase IV)	9,745,125.00
Improvement of Nagyubuyuban-Duplas FMR, San Juan	2,559,180.00
Improvement of Namtutan FMR	1,940,828.50
Improvement of Napaset FMR, Luna	1,964,110.55
Improvement of Narra Oeste FMR	2,932,132.76
Improvement of Narra Oeste FMR-RA 7171	972,320.09

Road Networks	Amount
Improvement of Narra-Santiago Sur FMR	2,998,563.40
Improvement of Narra-Tanquigan FMR	4,872,000.00
Improvement of Ortega FMR	1,939,158.91
Improvement of Ortiz FMR	5,841,233.90
Improvement of Pacpacac Road, San Juan	1,954,159.10
Improvement of Pacpaco FMR	3,922,694.88
Improvement of Pacpaco FMR (Phase II)	4,861,844.00
Improvement of Pacpaco FMR (Phase III)	1,941,500.00
Improvement of Pacpaco FMR (Phase III-RA 7171)	1,945,438.00
Improvement of Pagudpud FMR	3,731,334.87
Improvement of Pagudpud FMR (Little Bataan Section)	4,856,420.00
Improvement of Pagudpud FMR (Little Bataan Section) Phase III	4,850,700.00
Improvement of Pagudpud FMR (Little Bataan Section) Phase III	4,860,500.00
Improvement of Palali FMR	971,085.01
Improvement of Pa-O FMR	1,959,981.88
Improvement of Parasapas FMR	1,450,000.00
Improvement of Parasapas FMR (Phase II)	1,997,000.00
Improvement of Pideg FMR, Tubao	426,171.24
Improvement of Plaza Road, Gomez St. Including Parking Space From Gen. Luna St. to F. Ortega Highway	5,991,950.80
Improvement of Poblacion Barangay Road, Santol	108,348.54
Improvement of Poblacion FMR, Caba	141,751.20
Improvement of Puguil-Tubaday FMR, Santol	2,484,055.17
Improvement of Ramot-Puguil FMR, Santol	2,491,845.52
Improvement of Raois Barangay Roads (Footbridge, Sitio Swiss and Sitio Kiangan)	2,190,759.80
Improvement of Raois FMR	1,941,561.50
Improvement of Rimos No. 4 Road	1,452,227.30
Improvement of Rissing-Luzong Sur FMR, Bangar, La Union	1,956,685.46
Improvement of Sacyud-Masicong FMR	3,875,746.90
Improvement of Sagayad FMR, San Fernando City	498,497.54
Improvement of San Antonio FMR (Sitio Lacong) Phase II	1,168,000.00
Improvement of San Antonio-San Miguel-Sta. Maria FMR	4,851,129.14
Improvement of San Eugenio FMR, Aringay	1,939,710.62
Improvement of San Fermin FMR, Caba	407,947.19
Improvement of San Isidro-Ambaracao Road, Naguilian	1,451,690.29
Improvement of San Manuel Sur FMR, Agoo	6,705,532.74
Improvement of San Miguel-San Jose FMR	1,553,968.97
Improvement of Sanijubar Rainbow FMR, Brgy. Sta. Barbara	4,860,554.42
Improvement of Santiago Norte FMR	436,937.06
Improvement of Santiago Sur FMR	2,915,520.08
Improvement of Sengngat FMR, Sudipen	484,862.50
Improvement of Sengngat-Turod Road, Sudipen	449,178.58
Improvement of Sevilla FMR	6,815,930.99
Improvement of Sevilla FMR (3 Sections)	5,881,763.41
Improvement of Sevilla FMR-RA 7171	6,795,347.68
Improvement of Sevilla-Sagayad-Narra Oeste FMR	4,912,746.20
Improvement of Sitio Ceduan FMR, Bilis	981,667.91
Improvement of Sitio Lacong FMR, San Antonio	1,956,065.58
Improvement of Suyo-Cambaly Road	3,730,909.10
Improvement of Turod-Sengngat FMR, Sudipen	255,753.33

Road Networks	Amount
Improvement of Upper Tumapoc FMR	982,750.10
Improvement of Urbiztondo Road	1,944,221.80
Improvement/Widening of Balecbec-Basca FMR	3,880,799.84
Improvement of Bawanta Barangay Road, Bauang	491,996.08
Improvement of Mameltac-Dallangayan Oeste FMR (Phase II)	4,872,805.31
Opening of Ambitacay FMR, Agoo	2,283,058.72
Opening of San Francisco-Ambitacay-Amallapay FMR	3,459,250.48
Rehabilitation & Improvement of Bato FMR at Purok I (Phase I)	3,880,500.00
Rehabilitation & Improvement of Saoay-Dallangayan FMR	3,880,500.00
Rehabilitation and Improvement of Almeida FMR	2,918,000.00
Rehabilitation and Improvement of Biday-Mameltac-Saoay-Dallangayan Road	3,883,533.85
Rehabilitation and Improvement of Biday-Mameltac-Saoay-Dallangayan Road (Phase II)	4,871,600.00
Rehabilitation and Improvement of Birunget FMR	2,987,120.73
Rehabilitation and Improvement of Birunget FMR (Phase III)	3,880,600.00
Rehabilitation and Improvement of Cabarsican-Pao FMR	3,896,095.00
Rehabilitation and Improvement of Casilagan FMR	4,851,700.00
Rehabilitation and Improvement of Casilagan FMR-RA 7171	1,995,690.00
Rehabilitation and Improvement of Catbangen FMR Road	7,979,751.82
Rehabilitation and Improvement of Catbangen FMR and Drainage System (Purok 5 Section)	1,235,680.13
Rehabilitation and Improvement of Concepcion-Tabtabungao FMR (Phase I)	2,995,000.00
Rehabilitation and Improvement of Dallangayan Oeste FMR and Drainage System	4,864,515.69
Rehabilitation and Improvement of Dalumpinas-Bangcusay FMR	3,880,408.52
Rehabilitation and Improvement of Gusing-Casilagan FMR (Phase III)	3,400,000.00
Rehabilitation and Improvement of Gusing-Casilagan FMR (Phase IV)	3,880,250.00
Rehabilitation and Improvement of Ili Norte FMR	3,892,984.78
Rehabilitation and Improvement of Ili Norte-Talogtog FMR	3,997,999.65
Rehabilitation and Improvement of Langcuas FMR (Phase II)	4,872,690.01
Rehabilitation and Improvement of Lettac Norte FMR (Sitio Payas Section)	3,893,493.30
Rehabilitation and Improvement of Lubing FMR	2,918,919.06
Rehabilitation and Improvement of Mameltac-Saoay FMR	3,998,000.00
Rehabilitation and Improvement of Narra Este FMR (Phase II)	4,850,265.00
Rehabilitation and Improvement of Narra-Tanquigan FMR (Phase III)	3,888,300.00
Rehabilitation and Improvement of Narra-Tanquigan FMR (Phase IV)	3,980,000.00
Rehabilitation and Improvement of Patac FMR	3,880,500.00
Rehabilitation and Improvement of Sacyud FMR	3,880,500.00
Rehabilitation and Improvement of San Vicente FMR	3,998,458.20
Rehabilitation and Improvement of Santiago Sur FMR	2,912,792.58
Rehabilitation and Improvement of Saoay FMR	3,880,500.00
Rehabilitation and Improvement of Sapilang Road	3,892,177.85
Rehabilitation and Improvement of Sapilang Road (Phase II)	4,868,779.65
Rehabilitation and Improvement of Sapilang Road (Phase III)	4,868,367.05
Rehabilitation and Improvement of Sevilla Farm to Market Road (Purok 2 Section)	4,860,375.00
Rehabilitation and Improvement of Siboan-Otong FMR (Phase II)	3,880,500.00
Rehabilitation and Improvement of Siboan-Otong FMR (Phase III)	3,888,000.00
Rehabilitation and Improvement of Siboan-Otong-Upper San Agustin Farm to Market Road (Siboan-Otong Section)	1,940,250.00
Rehabilitation and Improvement of Sta. Monica FMR	1,495,000.00
Rehabilitation and Improvement of Sucoc FMR (Phase II)	2,918,958.60

Road Networks	Amount
Rehabilitation and Improvement of Sucoc FMR-RA 7171	2,908,542.80
Rehabilitation and Improvement of Urayong FMR	1,496,250.00
Rehabilitation and Upgrading of Dasay FMR (Sitio Kasilagan)	2,921,188.06
Rehabilitation of Alaska FMR	4,147,147.63
Rehabilitation of Ambaracao Norte-Ambaracao Sur FMR (Sitio Remadio Section)	4,870,750.00
Rehabilitation of Balecbec-Basca FMR	102,862,545.89
Rehabilitation of Biday-Carlatan Hanging Bridge	1,938,502.31
Rehabilitation of Cadaclan-Siboan-Otong-Masicong Road	9,730,489.54
Rehabilitation of Calabugao FMR (Phase I)	3,882,754.50
Rehabilitation of Calabugao-Puspus FMR (Phase II	5,250,000.00
Rehabilitation of Catbangen-Poro FMR	2,919,000.00
Rehabilitation of Catbangen-Poro FMR (Phase II)	2,981,252.93
Rehabilitation of FMR at Purok I, Bantay Bulugan, Brgy. Sacyud Linking to Brgy. Cabaroan	3,894,150.00
Rehabilitation of Gumot-Nagcolaran FMR	2,995,000.00
Rehabilitation of Gumot-Nagcolaran Hanging Bridge	972,075.00
Rehabilitation of Gusing Norte Barangay Road, Naguilian	151,522.06
Rehabilitation of Kilat Hanging Bridge, Bumbuneg	1,998,801.51
Rehabilitation of Langcuas FMR (Purok 2,3 & 4)	4,850,500.00
Rehabilitation of Leones West FMR, Tubao	352,448.58
Rehabilitation of Lingsat FMR (Hufano Street)	3,881,488.84
Rehabilitation of Mameltac FMR at Purok 1	1,458,112.50
Rehabilitation of Masicong FMR at Purok 1 & 2 (Phase II)	2,995,000.00
Rehabilitation of Narra Este FMR	4,864,005.37
Rehabilitation of Narra-Tanquigan FMR (Phase II)	2,916,225.00
Rehabilitation of Pao Norte FMR	1,942,172.50
Rehabilitation of Parasapas FMR and Parasapas Bridge, Rosario, La Union	78,031,717.30
Rehabilitation of Payocpoc Sur FMR	3,880,000.00
Rehabilitation of Poblacion East Footbridge	9,706,013.54
Rehabilitation of Pongpong-Bail FMR, Sto. Tomas	362,939.37
Rehabilitation of Puspus Farm to Market Road	3,884,025.22
Rehabilitation of Puspus-Calabugao FMR	3,889,046.39
Rehabilitation of Puspus-Calabugao FMR (Phase III)	4,865,000.00
Rehabilitation of Puspus-Calabugao FMR (Phase IV)	4,852,000.00
Rehabilitation of Puspus-Calabugao FMR (Phase V)	4,870,121.50
Rehabilitation of Puspus-Calabugao FMR (Phase VI)	4,870,000.00
Rehabilitation of Sacyud-Pao Norte FMR	3,880,503.44
Rehabilitation of San Francisco-Canaoay FMR	8,912,046.27
Rehabilitation of San Juan West FMR (Phase II)	2,919,152.07
Rehabilitation of San Juan-San Fernando Road (Along Diversion Road)	4,850,672.75
Rehabilitation of Santiago-Dallangayan FMR (Phase III)	4,865,000.00
Rehabilitation of Santiago-Dallangayan FMR (Phase IV)	4,866,071.80
Rehabilitation of Santiago-Dallangayan FMR (Phase V)	3,894,430.16
Rehabilitation of Santiago-Dallangayan-Namtutan FMR	3,929,089.50
Rehabilitation of Santiago-Dallangayan-Namtutan FMR-RA 7171	3,890,000.00
Rehabilitation of Sibuan-Otong Footbridge	1,946,878.01
Rehabilitation of Tanquigan-Siboan-Otong FMR (Phase II)	3,888,300.00
Rehabilitation of Tanqui-Sagayad FMR	4,933,267.51
Rehabilitation/Improvement of Bungro FMR	2,910,236.24
Rehabilitation/Improvement of Masicong FMR at Purok 1 & 2 (Phase I)	1,947,075.95
Rehabilitation/Improvement of Masicong FMR, San Fernando	1,987,103.09
Rehabilitation/Improvement of Nagyubuyuban FMR	3,884,995.88

Road Networks	Amount
Rehabilitation/Improvement of Nagyubuyuban FMR (Phase II)	3,895,500.00
Rehabilitation/Improvement of Nagyubuyuban FMR (Phase III)	3,894,150.00
Repair & Improvement of Cadaclan FMR (Patag Norte-Patag Sur Section)	3,888,300.00
Repair and Upgrading of Corro-Oy Bridge and Balaoan-Santol Provincial Road	23,829,657.09
Repair of Balecbec-Basca FMR and Rehabilitation of Balecbec FMR	4,511,326.32
Repair of Casilagan-Caudingan Road, Bauang	581,584.21
Repair of Nagtagaan FMR	982,530.41
Repair of Pongpong FMR, Sto. Tomas	416,619.51
Repair/Rehabilitation of Dallangayan Este FMR, San Fernando City	4,870,732.14
Riprapping of Butubut Oeste FMR, Balaoan	84,083.75
Upgrading/Improvement of Naguilian-San Fernando Road (Phase V)	4,852,800.00
Widening of Pantar Sur FMR, Balaoan	210,187.50
Total	**1,402,334,776.40**

Drainage and Slope Protection Structures	Amount
Construction of Bangaoilan East Irrigation Canal, Bangar	2,442,558.84
Construction of Borobor Creek Slope Protection (Phase II), Rissing, Luna	7,465,951.63
Construction of Borobor Creek Slope Protection, Rissing	7,354,584.96
Construction of Borobor Irrigation Canal, Bangar	1,954,198.15
Construction of Borobor River Slope Protection	4,891,235.20
Construction of Borobor River Slope Protection at Sitio Dike, Rissing	7,960,230.88
Construction of Brgy. Poro Drainage System (Tawi-Tawi Road)	243,018.00
Construction of Cabaroan Creek Slope Protection	3,874,620.56
Construction of Cabaroan-Santiago Creek Slope Protection	9,740,000.00
Construction of Calingat Irrigation Canal, Bangar, La Union	2,931,175.47
Construction of Creek Slope Protection, Rissing-RA 7171	5,786,146.71
Construction of Drainage, Balecbec-Basca Farm to Market Road	2,855,195.50
Construction of Oaqui #4 Slope Protection	7,465,985.49
Construction of Slope Protection Along San Juan West River	497,422.16
Construction of Zaragoza Barangay Road Slope Protection, Bacnotan	108,036.04
Improvement of Baccuit Irrigation Canal, Bangar	2,931,175.47
Improvement of Balecbec-Basca Farm to Market Road (Basca Section)	1,941,041.41
Rehabilitation and Repair of Narra Irrigation System	1,457,582.07
Rehabilitation/Repair of Bato Slope Protection	5,107,540.50
Repair of Caoigue Irrigation System, Tubao	487,305.00
Repair of Siboan-Otong Slope Protection and Cross Drainage(Siboan-Otong Brgy. Road)	1,475,282.71
Restoration of Cabugnayan River Control Dike, San Juan	149,449.69
Construction of Slope Protection, Poblacion-Calipkip Road, Aringay	1,440,330.88
Construction of Carcarmay-Ubbog-Paagan Slope Protection, Bacnotan	836,684.87
Construction of Slope Protection Along Malibeg River, Cabalitocan, Luna	3,421,520.96
Rehabilitation of Cabalitocan Dam Slope Protection, Luna	902,458.33
Repair of Cross Drainage & Bridge Approaches, Paagan, Bacnotan	393,597.83
Riprapping -Cabalitocan Road, Luna	389,658.33
Riprapping of Irrigation Canal Along Pillaoac Creek, Cabalitocan, Luna	2,444,030.16
Completed Improvement of San Vicente-Catbangen Drainage System (Phase IV), CSFLU	546,673.38
Completion of San Vicente-Catbangen Drainage System, San Fernando City	558,452.69
Rehabilitation of San Vicente-Catbangen Road and Drainage System (Phase II)	4,872,000.00
Completion of Catbangen Drainage canal (Mabini St. & Nisce Road Sections)	2,915,113.41
Rehabilitation of Nisce Road Drainage Canal, San Fernando City	5,845,037.34

Drainage and Slope Protection Structures	Amount
Construction of Cross Drainage Along Rosario-Tubao Road (Marcos Section), Rosario	42,956.94
Construction of Slope Protection Along Rosario-Tubao Road (Bacani Section), Rosario	58,088.72
Construction of Two (2) Units Spurdike Along Rosario-Tubao Road (Pideg Section), Tubao	1,255,168.48
Emergency Restoration of Pideg Slope Protection, Tubao	536,840.12
Repair of Tanglag Cross Drainage, Rosario	82,230.43
Slope Protection -Repair of Pideg Slope Protection #1, Tubao	770,368.25
Slope Protection-Repair of Pideg Road Slope Protection #2, Tubao	359,668.34
Rehabilitation & Improvement of Bagbag-Sta. Monica Road	4,850,000.00
Restoration of Washed-Out Stone Masonry Road Slope Protection Along San Eugenio-Dulao Provincial Road	664,650.00
Restoration of Pangao-Aoan East Slope Protection, Aringay	137,479.85
Construction of Corro-Oy River Slope Protection	4,985,009.83
Dredging and Riprapping of Sector V Road Shoulder, Butubut Oeste, Balaoan	251,091.02
Improvement of Barangay Camilo Osias Drainage, Balaoan	738,037.88
Construction of Taberna Drainage System	4,850,751.00
Construction of Juan Cartas Road Slope Protection, Caba	387,450.00
Construction of Naguilian-Caba Road Slope Protection (Ambaracao Sur Section), Naguilian	1,636,632.18
Construction of Slope Protection Along Caba-Naguilian Road (Juan Cartas Section), Caba	139,260.76
Construction of Slope Protection Along Caba-Naguilian Road (Magunggunay Section), Naguilian	523,100.22
Construction of Slope Protection Along Naguilian-Caba Provincial Road (Magungunay Section), Naguilian	258,697.72
Construction of Slope Protection, San Jose, Caba	138,233.36
Construction of Cupang-Poblacion Provincial Road Drainage Canal, Sto. Tomas	115,470.45
Construction of Drainage Canal, Ubagan Provincial Road, Sto. Tomas	416,388.36
Other Misc (Construction of Slope Protection Along Masupe-Guinaburan Road, Balaoan)	543,455.00
Rehabilitation of Tarangotong Irrigation System, Balaoan	1,550,981.25
Construction of Lower Bimmotobot Road Slope Protection, Naguilian	2,350,096.01
Construction of Slope Protection Along Naguilian-Bagulin Provincial Road, Naguilian	553,781.25
Construction of Slope Protection Along Naguilian-Bagulin Provincial. Road (Tuddingan Section), Naguilian	553,781.25
Improvement of Kalaokan Creek, Ortiz, Naguilian	226,082.70
Rehabilitation of Side Ditch Along Naguilian-Bagulin-Road (Tuddingan Section)	645,685.80
Repair of Mamat-Ing-Tuddingan CIS	3,883,784.87
Slope Protection-Repair of Gusing Bridge Slope Protection, Naguilian	414,099.23
Construction of San Francisco Norte Slope Protection, Sudipen	111,350.00
Construction of San Francisco Slope Protection, Sudipen.	265,740.00
Construction of Slope Protection Along Pantar-San Francisco Road (Sudipen Section), Sudipen	284,834.17
Riprapping- Pantar Norte Creek, Balaoan	401,800.00
Emergency Restoration of Sto. Tomas-Agoo-Tubao Road Slope Protection, Sto. Tomas	1,951,564.08
Improvement of Sto. Tomas-Agoo-Tubao Road (Sto. Tomas Section)	1,459,315.32
Improvement of Tubao-Agoo-Sto. Tomas Road (Ambitacay Section)	12,649,010.12
Rehabilitation of Ambitacay Slope Protection, Sto. Tomas	705,292.44

Drainage and Slope Protection Structures	Amount
Riprapping of Ambitacay Road, Sto. Tomas	377,123.33
Construction of Balsaan Drainage Canal, Sto. Tomas	112,988.20
Construction of Sto. Tomas-tococ-San Julian Road Drainage Canal, Sto. Tomas	168,391.83
Repair of Ambanget Bridge Slope Protection, Sto. Tomas	190,262.66
Slope Protection Construction of Malabago Slope Protection, Sto. Tomas	249,653.13
Construction of Pudoc Slope Protection, Alzate, Bangar - 1	981,996.63
Construction of Pudoc Slope Protection, Alzate, Bangar - 2	2,930,985.60
Construction of Sengngat Slope Protection, Sudipen	254,523.75
Construction of Slope Protection Along Bangar-Castro Road (Castro Section), Sudipen	278,686.67
Improvement of Bangar-Castro Line Canal, Bangar	305,468.61
Improvement of Bacnotan-San Gabriel Road Drainage Canal, Bacnotan	1,438,775.00
Improvement of Bacnotan-San Gabriel Road Drainage, Bacnotan	1,509,229.33
Repair of San Juan-Bagulin Slope Protection, San Juan	260,583.33
Improvement of Pagdalagan-Bungro-Tanquigan Road (Phase III)	3,894,150.00
Riprapping of Pantar Norte Creek	1,955,884.86
Construction of Casilagan-Bail Road Slope Protection	1,462,331.70
Construction of Barangay II Road Slope Protection, San Fernando City	1,754,414.58
Drainage and Slope Protection (Construction of Slope Protection) Along Gapuz-Zigzag Road, Barangay II	510,107.73
Other Misc- Construction of Pagoda Slope Protection, City of San Fernando, La Union	751,566.66
Construction of Ortega Street & Ancheta Street Drainage Canal, San Fernando City	1,752,737.71
Completion of Ilocanos Sur Drainage Canal	3,880,940.00
Construction of Sevilla Drainage System	4,850,625.00
Construction of Leones East & West Drainage Canal, Tubao	270,083.39
Construction of Line Canal Along Provincial Road (Maoas-Oas Norte Section), Pugo-Drainage	416,381.02
Total	**185,991,412.74**

Flood Control Systems	Amount
Construction of Barangay II Water System	2,920,618.12
Construction of 3 Units Spur Dike, Nadsaag	2,036,294.50
Construction of Barangay II Water System	3,992,000.00
Construction of Baroro Drainage System	3,893,356.52
Construction of Borobor Creek Slope Protection (Napaset Section) Phase III	4,866,637.86
Construction of Borobor Creek Slope Protection (Oaqui #1 Section)	4,868,804.33
Construction of Borobor Creek Slope Protection (Oaqui #2 Section)	4,868,177.64
Construction of Borobor Creek Slope Protection (Phase III)	2,896,532.13
Construction of Borobor Creek Slope Protection (Phase IV), Brgy. Rissing	3,879,726.15
Construction of Borobor Creek Slope Protection (Phase VII), Brgy. Rissing	9,740,969.38
Construction of Borobor Creek Slope Protection (Phase VIII), Brgy. Rissing	7,790,624.09
Construction of Borobor Creek Slope Protection (Sitio Dike) Phase II	4,827,676.78
Construction of Borobor Creek Slope Protection (Sitio Dike) Phase III, Rissing	4,823,826.44
Construction of Borobor Creek Slope Protection, Rissing	2,407,448.62
Construction of Borobor River Slope Protection	4,818,932.06
Construction of Bugbugcao-Pacpacac Creek Slope Protection	4,864,000.00
Construction of Cabaroan Creek Slope Protection	4,851,553.30
Construction of Cabaroan-Santiago Creek Slope Protection	9,955,000.00
Construction of Cabaroan-Santiago Creek Slope Protection (Phase V)	7,784,607.89

Flood Control Systems	Amount
Construction of Cabaroan-Santiago Creek Slope Protection (Phase VI)	7,119,700.00
Construction of Cabaroan-Santiago Creek Slope Protection (Phase VII)	8,090,800.00
Construction of Cabugnayan Dike	4,368,371.89
Construction of Cadaclan Small Water Impounding Project	1,944,150.00
Construction of Camansi-Cadaclan Creek Slope Protection (Phase I)	4,850,000.00
Construction of Dallangayan Este Creek Slope Protection	1,940,277.40
Construction of Dallangayan Oeste Creek Slope Protection	4,865,150.50
Construction of Flood Control Barangay Cares In Sitio Ambiongan	4,672,171.65
Construction of Flood Control Structure At Sitio Centro & Sitio Hill-Top, Barangay San Juan West	1,942,067.60
Construction of Flood Control-Barangay Tavora East In Purok 5 To Purok 2	4,872,106.86
Construction of La Union National High School Drainage System	2,997,523.94
Construction of Nadsaag River Slope Protection	4,871,000.00
Construction of Paratong Creek Slope Protection	4,853,988.00
Construction of Payocpoc Sur Slope Protection	1,940,884.16
Construction of Pottot Creek Slope Protection	1,940,250.00
Construction of Pottot Creek Slope Protection (Phase II)	1,941,000.00
Construction of Pottot Creek Slope Protection (Phase III)	2,988,800.00
Construction of Sevilla Drainage System (Purok 3 Section)	9,701,250.00
Construction of Sevilla Drainage System (Purok 3 Section) Phase II	4,850,625.00
Construction of Suyo Flood Control	7,365,600.39
Construction of Tanqui Creek Slope Protection	5,508,625.60
Dredging And Canal Lining of Bussaoit Small Water Impounding Project	4,173,567.11
Rehabilitation of Flood Control, Barangay Poblacion East	4,875,168.34
Rehabilitation of Ilocanos Creek	3,880,501.52
Rehabilitation of Naguilian River Slope Protection (Gusing Norte Section)	9,701,000.00
Rehabilitation/Improvement of Ortega Street Drainages, City of San Fernando, La Union	4,995,987.44
Repair And Rehabilitation of Cabaroan-Santiago Slope Protection	947,992.00
Repair/Rehabilitation of Lower San Agustin Slope Protection	827,510.00
Riprapping of Sinapangan Sur Creek	980,652.00
Total	**220,093,507.21**

Water Supply System	Amount
Burnotan Irrigation System	11,236,973.40
Completion of Pao Sur Irrigation System (Phase IV)	3,888,300.00
Construction of Cabaritan Sur Integrated School Potable Water System	1,462,455.00
Construction of Cadaclan Small Water Impounding Project	1,946,100.00
Construction of Cadaclan Small Water Impounding Project (Sitio Surong Section)	2,997,709.73
Construction of Calumbaya Water System	1,995,400.52
Construction of Dalumpinas Elementary School Potable Water System	1,492,500.00
Construction of Gusing Sur Communal Irrigation System (CIS)	4,862,000.00
Construction of Luna National High School Drainage Canal	2,024,322.30
Construction of Manggaan Small Scale Irrigation Project, Santol	5,992,102.91
Construction of Marcos Small Scale Irrigation System	2,909,502.68
Construction of Nadsaag Elementary School Potable Water System	1,461,908.94
Construction of Naguilian Central School Potable Water System	1,492,500.00
Construction of Pao Irrigation System	2,429,067.96
Construction of Paringao Elementary School Potable Water System	1,492,500.00
Construction of Potable Water System at La Union National High School	1,492,500.00
Construction of Potable Water System at Naguilian National High School	1,495,500.00
Construction of Puspus Small Water Impounding Project	3,890,250.00

Water Supply System	Amount
Construction of San Juan Central Elementary School Potable Water System	1,461,908.94
Construction of Tanqui Drainage System	4,867,180.00
Construction of Tanquigan Elementary School Water System	1,492,500.00
Construction of Water System (isolation Facility) at Balaoan District Hospital	1,496,500.00
Construction of Water System at Purok 1, Barangay Sevilla	289,942.00
Establishment of Solar Powered Irrigation System	7,283,240.80
Establishment of Solar Powered Irrigation System-RA 7171	7,308,104.65
Establishment of Water System, Bungol	1,195,892.24
Improvement of Amburayan Ris Canal Lining	2,952,358.03
Improvement of Potable Water System, Balaoan District Hospital	997,000.00
Improvement of Potable Water System, Caba District Hospital	996,800.00
Improvement of Potable Water System, La Union Medical Center	997,000.00
Improvement of Potable Water System, Rosario District Hospital	997,000.00
Improvement of San FranCisco Drainage Canal	1,941,771.05
Improvement of Tarangotong Irrigation Canal	14,764,451.13
Improvement of Tarangotong Irrigation Canal-RA 7171	2,899,274.15
Provision of Potable Water System, Bacnotan District Hospital, Bacnotan, La Union	996,900.00
Provision of Water System and Facility for the Disinfectant Machine	1,780,000.00
Rehabilitation of Baliw Diversion Dam, Cares	3,989,999.98
Rehabilitation of Balsaan Overflow Dam	2,145,691.44
Rehabilitation of Daking Diversion Dam	1,390,386.97
Rehabilitation of Ili Sur Drainage Canal	3,886,536.63
Rehabilitation of Nadsaag CIS	4,869,513.18
Rehabilitation of Naguilian Communal Irrigation System (CIS)	5,820,000.00
Rehabilitation of Occalong Small Scale Irrigation System	2,149,953.62
Rehabilitation of Pao Sur Communal Irrigation System (CIS)	3,888,300.00
Rehabilitation of Pao Sur Irrigation System	3,881,636.31
Rehabilitation of Pao Sur Irrigation System (Phase V)	5,115,000.00
Rehabilitation of SSIS	2,922,180.88
Renovation of Animal Shelter (Water Supply System)	300,000.00
Repair of Amburayan RIS (Bangar Section), Bangar	4,927,660.36
Repair of Narra-Oya-Oy Diversion Dam	3,890,107.23
Repair of Ukkalong Small Scale Irrigation System (SSIS)	1,993,859.49
Repair of Upper Guinabang Diversion Dam	3,886,858.36
Total	**164,337,100.88**

Other Infrastructure Assets	Amount
Completion of Agpay Farmer's Multi-Purpose Center	1,456,794.26
Completion of Bancagan Farmer's Multi-Purpose Center	2,911,503.03
Completion of Camansi Farmer's Multi-Purpose Center	1,013,419.26
Completion of Corro-Oy Farmer's Multi-Purpose Center	1,944,432.30
Completion of Dallangayan Oeste Multi-Purpose Center	970,929.04
Completion of Dewatts (Phase 2), Caba District Hospital	1,996,999.72
Completion of Farmer's Multi-Purpose Building, Brgy. Tanquigan	583,245.00
Completion of Farmer's Multi-Purpose Hall at Barangay Rabon	498,500.00
Completion of Farmer's Multi-Purpose Hall at Barangay Tanglag	498,500.00
Completion of Fruit wine Processing Center and Provisions of Processing Equipment for the Libbo Farm	1,941,793.00
Completion of Ilocanos Elementary School Covered Court	1,993,974.15
Completion of IP Livelihood and Development Center	3,622,880.63
Completion of Nagyubuyuban Farmer's Multi-Purpose Center	1,455,806.79

Other Infrastructure Assets	Amount
Completion of North Central School Covered Court	3,089,330.06
Completion of Puspus Farmer's Multi-Purpose Center	2,994,001.99
Completion of Puspus Farmer's Multi-Purpose Center- RA 7171	1,946,269.50
Completion of Sagayad Farmer's Multi-Purpose Hall	971,440.13
Completion of Santiago Sur Farmer's Multi-Purpose Center	1,941,880.62
Completion of Suguidan Norte Farmer's Multi-Purpose Center	1,944,150.00
Completion of Talogtog Farmer's Multi-Purpose Center	976,300.33
Completion of Tanqui Farmer's Multi-Purpose Center	1,997,953.95
Completion/Expansion of Vinegar Processing Center, Maragayap	1,775,724.00
Construction and Improvement of Bakawan Eco-tourism Site	9,983,812.95
Construction and Improvement of Kudlap Cave, Sitio Alabok, Cambaly	4,047,801.80
Construction of 2-Storey Farmer's Multi-Purpose Building, Barangay Libbo	1,984,589.05
Construction of 3-Storey Farmer's Training Center	4,987,500.29
Construction of Abut Farmer's Multi-Purpose Center	3,987,500.00
Construction of Agpay Farmer's Multi-Purpose Center	2,991,000.00
Construction of Ambaracao Farmer's Multi-Purpose Center	2,912,578.06
Construction of Apaleng Farmer's Multi-Purpose Center	3,989,990.99
Construction of Aringay Sanitary Landfill Slope Protection	7,961,538.02
Construction of Bancagan Farmer's Multi-Purpose Center	3,885,763.23
Construction of Bancusay Farmer's Multi-Purpose Center	3,989,990.99
Construction of Barangay Dalacdac Farmer's Multi-Purpose Center	2,991,000.00
Construction of Barangay III Farmer's Multi-Purpose Center	1,483,500.00
Construction of Barangay Imelda Farmer's Multi-Purpose Center	2,991,000.00
Construction of Barangay Libtong Farmer's Multi-Purpose Center	2,993,999.69
Construction of Baraoas Elementary School Covered Court	3,894,704.22
Construction of Baraoas Farmer's Multi-Purpose Center	3,990,000.18
Construction of Baraoas Sur Farmer's Multi-Purpose Center	4,853,309.35
Construction of Bato Farmer's Multi-Purpose Center	2,991,000.00
Construction of Biday Footbridge	970,125.00
Construction of Birunget Farmer's Multi-Purpose Center	3,989,990.99
Construction of Brgy. Biday Multi-Purpose Hall (Evacuation Center), San Fernando City	4,276,366.93
Construction of Brgy. Langcuas Multi-Purpose Center	3,989,990.99
Construction of Brgy. Parian Multi-Purpose Hall (Evacuation Center), San Fernando City	4,276,642.44
Construction of Brgy. Sagayad Multi-Purpose Center	3,990,000.18
Construction of Bugbugcao Elementary School Covered Court	3,892,303.65
Construction of Bugbugcao Farmer's Multi-Purpose Center (Phase I)	4,868,300.00
Construction of Bugnay/Fruit Wine Processing Center, Brgy. Libbo	972,080.00
Construction of Caba Farmer's Multi-Purpose Center	14,551,917.62
Construction of Cadaclan Farmer's Multi-Purpose Center	3,990,000.18
Construction of Calungbuyan Farmer's Multi-Purpose Center	4,809,653.95
Construction of Camansi Farmer's Multi-Purpose Center	997,000.00
Construction of Canaoay Elementary School Covered Court	1,899,713.16
Construction of Canaoay Farmer's/Fisherfolks Multi-Purpose Center	7,761,800.00
Construction of Cardiz Farmer's Multi-Purpose Center	1,794,599.53
Construction of Carmay Farmer's Multi-Purpose Center	2,910,899.73
Construction of Corro-Oy Farmer's Multi-Purpose Center	3,875,081.65
Construction of Dagup Farmer's Multi-Purpose Center	1,793,339.56
Construction of Dalumpinas Elementary School Covered Court	4,204,277.69
Construction of Dalumpinas Este Farmer's Multi-Purpose Center	3,990,000.18
Construction of Deep Well In Provincial Veterinary office	378,094.45
Construction of Evacuation Center Ortiz	1,496,249.61

Other Infrastructure Assets	Amount
Construction of Farmer's Multi-Purpose Building, Brgy. Baccuit Sur	3,989,998.32
Construction of Farmer's Multi-Purpose Center	3,883,480.84
Construction of Farmer's Multi-Purpose Center, Barangay Bautista	4,850,517.00
Construction of Farmer's Multi-Purpose Center, Juan Cartas	3,880,500.00
Construction of Farmer's Multi-Purpose Center, Ortiz	3,990,000.18
Construction of Farmer's Multi-Purpose Center, San Carlos	3,881,930.65
Construction of Farmer's Multi-Purpose Center, San Cornelio	3,882,136.07
Construction of Farmer's Multi-Purpose Center, Santiago Sur	3,880,519.34
Construction of Flue Curing Barn & Air Curing Shed, Various Sites	5,731,610.45
Construction of Ili Sur Farmer's Multi-Purpose Center (Phase III)	4,870,669.87
Construction of Ili Sur Farmer's Multi-Purpose Center-RA 7171	4,850,328.00
Construction of Ilocanos Norte Farmer's Multi-Purpose Center	3,990,000.18
Construction of Linuan Farmer's Multi-Purpose Center	1,495,500.00
Construction of Luna Farmer's Trading Center (Phase II)	9,716,825.00
Construction of Luna Farmers Trading Center (Phase III)	6,804,057.40
Construction of Mameltac Farmer's Multi-Purpose Center	3,989,990.99
Construction of Manga NHS Covered Court	2,486,291.11
Construction of Manggaan Farmer's Multi-Purpose Center	4,864,572.13
Construction of Brgy. Parian Multi-Purpose Hall (Evacuation Center), Bangbangolan	1,945,617.65
Construction of Mushroom Facility	194,410.00
Construction of Nadsaag Elementary School Covered Court	3,895,495.65
Construction of Nagyubuyuban Farmer's Multi-Purpose Center	2,991,200.00
Construction of Narra Este Farmer's Multi-Purpose Center	3,989,990.99
Construction of Oaqui Elementary School Covered Court	4,851,376.00
Construction of Pagudpud Elementary School Stage, Brgy. Pagudpud	1,492,500.00
Construction of Pagudpud Farmer's Multi-Purpose Building (Phase II)	2,430,200.00
Construction of Pagudpud Farmer's Multi-Purpose Center	1,941,894.00
Construction of Pal-lim Mango Packaging Center (Phase II), Palugsi-Limmansangan	4,974,990.36
Construction of Pao National High School Covered Court	3,989,220.14
Construction of Pao Sur Farmer's Multi-Purpose Building	2,332,980.00
Construction of Pao Sur Multi-Purpose Center	3,990,010.68
Construction of Poblacion Farmer's Multi-Purpose Center	4,860,000.00
Construction of Processing Center and Provision of Processing Equipment in Support to Banana	2,462,538.52
Construction of Rimos #4 Farmers Multi-Purpose Center	4,852,930.00
Construction of Sagayad Farmer's Multi-Purpose Building	4,850,659.79
Construction of Sagayad Resettlement Farmer's Multi-Purpose Center	2,971,656.65
Construction of San Felipe Farmer's Multi-Purpose Center (Phase I)	4,866,569.62
Construction of San Jose Farmer's Multi-Purpose Center	3,988,000.00
Construction of San Vicente Farmers' Multi-Purpose Center, City of San Fernando, La Union	3,989,997.56
Construction of Sanitary Landfill Support Facility	4,974,668.72
Construction of Saoay Farmer's Multi-Purpose Center	3,988,000.00
Construction of Saracat Farmer's Multi-Purpose Center (Phase II)	1,945,954.04
Construction of Septage Treatment Plant, Brgy. Bacsil, Bacnotan	15,712,025.58
Construction of Sevilla Farmer's Multi-Purpose Center	4,510,000.00
Construction of Sevilla Multi-Purpose Building, CSF	4,975,471.32
Construction of Sto. Tomas Sanitary Landfill Cell, (Phase II)	1,455,568.00
Construction of Suguidan Sur Farmer's Multi-Purpose Center	4,860,500.00
Construction of Tallaoen Farmer's Multi-Purpose Center	3,984,000.60
Construction of Tanquigan Elementary School Covered Court	3,883,317.61

Other Infrastructure Assets	Amount
Construction of Temporary Shelter Using Customized Container Vans	2,925,000.00
Construction of Ubagan Farmer's Multi-Purpose Center	4,852,726.56
Construction of Vinegar Processing Center	1,454,734.18
Construction of Wallayan Farmer's Multi-Purpose Center	1,795,135.29
Construction of Wenceslao Elementary School Covered Court	3,880,500.00
Container Van, 10ftx8.5Ftx8ft, 10mm Insulator in Walls and Ceiling, Metal Furring Framework With 2X4	536,250.00
Container Van, 10ftx8.5ftx8ft, 10mm Insulator in Walls and Ceiling, Metal Furring Framework With 2X4	536,250.00
Development, Reforestation and Urban Greening of Solid Waste Mgmt. Facility at San Jose, Caba, LU	997,125.00
Expansion of Bacawayan Water System, Sasaba	249,250.00
Improvement of Acao Farmer's Multi-Purpose Center	2,991,000.00
Improvement of Brgy. II Farmer's Multi-Purpose Center (Water System Facilities)	4,985,000.00
Improvement of Cadaclan Farmer's Multi-Purpose Center	1,327,370.00
Improvement of Evacuation Center at Brgy. Victoria	600,728.00
Improvement of Ilocanos Norte Multi-Purpose Center	679,360.20
Improvement of Ilocanos Sur Farmer's Multi-Purpose Center	995,650.55
Improvement of Magallanes Farmer's Multi-Purpose Center	1,939,965.00
Improvement of Masicong Farmer's Multi- Purpose Center	2,916,225.00
Improvement of Potable Water System, Naguilian District Hospital	995,000.33
Improvement of Pottot Farmer's Multi-Purpose Building	3,989,997.56
Improvement of Sta. Rita Fish Farm	2,992,350.15
Installation of Solar Powered Pumps & Construction of Overhead Tank, Various Sites	8,782,476.68
One (1) Unit Deep well, Naguilian District Hospital	365,369.11
Rehabilitation of Amburayan Irrigation System, Sudipen, La Union	9,740,289.91
Rehabilitation of Bato Elementary School Covered Court	446,853.80
Rehabilitation, Reforestation and Urban Greening of Solid Waste Management Facility, San Jose, Caba	995,000.00
Rehabilitation/Improvement of Lingsat Integrated School Covered Court	1,947,979.47
Sinapangan Treatment Plant, Sinapangan, San Juan, La Union	25,750,546.18
Spring Development for Water Source of Sevilla Complex	1,294,616.51
Total	**495,268,254.56**

School Buildings	Amount
1 Unit-1 Classroom BLSB Type II, Agoo West Central School	171,600.00
1 Unit-1 Classroom BLSB Type II, Balaoc Elem. School, Sto. Tomas	171,600.00
1 Unit-1 Classroom BLSB Type II, San Simon Elem. School, Aringay	175,230.00
1 Unit-2 Classrooms BLSB Type II, Anduyan Elem. School, Tubao	286,150.00
1 Unit-2 Classrooms BLSB Type II, Labbon Elem. School, Caba	292,500.00
1 Unit-2 Classrooms BLSB Type II, Lloren Elem. School, Tubao	269,614.35
1 Unit-2 Classrooms BLSB Type II, Pangao-Aoan Elem. School, Aringay	292,050.00
1 Unit-2 Classrooms BLSB Type II, Patac Elem. School, Sto. Tomas	286,150.00
1 Unit-2 Classrooms BLSB Type II, Pilar Elem. School, Bauang	286,000.00
1 Unit-2 Classrooms BLSB Type II, San Carlos Elem. School	292,500.00
1 Unit-2 Classrooms BLSB Type II, San Cornelio Elem. School, Caba	292,500.00
1 Unit-2 Classrooms BLSB Type II, San Joaquin Elem. School	286,150.00
1 Unit-2 Classrooms BLSB Type II, San Jose Elem. School, Caba	827,000.00
1 Unit-2 Classrooms BLSB Type II, Santiago Elem. School, Caba	275,997.60
1 Unit-3 Classrooms & 1 Unit-2 Classroom BLSB Type II, Sta. Lucia Elem. School	704,880.00
1 Unit-3 Classrooms BLSB Type II, Agoo West Central School	404,490.00

School Buildings	Amount
1 Unit-3 Classrooms BLSB Type II, Anduyan Elem. School, Tubao	404,490.00
1 Unit-3 Classrooms BLSB Type II, Bail Elem. School, Sto. Tomas	404,490.00
1 Unit-3 Classrooms BLSB Type II, Bangbangolan, City of San Fernando	416,000.00
1 Unit-3 Classrooms BLSB Type II, Manga Elem. School	412,830.00
1 Unit-3 Classrooms BLSB Type II, Mindoro Elem. School	412,830.00
1 Unit-3 Classrooms BLSB Type II, Samara Elem. School, Aringay	412,830.00
1 Unit-3 Classrooms BLSB Type II, San Antonio Elem. School, CSF	412,830.00
1 Unit-3 Classrooms BLSB Type II, San Fernando North Central School	416,000.00
1 Unit-3 Classrooms BLSB Type II, San Joaquin Elem. School	404,490.00
1 Unit-3 Classrooms BLSB Type II, Sta. Cecilia Elem. School, Aringay	412,830.00
1 Unit-3 Classrooms BLSB Type II, Sto. Rosario Elem. School, Aringay	412,830.00
1 Unit-3 Classrooms Modified BLSB Type II, Cuenca Elem., Pugo	556,762.70
1 Unit-3 Classrooms Modified BLSB Type II, Pugo Elem., Pugo	556,762.70
1 Unit-4 Classrooms BLSB Type II, Aringay Central School	544,500.00
1 Unit-4 Classrooms BLSB Type II, Dulao Elem. School	544,500.00
1 Unit-4 Classrooms BLSB Type II, Wenceslao Elem. School	546,500.00
2 Units-3 Classrooms BLSB , Baybay Elem. School, Agoo	923,880.00
2 Units-3 Classrooms BLSB Type II, Aringay Central School	825,660.00
2 Units-3 Classrooms BLSB Type II, Balaoc Elem. School, Sto. Tomas	808,980.00
2 Units-3 Classrooms BLSB Type II, Carcarmay Elem. School	829,874.15
2 Units-3 Classrooms BLSB Type II, Santo Tomas	808,980.00
2 Units-3 Classrooms School Bldg. Type II, Balwarte Elem. School. Agoo	771,562.15
2 Units-3 Classrooms, San Eugenio Elem. School, Aringay	825,660.00
3 Units-3 Classrooms BLSB Type II, San Manuel Elem. School	1,385,820.00
4 Units-3 Classrooms & 1 Unit-2 Classrooms BLSB Type II, San Nicolas Elem. School, Agoo	1,850,936.63
Bariquir School Building	101,860.00
Construction of 2-Storey 4 Classroom School Building at Bungol National High School	11,653,203.99
Construction of Masicong Pre-Elementary School Building	2,494,507.65
Gabaldon Type 12 Classrooms, Bacnotan Central School	1,482,605.10
Gallano Elem. School, Aringay	825,660.00
Industrial Arts Bldg. & Home Economics Building, Sto. Tomas Central School	347,956.90
La Union National High School Building No.1	133,920.00
La Union National High School Building No.2	57,200.00
Poblacion Bacnotan School Building -1	89,500.00
Poblacion Bacnotan School Building-2	163,170.00
San Antonio Elem. School, Aringay	175,230.00
Tubao Central School	2,339,245.00
Total	**41,481,298.92**

Health Centers	Amount
Completion of Barangay Health Center, Ambalite	486,525.00
Construction of Amontoc Barangay Health Station with Birthing Facility, San Gabriel, La Union	8,973,000.00
Construction of Barangay Health Station with Birthing Facility at Baay	4,860,526.41
Damortis Barangay Health Station with Birthing Facility	8,985,794.12
Total	**23,305,845.53**

Under the SEF:

School Lot	Amount
Bacnotan National High School TD No. 2009-03-001-00414	2,150,000.00
Las-ud, Caba, 2,643 sq.m., ARP/TD No. 2009-09-0006-0023	1,505,000.00
Total	**3,655,000.00**

Waterways	Amount
Construction of Pagudpud Integrated School Drainage System, San Fernando	2,995,147.33

Water Supply Systems	Amount
Construction of Potable System at South CIS, City of San Fernando, La Union	1,492,500.00
Construction of Potable Water System at Lingsat IS, City of San Fernando	1,492,500.00
Construction of Potable Water System at Luna, NHS, Luna, La Union	1,994,995.87
Construction of Potable Water System at Santol CS, Santol, La Union	1,400,773.55
Construction of Potable Water System, Bawanta NHS, Bauang, La Un	1,996,056.14
Total	**8,376,825.56**

School Buildings	Amount
2-Storey, 4 Classroom School Building (Phase I), Macalva Elementary School, Agoo, La Union	4,478,675.48
Classroom Building, Paringao E/S, Bauang, LU	1,056,820.58
Completed Construction of 2-Classroom Building at Mindoro IS, Bangar, La Union	2,490,000.00
Completion of 2 Storey 4-Classroom School Building, Bungol NHS, Balaoan, La Union	1,492,874.38
Completion of 2-Storey 4-Cl Building at Macalva ES, Agoo, La Union	1,990,889.02
Completion of 2-Storey 4-Cl Building at San Juan CS, San Juan, La Union	1,991,299.89
Completion of E/S Gusing Sur, Nagulian, LU	3,389,801.66
Construction of 2-Storey 4 Classroom School Building (Phase I)	4,481,146.99
Construction of 2-Storey 4-Cl Bldg. (Phase II) at Macalva ES, Agoo, La Union	7,479,299.73
Construction of 2-Storey 4Cl-Bldg San Juan Cs, San Juan, La Union	7,475,628.47
Construction of 3 Classroom One-Storey Building, Corro-Oy NHS, Santol, La Union	3,991,840.55
Construction of 3-Classroom Building at Narvacan ES, Sto. Tomas, La Union	3,482,500.00
Construction of 3-Classroom Building at Pideg ES, Tubao, La Union	3,488,751.10
Construction of 3-Classroom Building at Rimos Del Norte ES, Luna, La Union	3,486,000.00
Construction of 3-Classroom Building at San Agustin ES, Bauang, La Union	4,497,750.00
Construction of Ilocanos Elementary School Multi-Purpose Covered Court	1,939,925.83
Construction of One-Classroom Building at Al-Alinao ES, Naguilian, La Union	1,492,500.00
Construction of San Juan School (1) Classroom Building	1,196,400.58
Corro-Oy E/S Two(2) Classroom Building, Santol, LU	2,392,800.03
Covered Court and Stage, Bangbangolan NHS, CSF	4,887,247.38
Covered Court, Lubing E/S, San Juan LU	3,589,200.00
Completion of E/S Gusing Sur, Naguilian, LU	529,798.52
Repair and Improvement of Catbangen Central School, City of San Fernando, La Union	776,515.00
Repair of Bacnotan National High School Building, Bacnotan, La Union	696,933.83
Repair of Classroom at Cubal IS, Agoo, La Union	3,487,000.00
Repair of Classroom and Construction of School Building at Dagup IS, Bagulin, La, Union	2,496,079.16
Repair of Classroom at Agoo East	3,985,000.00
Repair of Classroom at Amlang ES, Rosario, La Union	1,493,065.30

School Buildings	Amount
Repair of Classroom at Carcarmay ES, Bacnotan, La Union	1,936,118.29
Repair of Classroom at Damortis es, Sto. Tomas, La Union	2,492,505.18
Repair of Classroom at Don Jose Bernal ES, Rosario, La Union	1,494,257.27
Repair of Classroom at Francia Sur ES, Tubao, La Union	1,496,623.20
Repair of Classroom at Lettac Norte ES, Santol, La Union	1,994,874.10
Repair of Classroom at Nagrebcan ES, Luna, La Union	1,496,997.34
Repair of Classroom at Nagsabaran Sur ES, Balaoan, La Union	1,836,316.72
Repair of Classroom at Ortega ES, Bacnotan, La Union	1,496,998.53
Repair of Classroom at Payocpoc Elementary School, Bauang, La Union	1,492,500.00
Repair of Classroom at San Jose Elementary School, Sudipen, La Union	2,193,400.00
Repair of Classroom at Zaragosa ES, Bacnotan, La Union	1,497,000.60
School Pavilion, Tallaoen Elementary School, Luna, LU	1,951,384.55
Total	**105,614,719.26**

Other Structures	Amount
Bagulin Central School Covered Court	4,978,446.72
Completion of Covered Court at Nadsaag ES, San Juan, La Union	1,992,563.61
Completion of Covered Court at Sto. Rosario NHS, San Juan, La Union	3,188,499.00
Completion of Multi-Purpose Covered Court at Naguilian NHS, Naguilian, LU	2,985,000.00
Construction of Covered Court (Phase II) at LUNHS, City of San Fernando, LU	1,990,500.00
Construction of Covered Court at Alipang NHS, Rosario, La Union	4,984,096.07
Construction of Covered Court at Bacnotan NHS, Bacnotan, La Union	4,990,499.59
Construction of Covered Court at Burgos CS, Burgos, La Union	3,994,000.00
Construction of Covered Court at Cabaroan ES, San Juan, La Union	4,988,652.66
Repair of Classroom at Damortis es, Sto. Tomas, La Union	4,985,000.00
Construction of Covered Court at Mameltac ES, City of San Fernando, La Union	3,989,296.15
Construction of Covered Court at Puspus ES, CSFLU	3,980,000.00
Construction of Covered Court at San Gabriel CS, San Gabriel, La Union	3,895,047.00
Construction of Covered Court at Saytan IS, Pugo, La Union	3,987,382.30
Construction of Don Quintin Balcita MHS Covered Court	4,978,177.46
Construction of Multi-Purpose Covered Court at Bail NHS, Sto. Tomas, La Union	4,992,500.00
Construction of Multi-Purpose Covered Court at La Union NHS (Phase I), City of San Fernando, La Union	11,475,856.00
Construction of Multi-Purpose Covered Court at Parasapas NHS, Rosario, LU	4,975,180.00
Construction of Paringao National High School Multi-Purpose Covered Court, Bauang, LU	5,106,253.13
Construction of School Covered Court at Marcos E/S, Rosario LU	3,989,361.56
Construction of School Covered Court-Sevilla ES	1,493,009.20
Construction of School Covered Court at Lubing ES, San Juan, La Union	1,945,066.43
Construction of Sto. Rosario Elementary School Multi-Purpose Covered Court, San Juan LU	4,982,656.08
Covered Court, Caba Central School , Caba LU	4,978,247.50
Covered Court-Santo Tomas National High School, Sto. Tomas LU	4,980,111.45
Naguilian National High School Covered Court	4,977,270.15
Nagyubuyuban IS School Covered Court	3,989,400.99
Renovation of Covered Court at Naguilian CS, Naguilian, La Union	1,096,700.00
School Covered Court-Old Sudipen NHS, Sudipen La Union	3,886,800.00
Completion of Catbangen Central School Covered Court CSF,LU	1,493,981.67
Completion of Tallaoen Elementary School Covered Court, Luna LU	1,449,841.99
Construction of Bacsayan Elementary School Covered Court, San Juan LU	1,994,000.00
Construction of Bangar Central School Comfort Room Water System	997,087.00
Construction of Bumbuneg Elementary School Multi-Purpose Shed, San Gabriel	1,040,133.59

Other Structures	Amount
Construction of Castro Elementary School Comfort Room and Water System	997,087.00
Construction of Covered Court South Central Integrated School, CSF	3,984,000.33
Construction of Covered Court, Catbangen Central School, CSF, LU	3,984,000.33
Construction of Padang Primary School Covered Court, San Gabriel, LU	1,358,175.00
Construction of Santiago Sur Integrated School Comfort Room and Water System	997,087.00
Construction of Wenceslao National High School Comfort Room and Water System	997,087.00
Total	**142,068,053.96**

Among the PPE mentioned above, the subsequent properties are donated in the following year, as confirmed by Deeds of Donation dated January 27, 2025.

Property No.	Property Description	Acquisition Cost	Accumulated Depreciation	Carrying Amount
TOBACCO EXCISE TAXES FUND (RA 7171 & RA 8240)				
10703010-002-2020-44	Improvement of Rimos #4 Road	1,452,227.30	296,496.55	1,155,730.75
10703990-2018-84	Construction of Cadaclan Farmer's Multi-purpose Center	3,990,000.18	1,137,150.04	2,852,850.14
10703990-2022-84	Construction of Oaqui Elementary School Covered Court	4,851,376.00	441,677.28	4,409,698.72
	Subtotal	**10,293,603.48**	**1,875,323.87**	**8,418,279.61**
SEF				
10704990-009-2018-47	Construction of Santiago Sur Integrated School Comfort Room and Water System	997,087.00	163,134.40	833,952.60
10704990-003-SEF2021-12-19	Bagulin Central School Covered Court	4,978,446.72	650,309.55	4,328,137.17
10704990-003-SEF-12-26	Covered Court, Caba Central School, Caba, La Union	4,978,247.50	630,577.92	4,347,669.58
10704990-003-SEF-2021-001	Construction of Don Quintin Balcita MHS Covered Court	4,978,177.46	906,443.34	4,071,734.12
10704990-009-2019-16	Construction of Covered Court Catbangen Central School CSFLU	3,984,000.33	683,366.45	3,300,633.88
10704990-009-10-13	Completion of Catbangen Central School Covered Court CSFLU	1,493,981.67	205,007.40	1,288,974.27
10704990-003-SEF-2022-C14	Construction of Covered Court at Burgos CS, Burgos, La Union	3,994,000.00	395,239.50	3,598,760.50
	Subtotal	**25,403,940.68**	**3,634,078.56**	**21,769,862.12**
Grand Total		**35,697,544.16**	**5,509,402.43**	**30,188,141.73**

Note 10 – Biological Assets

	2024	2023
Breeding Stocks	177,836.73	609,192.43
Total Biological Assets	**177,836.73**	**609,192.43**

The biological assets of PGLU under Trust Fund pertain to the living animals (goat and cow), which are being cared of in Agoo, La Union and Almeida, Balaoan Breeding Stations. These are consumable biological assets which are held for sale.

The reduction in the biological assets account is related to the derecognition of these assets resulting from the loss of specific breeding stocks, to wit:

The Accounting Office has already derecognized the loss in the books of accounts pending the submission of Notice of Loss and Request for relief from accountability.

Under the GF:

Particulars	Amount
GOAT (Anglo Nubian Buck. 90%, Ear Tag # 475 - Brown/White/Black- 20kgs)	30,564.71
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 476 - Brown/White - 19 kgs)	24,154.18
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 477 - Brown- 26kgs)	34,960.00
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 478 - Light Brown- 19kgs)	24,154.18
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 481 - Black- 17kgs)	21,611.64
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 482 - Black/Brown- 23kgs)	29,239.27
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 483 Brown/White/Black - 22 kgs)	27,968.00
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 484 - White Brown w/ kid- 23kgs)	29,239.27
GOAT (Anglo Nubian Buck. 90%, Ear Tag # 485 - White/Brown/Black- 17kgs)	25,980.00
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 487 - Light Brown- 16kgs)	20,340.36
GOAT (Anglo Nubian Doe. 75%, Ear Tag # 489 - Dark Brown/White- 15kgs)	19,069.09
Total	**287,280.70**

Under the TF:

Particulars	Amount
Goat (Female-White Brown With Brown Head, Ear Tag A-023)	2,500.00
Goat (Male, White With Ear Tag A-050)	1,900.00
Goat (Brown-White Female With Ear Tag A-063)	1,600.00
Goat (Brown Female W/ Ear Tag A-076)	1,900.00
Goat (Kid W/ Ear Tag A-079)	2,250.00
Goat (Brown Female W/ Ear Tag A-086)	3,250.00
Goat (Black-White With Ear Tag A-096)	2,625.00
Goat (White-Black W/ Ear Tag A-099)	3,625.00
Goat (Black W/ Ear Tag A-104)	3,375.00
GOAT (Brown W/Ear Tag A-114)	2,500.00

Particulars	Amount
GOAT (W/ Ear Tag A-130)	1,950.00
GOAT (w/ ear tag A-131)	2,100.00
GOAT (black white, female grower)	2,250.00
GOAT (brown, female A-134)	1,950.00
GOAT (light brown, female grower A-135)	1,950.00
GOAT (white, female grower A-136)	1,950.00
GOAT (Brown, Female Grower A-137)	1,500.00
GOAT (White, Brown Female Grower A-138)	1,800.00
CATTLE (Bull, White With Ear Tag Ab-2)	48,000.00
GOAT (Yearling-Female Brown, White Tag#253)	3,450.00
Goat (Brown White #452)	3,000.00
Goat (Light Brown #453)	3,900.00
Goat (Brown White #455)	2,850.00
Goat (Brown #456)	3,150.00
Goat (Brown White #457)	1,650.00
Goat (Brown White #458)	2,550.00
Goat (Light Brown #459)	3,000.00
Goat (Black #460)	3,000.00
Goat (White #461)	1,800.00
Goat (White Black #463)	2,250.00
Goat (Black Brown #464)	1,800.00
Goat (Brown Black #465)	2,100.00
Goat (Male, Lt. Brown-Black, Ear Tag B-055)	2,500.00
Goat (Male, White With Brown, Ear Tag B-056)	2,400.00
Goat (Male, White With Brown, Ear Tag B-057)	4,300.00
Goat (Brown-White W/ Ear Tag B-078)	2,300.00
Goat (Brown W/ Ear Tag B-083)	2,500.00
Goat (White W/ Ear Tag B-086)	2,400.00
GOAT (Black White Male Kid B-259)	4,200.00
Total	**144,075.00**

Note 11 – Liabilities

11.1 Current Liabilities

	2024	2023 (Restated)
Financial Liabilities	492,852,126.48	657,786,529.91
Inter-Agency Payables	138,132,431.59	180,746,437.66
Intra-Agency Payables	80,610,474.04	93,454,225.31
Trust Liabilities	185,803,487.24	146,338,813.53
Deferred Credits/Unearned Income	2,919,183.11	1,266,396.85
Other Payables	67,323,463.49	31,162,373.53
Total Liabilities	**967,641,165.95**	**1,110,754,776.79**

	2024	2023 (Restated)
Accounts Payable	435,820,872.45	614,051,157.02
Due to Officers and Employees	15,975,277.67	10,436,653.53
Interest Payable	811,746.42	41,242.08
Loans Payable - Domestic	40,244,229.94	33,257,477.28
Total Financial Liabilities	**492,852,126.48**	**657,786,529.91**

The Accounts Payable account represents obligations to suppliers of PGLU for programs and projects relative to 174th La Union Founding Anniversary, *Pasko sa Kapitolyo* 2024, *Paskong Probinsyanihan*, *Pasko sa Empleyado* 2024, completed and on-going public infrastructures and agency projects, purchases of various equipment, furniture and fixtures, motor vehicles, other PPE, machineries, office supplies, gasoline, drugs and medicines, medical and laboratory supplies, telephone expenses, utilities, repairs of motor vehicles and equipment, subscription expenses, meals, consultancy services, construction materials, assorted food commodities, accountable forms, souvenir items, room accommodations, transportation rentals, laundry services and advertisement services.

The Due to Officers and Employees account refers to unclaimed for traveling and training expenses, terminal pays of separated employees, tax refunds, salary differentials, reimbursement for gasoline and other utilities paid.

The Interest Payable account pertains to the interest payable on loan amortization with Land Bank of the Philippines for the implementation of La Union Wireless Mesh High Speed Local Area Network Backbone Project Phase II for the period November 29-December 31, 2024 which interest will be auto deducted from the LBP account of PGLU.

	2024	2023 (Restated)
Due to BIR	44,288,100.93	46,182,208.33
Due to GSIS	15,399,457.65	11,867,066.51
Due to Pag-IBIG	2,199,981.73	1,513,580.60
Due to PhilHealth	2,213,410.20	1,899,205.49
Due to NGAs	65,097,001.47	87,488,521.01
Due to GOCCs	633,185.00	764,865.00
Due to LGUs	8,301,294.61	31,030,990.72
Total Inter-Agency Payables	**138,132,431.59**	**180,746,437.66**

The Due to BIR, GSIS, Pag-IBIG, PhilHealth and GOCCs accounts pertain to the withheld taxes, premiums and loan amortizations deducted from PGLU officials and employees. The balances at year end were subsequently remitted on the ensuing month.

The Due to NGAs account includes the share of the PNP as apprehending officers of violators of Provincial Ordinances pursuant to Provincial Ordinance No. 217-2020 prescribing the use and issuance of a Provincial Ordinance Violation Receipt (POVR) for violation of any existing Provincial Ordinance during its 41st Regular Session on April 7, 2020.

Details of the Due to NGAs account are as follows:

Particulars	Amount
GF	
Department of Social Welfare and Development (For Regional Rehabilitation Center for Youth)	204,100.00
Department of Budget and Management (Cash Prize of Provincial Budget Office and LGAFB-Countryside Development Project)	12,021.13
PNP	3,255,617.00
Subtotal	**3,471,738.13**
SEF	
DepEd Division of La Union	997,000.00
Total	**4,468,738.13**

For TF, the Due to NGAs account pertains to unliquidated balances for funds received in trust. This year, the PGLU received fund from DOH-CHD 1 for Health Emergency Allowance (HEA), pursuant to Republic Act No. 11712, dated April 27, 2022, respectively, providing guidelines for the grant of HEA to public and private health care workers and non-health care workers. The transfer for HEA is covered by a MOA between the DOH-CHD-1and PGLU, dated July 28, 2022, and MOA between the DOH-CHD-1and PGLU, dated March 21, 2024. For the year 2024, the HEA transfers from DOH-CHD 1 are as follows:

HEA	Fund Transfer
HEA - Bacnotan District Hospital	10,718,343.75
HEA - Balaoan District Hospital	11,820,625.00
HEA - Caba District Hospital	4,254,500.00
HEA - Naguilian District Hospital	10,290,375.00
HEA - Provincial Health office and PDRRMO	37,321,562.50
HEA - Rosario District Hospital	5,291,375.00
Total HEA	**79,696,781.25**

The unliquidated fund transfers for HEA pertain to the unclaimed checks of separated and deceased former employees of PGLU.

The remaining TF accounts are as follows:

Due to NGAs	Balance
DOH	57,936,830.64
Department of Agriculture	2,691,432.70
Total	**60,628,263.34**

The Due to LGUs account pertains to the allocated shares of different LGUs concerning the issuance of POVR and their respective portions from the revenue generated from sand and gravel collections.

	2024	2023
Due to Other Funds	50,125,994.45	53,467,368.97
Due to Special Account	29,788,490.96	36,654,209.71
Due to Local Economic Enterprises	695,988.63	3,332,646.63
Total Intra-Agency Payables	**80,610,474.04**	**93,454,225.31**

	2024	2023
Trust Liabilities- DRRM Fund	177,908,060.58	139,871,690.70
Guarantee/Security/Deposits Payable	7,803,889.82	6,375,585.99
Customers' Deposits Payable	91,536.84	91,536.84
Total Trust Liabilities	**185,803,487.24**	**146,338,813.53**

The Trust Liabilities- DRRM Fund account pertains to the unexpended MOOE LDRRMF fund transferred from GF and Transfers/Grants from Other LGUs and from Other Sources solely for the purpose of supporting DRRM activities. The fund is broken down as follows:

Particulars	Amount Available	Utilized	Balance
Current Year Appropriation:			
Quick Response Fund (QRF)	28,771,593.39	-	28,771,593.39
Mitigation Fund (MF)			
MOOE	54,042,443.25	35,667,488.26	18,374,954.99
Capital Outlay	13,091,274.66	5,982,000.00	7,109,274.66
Total Current Year Appropriation	**95,905,311.30**	**41,649,488.26**	**54,255,823.04**
Continuing Appropriation:			
Capital Outlay (2024)	7,109,274.66	-	7,109,274.66
Capital Outlay (2023)	20,426,250.00	-	20,426,250.00
Capital Outlay (2022)	42,033,960.00	19,400,806.00	22,633,154.00
Capital Outlay (2021)	1,583,283.00	1,583,283.00	-
Total Continuing Appropriation	**71,152,767.66**	**20,984,089.00**	**50,168,678.66**
Special Trust Fund (STF)			
CY 2024	47,146,548.38	-	47,146,548.38
CY 2023	50,845,475.50	-	50,845,475.50
CY 2022	43,171,718.63	23,588,587.00	19,583,131.63
CY 2021	14,964,842.04	14,964,842.04	-
CY 2020	7,589,673.84	7,589,673.84	-
Total Transferred to the STF	**163,718,258.39**	**46,143,102.88**	**117,575,155.51**
Transfers/ Grants			
From Other LGU's	2,550,000.00	-	2,550,000.00
From Other Sources	60,792,675.69	54,470,253.50	6,322,422.19
Total Transfers/ Grants	**63,342,675.69**	**54,470,253.50**	**8,872,422.19**
Total STF	**227,060,934.08**	**100,613,356.38**	**126,447,577.70**

Trust Liabilities - DRRM Fund	2024	2023
City Government of Davao (Typhoon Lawin Victims)	200,000.00	200,000.00

Trust Liabilities - DRRM Fund	2024	2023
City Government of Iloilo (Typhoon Maring Victims)	200,000.00	200,000.00
City Government of Makati (Typhoon Ompong Victims)	500,000.00	500,000.00
City Government of Valenzuela (Typhoon Lawin Victims)	500,000.00	500,000.00
DA (Typhoon Egay)	5,326,532.50	10,371,100.00
DRRMF 2020	7,589,673.84	7,589,673.84
DRRMF 2021	14,964,842.04	14,964,842.04
DRRMF 2022	43,171,718.63	43,171,718.63
DRRMF 2023	50,845,475.50	50,845,475.50
DRRMF 2024	47,146,548.38	-
LBP (Typhoon Ompong Victims)	500,000.00	500,000.00
Office of the President (Typhoon Egay)	5,721,419.00	9,787,030.00
Province of Albay (Typhoon Maring Victims)	300,000.00	300,000.00
Province of Ilocos Norte (Typhoon Maring Victims)	750,000.00	750,000.00
Province of Sorsogon (Typhoon Maring Victims)	100,000.00	100,000.00
Various Donors (Covid-19 Victims)	30,000.00	30,000.00
Various Donors (Typhoon Maring Victims)	61,850.69	61,850.69
Management Fund	**177,908,060.58**	**139,871,690.70**

The Customers' Deposit Payable account pertains to deposit made by Globe Telecom, Inc. for occupying the La Union Provincial Administrative and Commercial building.

	2024	2023
Deferred Special Education Tax	1,327,022.16	243,874.97
Other Deferred Credits	1,592,160.95	1,022,521.88
Total Deferred Credits/Unearned Income	**2,919,183.11**	**1,266,396.85**

The Other Deferred Credits account refers to unearned taxes of the following:

	Amount
Franchise Tax	484,775.11
Professional Tax	4,950.00
Governor's Permit Fee	60,000.00
Idle Land Tax	95,508.00
Printer's Tax	18,012.32
Real Property Tax	928,915.52
Total Other Deferred Credits	**1,592,160.95**

The Other Payables account pertains to unremitted loan amortizations of PGLU employees from various lending institutions, Saranay contributions, and the like to be remitted on or before the 10th of the ensuing month. It also includes financial assistance granted by PGLU to various accredited CSOs or NGOs or PO and other

LGUs for their development programs. These are unreleased disbursements or checks in the custody of the Office of the Provincial Treasurer.

11.2 Non-Current Liabilities

	2024	2023
Loans Payable - Domestic	182,371,751.79	177,371,485.06
Total Non-Current Liabilities	**182,371,751.79**	**177,371,485.06**

The Loans Payable account pertains to the loans obtained by PGLU from LBP La Union Lending Center (LULC), which consists of the following:

Lending Institution	Date of Loan Approval	Principal Amount	Term of Loan	Maturity Date	Purpose/s	SP Resolution No.	Current	Non-Current	Outstanding Loan Balance
LBP	August 20, 2018	179,450,980.00	10 yrs. incl. of 1 yr. grace pd on principal payment @6.25 % interest rate under PN Nos. *9122-TL18-0012-001 (P83 million) *9122-TL18-0012-002 (P66 million) *9122-TL19-0024-001 (P30,450,980.00)	August 23, 2028	To finance the implementation of the La Union Wireless Mesh High Speed Local Area Network Backbone Project (Phase I)	SP Resolution Nos. 690-2017 and 020-2018	20,466,540.84	54,577,452.31	75,043,993.15
LBP	February 8, 2022	160,350,782.97	10 yrs. Incl. of 1 yr. grace pd. On principal payment, @ 7.25% interest rate with PN Nos. *9122-TL22-014-001 (P93 million) *9122-TL23-0009-001 (P22,118,428.35) *9122-TL24-0005-001 (P26,607,675.27) *9122-TL23-0005-002 (P18,624,679.35)	December 29, 2032	To finance the implementation of La Union Peace, Order and Public Safety System (Phase II)	SP Resolution No. 1554-2021, Provincial Ordinance No, 370-2022	19,777,689.10	127,794,299.48	147,571,988.58
					TOTAL		**40,244,229.94**	**182,371,751.79**	**222,615,981.73**

This year, the PGLU received its loan proceeds from LBP LULC in the amount of ₱26,408,116.77, net of documentary stamp tax of ₱199,558.50. the gross loan amount is ₱26,607,675.27 under Promissory Note (PN) No. 9122-TL24-0005-001. In addition, the PGLU received its loan proceeds from LBP LULC in the amount of ₱18,484,993.35, net of documentary stamp tax of ₱139,686.00. The gross loan amount is ₱18,624,679.35 under PN No. 9122-TL24-0005-002. Based on the Approved Omnibus Term Loan Facility with LBP, the PGLU applied for a sub-loan with a drawdown on the facility up to the amount of ₱195,000,000.00) for the implementation of La Union Peace, Order and Public Safety System (Backbone Phase II), which includes procurement, delivery and installation of CCTVs, Desktop PCs with UPS and Laptops for the Operators, establishment of Data Center, which includes the Network, CCTV Server, Voice and Video Display Command Center, configuration and commissioning of the various components, implementation Services of the system and procurement of service vehicle for project monitoring, as authorized under Sangguniang Panlalawigan Resolution No. 1554-2021, dated November 24, 2021, and SP Ordinance No. 340-2022, dated May 24, 2022. the Notice of Loan Approval was granted by LBP LULC, last February 8, 2022 and a Sub-loan Agreement (Term Loan 14) was entered into between LBP and PGLU on March 09, 2022.

Note 12 – Government Equity

	2024	2023 (Restated)
Balance at the beginning of the period	**8,432,831,086.65**	**8,152,915,796.88**
Add (Deduct)		
Change in Accounting Policy	(50,292,693.25)	(55,536,881.82)
Prior Period Errors	332,199,809.35	100,301,398.03
Restated Balance	**8,714,738,202.75**	**8,197,680,313.09**
Add (Deduct) Changes in net assets/equity during the year		
Adjustment of net revenue recognized directly in net assets/equity	-	(33,792,852.50)
Surplus (Deficit) for the period	1,414,306,351.94	550,850,742.16
Total Recognized Revenue and Expenses for the Period	**1,414,306,351.94**	**517,057,889.66**
Balance at the end of the period	**10,129,044,554.69**	**8,714,738,202.75**

Note 13 – Tax Revenue

	2024	2023
Tax Revenue – Individual and Corporation		
Professional Tax	625,070.00	578,400.00
Tax Revenue-Property		
RPT - Basic	60,717,309.77	55,077,664.30
SET	86,739,013.30	78,682,377.07
Special Levy on Lands Benefited by Public Works – Projects		

	2024	2023
Real Property Transfer Tax	15,623,192.48	13,027,577.50
Tax Revenue-Goods and Services		
Tax on Sand, Gravel and Other Quarry Products	5,645,880.39	6,051,114.12
Tax on Delivery Vans and Trucks	1,410,090.00	1,407,820.00
Amusement Tax	730,202.50	430,288.05
Franchise Tax	8,699,691.93	1,473,108.37
Printing and Publication Tax	275,733.45	56,718.00
Tax Revenue – Fines and Penalties		
Tax Revenue – Fines and Penalties taxes on Individual and Corporations	38,989.05	32,666.90
Tax Revenue – Fines and Penalties-Property Taxes	3,053,119.58	1,493,392.00
Tax Revenue – Fines and Penalties- Taxes on Goods and Services	6,911,933.35	1,237,345.93
Share from National Taxes		
Share from Tobacco Excise Tax	1,225,899,079.00	346,613,669.50
Total Tax Revenue	**1,416,369,304.80**	**506,162,141.74**

The Share from Tobacco Excise Tax account consists of the FY 2023 and FY 2024 Collection of Excise taxes on Locally Manufactured Virginia-Type Cigarette under RA 7171 and from Burley and Native Tobacco Excise Taxes under RA 8420 as amended by RA 10351.

	2024	2023
Share from Internal Revenue Collections (National Tax Allotment)	1,806,956,226.00	1,700,978,004.00
Other Share from National Taxes		
Share from National Wealth	17,510.75	279,067.43

The PGLU recorded Share from National Wealth for its 40% share in the collection of mining taxes and occupational mining taxes from Helix Mining and Development Corporation.

Note 14 – Service and Business Income

	2024	2023 (Restated)
Service Income		
Permit Fees	2,972,250.00	3,199,325.00
Clearance and Certificate Fees	3,970,025.00	4,097,653.00
Inspection Fees	14,777,137.28	11,746,561.63
Verification and Authentication Fees	217,900.00	153,380.00
Other Service Income	4,278,713.34	3,885,245.09
Business Income		
Rent/Lease Income	1,584,717.12	2,517,547.64

	2024	2023 (Restated)
Receipts from Operation of Hostels/Dormitories and Other like Facilities	-	200.00
Sales Revenue	9,496,893.66	10,251,325.55
Hospital Fees	252,378,642.30	176,733,890.36
Interest Income	28,770,628.71	18,624,558.56
Other Business Income	21,621.41	812,856.66
Total Service and Business Income	**318,468,528.82**	**232,022,543.49**

The significant rise in hospital fees is attributed to the adjustments in fees and charges at the five district hospitals, which took effect on January 1, 2023. This change is in accordance with Article 26 of Provincial Tax Ordinance No. 398-2022, also referred to as the "2022 Revenue Code of the Province of La Union," and is further influenced by the provision of Medical Assistance to Indigent and Financially Incapacitated Patients (MAIFIP).

Schedule of Estimated and Actual Revenue Collection (Excluding Subsidy)				
For the Year 2024				
Hospital	**Target (Based on Local Expenditure Program)**	**Actual**	**Unrealized during the Year**	**Collection Efficiency (%)**
Bacnotan District Hospital	79,600,267.00	65,919,380.45	13,680,886.55	82.81
Balaoan District Hospital	62,141,105.00	50,002,562.50	12,138,542.50	80.47
Naguilian District Hospital	78,473,634.00	65,000,391.27	13,473,242.73	82.83
Caba District Hospital	17,626,480.00	33,678,831.15	(16,052,351.15)	191.07
Rosario District Hospital	75,995,821.00	40,985,412.42	35,010,408.58	53.93
Total	**313,837,307.00**	**255,586,577.79**	**58,250,729.21**	**81.44**

The rental income above-stated pertains to minimal fees derived from lessee of the LUPAC building, for the maintenance and preservation of the unoccupied portion of administrative building. It also includes equipment rentals and other incidental space rentals.

The interest income earned during the year is as follows:

	Amount
GF	
Current Accounts	331,390.03
Savings Account	89.57
Salary Loan Interest	7,958.49
Time Deposit Accounts	28,059,327.57
SEF	
Time Deposit Accounts	371,850.87
SHF	

	Amount
Current Accounts	12.18
Total Interest Income	**28,770,628.71**

Note 15 – Transfers, Assistance, and Subsidy

	2024	2023 (Restated)
Assistance and Subsidy		
Subsidy from National Government	421,711,147.06	272,623,267.65
Subsidy from General Fund Proper/Other Special Accounts	117,116,834.39	99,380,000.00
Transfers		
Transfers from General Fund of LGU Counterpart/Equity Share	-	1,914,800.00
Transfers from National Government	-	24,566,394.15
Total Transfers, Assistance, and Subsidy	**538,827,981.45**	**398,484,461.80**

Note 16 – Share, Grants, and Donation

	2024	2023
Shares		
Share from PCSO	386,890.18	1,304,400.82
Grants and Donation		
Grants and Donations in Kind	4,841,016.63	4,155,628.34
Total Share, Grants, and Donation	**5,227,906.81**	**5,460,029.16**

The Grants and Donations in Kind refers to the following:

Particulars	Donor	Amount
45 pairs of crutches, 15 pieces of walker and 50 pieces of wheelchair	DOH-CDH1	228,265.00
Vaccines		
Purified Chick Embryocell Rabies Vaccine (PCEC) + Diluent 1ml 10 dose per vial (DOH)		156,950.00
Inactivated Purified Vero Cell Rabies Vaccine + Diluent (ID/IM) (DOH)		238,000.00
Equine Rabies Immunoglobulin (Erig) (DOH)		139,000.00
Polysaccharide Pheumococcal Polyvalent Vaccine (DOH)		896,100.00
Inactivated Polio Vaccine (IPV) 10 dose per vial (DOH)		228,480.00
Poliomyelitis (Oral) Bivalent Type Vaccine (bOPV) 20 dose per vial with dropper (DOH)	DOH-Ilocos Center for Health	18,816.39
Tetanus-Diphtheria Vaccine 10 dose per vial solution for injection (DOH)	Development La Union Provincial	87,480.10
Measles Mumps and Rubella Vaccine with Sterile Water for Injection 5 ml (MMR Diluent) ampule (DOH)	Health Office	1,369,600.00

Particulars	Donor	Amount
Measles and Rubella Live Attenuated Vaccine (Freeze-Dried) 10 doses per vial with Diluent ampule (DOH)		554,649.58
Pheumococcal Conjugate Vaccine (PCV10) 4 dose per vial solution for injection (DOH)		803,368.68
Hepatitis B (rDNA) Vaccine 10 dose per vial (DOH)		27,240.79
Tetanus-Diphtheria Vaccine 10 dose per vial (DOH)		93,066.09
Total		**4,841,016.63**

Note 17 – Miscellaneous Income

	2024	2023 (Restated)
Miscellaneous Income	3,757,147.05	4,010,987.10
Total Miscellaneous Income	**3,757,147.05**	**4,010,987.10**

The Miscellaneous Income account consists of the following:

	Amount
Accreditation fee	689,825.00
Application fee	508,183.96
Miscellaneous Income for Liquidated Damages	15,868.30
Others	2,414,404.00
Provincial ordinance violation charges	28,350.00
Provincial ordinance violation charges-PENRO	100,515.79
Total Miscellaneous Income	**3,757,147.05**

Note 18 – Employee Cost

	2024	2023 (Restated)
Personnel Services		
Salaries and Wages – Regular	425,586,905.07	404,539,542.88
Salaries and Wages – Casual/Contractual	55,700,223.98	55,631,084.44
Other Compensation		
Personal Economic Relief Allowance	36,047,463.34	34,935,815.33
Representation Allowance	4,888,200.00	4,523,000.00
Transportation Allowance	4,600,200.00	4,213,875.00
Clothing/Uniform Allowance	10,542,000.00	8,796,000.00
Subsistence Allowance	5,258,759.74	5,293,390.87
Laundry Allowance	580,389.83	588,154.51
Honoraria	993,415.63	
Hazard Pay	15,106,266.02	8,005,251.03
Overtime and Night Pay	1,814,931.92	1,631,220.56
Year-End Bonus	42,504,853.54	38,810,572.52
Cash Gift	7,705,500.00	7,362,500.00
Other Bonuses and Allowances	38,309,614.80	37,608,201.00

	2024	2023 (Restated)
Personnel Benefit Contribution		
Retirement and Life Insurance Premiums	57,765,476.09	54,952,303.32
Pag-IBIG Contribution	3,495,500.00	1,763,600.00
PhilHealth Contribution	11,761,258.12	8,789,382.16
Employees Compensation Insurance Premiums	1,823,849.47	1,762,372.43
Other Personnel Benefit		
Terminal Leave Benefits	33,489,143.11	29,807,177.19
Other Personnel Benefits	53,762,959.90	43,587,566.54
Total Employee Cost	**811,736,910.56**	**752,601,009.78**

The manpower complement of PGLU for CY 2024 and 2023 are as follows:

Status of Employment/Appointment	2024	2023
Permanent	1085	1050
Casual	356	359
Elected	16	15
Co-terminus	70	67
Temporary	12	5
Contract of Service	188	213
Job Order	203	200
Consultant	11	8
Total Workforce	**1941**	**1917**

The Other Personnel Benefits include payment for leave monetization; loyalty pay and Productivity Enhancement Incentive (PEI). The grant of PEI is pursuant to DBM Circular 2017-4 dated December 4, 2017 and DBM Circular No. 2024-17 dated December 4, 2024. The supplemental budget for the payment for leave monetization is by virtue of Provincial Appropriation Ordinance No. 003-2024.

The supplemental budget for service recognition incentive of PGLU officials and employees is by virtue of Provincial Appropriation Ordinance No. 021-2024 and in compliance with Administrative Order No. 27 dated December 16, 2024.

Note 19 – Maintenance and Other Operating Expenses

	2024	2023 (Restated)
Traveling Expenses		
Traveling Expenses - Local	13,120,676.53	11,253,906.52
Traveling Expenses - Foreign	226,359.43	92,322.45
Subtotal	**13,347,035.96**	**11,346,228.97**
Training and Scholarship Expenses		
Training Expenses	46,255,878.80	36,813,337.52
Supplies and Material Expenses		
Office Supplies Expense	21,040,943.34	42,370,057.74
Accountable Forms Expense	790,117.50	643,882.72

	2024	2023 (Restated)
Animal/Zoological Expenses	1,269,923.00	
Food Supplies Expense	8,145,197.32	7,007,242.21
Welfare Goods Expenses	12,439,090.92	2,438,610.42
Drugs and Medicines Expenses	32,522,304.85	32,478,867.34
Medical, Dental and Laboratory Supplies Expenses	35,843,095.42	32,703,088.62
Fuel, Oil and Lubricant Expenses	26,307,844.53	22,964,945.68
Agricultural and Marine Supplies Expenses	64,565,648.75	95,273,992.95
Textbooks and Instructional Materials Expenses	13,875,173.08	20,028,387.54
Military, Police and Traffic Supplies Expenses	170,275.00	-
Semi-Expendable Machinery and Equipment Expenses	2,643,140.97	7,360,459.00
Semi-Expendable Furniture, Fixtures and Books Expenses	-	653,750.00
Other Supplies and Material Expenses	122,969,105.24	112,786,774.45
Subtotal	**342,581,859.92**	**376,710,058.67**
Utility Expenses		
Water Expenses	435,562.25	157,974.00
Electricity Expenses	28,933,007.31	27,041,282.98
Subtotal	**29,368,569.56**	**27,199,256.98**
Communication Expenses		
Postage and Courier Services	23,819.00	202,327.00
Telephone Expenses	4,357,073.86	4,589,957.33
Internet subscription Expenses	4,958,076.02	5,135,083.20
Subtotal	**9,338,968.88**	**9,927,367.53**
Awards/Rewards and Prizes		
Awards/Rewards Expenses	5,793,466.00	3,939,650.00
Prizes	5,112,900.00	12,112,600.00
Subtotal	**10,906,366.00**	**16,052,250.00**
Survey, Research, Exploration and Development Expenses		
Research, Exploration and Development Expenses	249,990.00	-
Confidential, Intelligence and Extraordinary Expenses		
Extraordinary and Miscellaneous Expenses	538,517.00	1,272,000.00
Total Maintenance and Other Operating Expenses	**452,587,186.12**	**479,320,499.67**

The Food Supplies Expenses account pertains to the costs associated with food provided to inmates at the Provincial Jail, as well as meals served to in-patients by the dietary units of district hospitals.

The Welfare Goods Expenses account refers to the welfare goods and other supplies distributed to constituents of PGLU during calamity such as NFA rice, galvanized iron roofing sheet, hygiene kits, food packs and the like.

The Drugs and Medicines Expenses account pertains to issuances for La Union Founding Anniversary medical and dental outreach program, GIDA outreach program, Paskuhang Bayan medical and dental missions and other medical and dental programs of PGLU.

The Agricultural and Marine Supplies Expenses account pertains to farm tools and fishery equipment, agricultural equipment and inputs, seedlings, garden soils, fertilizers, vigormin and bokashi ball for water quality management and veterinary supplies.

The Semi-Expendable Machinery and Equipment Expenses as well as Semi-Expendable Furniture, Fixtures and Books Expenses accounts are those PPE which were acquired on prior years and reclassified as semi- expendable expenses to comply with the capitalization threshold policy.

The Other Supplies and Materials Expenses account encompasses various supplies that do not fall under specific inventory expense categories. This includes, but is not limited to, items such as water supplies, materials for indoor and outdoor residual spraying and fogging, installation of early warning signage, and hospital beds for the Home of the Elderly, among others.

Under GF, significant amount of the Other Supplies and Material Expenses account covers assorted goods or food commodities, which were distributed during the Paskuhang Bayan 2024.

Further, the following Other Supplies and Materials are donated to the different IP Schools in the PGLU as evidenced by various Deeds of Donations dated April 8, 2024.

Particulars	Amount	Date of Donation
Donated 13 Sets of Gongs	565,500.00	04/08/2024

Also, the Textbooks and Instructional Materials include those donated to the DepEd as evidenced by a Deed of Donation executed last June 13, 2024, to wit:

Particulars	Amount	Date of Donation
Donated erasable workbooks to DepEd La Union Schools Division office to augment the limited learning resources of Grade 4 and Grade 5	565,500.00	04/08/2024
Erasable Workbooks (Foundation of Phonics (Grade 4)	2,410,204.34	06/13/2024
Erasable Workbooks (Foundation of Math (Grade 4)	2,410,204.34	06/13/2024

Particulars	Amount	Date of Donation
Erasable Workbooks (Human Body (Grade 5)	2,537,057.20	06/13/2024
Erasable Workbooks (Foundation of Language (Grade 5)	2,521,357.20	06/13/2024
Total Textbooks and Instructional Materials Donated	**9,878,823.08**	

The same Textbooks and Instructional Materials account was used to record the issuance of manipulative toys (abacus, maracas, modeling clay, box wisdom) to day care children of the municipalities of La Union during the conduct of "Tulong, Dunong, Laruan, Pagsasanay para sa Matalinong Pag-aaral Project of the PGLU.

The prizes include those given to the winners during various provincial events, including the 174th La Union Founding Anniversary, the Salu-salo Activity, the Search for the Most Influential Women with Disabilities, the 16th La Union Federation Parents-Teachers Association Congress, multiple contests on the PGLU Facebook Page, the Earth Day Run 2024, the Padyak Kalikasan 2024, the Best Managed Marine Protected Areas in the Province, the Senior Citizen Mini Olympics, the Elderly Filipino Week Celebration, Philippine Civil Service activities, the Bangkathon Competition in honor of Farmers and Fisherfolks, the 2024 National Statistic Month Celebration, the Kurditan Kabataan Contest, the National Innovation Day Celebration, the Retirees Homecoming Program, the La Union Surfing Break 2024, and the La Union Annual IPs/ICCs Development Festival.

Note 20 – Contracted Services

	2024	2023 (Restated)
Professional Services		
Consultancy Services	6,251,117.22	8,894,082.87
Other Professional Services	15,570,636.42	14,348,909.09
General Services		
Environmental/Sanitary Services	1,102,412.00	1,021,417.00
Other General Services	84,880,448.86	76,664,785.59
Total Contracted Services	**107,804,614.50**	**100,929,194.55**

The Consultancy Services account includes fees paid to consultants engaged by PGLU, disbursements to ICLEI-Local Governments for Sustainability Southeast Asia, Inc. for the initial tranche of consultancy Services related to the development of the community-level greenhouse gas emission inventory, and payments for the production of the La Union History Book.

The Other Professional Services account relates to the allowances provided by the PGLU to judges of the RTC and MTC, prosecutors, public attorneys, clerks of courts, election officers, and parole and probation officers. This is in accordance with Section 468 (a)(1) (xi) of RA 7160, also known as the Local Government Code of 1991, along with applicable rules and regulations.

The Other General Services account pertains to payments made to Job Orders and Contract of Service Workers of the PGLU.

Note 21 – Repairs and Maintenance

	2024	2023 (Restated)
Repairs and Maintenance -Buildings and Other Structure	953,910.00	330,062.04
Repairs and Maintenance -Machinery and Equipment	3,424,105.49	3,802,230.94
Repairs and Maintenance -Transportation Equipment	15,292,798.62	14,458,025.24
Repairs and Maintenance -Other Property, Plant and Equipment	2,860.00	2,060.00
Total Repairs and Maintenance	**19,673,674.11**	**18,592,378.22**

Note 22 – Financial Assistance/Subsidy

	2024	2023 (Restated)
Subsidy to NGAs	8,359,613.32	10,211,809.33
Subsidy to Other Local Government Units	118,449,000.00	52,652,500.00
Subsidy to Local Economic Enterprises	117,116,834.39	99,380,000.00
Subsidies - Others	196,589,285.68	143,254,096.80
Total Financial Assistance/Subsidy	**440,514,733.39**	**305,498,406.13**

The Subsidy to NGAs pertains to the counterpart of PGLU to DSWD-FO-I for the maintenance expenses incurred by youth offenders of the Province under the custody of Regional Rehabilitation Center for Youth. The subsidy to NGA's is intended to cover the maintenance costs associated with youth offenders in the Province who are under the care of the Regional Rehabilitation Center for Youth, as part of the collaboration between PGLU and DSWD-FO-I. This was also used to record transfers of PPE to various national government agencies.

The Subsidy to Other Local Government Units account refers to the financial aid provided to LGUs in La Union for the fiscal year 2024 in support to their developmental programs. Also, transferred to LGUs are books to various municipal library in La Union and musical instruments to IPs/ICCs of LGUs Sudipen, Santol, San Gabriel, Burgos and Pugo, La Union.

The Subsidy to Local Economic Enterprises for 2024 pertains to the financial assistance provided to the La Union District Hospitals to aid in their operational activities. Additionally, the Caba District Hospital has not been a recipient of this subsidy, as established by Resolution No. 1915-2023, which reclassifies the Caba District Hospital as part of the regular operations of the PGLU, thereby terminating its designation as a Local Economic Enterprise.

Hospital	2024	2023
Balaoan District Hospital	26,263,573.75	20,200,147.94
Bacnotan District Hospital	31,798,351.09	19,542,468.34
Naguilian District Hospital	30,951,220.26	24,864,288.05
Caba District Hospital	-	16,150,213.51
Rosario District Hospital	28,103,689.29	18,622,882.16
Total	**117,116,834.39**	**99,380,000.00**

The Subsidies-Others account refers to the financial support allocated to the LUMC to facilitate its operations. LUMC, a provincial hospital, was established as a corporate entity on March 2, 2004, under RA 9259 and is located in Nazareno, Agoo, La Union. This account also encompasses several other financial allocations, including subsidy to the NFA for the Palay Procurement Program of the Province (PALLGU), fund transfers for the Sports Development Program, financial support for the acquisition of ICT and office equipment for the Community-Based Monitoring System, assistance for the 24 Districts of Learners and implementers of the Alternative Learning System (ALS) program for the fiscal year 2024, and fund transfers designated for prizes in the Search for the Cleanest, Safest, and Greenest LGUs in La Union.

Note 23 – Transfers

	2024	2023
Transfers of Unspent Current Year DRRM Funds to the Trust Funds	47,146,548.38	50,845,475.50
Transfers for Project Equity Share/LGU Counterpart	-	1,914,800.00
Total	**47,146,548.38**	**52,760,275.50**
Total Transfers, Assistance and Subsidy To	**487,661,281.77**	**358,258,681.63**

Note 24 – Taxes, Insurance Premiums, and Other Fees

	2024	2023 (Restated)
Taxes, Duties and Licenses	452,720.28	5,877,639.19
Fidelity Bond Premiums	608,875.00	416,460.00
Insurance Expenses	2,729,842.65	2,633,776.42
Taxes, Insurance Premiums, and Other Fees	**3,791,437.93**	**8,927,875.61**

The Taxes, Duties, and Licenses account for 2024 encompasses the payment of several accreditation fees for hospitals, vehicle registration fees with the Land Transportation office (LTO), participation fees for hospitals in NEQAS and other clinical laboratories, as well as the renewal fees for operating licenses.

Note 25 – Other Maintenance and Operating Expenses

	2024	2023 (Restated)
Advertising Expenses	627,280.61	1,400,408.02
Printing and Publication Expenses	6,890,772.67	17,469,794.10
Representation Expenses	60,636,409.40	46,356,950.75
Rent/Lease Expenses	15,156,977.10	28,711,848.30
Membership Dues and Contributions to Organizations	823,334.20	756,576.40
Subscription Expenses	644,659.29	1,478,720.29
Donations	162,467,219.00	112,580,145.70
Other Maintenance and Operating Expenses	160,852,928.41	49,088,717.24
Other Maintenance and Operating Expenses	**408,099,580.68**	**257,843,160.80**

The Representation Expenses are associated with meals and snacks provided during a range of PGLU meetings, discussions, SP hearings, seminars, and conferences.

The Rental Expenses encompass costs associated with the leasing of audio and visual equipment, technical necessities for PGLU activities, van rentals for field validation or monitoring, bus rentals, venue rentals for PGLU events, accommodations for PGLU guests, promotional activities, and other rentals required for the execution of PPAs.

For this year, the donation account is broken down as follows:

	Amount
Under GF	
Agricultural Equipment/Supplies	15,521,477.00
Assistance to LGUs, NGOs & POs	1,587,769.00
Barangay Assistance Program	175,000.00
Batang Pinoy	2,728,750.00
Calamity/Relief Operation	14,035,000.00
Centenarian Award	840,000.00
Cooperatives and Associations/NGOs/POs	2,267,023.00
Educational Assistance	496,000.00
Enhanced Access to Golden Existence Program	320,000.00
La Union Educational Assistance Scholarship Program	29,270,000.00
Medical/burial assistance to indigents	23,029,000.00
Nonagenarians	1,535,000.00
Octogenarians	6,390,000.00
Others	61,000.00
Seminars and Trainings	345,800.00
Sports Development	314,000.00
Stipend Allowance	7,199,400.00
Tourism Promotion Program of La Union	955,000.00
Subtotal	**107,070,219.00**
Under TF	
LGSF - Food Assistance	5,000,000.00
PAFFF - Cash Assistance	42,900,000.00
Subtotal	**47,900,000.00**

	Amount
Under SEF	
R1AA	7,497,000.00
Total Donations	**162,467,219.00**

The donation account under the GF encompasses a range of agricultural equipment and supplies allocated to CSOs and NGOs.

The donation account also includes various financial assistance to indigents, students, among others. Additionally, the donation account under the Trust Fund includes the fund from the office of the President for the implementation of the Project Presidential Assistance to farmers, fisherfolks and other families affected by El Niño in the Province of La Union. Furthermore, the donation account under the SEF covers the financial assistance for La Union delegates participating in the 2024 Region 1 athletic Association Meet (R1AA).

The calamity/relief operation pertains to financial assistance to those whose houses are either totally or partially damaged by fire as well as offering assistance to workers and helpers impacted by the fire incident at the Auxiliary Wet Market in the City of San Fernando, La Union. Additionally, it includes financial aid for farmers and fishermen affected by Super typhoon Kristine.

The provision of scholarship allowances to eligible students is established under Provincial Ordinance No. 366-2022, referred to as "The La Union Educational Assistance and Scholarship Code of 2022."

The provision of financial assistance to nonagenarians is based on Provincial Ordinance No. 381-2022, entitled Granting Monetary Incentives to Octogenarians, Nonagenarians, and Centenarians who are legitimate residents of La Union.

The Other MOOE account encompasses stipends allocated to students of secondary public schools, wages for participants in the special program for student employment, expenses related to the clean and green initiative, and honoraria for hosts, speakers, and lecturers during PGLU events and training sessions. It also covers the annual physical examinations for personnel and various tourism promotion activities in La Union, including the 174th LUFA events. Furthermore, this account includes payments for the PGLU office/team monetary incentive as outlined in Resolution No. 004 Series of 2024, which recommends approval of the PGLU office/Team Monetary incentive for Transformative Performance Towards Service Excellence for CY 2024. The Enhanced PRAISE program of the PGLU has received approval from the Civil Service Commission, as confirmed in a letter dated December 23, 2024. The recorded Other MOOE for year-end assessment refers to liquidation of PGLU offices for the incidental expenses in the conduct of year-end assessment and capacity building for PGLU employees.

The breakdown of Other MOOE is as follows:

	Amount
Under GF	
Contractual Pay	
Special Program for Employment of Students	771,433.06
Other MOOE	
Annual Personnel Physical Examination	485,510.00
Fees and charges	49,500.00
Food Allowance	372,765.35
Honorarium/Per Diem	5,484,380.00
Others	267,350.00
Praise	23,346,000.00
Printed Materials	4,200.00
Tarpaulins/Streamers/Information Dissemination Expenses	6,660.00
Tourism Promotion Program of La Union	40,086,880.00
Year-End Assessment	11,575,000.00
Subtotal	**82,449,678.41**
Under TF	
HEA- District Hospitals	78,403,250.00
Subtotal	**78,403,250.00**
Total Other MOOE	**160,852,928.41**

Note 26 – Financial Expenses

	2024	2023
Interest Expenses	5,523,501.82	6,629,647.74
Bank charges	6,000.00	-
Total Financial Expenses	**5,529,501.82**	**6,629,647.74**

The Interest Expenses account pertains to the interests paid for the LBP loan for the implementation of the La Union Wireless Mesh High Speed Local Area Network Backbone Project (Phase I).

Note 27 – Direct Cost

	2024	2023
Cost of Sales	8,469,129.34	8,517,923.80

Note 28 – Non-Cash Expenses

	2024	2023 (Restated)
Depreciation-Land Improvements	3,446,338.20	1,985,617.24
Depreciation-Infrastructure Assets	201,894,045.09	181,713,863.84
Depreciation-Buildings and Other Structures	63,720,547.90	39,862,567.60
Depreciation-Machinery and Equipment	61,460,871.49	56,073,209.49

	2024	2023 (Restated)
Depreciation-Transportation Equipment	28,959,463.82	19,003,899.46
Depreciation-Furniture, Fixtures and Book	2,683,348.55	2,453,279.39
Depreciation-Other PPE	1,517,088.42	1,439,480.77
Total Depreciation Expense	**363,681,703.47**	**302,531,917.79**

Note 29 – Impairment Loss

	2024	2023
Impairment Loss - Loans and Receivables	-	498,760.00

As of December 31, 2023, the account reflects an allowance for a long-outstanding receivable from the La Union Beekeepers Development Cooperative (LUBDCO), which has been dormant for 11 to 15 years. The PGLU has exhausted possible means to collect this amount and demand its liquidation. However, the receivable remains uncollected since the LUBDCO is already dissolved.

Note 30 – Losses

	2024	2023
Loss on Sale of Property, Plant and Equipment	-	472,252.90
Loss on Sale of Assets	-	199,955.07
Other Losses	6,283,233.44	1,223,235.00
Total Losses	**6,283,233.44**	**1,895,442.97**

The increase in Other Losses Account is due to the derecognition of various provincial roads due to replacement or betterment.

Note 31 – Reconciliation of Net Cash Flows from Operating Activities to Surplus/(Deficit)

	2024	2023
Surplus/(Deficit)	1,414,306,351.94	550,850,742.16
Non-cash expenses (Subsidy to NGAs and other LGUs, Semi-expendable	108,436,529.29	57,471,550.00
Non-cash income (Subsidy from National Government)	(224,306,274.52)	(272,623,267.65)
Depreciation	363,681,703.47	302,531,917.79
Grants and Donations in Kind (Income)	4,841,016.63	4,155,628.34
Increase/ (Decrease) in payables - operating activities	2,503,545.10	65,774,058.20
Impairment Loss/Other Losses	6,283,233.44	1,721,995.00
Decrease/ (Increase) in other current assets	6,097,332.16	(44,775,122.94)
Decrease/ (Increase) in receivables	50,908,517.91	(44,911,996.02)
(Gain)/Loss on Sale	-	672,207.97
Net Cash from Operating Activities	**1,732,751,955.42**	**620,867,712.85**

Note 32 – Restatement of Prior Year Financial Statements

In the course of CY 2024 Financial Statements preparation, the PGLU identified some errors in the reclassification as of December 31, 2023 of the balances in certain assets, liabilities, income and expense accounts of GF, TF, and SEF due to non-recognition of some transactions in the 2023 financial statements.

The significant amount of adjustment encompasses PPEs donated to various LGUs and national government agencies, which were initially recorded under the Government Equity account rather than as Subsidy to LGU or Subsidy to NGA. Subsidy to LGUs consists of the donation of the 33 units of Multi- purpose Health and Rescue Vehicles to the 33 Barangays of Bangar, La Union and a dump truck to Brgy. Santiago Sur, City of San Fernando, La Union. Subsidy to NGAs includes the donation of land, laptops and printers to DepEd, donation of vehicles to PNP, donation of various office equipment office equipment to DILG and PNP; donation of furniture and fixtures to the Family Court of Bauang, La Union,

The restatement also includes adjustments in order to adopt a consistent policy in depreciating PPEs by using the 5% estimated residual value in all PPEs subject for depreciation.

Other significant adjustments to some PPE accounts pertain to the application of the policy on the increase of capitalization threshold as provided in COA Circular No. 2024-006 dated March 14, 2024 re: Supplemental Guidelines on the Implementation by LGUs of COA Circular No. 2022-004 dated May 31, 2022, Prescribing the Guidelines on the Implementation of Section 23 of the General Provisions of RA No. 11639, also known as the GAA for FY 2022 relative to the increase in the capitalization threshold from ₱l5,000.00 to ₱50,000.00.

Impact on the Financial Statements

Account Title	December 31, 2023	Adjustment	Restated as at December 31, 2024
Due from Government-Owned and/or Controlled Corporations	33,822,555.00	(316,360.80)	33,506,194.20
Due from Other Funds	53,467,368.97	1,718,186.29	55,185,555.26
Due from Officers and Employees	405,821.84	13,494.35	419,316.19
Other Receivables	4,646,340.91	154,158.34	4,800,499.25
Accumulated Depreciation - Other Land Improvements	17,738,826.90	1,621,393.43	19,360,220.33
Road Networks	3,488,381,434.95	235,129,456.33	3,723,510,891.28
Accumulated Depreciation - Road Networks	532,892,457.28	32,831,316.69	565,723,773.97
Accumulated Depreciation - Flood Control Systems	16,361,682.15	1,322,101.87	17,683,784.02
Accumulated Depreciation - Water Supply Systems	15,852,025.23	1,743,042.19	17,595,067.42

Account Title	December 31, 2023	Adjustment	Restated as at December 31, 2024
Accumulated Depreciation - Power Supply Systems	102,250.64	67,079.88	169,330.52
Accumulated Depreciation - Parks, Plazas and Monuments	395,668.15	21,908.00	417,576.15
Accumulated Depreciation - Other Infrastructure Assets	60,079,892.44	5,956,035.48	66,035,927.92
Buildings	429,710,675.76	272,452,247.65	702,162,923.41
Accumulated Depreciation - Buildings	111,723,940.16	50,639,633.78	162,363,573.94
School Buildings	110,079,260.51	(60,670.00)	110,018,590.51
Accumulated Depreciation - School Buildings	31,828,292.40	1,264,402.50	33,092,694.90
Hospitals and Health Centers	338,917,050.64	(53,611.40)	338,863,439.24
Accumulated Depreciation - Hospitals and Health Centers	66,936,828.77	40,302,121.96	107,238,950.73
Other Structures	278,411,091.46	(75,160.00)	278,335,931.46
Accumulated Depreciation - Other Structures	31,499,330.92	7,602,402.34	39,101,733.26
Machinery	38,352,175.24	(272,395.00)	38,079,780.24
Accumulated Depreciation - Machinery	12,882,783.84	405,712.09	13,288,495.93
Office Equipment	40,081,156.56	(8,077,153.91)	32,004,002.65
Accumulated Depreciation - Office Equipment	26,226,025.86	(4,993,028.07)	21,232,997.79
Information and Communication Technology Equipment	150,029,233.81	(53,828,411.21)	96,200,822.60
Accumulated Depreciation - Information and Communication Technology Equipment	106,027,906.10	(30,031,946.94)	75,995,959.16
Agricultural and Forestry Equipment	3,302,330.00	(177,950.00)	3,124,380.00
Accumulated Depreciation - Agricultural and Forestry Equipment	2,889,650.89	(77,844.06)	2,811,806.83
Marine and Fishery Equipment	390,800.00	(155,000.00)	235,800.00
Accumulated Depreciation - Marine and Fishery Equipment	74,252.16	(29,449.92)	44,802.24
Communication Equipment	21,969,364.78	(6,326,406.17)	15,642,958.61
Accumulated Depreciation - Communication Equipment	15,448,803.85	(3,761,977.24)	11,686,826.61
Accumulated Depreciation - Construction and Heavy Equipment	93,316,555.18	2,421,890.15	95,738,445.33
Disaster Response and Rescue Equipment	58,483,081.00	(3,853,596.00)	54,629,485.00
Accumulated Depreciation - Disaster Response and Rescue Equipment	36,726,009.25	(1,273,696.77)	35,452,312.48
Military, Police and Security Equipment	6,757,301.00	(1,124,995.00)	5,632,306.00
Accumulated Depreciation - Military, Police and Security Equipment	3,985,706.55	(617,485.79)	3,368,220.76
Medical Equipment	373,082,997.11	(26,874,463.31)	346,208,533.80
Accumulated Depreciation - Medical Equipment	216,194,152.77	(10,294,830.55)	205,899,322.22
Technical and Scientific Equipment	15,099,724.38	(2,364,258.38)	12,735,466.00

Account Title	December 31, 2023	Adjustment	Restated as at December 31, 2024
Accumulated Depreciation - Technical and Scientific Equipment	8,839,468.57	(1,685,826.23)	7,153,642.34
Other Machinery and Equipment	52,475,785.35	(19,151,075.61)	33,324,709.74
Accumulated Depreciation - Other Machinery and Equipment	29,057,868.13	(11,953,876.78)	17,103,991.35
Motor Vehicles	279,191,372.38	(47,500.00)	279,143,872.38
Accumulated Depreciation - Motor Vehicles	130,499,759.94	6,897,210.90	137,396,970.84
Accumulated Depreciation - Watercrafts	4,905,390.70	75,382.73	4,980,773.43
Accumulated Depreciation - Other Transportation Equipment	70,807,382.80	1,342,111.07	72,149,493.87
Furniture and Fixtures	72,829,995.26	(27,988,108.97)	44,841,886.29
Accumulated Depreciation - Furniture and Fixtures	42,691,558.44	(14,170,673.04)	28,520,885.40
Books	202,291.00	(202,291.00)	-
Accumulated Depreciation - Books	122,678.74	(122,678.74)	-
Other Property, Plant and Equipment	21,721,098.97	(4,054,579.13)	17,666,519.84
Accumulated Depreciation - Other Property, Plant and Equipment	13,375,083.70	(2,285,089.87)	11,089,993.83
Accounts Payable	614,566,365.26	(515,208.24)	614,051,157.02
Due to Officers and Employees	10,534,887.12	(98,233.59)	10,436,653.53
Due to GSIS	11,722,257.81	144,808.70	11,867,066.51
Due to PhilHealth	1,897,854.45	1,351.04	1,899,205.49
Due to NGAs	107,646,651.01	(20,158,130.00)	87,488,521.01
Trust Liabilities - Disaster Risk Reduction and Management Fund	119,713,560.70	20,158,130.00	139,871,690.70
Other Payables	31,353,991.53	(191,618.00)	31,162,373.53
Government Equity	8,092,277,237.31	71,610,223.28	8,163,887,460.59
Rent Income	2,447,290.80	70,256.84	2,517,547.64
Hospital Fees	176,929,173.16	(195,282.80)	176,733,890.36
Subsidy from National Government	-	272,623,267.65	272,623,267.65
Miscellaneous Income	4,012,199.19	(1,212.09)	4,010,987.10
Salaries and Wages - Regular	404,546,831.61	(7,288.73)	404,539,542.88
Personal Economic Relief Allowance (PERA)	34,936,178.97	(363.64)	34,935,815.33
Retirement and Life Insurance Premiums	54,985,522.65	(33,219.33)	54,952,303.32
PhilHealth Contributions	8,789,418.60	(36.44)	8,789,382.16
Traveling Expenses - Local	11,290,758.52	(36,852.00)	11,253,906.52
Training Expenses	36,779,321.52	34,016.00	36,813,337.52
Drugs and Medicines Expenses	32,528,767.34	(49,900.00)	32,478,867.34
Semi-Expendable Machinery and Equipment Expenses	-	7,360,459.00	7,360,459.00
Semi-Expendable Furniture, Fixtures and Books Expenses	-	653,750.00	653,750.00
Other Supplies and Materials Expenses	112,793,134.45	(6,360.00)	112,786,774.45
Electricity Expenses	27,059,464.48	(18,181.50)	27,041,282.98
Other Professional Services	14,360,909.09	(12,000.00)	14,348,909.09
Other General Services	76,668,193.09	(3,407.50)	76,664,785.59

Account Title	December 31, 2023	Adjustment	Restated as at December 31, 2024
Repairs and Maintenance - Machinery and Equipment	3,805,590.94	(3,360.00)	3,802,230.94
Repairs and Maintenance - Transportation Equipment	14,528,710.05	(70,684.81)	14,458,025.24
Subsidy to NGAs	86,968.33	10,124,841.00	10,211,809.33
Subsidy to Other Local Government Units	13,320,000.00	39,332,500.00	52,652,500.00
Taxes, Duties and Licenses	5,893,639.19	(16,000.00)	5,877,639.19
Fidelity Bond Premiums	423,960.00	(7,500.00)	416,460.00
Printing and Publication Expenses	17,595,497.10	(125,703.00)	17,469,794.10
Representation Expenses	46,474,442.75	(117,492.00)	46,356,950.75
Rent Expenses	28,760,508.30	(48,660.00)	28,711,848.30
Subscription Expenses	1,480,345.17	(1,624.88)	1,478,720.29
Donations	112,590,145.70	(10,000.00)	112,580,145.70
Other Maintenance and Operating Expenses	49,200,717.24	(112,000.00)	49,088,717.24
Depreciation - Land Improvements	1,786,702.56	198,914.68	1,985,617.24
Depreciation - Infrastructure Assets	176,708,751.35	5,005,112.49	181,713,863.84
Depreciation - Buildings and Other Structures	29,411,824.36	10,450,743.24	39,862,567.60
Depreciation - Machinery and Equipment	65,282,164.92	(9,208,955.43)	56,073,209.49
Depreciation - Transportation Equipment	17,811,159.61	1,192,739.85	19,003,899.46
Depreciation - Furniture, Fixtures and Books	4,598,555.52	(2,145,276.13)	2,453,279.39
Depreciation - Other Property, Plant and Equipment	1,557,554.86	(118,074.09)	1,439,480.77

Note 33 – Reconciliation between actual amounts on a comparable basis as presented in this statement and in the Statement of Financial Performance for the Year Ended December 31, 2024

	Income	Personnel Services	MOOE	Financial Expenses	CO
Comparison Statement of Budget and Actual	**3,704,509,139.28**	**811,736,910.56**	**1,146,747,507.00**	**48,652,868.83**	**876,904,782.19**
Entity Differences	**201,200,529.87**	**-**	**150,754,414.81**	**-**	**-**
District Hospitals-Cash Pharmacies (Local Economic Enterprise) treated as revolving fund	3,793,515.15	-	-	-	-

	Income	Personnel Services	MOOE	Financial Expenses	CO
La Union Honeybee Center treated as revolving fund	2,130.00	-	-	-	-
Account recognized under TF	197,404,872.54	-	144,932,352.00	-	-
Account recognized under SHF	12.18	-	-	-	-
Consumed inventories donated by Office of Civil Defense	-	-	2,136,855.12	-	-
Consumed inventories donated by the Department of Health - Ilocos Center for Health Development	-	-	3,685,207.69	-	-
Basis Differences:	**183,914,936.53**	**-**	**496,632,573.57**	**(33,245,335.23)**	**(690,527,942.15)**
Income not considered budgetary items:					
Non-cash income	4,841,016.63	-	-	-	-
Transfers, Assistance and Subsidy From	224,306,274.52	-	-	-	-
Receipts not considered as income:					
Borrowings	(45,232,354.62)	-	-	-	-
Budgetary items not considered as expenses:					
Debt Service (Loan Amortization, Retirement of Debt Instruments)	-	-	-	(33,245,335.23)	-
Capital Expenditures	-	-	-	-	(674,731,465.15)
Cost of Sales	-	-	5,077,771.34	-	-
Expenses not considered budgetary					

	Income	Personnel Services	MOOE	Financial Expenses	CO
Non-cash expenses:					
Depreciation	-	-	363,681,703.47	-	-
Other Losses	-	-	6,283,233.44	-	-
Transfers, Assistance and Subsidy To	-	-	121,589,865.32	-	(15,796,477.00)
Timing Differences:	**-**	**-**	**37,416,020.52**	**-**	**-**
Prepayments charged to current appropriations	-	-	(6,875,379.76)	-	-
Expended prepayments charged to prior period appropriations	-	-	899,959.04	-	-
Unconsumed Inventories charged to current appropriations	-	-	(58,183,824.38)	-	-
Consumed Inventories and deferred charges charged to prior period appropriations	-	-	98,183,907.62	-	-
Consumed Inventories and deferred charges charged to prior period appropriations - Cost of Sales (revolving funds)	-	-	3,391,358.00	-	-
Other Reconciling Items:	**-**	**-**	**26,501,325.46**	**(9,878,031.78)**	**(186,376,840.04)**
Unliquidated Fund Transfers charged to current appropriations	-	-	(4,586,750.00)	-	-
Liquidated Fund Transfers charged to prior period appropriations	-	-	32,720,243.68	-	-
Commitment for CY 2024	-	-	(67,371,402.11)	(1,521,360.70)	(234,644,163.13)

	Income	Personnel Services	MOOE	Financial Expenses	CO
Commitments for previous years but recorded on the books of accounts as expenditures on CY 2024	-	-	50,824,950.27	-	41,784,705.66
Budgeted item under FE but treated as CO in the FS	-	-	-	(8,356,671.08)	8,356,671.08
Budgeted item under CO but treated as MOOE in the FS	-	-	1,994,003.65	-	(1,994,003.65)
Obligations on District Hospitals-Cash Pharmacies treated as revolving fund	-	-	(806,604.00)	-	-
Commitments for previous years under capital outlay but recorded on the books of accounts as MOOE for CY 2024	-	-	13,726,883.97	-	-
Commitments for previous years under MOOE but recorded on the books of accounts as capital outlay for CY 2024	-	-	-	-	119,950.00
Per Statement of Financial Performance	**4,089,624,605.68**	**811,736,910.56**	**1,858,051,841.36**	**5,529,501.82**	-

PART II

AUDIT OBSERVATIONS AND RECOMMENDATIONS

AUDIT OBSERVATIONS AND RECOMMENDATIONS

A. FINANCIAL AUDIT

Overstated Trust Liability- Local Disaster Risk Reduction and Management Fund (LDRRMF)

1. **The Trust Liability-LDRRMF account was overstated by ₱51,460,482.88 in the Statement of Financial Position (SFPo) compared to its balance disclosed in the corresponding Notes to Financial Statements (NFS), due to the failure to derecognize trust liabilities related to completed programs, projects, and activities (PPAs), contrary to the relevant provisions of COA Circular No. 2012-002, hence distorting the reported trust liabilities and impacting the presentation of the equity and related asset accounts, thereby undermining the fair presentation of PGLU's financial statements.**

    1.1. In accordance with Internation Public Sector Accounting Standards (IPSAS) 1-Presentation of Financial Statements, financial reporting must possess the qualitative characteristic of faithful representation, which means that for information to represent faithfully transactions and other events, it should be presented in accordance with the substance of the transactions and other events.

    1.2. COA Circular No. 2012-002 dated September 12, 2012 prescribes the accounting and reporting guidelines for the LDRRMF of Local Government Units (LGUs), National DRRMF (NDRRMF) given to LGUs, and receipts from other sources. Salient provisions relevant to the accounting for unused LDRRMF include.

    - Section 5.1.10 – All unexpended balance/unobligated balance of the Quick Response Fund (QRF) and the DRRMF- Maintenance and Other Operating Expenses (MOOE) shall be transferred to the Special Trust Fund (STF) under the account, "Trust Liability-LDRRMF" in the Trust Fund books.

    - Section 5.1.12 – The account Trust Liability-DRRM in the Trust Fund books shall be used to record transfers of the agency's unutilized QRF and the DRRMF-MOOE of the previous years, receipts of NDRRMF, DRRMF from other LGUs and other sources.

    - Section 5.1.14 – Equipment purchased out of Trust Liability-DRRM funds shall be recorded in the Trust Fund books and shall be transferred to the General Fund upon issuance of the equipment to the end user.

    - Section 5.1.16 – The amount of details of the unexpended balance of LDRRMF shall be disclosed in the NFS.

1.3. The Calendar Year (CY) 2024 financial statements of the Provincial Government of La Union (PGLU) presented a Trust Liability-LDRRMF balance of ₱177,908,060.58, with the corresponding disclosure provided in the NFS showing ₱126,447,577.70.

1.4. A reconciliation between the SFPo and the NFS revealed a difference of ₱51,460,482.88, attributable to unadjusted trust liabilities related to already implemented projects. The amount comprises of utilized balances from the STF and Transfers/Grants from Other Sources amounting to ₱46,143,102.88 and ₱5,317,380.00, respectively.

1.5. The Accounting Office clarified that the Trust Liability-DRRMF account was not derecognized because payments had not yet been made, and only the corresponding asset accounts and Accounts Payable were recognized upon completion of the PPAs. While the recognition of Accounts Payable was correctly recorded, the Accounting Office did not implement the necessary year-end adjusting entries to derecognize the Trust Liability-DRRMF, contrary to the requirements under COA Circular 2012-002.

1.6. Consequently, the Trust Liability-LDRRMF was overstated by ₱51,460,482.88, resulting in a corresponding understatement of the equity account by the same amount. While the asset accounts were not misstated in the consolidated financial statements, they were overstated in the Trust Fund books and understated in the General Fund books. Additionally, the depreciation expense related to the assets recorded under the Trust Fund should have been recognized in the General Fund.

1.7. Financial statements must be presented fairly in all material respects, in accordance with IPSAS and COA Circulars, as they serve as the primary basis for policy-making and funding decisions. The overstatement of the Trust Liability-LDRRMF also misrepresents the available appropriations and may lead to inappropriate allocation of funds to new PPAs. Furthermore, the unutilized balances, further compounded by the inclusion of overstated amounts, underscores deficiencies in the timely implementation of disaster risk reduction and management initiatives.

1.8. **We recommended that Provincial Governor direct the Provincial Accountant to:**

a. **prepare adjusting entries derecognizing the Trust Liability-DRRMF, the corresponding asset accounts and depreciation expenses under the Trust Fund books, and recognizing the same asset accounts, equity and depreciation expenses under the General Fund books; and**

b. **strictly comply with year-end accounting procedures and reporting requirements prescribed under COA Circular No. 2012-002 to ensure**

accurate fund presentation and faithful representation of financial transactions

1.9. Management acknowledged the observation. The Provincial Accountant said that the necessary journal entries have already been made to adjust the Trust Liability-DRRMF account.

1.10. However, the revised financial statements for CY 2024 incorporating the said adjustments were not submitted.

Unreliable Property, Plant and Equipment (PPE) Account Balances

2. Forty-nine (49) School Buildings totaling ₱27,142,467.28 were still recognized in the books despite indications that they may have already been replaced or no longer exist, due to the non-implementation of the procedures outlined in the One-Time Cleansing of PPE Accounts per COA Circular No. 2020-006 dated January 31, 2020 which undermines the accuracy and reliability of the balances in the Buildings and Other Structures-School Buildings account, along with its Accumulated Depreciation and Government Equity, amounting to ₱27,142,467.28, ₱25,785,343.95 and ₱1,357,123.33, respectively, contrary to IPSAS 17.

2.1. The PPE account generally represents a substantial amount of the total assets of an agency, which holds more than fifty percent thereof. It is thus imperative to establish the accuracy, completeness and existence of the PPE balances to ensure the fairness of its presentation in the statement of financial position of the agency.

2.2. Section 124 of Chapter 7, Volume I of the Manual on the New Government Accounting System (MNGAS) for LGUs provides that the physical count of PPE by type shall be made annually and reported on the Report on the Physical Count of Property, Plant, and Equipment (RPCPPE). This shall be submitted to the Auditor concerned not later than January 31 of each year.

2.3. On the other hand, Paragraph 82 of IPSAS 17 states that "the carrying amount of an item of property, plant, and equipment shall be derecognized (a) on disposal; or (b) when no future economic benefits or service potential is expected from its use or disposal.

2.4. On January 10, 2025, the Audit Team received a letter of invitation from PGLU, inviting COA's presence during the province's year-end inventory process. Among the PPE accounts selected for the physical inventory count is the Buildings and Other Structures–School Buildings account. The actual physical inventory which included this account was conducted from January 23 to 24, 2025.

2.5. A review and analysis of the School Buildings account as of December 31, 2024, showed that it consists of 53 PPEs with a total acquisition cost of ₱41,481,298.92 and Accumulated Depreciation of ₱26,447,928.83.

2.6. During the physical inventory, the Audit Team was informed by the representatives from the PGLU's Inventory Committee that out of the 53 School Buildings recorded in the books, they could only identify and locate for physical count the two recent projects in CY 2024. For the remaining 51 School Buildings, they stated that they have no knowledge of their whereabouts and thus can no longer pinpoint or locate the actual structures.

2.7. Records indicate that these 51 school buildings totaling ₱27,333,587.28 were constructed as early as 1980, with the most recent ones built in 1992. It was explained that they have no available supporting documents on file over these buildings and locating these reports poses a significant challenge as they pertain to prior years. Moreover, no formal turnover of records was conducted by previous personnel responsible for the PPEs. Consequently, they could not verify the exact locations of the buildings, as they may have already been demolished and replaced due to their age, deteriorated condition and natural calamities.

2.8. Although it was claimed that the School Buildings could no longer be pinpointed or located, the Audit Team requested conducting a sample on-spot site visit to four School Buildings which are along the vicinity of the other structures subject for inventory to confirm the actual status and conditions of the buildings.

2.9. In coordination with several school officials and personnel, the results of the inspection revealed that:

a) At Bacnotan Central School, the Principal's secretary confirmed that the recorded 12 classrooms school building built in 1991 with a cost of ₱1,482,605.10 and currently has a carrying amount of ₱74,130.25 had already been replaced with a new one due to its deteriorated condition.

b) At North Central School, the Principal confirmed that the recorded building built in 1991 amounting to ₱416,000.00 had also been replaced with a new one.

c) At La Union National High School, two buildings were recorded in the PGLU's books in the year 1980. Upon validation, Building No. 1 with a recorded amount of ₱133,920.00 remains but is no longer in use due to safety concerns and is subject to demolition. Building No. 2 with a cost of ₱57,200.00 is still existing but have been expanded with extensions connecting them to newer structures.

2.10. Two of the buildings have been replaced or no longer exist, while the other two (2) still exists - one (1) is set for demolition, and the other has been rehabilitated or improved. This indicates that the some of the remaining 47 School Buildings, which were not subjected for physical inventory may also have been replaced or are no longer in existence. However, the actual status and condition cannot be confirmed due to the lack of a physical inventory.

2.11. An annual physical inventory count is crucial to verify the existence of PPEs, as this directly impacts the fair presentation of the financial statements. Furthermore, when a School Building is replaced, destroyed, or demolished, it no longer provides economic benefits to the agency and should therefore be derecognized from the books. Continued recognition of such assets affects the accuracy and reliability of the account balance.

2.12. As such, even if Management is uncertain about the exact locations of the School Buildings, it is suggested that they coordinate with the schools, as there might still be someone from the school who might have knowledge of the buildings' whereabouts and confirm if they still exist or have already been replaced. Non-existing PPEs should then be derecognized following the procedures outlined in COA Circular No. 2020-006 dated January 31, 2020.

2.13. COA Circular No. 2020-006 was issued to provide guidelines and procedures on inventory taking, recognition of those found at the station, and disposition for non-existing/missing PPE items for the one-time cleansing of PPE accounts of government agencies to establish PPE balances that are verifiable as to existence, condition, and accountability. Section 6 of the Circular specifically identified the actions to be undertaken before and during the inventory count. Detailed actions for the non-existing/missing PPEs were also identified for their disposition and derecognition under Section 8 of the Circular.

2.14. As to date, Management has not yet conducted and implemented the One-Time Cleansing of PPE accounts. During a meeting, the Provincial General Services Officer (PGSO) shared that preparations for the one-time cleansing have begun, pending budget approval. The process will require additional manpower due to the complexity and extent of the procedures. Once preparations are complete and ready for implementation, they committed to notify the Audit Team.

2.15. In summary, the uncertainties that the 49[1] School Building were already replaced or no longer exist undermines the accuracy and reliability of the balances of the Buildings and Other Structures-School Buildings account along with its Accumulated Depreciation and Government Equity, in the amounts of ₱27,142,467.28, ₱25,785,343.95 and ₱1,357,123.33, respectively, contrary to IPSAS 17.

[1] The total 51 buildings constructed in 1980-1991, excluding the two buildings located at La Union National High School as determined during the Audit Team’s physical inventory

2.16. **We recommended that the Provincial Governor direct the:**

a. **PGSO in collaboration with the Inventory Committee to conduct a thorough verification of all the school buildings still recorded in the books of account. As an initial step, the PGSO may coordinate with the respective schools and request their assistance in determining the status and conditions of the buildings. In cases where buildings have been replaced or demolished, the PGSO must ensure that all necessary documentation is prepared in compliance with COA Circular No. 2020-006 dated January 31, 2020, and subsequently submitted to the Provincial Accountant to facilitate the appropriate adjustments in the accounting records;**

b. **Provincial Accountant to derecognize from the books of accounts the identified School Buildings that were already demolished or replaced based on the necessary documentations to be submitted by the PGSO. Likewise, there should be a close coordination between the Property and Accounting Division for the regular reconciliation of PPE records to prevent similar discrepancies in the future.**

2.17. **For the school buildings identified that are still existing and in use by the schools, we reiterate our previous year's recommendation regarding the transfer of properties not held for use by PGLU for the fair presentation of the PPE accounts.**

2.18. Management acknowledged the audit observation and recommendations. The PGSO informed that they had already conducted validation from April 24 to 29, 2025, to assess the status of school buildings still recorded in the books of accounts. The PGSO noted that some buildings were found to be demolished, missing, or unverifiable, and that these will be included in the One-Time Cleansing.

2.19. The Provincial School Board Secretariat reported that, for the school buildings that have not yet been transferred, a Deed of Donation has already been drafted. However, the Department of Education La Union Schools Division Office has not yet submitted the required supporting documents due to the recent reshuffling of School Heads. In contrast, the City Schools Division of La Union has already provided the necessary information.

Unreliable Commitments

3. **The commitments declared by the PGLU totaling ₱90,556,883.35, were found to be unreliable which resulted in the (a) understatement of expenses in the Statement of Financial Performance (SFPe), and assets in the SFPo by ₱22,977,807.84 and ₱44,632,237.80, respectively; (b) overstatement of actual**

amounts in the Statement of Comparison of Budget and Actual Amounts (SCBAA) by ₱12,401,874.83; and (c) inaccurate presentation of reconciliations in the NFS, due to inconsistencies in records and reports, and the absence of supporting documentation, which are contrary to relevant provisions of the IPSAS 1, and the Government Accounting Manual (GAM) for LGUs, thereby impairing the fair presentation of the financial statements.

3.1. IPSAS 1 requires the faithful representation in financial reporting which requires that financial information reflect the substance of transactions and other events accurately and completely.

3.2. A thorough and comprehensive review of the financial statements necessitates cross-referencing with supplementary financial reports and schedules, and detailed scrutiny of disclosed accounts and explanatory notes. In cases where financial reports are integrally interrelated, the reconciliation statement of reported amounts is typically provided in the NFS to account for differences and ensure the accuracy and reliability of reported balances.

3.3. For instance, the "Actual Amounts" reported in the SCBAA are reconciled with the expenses and assets presented in the SFPe and SFPo, respectively. It is important to note that the SCBAA reflects obligations incurred within the year, representing contractual commitments. In contrast, the SFPe and SFPo record expenses and assets upon actual delivery of goods or rendition of services. The recognition difference primarily stems from timing of recording: transactions are recorded in the SCBAA upon the perfection of contract or incurrence of obligation, whereas recognition in the SFPe or SFPo occurs only when the corresponding goods or services have been delivered or rendered.

3.4. In the CY 2024 financial statements, the PGLU disclosed a total commitment of ₱303,536,925.94 in the NFS. This amount was presented as reconciling the difference between actual amounts recorded in the SCBAA, and expenses and assets recognized in the SFPe and SFPo, indicating that these obligations were already contracted but had not yet been delivered or rendered as of year-end. This is consistent with the definition of "commitment" under the GAM for LGUs which provides: *"Commitment is an obligation for which a contract has been perfected; however, the corresponding liability has not been recognized as of the financial statement date due to the non-delivery of procured goods or services*."

3.5. Upon review, the Audit Team identified several deficiencies impacting the accuracy of the disclosed commitments and their effect on both the SFPe and SFPo, as follows.

3.6. ***A total amount of ₱67,610,045.64 was already delivered or rendered as confirmed in the Procurement Monitoring Report (PMR), thus meeting the criteria for recognition as an expense or an asset amounting to***

₱22,977,807.84 and ₱44,632,237.80, respectively. As such, these items should not have been classified as commitments. Conversely, ₱19,176,512.90 of the declared commitments could not be traced in the PMR, casting doubt on the existence of these obligations.

3.7. Section 4.1 of Government Procurement Policy Board (GPPB) Circular No. 03-2015 provides that the PMR is a semestral report on procurement activities specified in the Annual Procurement Plan (APP), whether ongoing or completed. It covers major activities from pre-procurement to contract approval, delivery, and acceptance.

3.8. PGLU's PMR adheres to this prescribed format and contains key dates and statuses for each procurement activity. This makes the PMR a critical tool for monitoring project implementation and, by extension, an important reference for ensuring the completeness and accuracy of financial reporting. However, the Accounting Office failed to utilize the PMR as a supporting document in preparing the financial statements.

3.9. The Audit Team relied on the PMR for its evaluation, especially given the limited availability of supporting documents provided by the Accounting Office to identify unrecorded transactions. In prior years, the Audit Team noted that adjustments made by the Accounting Office could have been recognized in earlier periods had appropriate documentation been submitted on time.

3.10. The comparison between PMR-reported deliveries and PGLU's declared commitments revealed that goods and services totaling ₱67,610,045.64 had already been delivered or rendered. These should have been recognized as expenses (₱22,977,807.84) or assets (₱44,632,237.80), with corresponding liabilities recorded, rather than disclosed as commitments.

3.11. The Accounting Office cited a cutoff date of December 27, 2024, for recognition of deliveries or transactions. However, the Audit Team identified transactions involving items delivered before this date, including those used in completed events such as *LGBTQ+* celebrations, *PWD* youth activities, Bio-Rescue programs, *WASH* initiatives, and training sessions. These should not be considered as "commitments", as their actual use was evident and documented during program execution, despite the lack of delivery documents.

3.12. Moreover, the Accounting Office claimed that the PMR was unreliable and, thus not considered in the preparation of the financial statements. The Audit Team strongly emphasizes that the PMR is officially submitted to the GPPB and published on the agency's website. Dismissing its reliability contradicts the principles of transparency and accountability that the report is designed to uphold. Furthermore, the faithful presentation of financial statements necessitates consistency with other financial records and reports.

3.13. ***Commitments totaling ₱31,642,649.51 were not supported by the required documentation. Of this amount, ₱10,558,511.27 were also unrecorded in the PMR*.**

3.14. Section 4(6) of Presidential Decree (PD) No. 1445 mandates that claims against government funds must be supported with complete documentation. For commitments, this documentation should include everything from the Purchase Request (PR) to the Purchase Order (PO) or contract. Although the Accounting Office submitted PRs, Obligation Requests, and POs/Contracts, the documentation for ₱31,642,649.51 of the total ₱303,536,925.94 in commitments was not provided.

3.15. Notably, these unsupported transactions totaling ₱10,558,511.27 were also absent from the PMR. Complete and verifiable documentation ensures that transactions are valid, substantiated, and properly recorded. While the Accounting Office may eventually adjust entries when inadequacies are discovered, premature recognition of such commitments can distort appropriation balances and affect the implementation of PPAs. Additionally, since PGLU has been declaring prior years' savings based on these statements, it is crucial to observe fair and accurate presentation.

3.16. ***The total amount of ₱12,401,874.84 disclosed as commitments was not supported by perfected contracts*.**

3.17. A PO or contract serves as the formal agreement between the procuring entity and the supplier. The PO becomes legally binding and effective only upon the affixing of signatures by both parties.

3.18. The Audit Team noted that the amount of ₱12,401,874.84, disclosed as year-end commitments in the NFS was not supported by perfected contracts. The PMR also shows absence of contract signing for transactions totaling ₱603,380.00. While the submitted documents included POs and contracts dated within CY 2024, these were only signed by the suppliers in the ensuing year. In the absence of the supplier's signature, no contract was perfected as of December 31, 2024. As such, the transactions do not meet the definition of a "commitment" which requires that obligations must be based on perfected contracts.

3.19. Therefore, the total amount of ₱12,401,874.84 should not have been recognized as actual obligations in the SCBAA, nor should it have been disclosed as a commitment in the NFS.

3.20. Furthermore, pursuant to Section 322 of the Local Government Code (LGC) of 1991, any unexpended balances of appropriations authorized in the annual appropriation ordinance shall revert to the unappropriated surplus of the General Fund at the end of the fiscal year and shall no longer be available for obligation or disbursement unless re-authorized by a subsequent legislative enactment. Consequently, the ₱12,401,874.84 should have been reverted to the General Fund, and no payment should be made from this amount in the ensuing year without proper legislative authority.

3.21. It was also observed that the Accounting Office uses the PO date as the basis for recording obligations in the financial statements. However, in matters related to implementation such as the computation of liquidated damages, the supplier's actual date of signing is used. This inconsistent application of recognition criteria undermines the integrity and reliability of financial reporting and creates confusion in the proper timing of recognition and accountability.

3.22. In conclusion, the presence of inconsistencies in recordkeeping, insufficient supporting documentation, and non-compliance with standard accounting practices has materially affected the fair presentation of the PGLU's financial statements. These issues reduce the transparency, reliability, and utility of financial information and may significantly hinder informed decision-making by Management and oversight bodies.

3.23. **We recommended that the Provincial Governor direct the Provincial Accountant to:**

a. recognize all delivered goods and rendered services as expenses or assets with corresponding liabilities. For items that were genuinely undelivered as of December 31, 2024, require submission of:

(i) a certification from the (a) Provincial Inspection Committee (PIC) confirming non-delivery, and (b) end-users attesting non-distribution of items or non-conduct of activities or events, where applicable; and

(ii) a revised PMR, duly received by GPPB and published in PGLU's official website, in coordination with the Bids and Awards Committee (BAC);

b. correct the reconciliation statement in the NFS to reflect only substantiated commitments. If still claimed as valid commitments, submit the revised PMR and complete supporting documentation;

c. revise the SCBAA by reducing the reported actual amounts by ₱12,401,874.84, representing transactions without perfected contracts as of year-end. If these are later validated as valid obligations, submit the actual PO reflecting the true date of contract perfection. Otherwise, these transactions must not proceed in the ensuing year, as they do not constitute valid obligations under CY 2024;

d. For subsequent years:

(i) Review and validate the commitments disclosed in the NFS, ensuring that only undelivered goods/services with complete supporting documentation are classified as such and correctly reported in the PMR and other financial reports;

(ii) Rigorously validate a certification from the PIC confirming non-delivery;

(iii) Fully utilize the PMR as a financial reporting and monitoring tool;

(iv) Ensure that all POs and contracts are duly signed by the supplier before recognizing them as commitments or obligations in the accounting records; and

(v) Strengthen internal controls over financial reporting cut-offs to ensure accurate timing of expense and asset recognition, thereby preventing misstatements or delays in recording transactions in the appropriate periods.

3.24. The Provincial Accountant explained that, upon verification, the PMR submitted by the BAC Secretariat included items that were not actually delivered as of December 31, 2024, but were inadvertently reported as delivered. The concerned office is currently conducting a comprehensive review of all listed items in the PMR to facilitate the necessary adjustments. Management also assured the implementation of all other audit recommendations.

3.25. It was also mentioned that the prevailing practice of the PGLU was to obligate funds upon the signing of the PO. However, Management has committed to adhere to the recommendation that obligations shall only be made once the PO is duly received and acknowledged by the supplier.

Doubtful Biological Assets

4. The accuracy, completeness, and valuation of the reported Biological Assets of the PGLU as of December 31, 2024, could not be reliably ascertained, due to several deficiencies, including (1) the failure to properly conduct and submit the annual physical inventory report; (2) discrepancies between the accounting records, physical count, and inventory reports; (3) the outright derecognition of biological assets without supporting documentation; and (4) the absence of proper valuation, contrary to the requirements of the MNGAS for LGUs, PD No. 1445, and IPSAS 27, impacting the accuracy of the PGLU's financial reporting, and accountability over public resources.

4.1. Section 124, Chapter 7, Volume I of the MNGAS for LGUs prescribes that a physical count of property, plant, and equipment, including biological assets such as work animals and breeding stocks, must be conducted annually and reported in the RPCPPE, to be submitted not later than January 31 following the year-end. Moreover, Section 114 mandates that the General Services Officer or the designated accountable officer must maintain property cards for work animals, which should reconcile with the ledger cards of the Accounting Office and other property records such as the Property Acknowledgment Receipt.

4.2. However, the Audit Team had not received a formally submitted RPCPPE from the PGLU within the regulatory deadline. Although an advance, unofficial copy covering the breeding stocks was provided during inspection, discrepancies between the accounting records and the RPCPPE were immediately evident. A comparison revealed that while the books recorded only nine goats, the RPCPPE listed 21, resulting in a variance of 12 animals. Furthermore, inspections conducted at the breeding stations in Agoo and Balaoan revealed additional inconsistencies, as follows:

4.3. *Agoo Breeding Station* – only five adult goats and one kid were physically accounted for during the Audit Team's inspection, while the RPCPPE indicated a total of 10, and the books reflected four animals. Of the four goats recorded in the accounting books, only one was confirmed to be present.

4.4. Interviews with the station caretaker, Dr. Alexander Mamuyac, revealed that multiple deaths occurred in September 2024, but were not promptly reported. Consequently, the deceased animals could not be subject to necropsy, and no request for relief from accountability was filed within the mandated 30-day period as provided under Section 73(1) of PD No. 1445 and COA Memorandum No. 92-751 dated February 24, 1991. Although Dr. Mamuyac took the initiative to replace some of the missing animals, such action does not substitute the procedures outlined under the COA Memorandum in cases of loss of property. The required reports, including the Notice of Loss and supporting documentation for the request for relief from accountability, were not submitted to the Accounting Office and the COA.

4.5. Furthermore, it was confirmed that one goat died in January 2025, as evidenced by the request of relief from accountability submitted to this office. Notably, this goat was included in the RPCPPE but was not in the accounting books.

4.6. *Balaoan Breeding Station* – a similar discrepancy was observed wherein 18 adult goats and six kids were physically accounted for. However, the RPCPPE reflected only 10, and the books recorded merely five. Two goats were reported to have died around April 2025, but no formal request for relief was submitted to COA, leaving the Accounting Office with no documentary basis for derecognition.

4.7. Further, the Audit Team noted that Journal Entry Voucher (JEVs) were drawn to derecognize 49 goats and one cattle in December 2024 due to reported mortality. However, the derecognitions were made without the required reports and Notice of Loss. Section 54 of the MNGAS provides that in case of loss of property, a report thereon shall be prepared by the accountable officer concerned for purposes of requesting relief from accountability. No accounting entry shall be made but the loss shall be disclosed in the NFS pending result of request for relief from accountability.

4.8. The Provincial Accountant acknowledged that the Office of the Provincial Veterinarian (OPVet) failed to submit the required documents, despite repeated reminders. Notably, these same assets had previously been derecognized in 2023 but were re-entered in the books on the same day due to the same lack of documentation, highlighting a repeated pattern of procedural non-compliance.

4.9. Moreover, the conduct of proper valuation of the biological assets was not undertaken. As required under IPSAS 27, biological assets shall be measured at fair value less costs to sell, both upon initial recognition and at each reporting date. However, no valuation reports were submitted by the OPVet, and the Provincial Accountant disclosed that no adjustments were made for biological transformations, specifically, growth, reproduction, or mortality because the valuation inputs from the OPVet were lacking. The continued non-adjustment of the balance contradicts the standard's requirement of reflecting the fair value or depreciated cost of Biological Assets at each reporting period, and resulted in the inaccuracy of the reported balance in CY 2024.

4.10. The aforementioned findings highlight the need for a reassessment of the recorded Biological Assets. The observed patterns of growth, decline and reproduction during the Audit Team's inspection further strengthen the urgency of updating their valuation to accurately reflect changes. As such, the use of Work, Other Animals and Breeding Stocks Ledger Card in accordance with the MNGAS shall be used to document changes for accurate, transparent, and systematic management and valuation of Biological Assets.

4.11. As a result, the existence, completeness, and valuation of the biological assets totaling ₱177,836.73 as of December 31, 2024 cannot be ascertained. The lack of credible supporting documentation, non-compliance with inventory reporting deadlines, the inappropriate handling of asset losses, and the failure to apply proper accounting standards all undermine the integrity of financial reporting of the PGLU.

4.12. Further, although the amount is not significant to affect fair presentation of the financial statements, these conditions increase the risk of asset misappropriation, unreported losses, and misstatements that could materially affect the PGLU's accountability over public resources.

4.13. **We recommended that the Provincial Governor direct the:**

a. Provincial Veterinarian to:

(i) conduct periodic assessments of Breeding Stocks in accordance with the measurement principles provided under IPSAS 27, taking into account changes in growth, degeneration, and reproduction;

(ii) submit a monthly assessment report of the breeding stocks to the Provincial Accountant to ensure timely and accurate recording in the financial reports;

(iii) prepare a Work, Other Animals and Breeding Stocks Ledger Card for each recorded breeding stock, reflecting important changes such as growth, aging, births, deaths and transfers between farmers; and

(iv) promptly prepare and submit a request for relief of accountability, along with complete supporting documents, for any loss of goats and other biological assets, within the prescribed period as required by applicable regulations.

b. Provincial Accountant to:

(i) revert the journal entries related to the derecognition of 49 goats and one cattle, as recorded in JEV Nos. 2024-12-018391 and 2024-12-000615;

(ii) ensure that any future derecognition of biological assets strictly complies with the provisions of the MNGAS and is supported by complete and appropriate documentation prior to making any adjustments in the books of accounts; and

(iii) record biological assets at fair value less to cost to sell as of the reporting date, and recognize any resulting gain or loss from the initial recognition and subsequent changes in fair value less cost to sell, in accordance with applicable accounting standards

c. PGSO to:

(i) conduct a thorough and accurate year-end physical inventory of all biological assets, in coordination with the OPVet, and ensure that the results are properly documented and accurately reflected in the RPCPPE;

(ii) submit the updated RPCPPE to the COA not later than January 31 of each year to ensure timely and accurate recording of all government assets; and

(iii)strengthen monitoring and coordination mechanisms with the OPVet and the Provincial Accountant to ensure consistency and reconciliation between the physical inventory, the RPCPPE, and the books of accounts.

4.14. The Management expressed no disagreement to the audit observations and recommendations. The PGSO reported that they had already validated the breeding stocks in April, and acknowledged lapses in the derecognition of biological assets. Management committed to revisiting the recording procedures among the Office of PGSO, OPVet, and Accounting Office to ensure consistency in the tracking and reporting of such assets. It was further clarified that delays in the submission of requests for relief from accountability were due to the time required for the preparation of supporting resolutions. Additionally, the Provincial Accountant confirmed that the necessary journal entries to adjust the Biological Assets account have already been made.

B. OTHER FINANCIAL RELATED ISSUES

Deficiencies in budgetary process

5. Several deficiencies were observed in the budgeting process and its execution by the PGLU, including the (a) enactment of appropriations for prior period expenses; (b) premature obligation of fund transfers; and (c) the appropriation of expenditures not aligned with public purpose, contrary to key provisions of the LGC of 1991, PD No. 1445, and IPSAS due to lapses in project implementation, thus affecting the integrity, reliability, and credibility of the PGLU's financial reporting and overall public accountability.

5.1. ***Enactment of appropriations for prior period expenses***

5.2. Section 322 of the LGC of 1991 provides that *"unexpended balances of appropriations authorized in the annual appropriations ordinance shall revert to the unappropriated surplus of the general fund at the end of the fiscal year and shall not thereafter be available for the expenditure except by subsequent enactment."* Similarly, Section 328 of the LGC states that *"Appropriations for ordinary administrative purposes not duly obligated shall terminate with the fiscal year and all unexpended balances thereof shall be automatically reverted on the thirty-first (31st) day of December of each year to the general fund of the local government unit."*

5.3. In CY 2024, the PGLU appropriated and obligated salary differentials and terminal leave benefits totaling ₱135,930.60, covering the services rendered during CYs 2020 to 2023. The obligation was processed on December 12, 2024, and the corresponding disbursement was made on December 19, 2024. These expenditures were appropriated through an enacted appropriation ordinance under Supplemental Budget No. 8.

5.4. However, the enactment of this appropriation ordinance appears to be inconsistent with the aforementioned provisions of the LGC. The appropriations relate to prior-year obligations, which should have been duly recognized and appropriated in their respective fiscal years.

5.5. An interview with the Provincial Accountant disclosed that the delay in recognizing these obligations was partly due to the high volume of transactions processed annually.

5.6. While employees have a statutory entitlement to salary differentials and terminal leave benefits, the failure to provide timely appropriations and obligations in the applicable calendar years raises issues concerning the validity and timing of the recognition of such benefits.

5.7. This improper legislative action not only contravenes established budgetary provisions but also compromises the fair presentation of financial statements. Section 119 of PD No. 1445 requires that all lawful expenditures and obligations be recognized within the fiscal year to which they pertain. Furthermore, the application of IPSAS 1 supports the accrual basis of accounting, which requires that expenses be recognized when liabilities are incurred, not merely upon disbursement.

5.8. As a result, the 2024 financial statements reflect obligations incurred in prior years, thereby undermining compliance with budgetary accounting principles and the fair presentation of financial information.

5.9. ***Premature Recognition of Fund Transfers to Non-Government Organizations/Private Organizations (NGOs/POs) and LGUs***

5.10. COA Circular No. 2015-009 dated December 1, 2015 was issued to prescribe the use of the Revised Chart of Accounts for LGUs in recording and reporting the financial transactions of LGUs. The Circular provides the following descriptions of accounts:

- Due from NGOs/POs - This account is used to record amount of advances granted to NGOs/POs for implementation of specific projects.

- Due from LGUs - This account is used to record amount of advances for purchase of goods/services as authorized by law, fund transfers to the LGUs for implementation of projects, share from LGUs income and other receivables.

5.11. Meanwhile, liabilities as defined by IPSAS 1 are present obligations of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits or service potential.

5.12. At year-end, it was noted that the Provincial Accountant recognized obligations for fund transfers to NGOs/POs and other LGUs totaling ₱2,510,250.00, despite the absence of actual fund transfers. In accordance with applicable accounting principles and definitions previously cited, the recognition of receivables and liabilities should occur only upon the actual transfer of funds, which, in this case, is scheduled for 2025. Nevertheless, the Accounting Office recorded Other Payables amounting to ₱2,510,250.00, corresponding to Due from NGOs/POs and Due from LGUs in the amounts of ₱1,290,250.00 and ₱1,220,000.00, respectively.

5.13. Notably, the only supporting documents submitted were the Obligation Requests, with no Memorandum of Agreement (MOA) or fund transfer documentation. This premature recognition of receivables is inappropriate and also imposes undue accountability on the recipient NGOs/POs and LGUs, as it implicitly expects them to liquidate funds that have not yet been received.

5.14. This issue was similarly observed in the previous year's transactions, wherein obligations were recorded at the end of CY 2023, although the actual fund transfers were made only in CY 2024. This practice appears to be primarily intended to avoid reversion of unutilized funds to the General Fund due to non-implementation of programs. Management acknowledged the non-implementation of these programs, and admitted that obligations were recorded at year-end to enable implementation in the following year. However, this practice deviates from established budgeting and accounting policies and contradicts the provisions of the LGC and PD No. 1445, which mandate that obligations be recognized only within the fiscal year in which the corresponding liabilities are actually incurred.

5.15. It is further noted that several obligations recorded at the beginning of the year remained unliquidated as of year-end 2024, indicating a lack of commitment between parties. Henceforth, the practice of recording obligations at year-end without actual fund transfers or supporting documentation not only undermines compliance with accounting and budgetary regulations, but also introduce inefficiencies and potential risks in program implementation.

5.16. Consequently, the accounts Due from NGOs/POs, Due from LGUs, and Other Payables, were overstated by ₱1,290,250.00, ₱1,220,000.00, and

₱2,510,250.00, respectively, affecting the fair presentation of the financial statements.

5.17. ***Appropriation of expenditures not aligned with public purpose***

5.18. On December 13, 2024, the PGLU enacted Appropriation Ordinance No. 017-2024, through Supplemental Budget No. 15, to appropriate ₱2,735,000.00 for the "*Pasko ng Empleyado*" program. However, the Department of Budget and Management (DBM), exercising its review power under the LGC, rendered the appropriation inoperative in its entirety. The DBM cited violations of the following legal provisions:

- Section 305(b) - Local government funds and monies shall be spent solely for public purposes.

- Section 355 – No public money or property shall be appropriated or applied for religious or private purposes.

5.19. Although Management claimed that no disbursements were made against this appropriation, audit procedures revealed the existence of related Obligation Requests. Management further explained that these obligations were later reversed and the corresponding documents corrected. However, these corrections have yet to be fully validated.

5.20. It is emphasized that the foregoing observations highlight a deficiency in the internal review and control processes related to budget proposal evaluation and appropriation authorization. The approval and processing of an appropriation lacking a clear legal basis, despite passing through several levels of review, indicates weaknesses in budgetary compliance and oversight mechanisms within the PGLU.

5.21. **We recommended that the Provincial Governor direct the:**

a. Provincial Budget Officer to:

(i) stop the practice of appropriating prior period expenses and ensure that all expenditures, particularly those involving mandated employee benefits, are properly appropriated and obligated within their respective fiscal years, in accordance with applicable budgeting and accounting laws, rules and standards;

(ii) discontinue the practice of obligating fund transfers to NGOs/POs and other LGUs without the actual release of funds and in the absence of complete and appropriate supporting documentation, in adherence to applicable accounting and auditing regulations; and

(iii) strengthen internal legal and technical review mechanisms for all proposed appropriations to ensure strict compliance with the public purpose requirement, as mandated under Sections 305(b) and 355 of the LGC. Additionally, submit a written certification formally cancelling all Obligation Requests that were processed against appropriations deemed inconsistent with this requirement.

b. Provincial Accountant to:

(i) record appropriate prior period adjustments for expenditures incurred in prior years but recognized in the current period, and restate the latest comparative financial statements to ensure fair presentation and compliance with the accrual basis of accounting and relevant provisions of IPSAS 1; and

(ii) correct the accounting entries related to fund transfers to NGOs/POs and LGUs that were recorded in advance of actual disbursement or without adequate supporting documents, and ensure that the implementation of such obligations is discontinued.

5.22. The Provincial Budget Officer noted that while the salary step increment had been properly appropriated in the previous year, the Human Resources (HR) Office failed to prepare the payroll on time, resulting in the non-obligation of the corresponding funds within the same fiscal year. It was clarified, however, that the supplemental budget was sourced from prior year savings. The Provincial Budget Officer further stated that close coordination with the Accounting Office will be undertaken to determine whether the obligations should be continued or canceled. The Provincial Accountant also affirmed their commitment to implement the recommendations of the Audit Team.

Lapses in the implementation of Republic Act (RA) No. 9184

6. Several infractions of the 2016 Revised Implementing Rules and Regulations (IRR) of RA No. 9184, otherwise known as the Government Procurement Reform Act, were identified during the competitive bidding process for goods and infrastructure projects due to inadvertent oversight and the high volume of procurements handled by the BAC and its Technical Working Group (TWG), thereby undermining the core principles of transparency, accountability, efficiency, and competitiveness in public procurement. Additionally, non-adherence to the prescribed timelines set forth in the IRR adversely affects the timely delivery and completion of projects, potentially depriving constituents of prompt access to the intended benefits.

6.1. The 2016 Revised IRR, issued pursuant to Section 75 of RA No. 9184, sets the rules and regulations for modernizing, standardizing, and regulating procurement activities of the Government of the Philippines (GoP). It upholds the GoP's commitment to good governance by ensuring transparency, accountability, equity, efficiency, and economy in all phases of the procurement process.

6.2. Competitive bidding is a procurement method that is open to all interested parties. It involves several key processes, including advertisement, pre-bid conference, eligibility screening of prospective bidders, the receipt and opening of bids, bid evaluation, post-qualification, and contract awarding. This method ensures a fair and transparent selection process, providing equal opportunities and promoting competition among bidders, ultimately aiming to achieve the best value for the government.

6.3. The Audit Team conducted an auditorial contract review of 19 sampled goods and infrastructure projects, totaling ₱247,473,073.79. These projects were awarded in CYs 2023 and 2024, with payments made from various funds in CY 2024. However, the following infractions were identified during the review.

6.4. ***The post-qualification process for the three procurements of goods took between 23 to 45 days, significantly exceeding the allowable period of 12 days as prescribed under Section 34.8 of the 2016 Revised IRR of RA 9184. These delays occurred without the requisite approval for extensions from the Head of the Procuring Entity (HoPE), thereby constituting a violation of procurement timelines and procedures.***

6.5. The Audit Team noted a prolonged post-qualification process in which the Procuring Entity (PE) exceeded the allowable 12-day period for completing the process of three procurements of goods.

6.6. Section 34.8 of the 2016 Revised IRR of RA No. 9184 stipulates that the post-qualification process must be completed in not more than 12 calendar days from the determination of the Lowest Calculated Bid (LCB). In exceptional cases, the post-qualification period may be extended by the HoPE, but under no circumstances shall the total period exceed 45 calendar days for goods and infrastructure projects, or 30 calendar days for consulting services.

6.7. In the absence of a BAC resolution declaring the LCB, the Audit Team used the date of the bid evaluation as the reference point, since it is at this stage that the LCB is typically determined. For instance, in the case of *Supply and Delivery of Vegetable Seeds*, the bid evaluation was conducted on May 14, 2024, with post-qualification commencing the following day, May 15, 2024, and completed on June 7, 2024. This indicates that the post-qualification process spanned 24 calendar days, exceeding the allowable 12-day period by 12 days. Similar delays were noted in the other procurements reviewed, with post-qualification periods exceeding the prescribed period by 15 to 33 calendar days.

6.8. While the Revised IRR allows the extension of the post-qualification period up to 45 calendar days for goods and infrastructure projects in exceptional cases, such extension must be supported by a formal request and the corresponding approval from the HoPE. However, no documents were attached to prove that an extension was duly requested by the BAC and subsequently approved by the HoPE. The absence of such supporting documentation indicates that no formal extension was sought or granted, thereby rendering the delays unjustified.

6.9. The BAC acknowledged awareness of the prescribed timeline for the conduct of post-qualification under the Revised IRR but admitted that the specified period may have been inadvertently overlooked. They attributed the delays to the need for a more thorough evaluation of suppliers, particularly those who were first-time bidders with the PGLU. Nevertheless, the BAC clarified that, under normal circumstances, the post-qualification process can be completed within two days, as it is typically carried out through on-the-spot or surprise inspections.

6.10. The BAC is reminded that any extension of the post-qualification period beyond the prescribed 12 calendar days is only permissible with the prior approval of the HoPE. Extensions made without such approval are considered non-compliant with procurement regulations. To ensure a thorough and adequate evaluation of the LCB's qualifications, the BAC should have proactively sought approval for an extension from the HoPE, as needed. This approach would have ensured compliance with prescribed timelines while allowing for a comprehensive assessment of the bidder's qualifications. Furthermore, when conducting simultaneous evaluations of suppliers, priority should be given to first-time bidders.

6.11. ***The laxity of the BAC and its TWG in thoroughly verifying and validating the legal and technical requirements submitted by the bidder with the LCB raises significant concerns about the bidder's actual eligibility. This deficiency could have warranted disqualification during the post-qualification stage. Such oversight compromises the transparency of the procurement process and undermines the integrity of the entire selection procedure.***

6.12. Section 34.1 of the 2016 Revised IRR stipulates that the LCB must undergo post-qualification to determine whether the bidder complies with and is responsive to all the requirements and conditions outlined in the Bidding Documents.

6.13. Post-qualification involves verifying, validating, and ascertaining all statements made and documents submitted by the bidder with the LCB using non-discretionary criteria. The BAC is responsible for assessing the bidder's compliance with all requirements and conditions set forth in the bid documents. The post-qualification criteria shall include, but are not limited to, the bidder's compliance to the eligibility, technical and financial requirements of the bid.

6.14. *The attached Mayor's Permit for the project "Provision of Catering Services for the Various Activities of the PGLU Offices Lot 1-Catering Services (Executive Offices)" was issued after the date of the bid opening.*

6.15. One of the legal requirements under the Revised IRR of RA No. 9184 is the submission of a valid Mayor's or Business Permit, issued by the city or municipality where the principal place of business of the prospective bidder is located.

6.16. In this regard, the supplier's Mayor's Permit for the said project was issued on January 19, 2024. However, upon reviewing the minutes from the bid opening, it was noted that the opening of bids took place on January 18, 2024. This discrepancy raises a concern, as the submitted permit was issued after the bid opening date, suggesting that the required permit was not actually available at the time of the bid opening.

6.17. In cases where Mayor's or Business Permits has recently expired, the permit may still be accepted provided it is accompanied by an official receipt (OR) as proof that the bidder has applied for renewal within the prescribed period set by the concerned LGU. In such instances, the renewed permit must be submitted during the post-qualification process.

6.18. However, in this case, neither the expired Mayor's Permit nor the OR indicating renewal was included in the supporting documents for the disbursement voucher (DV) or the contract. The fact that only the Mayor's Permit dated January 19, 2024 was submitted suggests that the required permit was not available at the time of bid opening. Consequently, the bidder failed to comply with a fundamental eligibility requirement and should have been automatically disqualified at the time of the bid opening.

6.19. The BAC clarified that the supplier had submitted its application for renewal of the Mayor's Permit at the time of bid opening but may have been inadvertently omitted from the set of supporting documents submitted to the Audit Team. The BAC committed to providing a copy of the missing document.

6.20. *Statement of the bidder of all its ongoing government and private contracts, including contracts awarded but not yet started, if any, whether similar or not similar in nature and complexity to the contract to be bid.*

6.21. Among the technical requirements to be submitted by the bidder with the LCB is a statement of all its ongoing government and private contracts, including contracts awarded but not yet started, if any, whether similar or not similar in nature and complexity to the contract being bid.

6.22. A thorough review of the procurement documents revealed that some bidders had not fully complied with the disclosure requirements. Some contractors and suppliers did not declare other projects contracted with government agencies, including those contracted with the provincial government. The BAC and its TWG overlooked these projects during the post-qualification stage, despite the fact that some were undertaken by the contractor within the PGLU itself.

6.23. In the *Rehabilitation and Improvement of Caba Beach Road (Phase II),* the Audit Team found that the contractor had a total of 12 other ongoing projects totaling ₱62,638,089.04 that were left undeclared, upon verification with the Consolidated Quarterly Report on Government PPAS of LGUs in the PGLU for the first quarter of CY 2024. It is emphasized that there were two projects implemented by the PGLU that the BAC and its TWG failed to review. Given that these projects were implemented within the same procuring entity, the BAC and TWG were in a position to readily identify that contractor had not fully disclosed all of its ongoing contracts

6.24. Additionally, the contract amount reported by the contractor for the declared project entitled "Compliance to the Fire Code of the Philippines, Rosario District Hospital, Rosario, La Union" was found to be incorrect. The contractor declared the amount as ₱2,039,305.49; however, based on the Notice of Award (NOA), the correct contract amount is ₱4,987,400.00, thus, resulting in a discrepancy of ₱2,948,094.51. Considering that this project falls under the jurisdiction of the PGLU, the TWG should have been able to verify and detect the incorrect amount reported by the contractor.

6.25. On the other hand, for the project, "Construction of Masicong Pre-Elementary School Building, City of San Fernando, La Union", the contractor also failed to declare any five ongoing projects totaling ₱3,588,709.27, including one project implemented by the PGLU itself.

6.26. As for the "Rehabilitation and Improvement of Casilagan Farm to Market Road, Bauang, La Union", the contractor declared only 10 projects, despite having several other projects contracted with various government agencies, including those in the municipalities of Naguilian, Agoo, Sto. Tomas, Bacnotan, Balaoan and Sudipen, La Union totaling ₱ 35,623,872.00. Additionally, four undeclared projects contracted under the PGLU were again not identified by the TWG during their post-qualification review.

6.27. For the "Construction of Allangigan Farmers Multi-purpose Center, San Juan, La Union", only nine projects were declared, despite the contractor having many more projects contracted with various government agencies, including those in the City of San Fernando, and municipalities of Bacnotan and San Juan, La Union totaling ₱19,823,087.90.

6.28. Meanwhile, for the procurement of "Supply and Delivery of Livestock-Part II (242 goats)", the supplier did not declare the awarded project "Supply and Delivery of Livestock (400 heads of rabbit)" in its submitted ongoing projects dated December 19, 2023, despite the project being awarded on December 11, 2023.

6.29. The BAC acknowledged the audit observations and expressed their commitment to address them. They explained that the lapses may have been due to the high volume of procurements being handled by their office. At present, the same BAC conducts both the procurement of goods and infrastructure projects, with different TWG compositions, except for the TWG Head. To enhance efficiency and compliance, the HoPE may consider establishing separate BACs for the procurement of goods and infrastructure projects, and designating different TWG Heads for each procurement type to strengthen oversight and accountability.

6.30. It is important to emphasize that the submitted statement is intended to present a comprehensive list of all ongoing government and private construction contracts, including those already awarded but not yet started, as clearly outlined in the report title.

6.31. It is also essential to emphasize that the post-qualification process should not be confined to the records available within the PGLU. A thorough evaluation requires comprehensive validation and verification that extends beyond the agency's territorial jurisdiction. The BAC and its TWG could have proactively engaged other LGUs by sending confirmation requests to verify the accuracy of representations made by the bidders. Furthermore, publicly accessible platforms such as the PhilGEPS website and official websites of other LGUs in the province could have been utilized to cross-reference any concurrent project awards involving the bidder with LCB under post-qualification.

6.32. Given the foregoing, the computation of the Net Financial Contracting Capacity (NFCC) cannot be reasonably established. The statement of on-going projects contains critical information that significantly impacts the accuracy of the NFCC calculation, which is essential in determining the bidder's financial capacity to absorb additional obligations and to finance the implementation and successful completion of the project being bid out.

6.33. Moreover, in accordance with Section 23.6 of the Revised IRR, if any misrepresentation is made in the eligibility requirements, statements, or documents, or if there is any change in the prospective bidder's situation from the time it submitted its eligibility requirements that will affect its capability to undertake the project, the PE must consider the bidder ineligible and disqualify it from receiving the award, regardless of any prior determination of eligibility.

6.34. The incomplete disclosures made by contractors in their submitted statements could have warranted disqualification from entering into a contract with the PGLU. The failure to provide a complete list of ongoing projects, including those awarded but not yet started, constitutes a misrepresentation of one of the core eligibility requirements, thereby undermining the integrity of the procurement process.

6.35. ***The dates of receipt indicated on the issued NOAs and Notices to Proceed (NTPs) for the winning bidders were observed to be written in a different handwriting and with ink of noticeably lighter color. This inconsistency raises concerns regarding the authenticity and reliability of these entries and may cast doubt on the accuracy and legitimacy of the documentation.***

6.36. The 2016 Revised IRR of RA No. 9184 establish the prescribed periods for the issuance of the NOA (Section 37.2.1) and NTP (Section 37.4.1), which must be strictly followed.

6.37. A review of the contract documents revealed that, although the NOAs and NTPs contained dates of receipt, closer scrutiny showed that these dates were written in handwriting distinctly different from that of the suppliers' signatures. Furthermore, the ink used for the dates appeared noticeably lighter.

6.38. The suggests the possibility that the dates of receipt on the NOAs and NTPs were recorded later to align with the targeted delivery dates of the procured goods, as the determination of the delivery date depends on when the NTPs were received. The consistencies also indicate that the receipt dates of the NOAs and NTPs may have been adjusted to conform to the prescribed period within which the winning bidders should receive these notices, in accordance with the guidelines in the Revised IRR.

6.39. Section 40.1 of the same Act outlines the appropriate sanctions to be imposed and actions to be taken when a winning bidder fails to enter into a contract and post the required Performance Security (PS) within the period specified in the IRR, except in cases where such failure, refusal, or inability is not due to the bidder's fault.

6.40. Therefore, it is crucial that these sections accurately reflect the date on which the winning bidders received their respective notices as this date determines whether they complied within the required period. If a bidder fails to do so due to their own fault, they shall be disqualified. The post-qualification process will then proceed with the bidder offering the second LCB/Highest Rated Bid (HRB), as provided in Section 40.2 of the same Act.

6.41. With respect to the NTP, the date of receipt is crucial, as it serves as the basis for computing the actual contract duration. This date also determines the imposition of liquidated damages in cases where the contractor or supplier fails to complete the project or deliver the required items within the specified timeframe.

6.42. ***The NOAs and NTPs, along with the approved contracts, were not posted on the PhilGEPS website within the prescribed period, as required by Sections 37.1.6 and 37.4.2 of the 2016 Revised IRR of RA No. 9184. As a result, the objectives of the procurement law of ensuring transparency and efficiency in the procurement process were not achieved.***

6.43. Section 37.1.6 directs the BAC Secretariat to post the NOA within three calendar days from its issuance on the Philippine Government Electronic Procurement System (PhilGEPS), the website of the PE, if any, and any conspicuous place within the premises of the PE.

6.44. Section 37.4.2 also directs the PE, through the BAC Secretariat, to post a copy of the NTP and the approved contract on the PhilGEPS and the website of the PE, if any, within 15 calendar days from the NTP's issuance.

6.45. Likewise, Appendix 33, Section 3.0 of the same Act provides the transparency requirements for all PEs.

6.46. However, a review of the awarded contracts showed that NOAs were posted on the PhilGEPS website beyond the prescribed three-calendar-day period, causing delays ranging from 29 to 263 days**.** It was also observed that NOAs were often posted on the PhilGEPS website concurrently with the posting of NTPs; hence, the prescribed timeline for updating such information on the website was not strictly followed.

6.47. Similarly, the NTPs and approved contracts for these procurement projects were posted on the PhilGEPS website beyond the prescribed period, resulting in delays ranging from 20 to 205 days.

6.48. The BAC acknowledged the delays in posting the NOAs, NTPs, and approved contracts on the PhilGEPS website. They explained that the documents were uploaded only after being signed by the winning bidders. The BAC committed to improving the timeliness of future postings

6.49. The failure to post the NOAs, NTPs, and approved contracts on the PhilGEPS website within the required period undermined the procurement law's purpose, which aims to promote transparency, accountability, and efficiency in public procurement processes.

6.50. ***The Construction Safety and Health Program (CSHP) approved by the Department of Labor and Employment (DOLE) was submitted after the contract signing, contrary to Section 37.2 of the 2016 Revised IRR, thereby casting doubts on the legality and validity of the procurements.***

6.51. Pursuant to Section 37.2 of the 2016 Revised IRR, the PE must enter into a contract with the winning bidder within the prescribed 10-day period, provided that all documentary requirements are complied with, one of which is the CSHP approved by the DOLE.

6.52. Likewise, Section 5 of DOLE Department Order (DO) No. 13, series 1998, mandates that every construction project must have a suitable CSHP in accordance with the rules, orders, and issuances of the DOLE.

6.53. During the contract review, it was noted that CSHP implementation costs were included as a separate pay item. While certifications were eventually submitted, they were delayed by 8 to 49 days after the contract signing.

6.54. The BAC noted that the release of the certificate approved by the DOLE took a considerable amount of time. They further explained that, previously, contractors were required to submit the said certificate before their requests for initial payment could be processed.

6.55. The Audit Team clarified that this requirement was incorrectly applied. It must be emphasized that, in accordance with Section 37.2 of the Revised IRR, the DOLE-approved certification of the contractor's CSHP must be submitted prior to contract signing. The repeated failure of winning bidders to comply with this requirement, coupled with the PE's failure to enforce the provision, raises concerns regarding the legality and validity of the awarded contracts.

6.56. ***Contracts for the implementation of nine procurements of goods, totaling ₱58,457,676.26, were executed beyond 10 calendar days from the winning bidder's receipt of the NOA, contravening Section 37.2.1 of the 2016 Revised IRR. This delay may have contributed to setbacks in both the procurement process and project implementation, potentially depriving constituents of the immediate benefits and use of these projects.***

6.57. The PGLU entered into contracts with suppliers and contractors for the procurement of goods and implementation of infrastructure projects. However, the Audit Team found that the preparation and signing of related contracts, totaling ₱58,457,676.26, were not completed within the prescribed 10 calendar days from the winning bidders' receipt of the NOAs.

6.58. Pursuant to Section 37.2.1 of the 2016 Revised IRR, the winning bidder must post the required PS and enter into a contract with the PE within 10 calendar days from receipt by the winning bidder of the NOA.

6.59. The Audit Team emphasizes the relevance of strictly adhering to the prescribed timelines enshrined in the 2016 Revised IRR of RA 9184. Failure to finalize contracts within the required period may contribute to delays in the project's implementation, potentially preventing constituents' timely access to and use of completed projects. Ensuring the timely commencement of projects is crucial to the efficient delivery of essential services and maximization of their benefits for the community.

6.60. ***Section 37.4.1 of the 2016 Revised IRR of RA No. 9184 was not referred to by the PE when issuing NTPs, contributing to delays in project implementation as (a) NTPs were not issued within the mandated 7-day timeline, and (b) project implementation for some projects did not commence immediately upon receipt of the NTPs, thereby potentially depriving constituents of timely access to the intended benefits of these projects.***

6.61. As guided by Section 37.4.1 of the 2016 Revised IRR of RA No. 9184, the PE is directed to issue the NTP, along with a copy of the approved contract, to the successful bidder within seven calendar days from the date the contract is approved by the appropriate government authority. Furthermore, any notices called for by the terms of the contract shall be effective only at the time of receipt thereof by the successful bidder.

6.62. However, during the contract review and analysis of the submitted PMR, the Audit Team identified instances where NTPs were issued beyond the prescribed period. These delays, ranging from 1 to 5 days.

6.63. Moreover, contract reviews of the sampled procurements revealed eight projects, where the commencement of project implementation as stipulated in the issued NTPs, takes effect only seven days after the winning bidder's receipt of the NTPs, rather than taking effect immediately upon receipt. Such instances violate Section 37.4.1 of the 2016 Revised IRR of RA No. 9184.

6.64. Based on the preceding observations, failure to adhere to the prescribed 7-day period for issuing NTPs, along with any additional time granted before project implementation, could significantly hinder the timely delivery or completion of projects. As a consequence, constituents may miss out on the benefits that could have been realized had the projects commenced earlier. While the grace period may be intended to allow the contract awardee additional preparation time, it is important to recognize that adequate preparations should already have been made between the receipt of the NOA and the issuance of the NTP. Consequently, any delays in this process only exacerbate the challenge of ensuring timely project delivery to constituents.

6.65. The BAC acknowledged that they may have overlooked the cited violations in the implementation of procurement of goods. However, they emphasized that for infrastructure projects, they have complied with the immediate effectivity of the NTP upon receipt by the winning bidder. The BAC assured that measures will be taken to improve the procurement process for goods.

6.66. ***The Bid Data Sheet (BDS) in the bidding documents, specifically regarding the minimum major equipment requirements, was either not duly filled-out***

or, when completed, was inconsistent with the list of equipment provided in the Program of Work (POW). This discrepancy raises concerns regarding the bidder's ability to meet the project's equipment needs and ensure compliance with the required specifications for successful project execution. Additionally, some bidders were tagged as "compliant" even though they did not have the required equipment specified in the bidding documents.

6.67. The PGLU is using the 6th Edition of the Public Bidding Documents for project procurements conducted through competitive bidding. However, upon perusal of the bidding documents, particularly Section III: Bid Data Sheet, it was identified that some essential information was either incomplete or, when provided, did not align with the details in the POW.

6.68. Instructions to Bidders (ITB) Clause 10.5 of the BDS specifies the minimum major equipment requirements for each project. This clause is intended to detail the corresponding requirements for key equipment, including the number, and capacity of equipment necessary for the successful implementation of the infrastructure projects. By detailing these requirements, the BAC establishes clear criteria for the post-qualification process, ensuring that bidder's proposed key equipment meet the project-specific minimum standards.

6.69. The absence of clearly defined minimum major equipment requirements undermines the effectiveness and reliability of the BAC's post-qualification process. This issue primarily stems from the absence of predefined criteria that should have been established prior to the commencement of the procurement process. The Audit Team is particularly concerned about the BAC's determination of a "passed" status in its evaluation reports, given that ITB Clause 10.5 does not specify any minimum standards.

6.70. Additionally, some bidders were labeled as "compliant" despite lacking the required equipment specified in the bidding documents. Certain equipment mandated under the BDS was absent from the contractor's submitted list of owned, leased, or pledged equipment. Consequently, these bidders should have been disqualified.

6.71. The BAC Chairman stated that the Committee will review this matter and ensure that the minimum equipment requirements specified in the POW are fully incorporated into the BDS. Additionally, he committed that the BAC will thoroughly verify that these minimum equipment requirements are included in the list of equipment pledged by the winning bidder.

6.72. To prevent potential legal disputes and enhance transparency in the procurement process, the PE must provide detailed requirements in ITB Clause 10.5 of the BDS. This should include specific key equipment requirements tailored to each procurement project. Such clarity will ensure a fair and objective post-qualification process, reinforcing compliance with established criteria.

6.73. The identified deficiencies highlight the BAC's failure to adequately adhere to established public bidding procedures. The BAC has acknowledged its awareness of the relevant provisions and has admitted to the identified infractions. In their explanation, they stated that the high volume of procurement activities may have led to unintentional oversights throughout various stages of the procurement process, from the preparation of bidding documents to the scheduling and execution of procurement activities. Consequently, certain legal requirements may have been inadvertently overlooked, raising significant concerns about transparency, accountability, efficiency, and competitiveness within the procurement process.

6.74. RA No. 9184 and its 2016 Revised IRR are specifically designed to uphold key principles such as transparency, accountability, equity, efficiency, and economy in procurement. Therefore, strict compliance with these regulations is of utmost priority. The Audit Team emphasized the need to uphold these principles to maintain the integrity and fairness of the procurement process, regardless of challenges posed by the volume or complexity of procurement activities.

6.75. **We recommended that the Provincial Governor, being the HoPE, direct the following:**

a. The BAC and its TWG to:

(i) complete the post-qualification process within the allowable time frame. If the 12-day period proves insufficient, the BAC must promptly request approval from the HoPE for any necessary extension. Furthermore, when conducting simultaneous evaluations of suppliers, priority should be given to first-time bidders;

(ii) conduct post-qualification proceedings judiciously by thoroughly verifying, validating, and ascertaining all statements made and documents submitted by the bidder with the LCB to ensure that the bidder meets all eligibility requirements for the award of the procurement contract. For submitted permits, the TWG must meticulously confirm that the bidder holds valid and active permits throughout all stages of the procurement process. Regarding the statement of ongoing projects, the TWG should ensure that the bidder discloses all ongoing projects, including contracts that have been awarded but not yet started;

(iii) require the winning bidder to submit a CSHP approved by the DOLE before signing the contract for an infrastructure project, in

accordance with Section 37.2 of the 2016 Revised IRR of RA No. 9184; and

(iv) ensure the comprehensive completion of ITB Clause 10.5 of the BDS regarding the minimum major equipment requirements.

b. The BAC Secretariat to:

(i) ensure that NOAs and NTPs issued to winning bidders are received promptly within the prescribed periods set forth in Sections 37.2.1 and 37.4.1 of the 2016 Revised IRR of RA No. 9184;

(ii) implement more stringent procedures for the receipt of NOAs and NTPs by winning bidders to ensure that the actual date of receipt is clearly and accurately indicated by the recipient. Discrepancies, such as inconsistent pen strokes between the signature and the date of receipt, raise concerns regarding the authenticity of the acknowledgment and compliance with prescribed procedures;

(iii) post the NOA, NTP, and the approved contracts on the PhilGEPS website within the prescribed period, as required by Sections 37.1.6 and 37.4.2 of the 2016 Revised IRR of RA No. 9184.

6.76. **We further recommended that the Provincial Governor, as HoPE:**

a. ensure that a contract is entered into with the winning bidder within 10 calendar days from the latter's receipt of the NOA, in accordance with Section 37.2.1 of the 2016 Revised IRR of RA No. 9184. This measure will help prevent unnecessary delays in project implementation, to support the timely delivery and completion of projects, and allow constituents to access and benefit from these initiatives at the earliest possible time;

b. consider establishing separate BACs for the procurement of goods and infrastructure projects, and designating different TWG Heads for each procurement type; and

c. strictly adhere to the provisions of Section 37.4.1 of the 2016 Revised IRR of RA No. 9184, which governs the prescribed period for the issuance and effectivity of the NTP. Compliance with this provision will streamline the overall project implementation process and prevent unnecessary delays in project completion.

6.77. Management concurred with the audit findings and committed to implementing the recommendations. The BAC and its TWG will review their procedures to ensure that the post-qualification process is conducted judiciously.

Management also committed to strictly require the submission of the CSHP from contractors prior to the contract execution. The BAC Secretariat will also ensure the prompt issuance and proper acknowledgement of NOAs and NTPs. Furthermore, Management emphasized compliance with posting requirements and the execution of contracts within the prescribed 10-calendar-day period. They also expressed intent to assess the feasibility of establishing separate BACs, recognizing that this would require the deployment of additional trained personnel.

Incomplete Documentation

7. The documentary requirements essential for supporting the competitive bidding process of the 18 sampled awarded goods and infrastructure projects, with a total contract amount of ₱247,473,073.79, were not adequately complied with due to the BAC's unawareness of the need to prepare them, contravening the relevant provisions of the 2016 Revised IRR of RA No. 9184, and the Generic Procurement Manual (GPM), thereby undermining the principles of transparency and accountability that support the integrity of the procurement process.

7.1. Section 6 of the Revised IRR mandates that PEs use the GPM to standardize the procurement process, thereby preventing confusion, ensuring transparency, and enabling PEs to conform to the principles governing all government procurement activities.

7.2. The basic documentary requirements include copy of the approved APP covering the subject procurement, the approved contract, and the relevant bidding documents. These must be submitted to the Auditor's Office within five days from contract execution.

7.3. The Audit Team conducted a post-audit and contract review on the 18 sampled procurements of goods and infrastructure projects, with an aggregate contract amount of ₱227,413,754.29.

7.4. The results of the contract review revealed the absence of the following documents substantiating the activities conducted during the competitive bidding process:

7.5. ***Notification Letters from the BAC Secretariat to all bidders who submitted their bid proposals (19 Projects)***

7.6. Section 25.7 mandates that, to ensure transparency and accurate representation of the bid submission, the BAC Secretariat is required to notify all bidders whose bids it has received. The notification must be sent to the bidders through their PhilGEPS-registered physical address or official e-mail address. The notice should be issued within seven calendar days from the bid opening date.

7.7. However, upon review, the Audit Team observed that no notifications were attached to confirm the delivery to all bidders. Consequently, it cannot be verified whether the bids submitted were indeed from the actual bidders or from unauthorized third parties. This lack of documentation may potentially raise concerns about the integrity and authenticity of the submitted bids.

7.8. ***Notification to Losing Bidders (9 Projects)***

7.9. Section 37.1.1 of the 2016 Revised IRR directs the BAC to notify all other bidders in writing regarding the results of the bidding within three calendar days from the issuance of the resolution recommending contract award. This requirement ensures transparency and provides unsuccessful bidders with valuable insights into the reason/s their bids were not selected. However, no notification to losing bidders was undertaken for nine projects.

7.10. The Audit Team underscores the significance of notifying unsuccessful bidders, emphasizing that such communication does not only foster transparency in the procurement process but also uphold the principles of fairness. This practice demonstrates a commitment to equitable treatment, ensuring that all bidders are informed and have the opportunity to understand the rationale behind the outcome of the bidding.

7.11. ***BAC Resolution Adopting and Confirming the TWG Bid Evaluation Report declaring the LCB and recommending further for Post-Qualification (19 Projects)***

7.12. The purpose of bid evaluation is to determine the LCB and is accomplished by thoroughly evaluating the financial components of each bid to establish their correct calculated prices, and then ranked from lowest to highest. The bid with the lowest price is then determined as the LCB.

7.13. For the preparation of the Bid Evaluation Report, the BAC may direct the TWG, with the assistance of the BAC Secretariat. The report should include the details of the evaluation conducted, preferably prepared within three calendar days from the date the evaluation was concluded.

7.14. Based on the contract review of the sampled projects, the report was prepared by the BAC TWG members. To formally adopt and confirm the TWG's bid evaluation report, the BAC should prepare a resolution officially declaring the bid as the LCB and recommending the bidder for further post-qualification to verify their compliance with all the requirements outlined in the bidding documents.

7.15. ***Notice of Post-Qualification to the bidder with the LCB (19 Projects)***

7.16. Section 34 of the 2016 Revised IRR mandates that the LCB must undergo a post-qualification process to determine whether the bidder complies with and is responsive to all the requirements and conditions outlined in the Bidding Documents. Upon receiving notice from the BAC that the bidder has been identified as the LCB, the bidder is required to submit, within five calendar days, the following documents to the BAC: the latest income tax returns, business tax returns, and any other relevant licenses and permits required by law, as specified in the Bidding Documents.

7.17. However, such notice from the BAC was absent. It must be noted that this document serves as a monitoring tool to verify whether the bidder identified as the LCB submitted the required documents within the prescribed period. Failure to submit any of the post-qualification documents on time, or a finding that calls into question the veracity of any of the documents, will result in the bidder's disqualification from the award of the contract. In the event that a finding against the veracity of any of the submitted documents is made, it will cause the forfeiture of the Bid Security in accordance with Section 69 of the 2016 Revised IRR.

7.18. ***BAC Resolution Adopting and Confirming the TWG Post-Qualification Evaluation Report and declaring the Lowest Calculated and Responsive Bid (LCRB) and Notice on the Results of Post-Qualification (19 Projects)***

7.19. Post-qualification is the process of verifying, validating and ascertaining the bidder's statements and submitted documents to confirm compliance with the legal, financial and technical requirements outlined in the bidding documents, using non-discretionary criteria.

7.20. If the TWG conducts post-qualification, it prepares a Post-Qualification Report, which is then submitted to the BAC for review. The BAC carefully reviews the report and determines whether the LCB meets all post-qualification criteria. If the LCB successfully meets these requirements, the BAC declares it as the LCRB. Subsequently, the Secretariat, with assistance from the TWG, if needed, prepares the BAC Resolution declaring the LCRB and issues the corresponding notice to inform the bidder of the results of its post-qualification. This formal process ensures transparency and compliance with the established requirements before awarding the contract.

7.21. The BAC admitted the absence of the required documents and acknowledged that they were unaware of the need to send notification letters to the bidders who had submitted their proposals. Regarding the BAC resolutions related to the TWG's Bid Evaluation and Post-Qualification Report, the BAC believed that the resolution declaring the LCRB and recommending approval by the HoPE was sufficient and encompassed the requirements of the other resolutions. However, the Audit Team clarified that the missing resolutions are distinct and serve specific purposes, separate from the resolution recommending approval. Each resolution is necessary to confirm and formally adopt the reports prepared by the TWG. Nonetheless, the BAC expressed its commitment to improving the documentation of competitive bidding results.

7.22. The primary responsibility for ensuring the completeness of the bidding documents and other associated reports, rests with the BAC, as this office is the main source of these documents. Section 14 of the 2016 Revised IRR stipulates that the BAC Secretariat, created by the HoPE, serves as the main support unit of the BAC. This section also outlines various functions and responsibilities of the BAC Secretariat, including: (a) providing administrative support to both the BAC and the TWG, (b) preparing minutes of meetings and resolutions of the BAC, (c) maintaining custody of procurement documents and other records, and ensuring that all procurements conducted by the PE are properly documented, and (d) serving as the central communication channel between the BAC and the providers of goods, and infrastructure projects.

7.23. In light of this, it is important to emphasize the critical role of the BAC Secretariat in ensuring that all procurements undertaken by the PE are properly documented to provide a clear trail of the procurement process. The absence of these essential documents constitutes non-compliance with the procedural requirements of competitive bidding and undermines the transparency and accountability that are necessary to uphold the integrity of the procurement process.

7.24. **We recommended that the Provincial Governor, as the HoPE, direct the BAC, with the assistance of the BAC Secretariat, to prepare the required resolutions and notices supporting the outcomes of the competitive bidding process for the province's projects, in adherence with the pertinent provisions of the 2016 Revised IRR of RA 9184 and the GPM, thereby reinforcing the PGLU's commitment to transparency and accountability, which are fundamental to maintaining the integrity of the procurement process**

7.25. Management acknowledged all the recommendations of the Audit Team and assured that the required resolutions and notices supporting the outcomes of the competitive bidding process will be duly prepared, issued and properly documented to ensure compliance with procurement regulations.

Non-compliance with Technical Specifications

8. The delivered goods were not in accordance with the established technical specifications due to several lapses in management, from the procurement process to acceptance and inspection, including (a) awarding a contract to a bidder whose

bid did not meet the required specification outlined in the bidding documents, and (b) inadequate/weak internal control system in the inspection procedures, contrary to the key provisions of the 2016 Revised IRR of RA No. 9184 and the MNGAS for LGUs, Volume I, thus, not only compromising the intended functionality and quality of goods but also raising significant concerns regarding the effective, efficient and responsible use of public funds.

8.1. Section 2 of PD No. 1445 provides that it is the declared policy of the State that all government resources be managed, expended, or utilized in accordance with the law and regulations, ensuring efficiency, economy and effectiveness in government operations. The responsibility to ensure that this policy is faithfully adhered to rests directly with the chief or head of the concerned government agency.

8.2. Additionally, one of the Philippine government’s key commitments is the promotion of good governance, with a strong focus on upholding the principles of transparency, accountability, and economy in the procurement process. As such, there is a clear need for a system of accountability that applies not only to public officials directly or indirectly involved in the procurement process but also to private parties engaged in contract implementation with the government.

8.3. The 2016 Revised IRR of RA No. 9184 serve as the comprehensive framework governing the entire procurement process for goods, infrastructure projects, and consulting services. It outlines clear guidelines for each stage, starting with the preparation of bid documents, proceeding through the actual bidding process, and continuing with the monitoring of contract implementation.

8.4. Accordingly, the PE is expected not only to strictly follow the prescribed procedures but also to demonstrate a high level of responsibility and accountability throughout the entire procurement lifecycle. The PE’s role extends beyond the initial stages, requiring effective oversight during contract implementation to ensure that the supplier delivers goods in accordance with the agreed terms and conditions.

8.5. In CY 2024, the PGLU entered into contracts with various suppliers through the issuance of POs for the procurement of goods essential to supporting its operations and the successful implementation of its PPAs. These goods were subsequently delivered, as evidenced by the submitted Inspection and Acceptance Reports (IARs) and Delivery Receipts (DRs).

8.6. In the Non-Policy Matter (NPM) No. 099-2016, dated November 15, 2016, the GPPB clarified that a contract may be embodied in the form of a PO. A PO serves as an accepted offer that gives rise to a perfected contract when the winning bidder receives it, agrees to its terms and conditions, and acts upon it.

8.7. A key function of a PO is to provide the specifications of the goods being procured, which should be detailed in the "description" portion of the form. Pursuant to Section 18 of the 2016 Revised IRR of RA No. 9184, specifications for the procurement of goods must be based on relevant characteristics, functionality and/or performance requirements. The term "technical specifications" refers to the physical description of the goods or services, as well as the PE's requirements in terms of the functional, performance, environmental interface and design standards that the needed goods must meet.

8.8. Additionally, the technical specifications are incorporated in Section VII of the bidding documents, which also forms part of the contract. In the supplier's bid proposal, the technical specifications of the items being procured can be found in the "description" section of the submitted Price Schedule.

8.9. While the technical specifications for the goods procured by PGLU were provided in the PO, the Audit Team, through detailed review and observation, found that the delivered goods either did not meet the specifications requested by the end-user or did not conform with those agreed upon during signing of the PO/contract.

8.10. ***Supply and Delivery of Livestock-Part II (242 heads of goat distributed to livestock raisers affected by Typhoon Egay)***

8.11. PGLU launched the "Disaster Rehabilitation and Recovery of Agriculture and Fisheries Program" to help revitalize the agriculture and fishery sectors in La Union, which were damaged by Super Typhoon Egay. As part of this program, goats were to be distributed to identified livestock raisers across 16 LGUs to replace animals lost in the typhoon. The distribution was initially scheduled in November 2023. However, the procurement process only began on November 26, 2023, with the posting of the Invitation to Bid. A contract was not signed until January 5, 2024, and deliveries were in four batches on March 14, 2024, March 26, 2024, April 17, 2024, and April 19, 2024. As such, the program was not implemented as originally planned, having a significant delay of almost five months from the target timeframe.

8.12. On top of such delay, a comparison of the specifications indicated in the original requirements set by the end-user with the actual goats delivered by the supplier disclosed a discrepancy in weight.

8.13. *Source Documents*

8.14. The end-user or requesting office did not provide any specifications in the PR for the purchase of 242 goats. Specifications were only included in the bidding documents, particularly in Section VII and the Price Schedule.

8.15. Also, during the pre-bid conference held by the BAC on December 5, 2023, the BAC Secretariat presented and discussed the details of each project up for bidding. The specifications for the goats to be procured were presented, with a clear requirement that the goats should weigh at least 12 kilograms liveweight upon delivery. No questions or clarifications were raised by the prospective bidders, as noted in the minutes of the pre-bid conference, including the representative of the winning bidder, who attended the conference.

8.16. Moreover, no supplemental/bid bulletins were issued to document any responses from the BAC in the event that clarifications were made but not recorded in the minutes of pre-bid conference. As such, the 12-kilogram weight specification is to be followed.

8.17. *Documents submitted by the winning bidder during bid opening*

8.18. The contract agreement between the PGLU and the supplier explicitly states that the Technical Specifications and the Price Schedule shall be deemed to be part of the contract and shall be read and construed as such.

8.19. Following a thorough review of the submitted documents, the bidder offered 242 goats with a minimum live weight of 10 kilograms only, falling short by 2 kilograms of the required specification.

8.20. This situation puts in question the bid being declared as compliant during the opening and preliminary examination of bids. The bidder should have been automatically rejected during the bid opening stage, even if the bidder was the sole participant. The BAC could have instead reinitiated the entire procurement process to ensure the integrity of the same.

8.21. In the post-qualification evaluation report by the BAC's TWG, it was noted under the Technical Specifications section that the bidder's submitted specifications were verified and found to be complete and in accordance with the published specifications, thus casting doubt on the thoroughness of the post-qualification process and the BAC and TWG's ability to identify such a significant inconsistency, undermining the fairness and accountability of the process.

8.22. Meanwhile, the Audit Team identified alterations in the winning bidder's submitted Technical Specifications and Price Schedule. The weight portion of the bid was altered which was neither signed nor initialed by the bidder or their representative, rendering the changes invalid. The BAC should be reminded that clear instructions were given during the pre-bid conference, specifically prohibiting erasures and overwriting. As documented in the minutes of the pre-bid conference, the Secretariat made it clear that *"*any interlineations, erasures, or overwriting would be valid only if signed or initialed by the duly authorized representative/s of the bidder. Since the supplier's representative was present during the conference, there is no reason they should be unaware of this ruling.

8.23. The bidder, having failed to comply with the published specifications, should have been automatically disqualified during the bid opening when the BAC conducted its preliminary examination of the submitted documents.

8.24. *Documents supporting contract execution and delivery.*

8.25. As previously emphasized, the required live weight specified in the PR was 12 kilograms. While the delivered goods conformed to the quantity and specifications stated in the PO, it is important to reiterate that the validity of the PO is now in question due to the deficiencies earlier noted in the awarded contract.

8.26. The awarding of the contract to an ineligible bidder resulted in the delivery of 193 goats, each weighing less than the required 12-kilograms. This constitutes a clear deviation from the specifications of the end-users, thereby undermining the effectiveness of the project and compromising the achievement its intended objectives the effective and responsible use of public funds.

8.27. ***Lot 1: Provision of Catering Services for the Various Activities of the PGLU Offices***

8.28. PGLU consumed meals and snacks amounting to ₱6,050,292.00 out of the total contract amount of ₱19,998,514.00 for its various activities.

8.29. In this regard, it was noted that the PO did not explicitly include the technical specifications for the meals and snacks. The PO listed the following: 7,763 pax of special snacks, 6,746 pax of special meals, 64,392 pax of standard snacks, 48,460 pax of standard meals, and 14,004 pax of heavy snacks. However, in the published bidding documents, specifically in Section VII. Technical Specifications section, the number of viands for each meal and snack was clearly provided. This detail was also included in the bidder's submitted technical specifications but was not reflected in the PO.

8.30. Moreover, Section VII of the bidding documents explicitly stated that the supplier must submit a 1-week menu cycle during the post-qualification phase. This requirement was acknowledged by the bidder, as it was incorporated into the bidder's submitted technical specifications, duly signed by the authorized representative.

8.31. The supporting documents for the payment disclosed three sets of one-week menu cycle for each food category: special snacks, special meals, standard snacks, standard meals, and heavy snacks. While the first two sets complied with the specifications as published and as bid, the final set for the heavy snacks only included one viand instead of the agreed-upon two viands. Additionally, the special snacks menu provided two viands instead of the required one. It can be inferred that the scope of each menu may have been inadvertently interchanged. However, it is important to emphasize that documents are definitive and there is no room for assumptions as they reflect the actual terms and conditions that were agreed upon.

8.32. As per the IAR, the received goods were declared inspected and verified as satisfactory in terms of quantity and specifications. The IAR, however, only listed the food categories earlier mentioned, without specifying the exact food and drinks received. This lack of detail makes it difficult to verify whether the supplier complied with the menu they had provided. Additionally, the IAR was accompanied by only 12 photos of the meals and snacks, which represented a small fraction of the total volume of IARs attached to the DV.

8.33. A representative from the Provincial Inspection Committee (PIC) stated that during inspections, they refer to the PO, Inspection Schedule, PR, and the Technical Specifications from the published bidding documents (which only included the number of viands to be served). He added that they do not have a copy of the one-week menu cycle which was submitted by the supplier during the post-qualification.

8.34. In this regard, it must be noted that the supplier's submitted one-week menu cycle during post-qualification outlined the specific types of food the supplier committed to provide. This menu formed a critical part of the evaluation process and was a key factor in the supplier's successful completion of post-qualification. Given its relevance, it is essential that this menu be clearly and accurately incorporated in the PO. Doing so ensures that the PO reflects the supplier's actual commitment and maintains alignment with the agreed deliverables.

8.35. Moreover, the Technical Specifications clearly state that the supplier is required to submit a one-week menu cycle. Therefore, the PIC could have requested a copy prior to the scheduled inspection.

8.36. The foregoing resulted in the acceptance of goods that did not conform to the agreed-upon menu. Furthermore, the supplier's failure to provide photo documentation of the meals and snacks delivered affected the ability to verify compliance with contractual terms. The lack of clear, traceable verification raises doubts on the effectiveness of the inspection conducted and calls for immediate action to address any potential lapses in compliance and transparency.

8.37. In their response, the PE expressed their commitment to clearly specify the types of food to be served for meals and snacks in the source documents.

Additionally, the PIC committed to documenting the meals served through photographs and properly attaching them to the IAR.

8.38. ***Supply and Delivery of Medical Equipment***

8.39. In the supply and delivery of medical equipment under PO No. 2025-01-17-001, dated January 17, 2025, the Audit Team was invited to witness the inspection of the delivered items. The goods covered by the order were partially delivered on March 12, 2025, and the delivery was completed on March 14, 2025. Photos of the delivered items were provided to the Audit Team.

8.40. Upon reviewing the photos of the two centrifuge units, each valued at ₱72,000.00, deviations from the agreed-upon specifications were identified. The items have not yet been accepted by the end-user, Bacnotan District Hospital, as they are still awaiting approval from the Provincial Governor.

8.41. In their request letter dated March 24, 2025, the end-user is requesting approval from the Provincial Governor before they proceed with the acceptance of the items in order to prevent any disruption to their laboratory services. The end-user has acknowledged and confirmed their awareness of the discrepancies in the specifications of the centrifuge machines delivered.

8.42. They stated that, after careful consideration, they acknowledge and accept the available centrifuge unit. They confirmed that the variation in specifications will not compromise the integrity of their laboratory samples or the accuracy of test results. Additionally, they emphasized that the absence of the centrifuge would significantly impact their laboratory operations, resulting in delayed test results and compromised patient care. They further expressed that their decision to accept the available product is made with the best interests of their patients in mind and in accordance with their hospital's commitment to providing quality patient care.

8.43. While the Audit Team acknowledged the concerns raised by the end-user, it is equally important to emphasize the need for the efficient and effective use of government funds. The specifications outlined in the PO were based on the end-user's own prepared and requested requirements. Therefore, the end-user's claim that the delivered centrifuge units, despite having lower specifications than originally requested, will not compromise the integrity of laboratory samples or the accuracy of test results raises questions about how the original specifications were developed. If a lower specification could already meet their needs, it calls into question why higher specifications were initially set.

8.44. Furthermore, paying the same price for items that do not meet the originally agreed-upon specifications would be unfair to the government. It sets a standard where funds are spent on subpar goods, potentially resulting in a waste of taxpayer money and a failure to deliver the expected value.

8.45. During the interview, a representative from the PIC stated that the centrifuge units have not yet been accepted by the end-user. Additionally, the PIC has a finding regarding the discrepancy in the specifications, and is taking appropriate action.

8.46. Accordingly, this discrepancy underscores the need for a more thorough review of the end-user's requirements to ensure that resources are allocated appropriately and that the procurement process is transparent and aligned with actual needs.

8.47. Executive Order (EO) No. 15, Series of 2016, created the PIC, defining its composition, functions, duties, responsibilities, and other related matters. Its purpose is to establish an internal control system for inspecting goods, services, and infrastructure projects to safeguard PGLU's resources from loss or wastage due to illegal or improper disposition. This ensures the agency operates with efficiency, economy, and effectiveness.

8.48. Regarding the inspection process, the members of the PIC convene upon receipt of the end-user's request for inspection of goods received by the Office of PGSO. The PIC will ensure that all required documents, such as (a) the PO, Letter Order, Contract, or their equivalent; (b) the supplier's invoice or delivery receipt; and (c) other necessary papers for a substantive inspection, are attached and checked for completeness and authenticity prior to inspection. After evaluating all documents, the PIC will proceed to the delivery site to conduct inspection and testing procedures, if applicable.

8.49. The inspection will be conducted in accordance with the standards and specifications, in the presence of the supplier and end-user representatives. If delivery is subject to test and samples are taken, the certificate of sampling shall be completed in accordance with the prescribed testing guidelines. An inspection report will be prepared immediately after the inspection.

8.50. The Office of the Provincial Governor and the concerned Department Heads, or their duly authorized representative/s, shall be the authorized signatory on the inspection and acceptance report. Thus, the concerned Department Heads shall designate their authorized representative/s in writing and provide a copy of the designation to the COA, Accounting Office, and BAC Secretariat. For the Inspection Report on Goods and Services, the signatures of three of the four authorized signatories will be sufficient, with two signatures required from the Provincial Accountant and the PGSO or their authorized representative/s.

8.51. In this regard, the following lapses were identified in the acceptance and inspection process by the Management:

a. The Department Heads' designation of their authorized representative/s for the inspection of goods was not provided to the Audit Team. During the interview, these documents were requested; however, as of this writing, management has yet to submit any. As a result, the Audit Team was unable to verify whether the individuals conducting the inspections were officially authorized and technically qualified. This is particularly concerning, given instances where discrepancies in the specifications of delivered items were overlooked, raising the risk of accepting substandard goods. Such a deficiency undermines both accountability and the overall integrity of the inspection process.

As previously noted, there were cases in which discrepancies in the delivered items were not initially detected by the PIC representatives. Had the Audit Team not raised questions immediately after the PIC submitted photos documenting their inspection, these discrepancies might not have been noticed. This indicates a potential lack of diligence or insufficient technical expertise among the personnel assigned to perform inspections.

b. The representatives of the PIC did not undergo formal training or orientation, in violation of Section 2(6) of the EO. This provision clearly mandates the Office of the Provincial Accountant to coordinate with the BAC in conducting training or orientation programs for all PIC members on the inspection of goods, services and infrastructure projects. The intent of this mandate is to ensure strict adherence to inspection procedures and guidelines, thereby upholding the principles of transparency, accountability, and effectiveness.

   In response to an inquiry, the Provincial Accountant stated that he personally provides updates on inspection procedures to the inspectors from time to time. When relevant seminars are held, those who attend relay applicable insights with members who were unable to participate. However, this informal approach falls short of the mandated, structured training and orientation programs. It does not guarantee that all PIC members or representatives are consistently and adequately informed about the correct inspection procedures, especially given the technical nature of goods and infrastructure projects.

c. The IAR used by the PIC did not follow the template provided in the MNGAS for LGUs. A staff member from the GSO signed the "Acceptance" box on the IAR form. This indicates that the deliveries were accepted by the staff, rather than the PGSO, which contradicts the provisions of MNGAS for LGUs.

   Section 118, Chapter 7 of the MNGAS for LGUs, Volume I, stipulates that deliveries of items purchased by LGUs must first be accepted first by the GSO prior to inspection. The inspection of these purchases shall then be conducted by the authorized inspector/s to verify conformity with the specifications provided in the order. The acceptance and inspection processes shall be documented using the Acceptance and Inspection Report (AIR). Annex 31 of the MNGAS for LGUs provides the AIR form, along with the instructions for its proper completion.

Additionally, Section 122 of the same provides the general process to be followed in the control of inventory, such that the person or unit responsible for each process is identified. It specified that the GSO/Local Treasurer is responsible to receive delivered items, prepare the AIR and sign the acceptance portion. Whereas, the Property Unit/LGU Inspector is responsible to inspect items, and sign the inspection portion of the AIR.

8.52. In conclusion, it must be emphasized that the concerned offices must always exercise due diligence in performing their responsibilities and functions, as even a single mistake can significantly affect the entire process. In particular, it is crucial to ensure full compliance with established procurement procedures, accurate inspection protocols, and proper documentation to prevent discrepancies and lapses that could compromise the quality and transparency of government transactions. A failure to do so not only undermine the procurement process but also poses risks to the effective use of public funds and damages the trust placed in government agencies. Every step in the process, from specification setting to inspection and acceptance, requires careful attention to detail and a commitment to upholding the principles of accountability and transparency.

8.53. **We recommended that the Provincial Governor take appropriate action by:**

a. directing all requesting departments or end-users to:

(i) ensure that the relevant characteristics, functionality, and/or performance requirements of the goods to be procured are clearly and consistently stated from the preparation of the PR through to the bidding documents.

(ii) carefully assess and identify their actual requirements prior to submitting the PR, to avoid situations where higher specifications are initially requested, only for the end-users to later settle for lower specifications under the justification that non-acceptance would disrupt public services.

b. instructing the BAC and its TWG to submit a written justification addressing the following concerns regarding the procurement of the 242 goats:

(i) clarifying the rationale behind accepting the bidder's proposal despite the evident alteration in the weight requirements of the offered bid.

(ii) explaining the basis for declaring the bidder as "passed" and "compliant" during bid evaluation, post-qualification, and in the subsequent recommendation for contract award, despite the bidder's initial failure to meet the technical specifications outlined in the bidding documents.

c. directing the PIC members to:

(i) furnish the Audit Team with copies of the official designations issued by Department Heads for their authorized representatives, to verify that the individuals who conducted the inspections were officially authorized and technically qualified.

(ii) see to it that all required documents such as the PO, Letter Order, Contract or their equivalent, supplier's invoice or delivery receipt, and other necessary papers, including the one-week menu cycle submitted by the supplier are complete and available prior to proceeding to the delivery site and conducting the inspection.

(iii) take clear photos of the delivered items and properly attach them to the AIR for documentation purposes.

(iv) carefully and diligently inspect all delivered goods in accordance with the standards and technical specifications indicated in the PO or contract. Any deviation, whether lower or higher than the specified requirements, shall not be grounds for acceptance. The delivered goods must strictly conform to the original specifications, as these reflect the actual and essential needs of the end-users.

(v) ensure compliance with Sections 118 and 122, Chapter 7 of the MNGAS for LGUs, Volume I, by strictly adhering to the prescribed procedures for the inspection and acceptance of deliveries, and by using the official AIR template provided in Annex 31 of the MNGAS, with the appropriate signatories.

d. considering the termination of the contract for the Supply and Delivery of Medical Equipment due to the supplier's failure to deliver the goods in accordance with the specifications stated in the contract.

e. instructing the Provincial Accountant to coordinate with the BAC in organizing a comprehensive refresher training and orientation program for all members of the Inspection Committee on Goods,

Services, and Infrastructure Projects, including their authorized representatives to ensure strict adherence to established inspection procedures and guidelines, thereby promoting transparency, accountability, and overall effectiveness in the inspection process.

8.54. Management acknowledged all the recommendations of the Audit Team and stated that efforts are currently being exerted to prepare PRs with specific and accurate item descriptions aligned with the end-user's technical requirements. Furthermore, a market study will be conducted prior to PR preparation to ensure availability of items.

8.55. Regarding the delivery of 242 goats, Management acknowledged that it was their first time to encounter such a delivery, which did not conform to the approved specifications. They also admitted that the discrepancy had not been immediately noticed. Management assured that corrective measures will be undertaken to address the oversight and ensure compliance with procurement requirements moving forward. In addition, an investigation is currently underway concerning alleged alteration of the bidding documents.

8.56. For the PIC, Management committed to provide the designation documents to verify that the individuals conducting inspections are duly authorized by their respective department heads.

Inefficiencies in the Approval of Extensions on the Delivery of Goods

9. Inefficiencies in the procurement of goods totaling ₱85,654,560.80, including prolonged intervals between the issuance and receipt of POs, Call-Offs (COs), and NTPs, as well as unwarranted extensions in delivery, contravene the key provisions of the 2016 Revised IRR of RA No. 9184, the GPM Volume II: Manual of Procedures for the Procurement of Goods, and Volume I of the MNGAS for LGUs, resulting in missed project deadlines, non-imposition of applicable liquidated damages amounting to at least ₱1,831,471.74, and significant delays in delivering the intended benefits of the procurements, ultimately undermining the effective and efficient use of public funds and resources.

9.1. In line with this, Section 75 of the 2016 Revised IRR of RA No. 9184 led to the issuance of the 2016 Revised IRR, which provides a comprehensive framework for the effective implementation of the procurement law. Additionally, Section 6 of the same mandates that PEs use the GPMs to standardize the procurement process. This ensures clarity, promotes transparency, and reinforces compliance with the fundamental principles governing government procurement. Volume II of the GPM, in particular, offers detailed guidelines on the proper implementation of contracts for the procurement of goods and services.

9.2. In CYs 2023-2024, PGLU entered into contracts for the procurement of goods totaling ₱85,654,560.80, with payments made in CY 2024.

9.3. These goods were acquired either through competitive bidding or via the alternative method of Small Value Procurement (SVP). A review of the supporting documents related to their procurement uncovered the following deficiencies:

9.4. ***Prolonged gaps between the issuance and suppliers' receipt of POs, COs, and NTPs have significantly affected the timely execution of contracts and caused delays in the delivery of goods, thus affecting the implementation of projects.***

9.5. Under the SVP modality, Item D.8 of Annex H of the Revised IRR of RA No. 9184 provides that if the HoPE approves the BAC recommendation to award the contract to a supplier with a Single or Lowest Calculated and Responsive Quotation (SCRQ/LCRQ), the HoPE shall immediately enter into a contract with the said supplier.

9.6. Moreover, under the same modality, the issuance of a NTP is not required. Therefore, the supplier's contractual obligation to deliver the procured goods begins immediately upon receipt of the PO. However, a review of the POs revealed that the PE was unable to ensure that suppliers received them immediately. Instead, POs were received only after delays ranging from 18 to 70 days.

9.7. The PE took several days to issue the POs to the winning bidders. It is important to emphasize that the term "immediately," as used in the 2016 Revised IRR to set the timeline for contract execution in the form of a PO, implies the need for prompt action by the PE. As defined by Black's Law Dictionary, "immediately" denotes prompt, vigorous action without delay and conveys a stronger sense of urgency than the phrase "within a reasonable time".,

9.8. Accordingly, the failure of the PE to ensure that suppliers received the PO as soon as they were prepared contributed to delays in the timely execution of contract terms and conditions. Moreover, the delayed effectivity of the POs also postponed the realization of the intended benefits of the procured goods, as the delivery schedule was dependent on the supplier's receipt of the PO.

9.9. In an interview, it was stated that the preparation of the PO is carried out by the BAC, after which it is forwarded to the end-user for review and signature. Once signed, the PO is returned to the BAC, who is then tasked with ensuring its transmission to the supplier. However, this process contradicts the proper delineation of responsibilities as outlined in Section 122 of the MNGAS for LGUs.

9.10. The MNGAS explicitly states that the preparation of POs falls under the purview of the GSO. Furthermore, it must be emphasized that the BAC is officially mandated only to handle procurement activities from planning up to the recommendation of contract awards to the HoPE. As such, the preparation and issuance of POs fall outside the BAC's scope of duties.

9.11. This misalignment of roles may be contributing to the observed delay. When responsibilities are unclear or assigned to inappropriate offices, procedural bottlenecks and accountability issues can arise, resulting in prolonged document processing times. Ensuring that the appropriate offices carry out their mandated functions, as specified in relevant guidelines, could significantly reduce delays and improve overall efficiency in project implementation.

9.12. Meanwhile, for goods procured through competitive bidding, Section 37.4.1 of the 2016 Revised IRR of RA 9184 mandates that *"The Procuring Entity must issue the Notice to Proceed together with a copy or copies of the approved contract to the successful bidder within seven (7) calendar days from the date of approval of the contract by the appropriate government approving authority.* ***All notices called for by the terms of the contract shall be effective only at the time of receipt thereof by the successful bidder."*** (Emphasis supplied)

9.13. For goods procured under a CO, the term refers to a specific procurement request or order made by the PE, exercising the option, and requiring a supplier or service provider to deliver the goods or perform the services agreed upon under the terms of the Framework Agreement. This is equivalent to a PO, where the receipt of the order formally authorizes the supplier to commence delivery.

9.14. While the NTPs and COs were prepared early, the Audit Team observed that these were issued to the suppliers 6 to 53 days later, instead of on the same day, which is necessary to streamline the timely delivery of goods to the public. Details are presented in the table.

9.15. While the NTPs and COs were prepared early, the Audit Team observed that these were issued to the suppliers 6 to 53 days later, instead of on the same day, which is necessary to streamline the timely delivery of goods to the public.

9.16. As previously discussed, all notices stipulated in the contract will take effect only upon receipt by the supplier. In regard to the COs, the delivery of goods will proceed upon the supplier's receipt of the document.

9.17. For instance, the supplier for "Supply and Delivery of Electric Scooter", could only commence its contractual obligation upon receipt of the NTP, which serves as the formal authorization to start delivery. As such, the supplier was only allowed to start delivery on September 9, 2024 (date of receipt of NTP), instead of July 29, 2024 (date of issuance of NTP), resulting in a 42-day delay. Had the NTP been received on the same day it was prepared, July 29, 2024, the items could have been delivered by September 12, 2024. However, due to the PE's failure to ensure timely receipt of the NTP, the delivery was further delayed by 42 days, postponing the availability of the procured items.

9.18. It must also be emphasized that most of the sampled projects involved suppliers whose business addresses, as indicated in their request letters, are located within Region I. Given their proximity to PGLU, it is reasonable to expect that these suppliers could have signed or received the POs, COs, and NTPs immediately.

9.19. Specially, three suppliers listed office addresses within the City of San Fernando (Barangays Sevilla and Biday) and the Municipality of Bauang, locations that are in close proximity to the PE's office. As such, the documents could have been received promptly. Notably, the PE managed to ensure that the PO for the "Supply and Delivery of Rescue Truck" project was received just two days after issuance, despite the supplier's office being located in Marikina City. This demonstrates that timely transmission is feasible and should have been similarly achieved for suppliers situated much closer.

9.20. These instances point to a possible lack of urgency or oversight from the PE in ensuring that suppliers promptly acknowledge and receive POs, COs, and notices. Alternatively, these delays may reflect a deliberate strategy to prolong the gap between the issuance and receipt of these documents, potentially to avoid the imposition of liquidated damages. By delaying receipt, suppliers could circumvent penalties for late delivery, which would otherwise be incurred if goods were delivered past the agreed-upon deadline. This potential circumvention of procedures is particularly concerning, especially since the dates of receipt for the NOAs and NTPs for the winning bidders were in different handwriting, as highlighted in Observation No. 6.

9.21. In an interview, the BAC explained that the suppliers were unable to receive the documents on time as they were on travel, and their staff members refused to accept the documents on their behalf.

9.22. While we acknowledge the explanation provided by the BAC, the scenario seems to suggest a lack of interest, or at least a low interest on the part of the suppliers in accepting the awarded contracts. To ensure the smooth continuation of operations, the BAC should engage with the suppliers to emphasize that, in cases where they are unavailable, they must designate authorized representatives to receive official communications and documents to prevent unnecessary delays in the implementation of projects.

9.23. Further, the PE could include specific stipulations in the contract regarding the period for receiving the NOA and NTP, as well as for entering into the contract. Failure to comply with these timelines could be established as grounds for contract termination. Annex I of the 2016 Revised IRR of RA No. 9184 states that one of the grounds for termination is the supplier's failure to perform any other obligation under the contract. Additionally, the BAC and its TWG should consider, during the evaluation of the winning bidder, whether the supplier has previously caused delays. In Observation No. 6, delays in the execution of contract and preparation of NTP were already noted. These additional delays in the receipt of these notices, caused by the winning bidders, have negatively impacted the timely delivery of services to constituents.

9.24. Accordingly, the prolonged gaps between the issuance and receipt of POs, COs, and NTPs have significantly hindered the timely execution of contracts. Consequently, the delays extended the timeline for completing or delivering goods to constituents. It is important to highlight the primary purpose of using the alternative method of SVP which is to promote economy and efficiency. However, the stretched period between completing the procurement process and delivering goods to the intended users or recipients undermines the government's objective of a streamlined and efficient procurement process. By reducing the time gaps between the issuance and receipt of these documents, PGLU could improve the promptness and efficiency of service delivery to its constituents.

9.25. **We recommended that the:**

a. Provincial Governor, together with the end-users or implementing units, to immediately issue the POs, COs, and NTPs to the winning bidder; and

b. PE establish a policy requiring the winning supplier to promptly acknowledge receipt of the NOA and NTP, and to enter into a contract without delay. This may include: (a) incorporating stipulations in the contract regarding the timeframe for receiving notices and terminating the contract for failure to comply; and (b) factoring in any recurring delays in the receipt of such notices during the BAC TWG's evaluation of the winning bidder.

9.26. Management acknowledged all the recommendations of the Audit Team and admitted lapses in the timely issuance of POs, COs, and NTPs. They assured that measures will be taken to ensure the prompt issuance of these documents moving forward.

9.27. ***Lapses of the Management, such as (a) approving extensions requested by suppliers only after the original delivery date had passed, (b) granting extension days that exceeded the maximum allowable period, and (c) approving extensions based on unmeritorious grounds due to procedural deficiencies, led to multiple issues, including missed project deadlines, failure to impose necessary liquidated damages, and significant delays in the timely utilization of procured goods.***

9.28. Volume II of the GPM provides that the supplier must deliver the goods within the timeframe prescribed by the PE as outlined in the contract. If a delay is anticipated, the supplier is required to notify the PE in writing, providing the reasons for the delay and the expected duration. The PE may, at its discretion, grant an extension of time based on meritorious grounds, either with or without liquidated damages. In all cases, the request for an extension must be submitted before the lapse of the original delivery date. The maximum allowable extension shall not exceed the initial delivery period as stated in the original contract.

9.29. *Requests for extensions were submitted by the suppliers only after the lapse of the original delivery date*

9.30. For the four sampled procurement of goods, the suppliers requested extensions of time for the delivery of the procured items, ranging from 1 to 19 days beyond the original delivery date.

9.31. This contradicts the provision outlined in GPM Volume II to request for extension before the original delivery date lapses. This requirement is designed to address potential delays proactively rather than reactively. As such, the instances described should have prompted the Management to automatically deny the requests for extensions. Instead, Management should have compelled the suppliers to immediately deliver the procured goods, thus preventing further delays and ensuring the timely execution of the projects.

9.32. Given the violation mentioned earlier, the time extensions granted to the suppliers are deemed inappropriate. As a result, the PE should impose liquidated damages amounting to ₱282,994.34 on the suppliers to ensure compliance with the terms of the contract and uphold the integrity of the contractual obligations. This measure will hold the suppliers accountable for the delays and the resulting impact.

9.33. *Extensions granted exceeds the maximum allowable period.*

9.34. Management granted a 30-day extension for another four sampled projects, exceeding the initial 15-calendar-day delivery period. This extension directly contradicts the provision in the GPM which explicitly states that the maximum allowable extension should not exceed the original contract's specified delivery period. Therefore, liquidated damages totaling ₱84,992.51 should be applied as necessary.

9.35. *Grounds for granting the extension is not reasonably meritorious*

9.36. The suppliers' inability to meet the original delivery period was primarily due to the following factors: (a) supply chain disruptions and stock shortages, (b) customs and clearance delays, (c) unfavorable weather conditions, (d) extended processing times for required permits, and (e) unforeseen technical adjustments.

9.37. It should be emphasized that the delivery periods outlined in the POs, COs, and contract agreements were carefully reviewed by the end-users or implementing units during the requisition process to ensure that these timelines were adequate for the supplier to prepare and fulfill their obligations. Additionally, the delivery period was clearly communicated to the suppliers, beginning with the distributed Request for Quotations (for the SVP modality) and included in the Bidding Documents. Suppliers committed to adhering to these timelines, as evidenced by their proposals and formal acceptance of the terms upon signing the contracts, POs, or COs. Therefore, there should be no reason for concerns regarding delays in the delivery of the specified items.

9.38. For instance, in the project titled "Supply, Delivery, Installation, and Training of Telemetry Monitoring System with Data Information Management," the supplier requested an extension for the delivery of goods, citing delays in the permit approval process from the Department of Public Works and Highways (DPWH). The supplier claimed that obtaining the necessary permit took approximately two weeks longer than anticipated. However, it is important to note that a 60-day period was provided and agreed-upon by the supplier. This timeframe should have been sufficient for the supplier to process the permit.

9.39. On the other hand, for the project "Musical Instruments for IPs Cultural Instruments for the Municipal IPs," the supplier's request letter did not provide any specific reasons for the extension. Nevertheless, Management approved the request with the following statement: "*After careful review of the reasons stated in your letter, the undersigned, as HoPE, hereby APPROVES, your request for a 30-day extension to complete your delivery under PO No. 2023-12-21-002 and PO No. 2023-12-03-001*." This raises serious concerns about the integrity and thoroughness of the evaluation process conducted by Management. The approval was granted without a clear or justifiable basis outlined in the supplier's request. The lack of specific reasons or supporting documentation for the extension makes it difficult to understand the rationale behind the decision, suggesting that the review process may not have been as comprehensive as it should have been.

9.40. Meanwhile, production delays caused by typhoons and other unforeseen circumstances do not, on their own, constitute valid grounds for granting an extension. It is important to recognize that suppliers undergo post-qualification by the BAC TWG. This process ensures that all terms and conditions related to the procurement of goods, including technical, legal, and financial requirements, have been thoroughly discussed with the supplier. The BAC's declaration that the supplier is the bidder with LCRB or LCRQ, along with their recommendation to award the contract, affirms the supplier's ability to meet contractual obligations. Furthermore, the absence of any adverse findings in the post-qualification evaluation reports confirms the supplier's capacity to deliver goods on time.

9.41. Accordingly, the reasons cited by the suppliers cannot be regarded as meritorious as they stem from the supplier's failure to exercise reasonable diligence and prudence. Similarly, these claims lack substance due to the absence of supporting proof or documented evidence. The request is not substantiated by any certifications from relevant government bodies confirming adverse weather conditions, travel permit issues, supply shortages, or production delays. It is important to emphasize that the responsibility for managing these risks and delays lies with the supplier, not the PGLU.

9.42. While we acknowledge Management's understanding and leniency in granting the suppliers an extension, it is important to underscore that the reasons provided by the suppliers for requesting additional time are not reasonably meritorious. The original delivery period, which was agreed upon by the suppliers, was already set at a level that should have been sufficient for them to meet their obligations. The fact that they initially accepted these terms suggests they had the capacity to comply within the specified timeframe. Consequently, granting further extensions raises concerns, as it may not only undermine the supplier's accountability but also set a precedent that could encourage delays in future engagements.

9.43. Had Management been more rigorous in evaluating and granting extension requests, and had they adhered strictly to the guidelines outlined in the GPM, the amount of ₱1,463,484.89 liquidated damages would have been imposed.

9.44. Overall, it can be inferred that the circumstances surrounding the approval of the extension such as the extension request being submitted only after the lapse of the original delivery date (₱282,994.34), the extension granted exceeding the maximum allowable period (₱84,992.51), and the approval being based on unmeritorious grounds (₱1,463,484.89) resulted in the under-imposition of liquidated damages totaling at least ₱1,831,471.74.

9.45. In an interview, it was narrated that requests for extension are typically submitted by the supplier to the Office of the Provincial Governor. However, there are instances when such requests are submitted directly to either the end-user or the BAC. The end-user then assesses the necessity of the items for delivery and subsequently forwards the request to the Office of the PGSO for a review of the technical aspects and to determine whether there are valid grounds for approval. If the reason for the extension falls within the acceptable condition or is otherwise justified, the BAC or Office of the PGSO may recommend its approval. Conversely, if the grounds for the extension are not justified, the request will not be recommended for approval.

9.46. It was acknowledged during interview that there have been challenges in this process. The involvement of multiple offices, from the receipt of the extension request to its eventual approval, has led to issues with control measures and unclear delineation of responsibilities. This raised the question of which offices should be directly involved in handling such requests.

9.47. To address these concerns. management resolved that all requests for extension must first be submitted to the end-user, as they are most familiar with the urgency and necessity of the items. The end-user will then forward the request to the GSO for technical evaluation and recommendation.

9.48. It is worth noting that the best interests of the PGLU must always be the priority, particularly in ensuring the efficient and timely implementation of its PPAs. Timely implementation of PPAs not only ensures the efficient use of resources but also directly benefits end-users by delivering essential services as scheduled. Therefore, future decisions regarding the granting of extensions should be made judiciously, and with careful consideration of their impact on project timelines and overall effectiveness.

9.49. **We recommended that the Provincial Governor, in her capacity as HoPE to:**

a. **direct the BAC to strengthen their post-qualification procedures by implementing a more thorough evaluation of potential suppliers to ensure they meet all necessary qualifications to fulfill the contract;**

b. **institutionalize a comprehensive set of procedures and guidelines for the deliberation, investigation, and assessment of the validity and propriety of every request for delivery extensions from suppliers; and**

c. **grant delivery extensions only when they strictly adhere to the guidelines set forth in Volume II of the GPM, specifically:**

   (i) **requests for extensions by the supplier must be submitted prior to the expiration of the original delivery date in all cases. Utilize the Procurement Monitoring Report by adding a column indicating the target delivery period for each good or service. Use this report as a reference whenever an extension request is received to ensure that the request is made prior to the lapse of the original delivery period;**

   (ii) **any extensions granted should not exceed the original delivery period specified in the contract; and**

   (iii) **approval of extension request should be based on grounds that have been thoroughly investigated and found to be meritorious. Supporting documents justifying the extension request, including**

the transactions cited in this observation, should be attached to the request letter.

9.50. **We also recommended that the BAC, in collaboration with its TWG, conduct site visits to verify that suppliers have the required goods in stock and are fully capable of meeting the specified delivery period.**

9.51. **For cases where extensions were improperly granted, we recommended that Management review all related contracts and impose the applicable liquidated damages, amounting to at least ₱1,831,471.74. This action will encourage suppliers to comply with delivery schedules, thereby ensuring the timely use of the procured goods.**

9.52. Management stated that they will strictly adhere to the prescribed guidelines and have already initiated measures to ensure that future extensions on delivery of goods are granted only for meritorious and justifiable reasons. The Provincial Accountant will also conduct a review of previously granted extensions to identify any that may have been improperly approved and assess their impact with regard to liquidated damages.

Improper Delegation in the Approval of Suspension and Resumption Orders

10. The procedure governing the approval of Suspension and Resumption Orders for infrastructure projects contravenes the key provisions set forth in the 2016 Revised IRR of RA No. 9184 and the GPM: Volume 3, due to improper delegation, which weakens the system of checks and balances, compromising the objectivity and accountability mechanisms essential to sound procurement governance and responsible decision-making.

10.1. Under both the GPM and the 2016 Revised IRR of RA No. 9184, the PE has the authority to suspend work, either wholly or partly, through a written order for a period deemed necessary, due to force majeure or any fortuitous events, failure of the contractor to correct bad conditions that endanger workers or the general public, failure to comply with valid orders from the PE, or failure to perform contractual obligations. Additionally, work may be suspended if adjustments to the plans are needed to accommodate field conditions during construction. The contractor is required to immediately comply with the suspension order and work must resume either upon receipt of a notice from the PE lifting the suspension or upon the expiration of the suspension period.

10.2. When issuing a suspension order, the PE should follow the steps outlined in the ‘Suspension of Works’ section of the GPM: Volume 3 (Manual of Procedures for the Procurement of Infrastructure Projects), as follows:

a. The Implementing Unit or end-user unit determines the existence of any of the grounds for suspension enumerated in this Manual.

b. The Implementing Unit or end-user unit drafts the suspension order for the approval of the HoPE.

c. The suspension order is issued to the contractor, stating the grounds therefor.

d. Prior to the expiration of the suspension order, the Implementing Unit or end-user unit shall determine whether or not the grounds for suspension still exist.

10.3. As mentioned above, the implementing unit or end-user is responsible for drafting the suspension order after confirming the presence of any of the grounds enumerated in the Manual. Upon the endorsement of the implementing unit or end-user, the request for suspension order will be forwarded to the HoPE for final approval.

10.4. This process serves as an essential internal control, ensuring that suspension orders are warranted, justified, and compliant with established guidelines. Once confirmed and properly endorsed, the request is forwarded to the HoPE for final review and approval, thereby reinforcing a structured and accountable decision-making process.

10.5. During the contract review and post-audit of disbursements for infrastructure projects, it was noted that requests for suspension of work submitted by contractors were being approved by the Provincial Engineer, instead of the HoPE, as required.

10.6. While Section 5(t) of the 2016 Revised IRR of RA No. 9184 recognizes the authority of the Head of the Agency to delegate, in general, the functions of the HoPE, it must be ensured that any representative designated to perform such functions is duly vested with legal authority in accordance with existing laws, rules, and regulations.

10.7. During an interview, the Provincial Engineer clarified that he was granted authority by the HoPE to approve contractors' requests for the suspension and resumption of works. The approval of Variation Orders was likewise delegated to him. This delegation was intended to expedite the processing of contractors' requests and avoid delays in project implementation. However, the Audit Team was not provided with a copy of this delegation.

10.8. Nonetheless, the Provincial Engineer cannot suspend projects solely based on a special order delegating the authority of the Provincial Governor. While the Provincial Governor has the authority to issue such orders, the roles and responsibilities of the Provincial Engineer are primarily governed by the procurement guidelines and the Manual, which must take precedence. As previously stated, the Provincial Engineer, as the head of the implementing unit, is responsible for drafting the suspension order for the approval of the HoPE.

10.9. Further, the delegation must be exercised with due consideration of the principles of economy, efficiency, accountability, and the effective implementation of projects. The Provincial Engineer held the position of BAC Chairman and also serves as the implementing officer. His authority to approve work suspensions and resumption orders introduces a potential bias that can adversely affect project cost, duration, and quality.

10.10. The review of the submitted Quarterly Reports on Government PPAs of the PGLU revealed the issuance of various suspension orders, resulting in extensions to the revised contract timelines ranging from 45 to 744 calendar days, as discussed in Observation No. 11. Consequently, the Provincial Engineer's approval of these suspension orders may have contributed to the prolonged contract durations and the associated delays. If the same individual serves as both the BAC Chairman, who recommends the contract award, and the Provincial Engineer, who oversees project implementation, granting him the authority to approve suspensions, resumptions, and variation orders could undermine the system of checks and balances. The Provincial Engineer's involvement in both evaluating the grounds for suspension and approving such orders further weakens the integrity of this system.

10.11. Furthermore, the HoPE, in her capacity as the Head of the Agency, is obligated to maintain a comprehensive and accurate understanding of the status of project implementation. Any significant delays arising from prolonged suspensions must be duly reported to the HoPE for appropriate oversight. The delegation of authority to issue suspension orders solely to the Provincial Engineer effectively diminishes the HoPE's capacity to critically assess the efficiency and effectiveness with which the PGLU is executing its projects, thereby impeding the overall evaluation process.

10.12. Recognizing the appropriate authority responsible for approving suspension and resumption orders is essential to upholding accountability, especially since the projects in question are vital infrastructure developments. The issuance of suspension orders is a significant matter that must not be underestimated. These orders play a significant role in the timely completion of works. When the system of checks and balances is weakened, such as in cases where the Provincial Engineer also serves as both the BAC Chairman and the implementing officer, conflicts of interest may arise. This overlap of roles can lead to biased decisions, resulting in severe delays, cost overruns, and the disruption of essential public services. Such consequences not only hinder project delivery but also jeopardize the broader goals of public welfare and community development. Therefore, the approval and issuance of these orders must be carried out with the utmost integrity, transparency, and diligence.

10.13. **Based on the foregoing, we recommended that the Provincial Governor, in her capacity as the HoPE, instruct the Provincial Engineer to:**

a. **Immediately cease the current practice of approving suspension and resumption orders issued to contractors; and**

b. **Conduct thorough evaluation of all submitted requests for the suspension of infrastructure works projects, ensuring that the grounds for suspension align with those outlined in the GPM: Volume III, the findings and recommendations be endorsed to the HoPE for final approval, thereby upholding accountability and proper governance in project implementation.**

10.14. In their letter reply, Management extended that they will revoke the Special Order and ensure that future requests for suspension of infrastructure work projects are based strictly on the grounds outlined in the GPM.

Deficiencies in the Grant of Time Extensions and Suspension Orders

11. The reasonableness of work suspensions and the subsequent granting of Contract Time Extensions (CTEs) for 60 infrastructure projects, with a total contract cost of ₱548,088,013.26, could not be ascertained due to Management's leniency and weak internal controls over the evaluation and approval processes which contravene key provisions of the 2016 Revised IRR of RA No. 9184, resulting in delays in the implementation of these projects by 45 to 744 calendar days (CDs), and ultimately hindering the timely delivery of public services, and depriving constituents of the immediate and optimal use of public infrastructures.

11.1. One of the core principles of government procurement is accountability which ensures that public officials, whether directly or indirectly involved in the procurement process or in the implementation of procurement contracts, as well as private parties engaged with the GoP, are subject to investigation and held liable for their actions when warranted by the circumstances. Ensuring accountability not only safeguards the integrity of procurement and implementation processes but also reinforces public trust in the management of public funds.

11.2. To uphold this principle and mitigate the risks of mismanagement or abuse, government agencies are required to establish effective internal control systems which serve to protect public resources, ensure accurate financial reporting, and promote compliance with prescribed managerial policies and procedures.

11.3. Meanwhile, Annex “E” of the 2016 Revised IRR of RA No. 9184 provides detailed guidelines for the implementation of infrastructure contracts. It specifically outlines provisions for contract suspension, the conditions under which time extensions may be granted, and the imposition of liquidated damages, where applicable.

11.4. Specifically, Item 10 of Annex “E” authorizes the Procuring Entity (PE) to suspend work, either wholly or partly, through a written order, for a duration deemed necessary. Such suspensions may be justified by force majeure, fortuitous events, or the contractor’s failure to: (a) correct unsafe conditions affecting workers or the public, (b) comply with valid directives from the PE, or (c) fulfill contractual obligations, or (d) adjust plans to accommodate necessary field changes during construction.

11.5. The period of work suspension may be considered for a CTE only when the total suspension or suspension of activities along the critical path is not attributable to the contractor's fault. In such cases, the time elapsed between the issuance of suspension order (SO) and the resumption of work may be added to the contract duration accordingly.

11.6. The responsibility for determining the appropriateness of any CTE rests with the PE, particularly the Provincial Engineering Office (PEO), which is the implementing office. Prior to approval, the PEO must conduct a thorough evaluation of the circumstances and scope of the delay. Time extensions should be granted only when the PEO concludes that the conditions are met and that there is supporting evidence to justify such action. Extensions are not permitted for delays caused by ordinary unfavorable weather conditions or by the contractor’s inexcusable failure or negligence in providing the necessary equipment, supplies, or materials.

11.7. In this context, the Audit Team conducted a detailed review of the procedures followed by the PEO in issuing SOs and granting subsequent CTEs. The objective was to determine whether internal controls over these processes were adequately established and effectively implemented. This review was prompted by the continued high number of SOs and the significant time extensions granted to contractors, an issue that had also been noted in the previous year but remained unaddressed.

11.8. Based on PGLU’s Consolidated Quarterly Report on Government PPAs, a total of 221 infrastructure projects, with an aggregate contract amount of ₱1,272,048,555.40, were reported. Of these, 180 were completed, while 41 remained ongoing. Notably, 108 projects, constituting 48.87% of the total, were granted CTEs.

11.9. To verify the validity of these extensions, the Audit Team requested supporting documentation from the PEO. In response, the PEO submitted records for only

60 projects, excluding those involving Change Orders. These 60 projects, with a total contract cost of ₱548,088,013.26, were granted a total of 7,244 CDs in CTEs.

11.10. ***Due to unfavorable weather conditions***

11.11. The estimated number of rainy or unworkable days considered unfavorable for on-site construction may be factored into the determination of contract duration for infrastructure projects, based on historical weather data from the Philippine Atmospheric, Geophysical and Astronomical Services Administration (PAGASA). When such estimates are included in the contract duration, they must be disclosed prior to bidding through the Invitation to Bid (IB) which serves to guide prospective contractors in preparing their bids and to provide a clear reference for both the GoP and the winning contractor in evaluating requests for CTEs. In the absence of such disclosure, it is presumed that the contract duration excludes allowances for unfavorable weather conditions.

11.12. In the case of the PGLU, the durations stipulated in infrastructure project contracts are understood to exclude allowances for unfavorable weather, as no corresponding estimates were provided in the IB. As such, the PE may grant CTEs based on unfavorable weather conditions, provided that the contractor can justify that suspension of work was necessary and that an extension is warranted under the circumstances.

11.13. Notably, the most frequently cited justification was the occurrence of heavy rainfall or continuous downpour at the project site. A total of 95 SOs were issued, resulting in CTEs totaling 4,424 CDs.

11.14. Upon a detailed review of the documents submitted by the PEO, the Audit Team observed several deficiencies in the issuance of SOs and the granting of CTEs, to wit:

11.15. *Several suspension requests submitted by contractors were approved by the PEO on the same day of submission, suggesting an inadequate evaluation process.*

11.16. During an interview with a PEO representative, it was stated that contractors submit their requests for work suspension directly to the PEO. Upon receipt, the PEO immediately evaluates whether the site is unworkable by conducting a site inspection. If the site is accessible, the PEO reportedly visits the location to assess conditions firsthand. However, in cases where the site is deemed impassable, the PEO instead relies on photos provided by the contractor. The representative clarified that there are instances where the submitted photos are not geotagged.

11.17. These evaluation procedures are deemed inadequate, as the PEO was unable to provide evidence confirming that site inspections were actually conducted. When asked, the PEO representative admitted that they do not maintain records of the photos submitted by contractors, nor do they keep a logbook of communications with contractors or barangay officials where the projects are located, records that could demonstrate that site conditions were properly monitored.

11.18. Further, the Audit Team noted the consistent one-day turnaround in evaluating and approving work suspensions which reflects the lack of thoroughness and reliability of the PEO's evaluation procedures.

11.19. *Work suspensions were requested on days that rainfall ranged from 0.00mm to 39.4mm which are classified as light rainfall.*

11.20. The PEO approved work suspensions even on days where the recorded 24-hour rainfall (from 8:00 AM of a given day to 8:00 AM of the following day), according to PAGASA weather report, ranged only from 0.0mm to 39.4mm. This range is classified under the "light rainfall" category based on PAGASA's rainfall intensity classification, which is below the threshold typically classified as moderate rainfall.

11.21. Notably, there were instances where SOs were issued despite the absence of rainfall on the reported day, which demonstrate the absence of actual evaluation of PEO-on the justifications submitted by contractors.

11.22. During an interview, the representative admitted that the PEO does not utilize external sources like PAGASA weather reports or other online weather forecasting platforms on the date of request. Instead, the office relies solely on documentation submitted by contractors, such as site condition photos.

11.23. This reliance on contractor-provided information suggests a potential misuse of weather-related justifications for delays, which undermines the credibility of suspension approvals and may contribute to unnecessary project delays.

11.24. *Days with no rainfall or only light rainfall were also included in the computation of CTEs.*

11.25. Similar to the issuance of SOs, the PEO also granted rain-related CTEs to several contractors despite the absence of recorded rainfall or when the rainfall fell only within the "light" category.

11.26. The results of audit revealed that between 69.23% and 100.00% of the total extension days granted under each SO corresponded to days with no rainfall or only light rainfall.

11.27. For instance, in the project titled "Construction of 3-Classroom Building at Rimos del Norte ES, Luna, La Union," a total of 48 CDs were suspended. However, only 20 of those days had actual rainfall, with amounts ranging from 0.0mm to 43.8mm, levels that still fall within the light rainfall classification.

11.28. Similarly, the project "Construction of Caba Farmers Multi-Purpose Center (Phase II), Caba, La Union" was granted a substantial 184 CDs of CTE due to allegedly unworkable site conditions caused by heavy and unpredictable downpours. However, upon verification, 97.83% of the granted days fell under conditions of no to light rainfall, comprising 75 days with no recorded rainfall and 105 days with rainfall ranging from 0.0mm to 51.0mm.

11.29. Also, for the same project, SOs remained in effect during periods of 5 to 14 consecutive days with no recorded rainfall. The absence of rain during these periods should have prompted the contractor to resume construction activities.

11.30. Furthermore, a review of PAGASA's weather reports revealed that, in many instances, rainfall, when it did occur, was recorded after 2:00 PM. Contractors could have adjusted their work schedules to take advantage of the favorable morning conditions by starting earlier or implementing compressed work hours from 8:00 AM to 2:00 PM. Adopting such strategies could have mitigated weather-related disruptions, maintained productivity, and minimized delays. The failure to implement these adjustments not only resulted in avoidable delays but also posed risks to the timely completion of concurrent or future projects.

11.31. A PEO representative stated that they communicate daily with contractors to determine whether work can resume. However, the PEO does not maintain a monitoring logbook or formal record of these communications. Hence, justifications could not really be relied upon especially that CTEs were granted even on days with no recorded rainfall.

11.32. Accordingly, the inclusion of non-rainy or only mildly rainy days in the computation of CTEs raises concerns about the validity and reasonableness of the granted extensions. While it is acknowledged that certain construction activities may be sensitive even to light rainfall, such justifications must be substantiated with concrete evidence of actual site disruption, evidence that was not provided in the reviewed documentation.

11.33. *Absence of supporting documents such as the PAGASA certification or monthly weather report, straight line diagram showing the critical activities affected, and geotagged photos of the project site.*

11.34. For some projects, the PAGASA certification or monthly weather report was not provided. The report serves as the most reliable and objective basis for verifying the occurrence of adverse weather conditions. Its submission is essential to substantiate claims of work disruptions attributed to inclement weather.

11.35. A straight-line diagram, on the other hand, is necessary to demonstrate whether the reported rainfall directly affected activities along the project's critical path. Since contractors are entitled to suspend operations on any or all activities along the critical path, it must be clearly shown that the affected tasks are indeed part of that path. In such cases, the suspended days may be considered as valid grounds for a justified CTE. However, the same was not provided to support the CTEs.

11.36. Meanwhile, geotagged photos of the project site provide visual and locational evidence of conditions that rendered work unsafe or impractical. These photos must accurately depict the actual on-site situation and should accompany the contractor's request for work suspension, to which they failed to comply.

11.37. *Delayed and incomplete submission of PAGASA Weather Reports*

11.38. It was observed that while the contractor submitted PAGASA weather reports, these were often submitted with significant delays, ranging from 21 to 214 days after the issuance of Resumption Orders (ROs), as shown in the table below. In many cases, the reports were only requested by the contractors long after the suspension periods had ended. Despite these delays, the PEO still granted CTEs, rather than withholding approval to compel contractors to submit the required documents in a timely manner.

11.39. Additionally, two projects were identified where the PEO granted CTEs despite the required weather reports being submitted only after project completion, ranging from 13 to 91 days after the respective projects had ended.

11.40. Timely and complete submission of such documentation should be a fundamental requirement before any CTE is granted, especially given the high volume of extensions processed by the PEO. Apparently, the delayed or retrospective submission of supporting documents undermines the integrity and transparency of the extension approval process.

11.41. In addition, several of the submitted weather reports were incomplete, with data missing for periods ranging from one to two months. These deficiencies compromise the usefulness of the reports for real-time project decision-making, as well as for post-implementation audits and verification.

11.42. These issues highlight significant weaknesses in the internal controls governing the PEO's evaluation and approval procedures. Timely, accurate, and complete submission of weather reports is essential to ensuring accountability, substantiating claims for time extensions, and maintaining the credibility of oversight in infrastructure project implementation.

11.43. *Grant of CTEs despite the absence of written requests from contractors.*

11.44. If a contractor incurs a delay and seeks an extension of the completion or construction period, they must submit a written request to the implementing unit, detailing the reasons for the delay. Upon receipt, the implementing unit is responsible for evaluating the request and either approving or disapproving it.

11.45. If the request is approved, the contractor must be formally notified in writing, and liquidated damages shall not be imposed. Conversely, if the request is denied, the implementing unit must issue a written notice of denial and ensure that it is received by the contractor within a reasonable period from the date of the request. In such cases, the PE shall impose liquidated damages in accordance with the terms of the contract.

11.46. Based on the submitted documents, no written requests for contract extensions were filed by the contractors, nor were there any formal approvals issued by the PEO. During an interview, a PEO representative confirmed that contractors did not submit formal written requests for CTEs. Instead, the contractors' letters requesting work suspension were treated as requests for CTEs.

11.47. This practice deviates from established procedures and undermines accountability. Item 11, Annex "E" of the Revised IRR of RA 9184 stipulates that if a contractor fails to notify the PE within the prescribed period, it waives its right to request a contract extension. Granting CTEs without formal written requests effectively waives the government's right to enforce liquidated damages in cases where contractors fail to complete projects within the agreed timeframe.

11.48. Written requests and formal approvals ensure that extensions are granted on legitimate and justifiable grounds, thereby promoting transparency and accountability. The absence of these requirements reflects a significance lapse in procedural compliance and weakens internal control mechanisms within the PEO.

11.49. *Some documents were unsigned, including contractors' suspension requests, SOs, ROs, and computations of time elapsed.*

11.50. In three separate projects, key documents, including work suspension requests, SOs, ROs, and computations of time elapsed were found to be unsigned.

11.51. As mentioned earlier, the documents supporting suspension of projects and resumption of works were requested by the Audit Team. Nonetheless, these documents cannot be found in the Disbursement Vouchers especially for the first project, where payments were already made aside from the 15% mobilization fee.

11.52. Moreover, the unsigned documents give rise to the assumption that work suspensions and corresponding CTEs were granted and processed even in the absence of formally signed and submitted requests from the contractors. This situation calls into question the validity of the associated SOs and CTEs and may indicate broader systemic weaknesses in project monitoring, documentation, and the approval process.

11.53. ***Due to an impassable road leading to the site***

11.54. A total of 809 CDs of extension was granted for two projects based on the contractor's justification that persistent downpours caused by monsoon rains, landslides, and localized thunderstorms rendered local access roads impassable.

11.55. While road inaccessibility may constitute valid ground for work suspension, particularly when worker safety is at risk and activities along the project's critical path are affected, the contractors failed to provide adequate documentation to substantiate their claims.

11.56. For the "Construction of Barangay Health Station with Birthing Facility at Sapdaan, Santol, La Union", the Municipal Disaster Risk Reduction and Management Office of Santol, La Union issued a certification stating that the Sasaba-Sapdaan local access road was impassable due to rockfalls and soil erosion caused by heavy rainfall and localized thunderstorms, however, no supporting weather reports were submitted to confirm the occurrence of such downpours. Furthermore, no photographs of the project site were provided to show the condition of the roads, nor were any site inspection reports submitted to verify the occurrence, severity, or duration of the cited conditions.

11.57. It must be emphasized that the PEO granted a substantial 714 CDs of extension, almost five times the original contract duration, causing significant project delays. Notably, no applicable liquidated damages were imposed following the grant of the CTE, despite the absence of a formal request for work suspension and the required supporting documents from the contractor.

11.58. For the "Construction of Macabato Health Center, Aringay, La Union", the only document submitted was the contractor's request letter, with no further supporting evidence provided.

11.59. In the absence of verifiable evidence, the credibility of these justifications is questionable which reflects the potential misuse of suspension provisions and the improper grant of CTEs to conceal project delays and avoid the imposition of liquidated damages. To ensure the validity of future SOs and CTEs, the PEO must require contractors to provide substantial evidence to support their claims, thereby upholding the principles of transparency and accountability in contract administration.

11.60. ***Due to ongoing project activities***

11.61. The implementation of seven projects was suspended, resulting in a total of 535 CDs of extension, due to ongoing projects of other government agencies. The Management should have properly scheduled its project implementation through effective coordination with these agencies to avoid overlapping or simultaneous execution. To prevent such delays, Management could have referred to the published Annual Investment Plans and Annual Procurement Plans of other LGUs to anticipate and align with the schedules of upcoming projects, thereby ensuring smoother and timelier implementation.

11.62. ***Due to a land dispute with a private individual and lot restrictions***

11.63. Land disputes or lot restrictions are considered valid reasons for work suspension, provided they are unforeseen and beyond the contractor's control. However, the PE should have secured the project site during the procurement planning stage, prior to initiating the bidding process, to avoid implementation delays.

11.64. In this case, two projects were suspended immediately, just one day after the issuance of the NTPs, due to land disputes raised by private individuals. These issues should have been resolved before the projects were advertised for bidding. Had these problems been identified in advance, the allocated funds could have been redirected to other priority projects, thereby avoiding nearly a year of delay in project implementation.

11.65. ***Due to the unavailability of the project site***

11.66. Work suspensions resulting from the unavailability of the project site, such as the continued use of ponds by fish breeders, hospital rooms remaining occupied due to a surge in patient admissions, or project areas being inaccessible during farmers' planting season, should have been anticipated and addressed during the procurement planning stage.

11.67. The continued occupation or use of key project areas reflects insufficient coordination with local stakeholders and suggests gaps in project readiness and planning. While unexpected surges in patient numbers in healthcare facilities are understandable, such fluctuations are not entirely unforeseeable and should have been considered in the development of contingency plans.

11.68. Similarly, citing the planting season as a justification for work suspension reflects poor planning. Agricultural calendars are generally predictable and publicly available. Failure to align project timelines with the local planting cycle indicates a lack of due diligence during the scheduling process.

11.69. ***Due to a high-water level in the river***

11.70. High water levels can certainly delay construction activities, particularly for projects located near water bodies. However, such justifications must be supported by verifiable evidence. To validate the contractor's claims, the PEO should have required the submission of geotagged photos clearly documenting the site conditions at the time of the alleged work suspension.

11.71. In two projects, contractors were granted CTEs of 84 and 125 CDs, respectively, despite the absence of formal requests accompanied by sufficient supporting documentation. Furthermore, the PEO should have conducted a thorough risk assessment related to the project's location, particularly its proximity to rivers. Their site inspections, including findings and photographic evidence, should have been documented and submitted as part of their evaluation to justify both the work suspension and the subsequent grant of CTE. The absence of these measures indicates gaps in oversight and undermines the transparency and accountability of the extension approval process.

11.72. ***Due to unavailability or shortage of construction materials***

11.73. The 2016 Revised IRR of RA No. 9184 clearly states that no extension of contract time shall be granted due to the inexcusable failure or negligence of the contractor to provide the required equipment, supplies, or materials. Furthermore, a shortage of construction materials that disrupt construction operations, through no fault of the contractor, may be considered grounds for an extension of contract time, provided such shortages are publicly acknowledged and certified by the appropriate government agencies.

11.74. In this regard, no certifications of material shortages from the appropriate government agencies were submitted by the contractors to validate the alleged shortages. Despite this, CTEs were still granted.

11.75. Additionally, for the "Construction of Pideg Bridge with Approaches, Pideg, Tubao, La Union", a SO had previously been issued, halting work for 75 CDs. For the "Construction of Sanitary Landfill (Phase I), Suyo, Bagulin, La Union", two SOs had been issued, suspending work for a total of 271 CDs. Similarly, for the "Construction of Sanitary Landfill, San Cornelio, Caba, La Union", two SOs had been issued, resulting in a total suspension of 65 CDs. Given the substantial length of these suspensions prior to the ones requested by the contractors due to material shortages, the contractors had ample opportunity to source the required materials from alternative suppliers. Since the need for these materials was known at the time of bidding, the risk of shortage should have been anticipated and appropriately managed by the contractors.

11.76. Appropriate measures, such as the imposition of applicable liquidated damages, should have been enforced to uphold contractual accountability and safeguard the public interest.

11.77. ***Due to scheduled events***

11.78. Public events such as Christmas celebrations and local town fiestas are typically anticipated and have the potential to disrupt construction activities. Therefore, they should have been taken into account when determining the contract duration or scheduling project implementation, in order to avoid unnecessary delays in project completion.

11.79. ***Due to the unworkable state of the site***

11.80. The PEO issued SO No. 3 for the "Construction of Sanitary Landfill, San Cornelio, Caba, LU," citing the unworkable state of the site as the primary justification. However, this claim remains unverified due to the absence of any supporting documentation. Furthermore, the specific circumstances or factors that rendered the site unworkable were not clearly detailed in the request letter, leaving the justification insufficiently substantiated.

11.81. Meanwhile, as previously discussed, a total of 7,244 CDs of extension were granted. However, 39 CDs were erroneously granted due to incorrect computations, including the double consideration of two separate 30-day extensions.

11.82. Due to lapses in the computation of CTE, applicable liquidated damages were not imposed on the contractors involved in the aforementioned projects.

11.83. In summary, the above findings highlight an urgent need to implement stricter documentation requirements, reinforce internal controls, and enhance validation procedures to ensure that contractors' justifications for work suspension are both legitimate and adequately substantiated.

11.84. Beyond ensuring the timely completion of the project, it is equally important to determine whether PGLU is entitled to liquidated damages due to delays attributable to the contractors. While certain justifications may be valid under specific conditions, they remain susceptible to misuse. Therefore, it is imperative that the PEO exercise sound and consistent judgment when evaluating such claims. All requests for work suspension must be thoroughly documented and, where appropriate, supported by corroborating evidence not only from the contractors but also from the PEO itself. This level of scrutiny is essential to safeguard the credibility, transparency, and integrity of approved SOs and CTEs.

11.85. **In view of the foregoing, we recommended that the Provincial Governor direct the Provincial Engineer to strengthen internal controls over the evaluation and approval of work suspensions and the subsequent granting of CTEs by implementing the following measures:**

a. For contractors requesting work suspension:

(i) Require that all requests for work suspension clearly state the reasons for suspension and be accompanied by appropriate and timely documentation, including but not limited to PAGASA certifications or monthly weather reports, straight line diagrams showing affected critical activities, geotagged photos of the project site, and certifications from appropriate government agencies (e.g. for material shortages);

(ii) In the absence of sufficient supporting documentation, use unworkable days identified in PAGASA's official reports as the basis for determining allowable time extensions; and

(iii) Encourage the implementation of alternative work arrangements where feasible. If such arrangements are not possible, require written justification to document the reasons

b. For Project Engineers evaluating requests:

(i) Exercise due diligence in the evaluation process by:

1. maintaining a logbook to record all communications with contractors, site inspections, and weather verification activities; and

2. conducting actual site inspections, supported by geo-tagged photos and written documentation, to assess the true condition of the project site.

(ii) In cases where the site is inaccessible:

1. require contractors to submit geotagged photos clearly showing the state of the project site. If contractors fail to submit sufficient evidence, defer the recommendation for work suspension;

2. for weather-related claims, verify the accuracy of contractor-submitted data by cross-checking rainfall or weather conditions with PAGASA or other credible meteorological sources on the day of the request;

c. On the issuance of CTEs:

(i) Process CTEs only upon receipt of a formal, signed written request from the contractor, in accordance with Item 11, Annex "E" of the 2016 Revised IRR of RA 9184;

(ii) The PEO shall conduct a thorough evaluation of the request based on submitted supporting documents and submit its recommendation to the Provincial Governor, acting as the Head of the Procuring Entity (HoPE);

(iii) If the request is approved, the HoPE shall issue a formal written notification to the contractor. In such cases, liquidated damages shall not be imposed; and

(iv) If the request is denied, the PEO shall issue a written notice of denial to the contractor and ensure its receipt within a reasonable period. In such instances, the PE shall impose liquidated damages in accordance with the provisions of the contract.

11.86. **We further recommended that the Provincial Governor require the Provincial Engineer to submit:**

a. the supporting documents for work suspensions and CTEs for the remaining 48 projects. (Supporting documents were submitted for only 60 out of the 108 projects that had CTEs); and

b. a written justification for approving work suspensions and granting CTEs, despite the absence of duly signed documents such as work suspension requests, SOs, ROs, and the computations of time elapsed

11.87. **Lastly, with regard to the discrepancies noted in the computed CTEs, we recommended that the Provincial Governor instruct the Provincial Engineer to review and validate the computations presented by the Audit Team. If the computations are confirmed to be accurate, the Provincial Engineer should then determine the applicable liquidated damages and initiate the collection of the appropriate amounts from the concerned contractors.**

11.88. During the exit conference, the Provincial Engineer expressed concurrence with the audit recommendations, particularly on the implementation of liquidated damages. He confirmed that coordination and validation efforts are ongoing with PAGASA and noted that the PGLU now operates its own weather station, enabling more timely and localized weather reports. He committed to convening meetings to ensure the proper implementation of the recommendations. He also assured that geotagged photos will be strictly required and attached to disbursement vouchers for monitoring purposes. Furthermore, the Provincial Engineer stated that the straight-line diagram will be reviewed and utilized as a tool to effectively track project completion. However, he also raised concerns regarding the current manpower shortage in his office. Despite the volume of infrastructure projects being overseen and monitored annually, the Provincial Engineer's Office has only 30 engineers, each handling multiple assignments concurrently.

11.89. Also, during the exit conference, the Audit Team reminded the Provincial Engineer of the prolonged extensions of projects for which no liquated damages were imposed on the contractors.

Non-compliance with the CSHP

12. PGLU was unable to effectively and consistently enforce the CSHP during the construction phase, despite its inclusion as a separate pay item in the POWs of infrastructure projects totaling ₱2,254,446.02, due to the leniency of Management, which runs counter DOLE DO No. 13, series of 1998, thus compromising the safety and welfare of both construction workers and the general public.

12.1. DOLE DO No. 13, series of 1998 was issued to establish the guidelines for Occupational Safety and Health Standards (OSHS). Its primary purpose is to safeguard the well-being of workers in the construction industry, protect the general public within and around construction sites, and foster harmonious employer-employee relationships within the sector.

12.2. Section 1(f) of the DO defines the CSHP as a set of detailed guidelines outlining the processes and practices to be implemented at a specific construction site, in accordance with the OSHS. It also specifies the responsible personnel and the penalties for violations of these guidelines.

12.3. In accordance with DOLE DO No. 13, the DPWH DO No. 56, series of 2005, was issued to provide the guidelines, rules, and procedures for the implementation of the Construction Safety and Health Standards. Item III.A of the DPWH DO stipulates that ***"the implementation of construction safety shall be considered at all stages of project procurement (design, estimate, and construction), and its cost shall be integrated into the overall project cost*** *under the Pay Item "SPL: Construction Safety and Health," as a lump sum amount to be quantified in the detailed estimate. Likewise, all requirements, provisions, and instructions related to the implementation of Construction Safety and Health in every project shall be included in the project bidding documents specifically under Instructions to Bidders."* (Emphasis supplied)

12.4. Meanwhile, RA No. 11058, which strengthens compliance with OSHS, aims to ensure a safe and healthy work environment for all workers by providing comprehensive protection against workplace hazards. Section 20 of the Act mandates that the total cost of implementing an approved safety and health program be considered an integral part of operating costs. This cost must be listed as a separate pay item in construction projects and all contracting or subcontracting arrangements.

12.5. During the contract review of the infrastructure projects, it was noted that the PGLU properly included the CSHP as a separate pay item in the POW of each infrastructure project being implemented. Additionally, the guidelines governing its implementation, as mandated by law, were duly integrated into the bidding documents which forms part of the contract such as the ITB, BDS, and Specifications.

12.6. Upon scrutiny of the contracts entered into by the PGLU for the implemented infrastructure projects, management was able to require winning bidders to submit the CSHP approved by the DOLE prior to contract signing for some infrastructure projects. However, there were also instances where the CSHPs approved by the DOLE were not submitted before contract signing, as earlier discussed in Observation No. 6.

12.7. In B.7 of Section VI. Specifications of the bidding documents, it is stated that every construction project must have an approved CSHP, regardless of the project's amount, funding source, or mode of implementation. The CSHP must meet the minimum safety and health requirements as specified in the OSHS. The required CSHP should include, but is not limited to, specific safety policies for the construction site, as well as penalties and sanctions for violations. The Project Manager/Engineer of the contractor is responsible for observing, monitoring and supervising the strict and correct enforcement of the CSHP, while the Safety Engineer/Officer oversees its full-time enforcement and overall management.

12.8. Additionally, B.7.7 PPE and Devices of the same section requires contractors to provide workers with protective equipment, including eye, face, hand and foot protection, lifelines, safety belts/harnesses, shields, and barriers, when necessary due to hazardous work process or environments, chemical, radiological, or mechanical hazards. All PPE must meet OSHS requirements and pass tests or standards set by the Occupational Safety and Health Center (OSHC). For general construction work, basic PPEs include safety helmets, gloves and shoes. Workers must wear the appropriate PPE at all times on-site, and any authorized individuals at the site must also wear proper PPE.

12.9. In this regard, a total of 33 infrastructure projects, with a total contract amount of ₱354,930,856.67, were selected as a sample. For these infrastructure projects, an aggregate payment of ₱2,254,446.02 was made for the CSHP. The contractors submitted their SWA, certifying 100% completion of all necessary works outlined in the POW. This certification was approved by Management and supported by the Inspection Report from the Inspectorate Committee. Each Inspection Report confirmed the full implementation of the CSHP, indicating that the contractor had faithfully adhered to all the requirements, provisions, and instructions detailed in the CSHP.

12.10. However, during the review of the supporting documents related to the payments made for the sampled infrastructure projects, particularly the photos taken during construction, it became evident that a significant portion, if not all, of the workforce employed by the contractors failed to comply consistently with established construction safety and health protocols. Specifically, the photos clearly showed that essential personal protective equipment, such as safety helmets, safety shoes, safety gloves, and other required gear, were either absent or insufficiently provided and used. This oversight may pose a serious risk to the workers' health and safety.

12.11. It is important to note that these basic personal protective equipment items are standard requirements for all construction projects and were explicitly specified in Section VI of the bidding documents, which constitute an integral part of the contract between the contractor and PGLU. Accordingly, strict compliance with these safety provisions is mandatory.

12.12. The foregoing lapses indicated failures not only on the part of the contractor but also of the PGLU. These instances highlight the inability of both parties to properly enforce the guidelines, rules, and procedures set forth in the relevant DOs. Consequently, the primary objective of ensuring the protection and welfare of both construction workers and the general public was not adequately upheld.

12.13. On the part of the PGLU, it was unable to effectively and strictly enforce the contractors' full implementation of the program. It is worth noting that in the contract agreement, particularly Item B.7.4 of Section VI. Specifications in the bidding documents, the implementing office, which is the Provincial Engineering Office, holds the primary responsibility for supervising, controlling, and monitoring the implementation of the CSHP for projects undertaken, whether by administration or through contracts. Moreover, Item B.7.12 stipulates that if a contractor is found violating safety rules and regulations, sanctions shall be imposed depending on the gravity of the offense. The amount corresponding to non-compliance shall be deducted from the contractor's billing.

12.14. As understood, the above clauses were specifically included to ensure that necessary safety measures are strictly upheld at the project site. However, certain contractors have failed to equip their entire workforce with the mandated personal protective equipment throughout the construction phase of the subject infrastructure projects, thereby violating the established provisions of the contract. Furthermore, no sanctions were imposed for this non-compliance, as no deductions were made from the contractors' billings, suggesting a lack of enforcement of the stipulated penalties.

12.15. Based on interviews, a Project Engineer is responsible for conducting site visits or inspections for every infrastructure project to assess on-site conditions. During these visits, if construction workers are observed without the appropriate personal protective equipment, they are promptly reminded of wearing it to ensure safety compliance. However, instances of non-compliance still occur. The primary reason cited by workers for not wearing the required personal protective equipment is discomfort caused by heat.

12.16. Accordingly, it is important to prioritize the strict enforcement of the CSHP throughout the entire duration of the infrastructure projects. The mandatory use of personal protective equipment serves as a vital preventive measure to protect workers from the various hazards associated with construction activities. Ensuring the safety and well-being of workers is equally as important as achieving timely and efficient implementation of the projects. By upholding occupational safety standards, PGLU fosters a safe working environment, promotes stakeholder collaboration, and contributes to the overall success and integrity of its infrastructure initiatives.

12.17. **We recommended that the Provincial Governor direct the:**

a. Provincial Engineer and Project Engineers to:

(i) enforce strict adherence to safety protocols by requiring all contractors to ensure that their entire workforce wears the required personal protective equipment at all times within the construction project site; and

(ii) closely monitor the implementation of the CSHP by actively overseeing contractors' compliance at project sites. Comprehensive documentation of any instances of non-compliance should be maintained during site inspections and used as basis for evaluating contractor's performance and processing subsequent payments.

b. Provincial Engineer to:

(i) formulate an internal policy that clearly defines the appropriate sanctions or penalties to be imposed on contractors found in violation of the CSHP, such as declaring them ineligible for subsequent contracts; and

(ii) reflect the contractor's actual compliance with the CSHP pay item in the SWA.

12.18. During the exit conference, the Provincial Engineer acknowledged the audit observation raised by the Audit Team. He emphasized that contractors are being strictly monitored for compliance with the CSHP. However, he noted that some workers opted not to wear their PPE due to extreme heat conditions. He assured that they will implement the recommendations.

12.19. The Audit Team emphasized that the observation is a reiteration of a previous year's audit observation. Accordingly, it is recommended that the CSHP that was not implemented must be refunded by the contractors.

Inadequate Disclosures on Project Signboards

13. Full disclosure in the implementation of 195 government infrastructure projects, totaling ₱949,592,976.74, was not achieved due to lack of significant details on the project signboards and the inability to keep the progress of the projects current and updated, contrary to the key provisions of COA Circular No. 2013-004, dated January 30, 2013, thereby denying the public access to timely and relevant information on matters of public interest, and claims of contractors for progress and/or final payments were not duly supported/validated.

13.1. Section 28 of Article II of the 1987 Philippine Constitution mandates that, subject to reasonable conditions prescribed by law, the state shall adopt and implement a policy of full disclosure of all transactions involving public interest. The Full Disclosure Policy requires local government officials from provinces, cities, and municipalities to transparently disclose specific financial transactions to ensure that constituents are informed about how the LGU budget is managed, disbursed and used. This policy promotes the honest, transparent, and orderly management of public funds by increasing public awareness of their usage. Additionally, Section 7 of Article III recognizes the people's right to access information on matters of public concern.

13.2. In line with the constitutional and legal mandate to promote good governance through transparency and accountability, to encourage public participation, and to uphold the people's right to information on matters of public concern, COA Circular No. 2013-004 dated January 30, 2013, was issued to provide guidelines for the full disclosure policy. This policy requires the public notification of all government PPAs.

13.3. Section 2.2.1 of the same Circular mandates that all government agencies, or the relevant implementing unit, office or division, as applicable, must inform the public about their PPA by posting relevant information on signboards. This includes details such as the project name, implementing unit, office or division (if it is not the agency as a whole), a brief description of the PPA, the contractor or supplier, funding source, cost or approved budget, project duration (including start and completion dates), and location. These signboards, which should not exceed 3 feet by 2 feet, must be displayed in conspicuous places within the agency's premises and at the location where the PPA is being carried out. This requirement applies to all government PPAs, irrespective of their amount or funding source.

13.4. Additionally, Section 2.2.3 of said Circular requires that signboards be posted immediately after the award has been made for infrastructure projects. The design and format of the tarpaulin must adhere to the following specifications: white tarpaulin, 8 feet x 8 feet in size, resolution of 70 dpi, font: type Helvetica, with a font size of 3" for main information and 1" for sub-information, and black font color.

13.5. Following a post-audit of financial transactions related to payments made by the PGLU for the procurement of infrastructure projects, the Audit Team observed that the signboards for 195 projects, with an aggregate contract amount of ₱949,592,976.74, were neither fully completed nor properly maintained current and updated throughout its implementation phase, as evidence by submitted photos of the signboards attached to the progress and final claims/billings of contractors.

13.6. The attached photos lacked essential project details, such as the project's brief description, funding source, and duration, specifically the start and completion dates. Additionally, contractors have failed to provide or disclose crucial information regarding the project's current status, such as the percentage of completion, incurred costs, and expected completion date. It is essential that this information be kept current and updated throughout the project implementation to ensure transparency, allowing stakeholders and the public to monitor the project's actual progress and timely completion.

13.7. Furthermore, any changes in the contract cost resulting from approved variation orders, as well as any changes in the contract duration due to approved time extensions, should also be prominently reflected on the signboard. This is particularly important given that most projects of the province, as noted in the Quarterly PPA Reports, have experienced extensions due to factors such as unfavorable weather, impassable roads, high water levels, unworkable site conditions, on-going activities or other projects, absence of permits necessary to start the project, change orders, changes in location, and revisions to plans, designs and specifications.

13.8. The discussed observation was validated through ocular inspections of selected projects, as well as a review of the attached geotagged photos of the signboards included in the contractor's billings where the dates of the geotagged photos either correspond with the dates of billing or the SWA, or fall before or after these dates. This confirms that the photos attached reflect the current progress of the project. As such, it substantiates the significant deficiencies in the disclosure of essential information on the signboards. Specifically, no updates were made in the project status column of the signboards.

13.9. Consequently, the inability to maintain up-to-date details on the status of project implementation constitutes a direct violation of Section 3.2 of COA Circular No. 2013-004. This section mandates that the status should be regularly updated based on data from the monthly monitoring prepared by the agency and verified by the Technical Audit Specialist of the COA, following the specified schedule in the COA Circular.

13.10. For example, in the project, "Rehabilitation and Improvement of Gusing-Casilagan Farm to Market Road (Phase IV), Naguilian, La Union", no updates were provided regarding the project status. As of January 12, 2024, the project was reported as 100% complete according to the contractor's SWA. This significant progress should have been clearly updated on the signboard. Similarly, significant changes to the project timeline, such as the extension of the original contract time from 120 calendar days to a revised 223 calendar days due to an approved Change Order and SO, were also not reflected on the project signboard. In accordance with the prescribed guidelines, the project status should have been updated at least four times, considering the revised contract duration of 223 calendar days.

13.11. Furthermore, it bears emphasizing that the Audit Team is also not informed when the appropriate signboards are posted. As stipulated in Section 3.1 of the Circular, the Head of Agency is required to notify the Supervising Auditor (SA) and the Audit Team Leader (ATL) within 10 days after the award of the infrastructure project, or before the commencement of the program or activity, that the required project signboards have been posted.

13.12. Meanwhile, further review of the posted signboards, including the photos taken before, during and after construction of other items of work supporting the contractor's claim for progress/final billings, revealed the following observations by the Audit Team:

a. Some photos were not geotagged.

b. Attached geotagged photos of signboard were outdated, as they were taken months or years before the billing date (e.g. photos taken in CY 2023 were used for billing in CY 2024).

c. Some project signboards were improperly installed and did not utilize the specified materials, such as marine plywood and coco lumber, as provided in the program of works. Instead, some signboards were merely hung on walls, deviating from the intended construction method.

13.13. It is important to emphasize that the signboard photos attached to the contractor's progress or final billings must directly support the corresponding claims. For instance, if the contractor is billing for 80% work accomplishment, the attached signboard should accurately reflect this level of progress. The signboard provided with each billing should be updated regularly to effectively serve its purpose of substantiating the contractor's claims, rather than merely fulfilling documentary requirements for compliance. Using outdated signboard photos diminishes their value and effectiveness in validating the contractor's claims.

13.14. Additionally, project signboards are included as pay items in the program of works for each infrastructure project. As such, it is only appropriate that the materials specified and programmed for this purpose be used to properly display the signboards.

13.15. The Provincial Engineer acknowledged the audit observations. Regarding the attached photos of some project billboards submitted to support contractors' payment claims, it was explained that the photos were taken during the initial installation of the billboards and have been reused in subsequent billing documents. Nevertheless, the Provincial Engineer conveyed their commitment to ensuring that all relevant details, including updates on the progress of each infrastructure project, will be included on the billboards moving forward.

13.16. While the Audit Team appreciates Management's effort in ensuring that project billboards/signboards are installed at the project sites, it is important to emphasize that the mere posting of signboards without the complete and timely updating of pertinent information, as required under COA Circular No. 2013-004, does not effectively promote transparency or full disclosure in government project implementation, nor does it encourage stakeholders' participation in matters of public concern. Regular monitoring and timely reporting of project status through these signboards are essential to uphold accountability and foster active stakeholder engagement.

13.17. **We recommended that the Provincial Governor direct the:**

a. Provincial Engineer to ensure:

(i) strict adherence to the guidelines outlined in COA Circular No. 2013-004, dated January 30, 2013, by enforcing compliance from all contractors in posting signboards for each infrastructure project, containing all relevant details and information, and supported with geo-tagged photos. Additionally, the project status must be regularly updated and maintained according to the schedule set forth in the Circular; and

(ii) that the project signboards are installed in strict compliance with the specifications and materials required in the Programs of Work, thereby guaranteeing proper installation and correct payment for work items.

b. Provincial Accountant to cross-check all supporting documents submitted by contractors to ensure that the project signboard accurately reflect the project's progress and are relevant to the billing period. Photos taken months or years before the billing date should not be used to support claims.

13.18. **Lastly, we recommended that Management promptly notify both the Supervising Auditor and the Audit Team Leader within 10 days after the award of an infrastructure project, or prior to the commencement of any related program or activity, confirming that the appropriate project signboards have been posted, thereby facilitating verification and validation of compliance with the prescribed requirements.**

13.19. During the exit conference, Management raised no objections on the findings and recommendations. The Provincial Engineer explained that project billboards are often stolen, which is why some contractors opt to install them only upon project completion. He assured that geotagged photos will be provided to confirm that the billboards were properly installed on the projects of the PGLU. In its letter-reply, the Office of the Provincial Accountant committed to meticulously cross-check all supporting documents submitted by contractors to ensure that the project signboards accurately reflect the progress and correspond to the billing period. The office also committed to coordinate regularly with the Provincial Engineering Office to ensure compliance with established guidelines.

Lapses in the Implementation of Presidential Assistance for Farmers, Fisherfolks, and Families (PAFFF)

14. Procedural lapses in the selection of beneficiaries and distribution of financial assistance were noted in the implementation of the PAFFF amounting to ₱42,900,000.00, funded by the Office of the President (OP) due to the implementing units' lack of awareness of the agreed-upon guidelines, thereby undermining the core principles of transparency, accountability, efficiency and the effective use of public funds.

14.1. The LGUs primarily source their PPAs through the National Tax Allotment and locally generated revenues, as authorized under the LGC. LGUs also serve as implementing units for National Government Agencies (NGAs) through fund transfers, thereby operationalizing nationally initiated programs at the local level, ensuring alignment with decentralization objectives and service delivery mandates.

14.2. In CY 2024, the PGLU received fund transfers from the OP for the implementation of the PAFFF program, which provides financial assistance to farmers, fisherfolk, and other marginalized families/households adversely affected by the El Niño phenomenon.

14.3. In accordance with Article 748 of the Civil Code, which requires that donations of personal property exceeding ₱5,000.00 be made and accepted in writing, a Deed of Donation (DOD) was executed between the OP and PGLU. The DOD not only formalized the fund transfer but also delineated the terms, conditions, and responsibilities of both parties, thus serving as the governing instrument for the program's implementation.

14.4. Under the DOD, the OP committed ₱42,900,000.00 in financial assistance, while the PGLU undertook to administer and disburse the funds strictly in accordance with the approved project proposal. It was expressly stipulated that the funds should be used solely for the intended purpose and not for unrelated activities.

14.5. In the selection and distribution of the fund, Section 3 of the DOD outlines the following conditions:

a. The donation shall be used as cash assistance to farmers, fisherfolk and other marginalized families/households severely affected by El Niño at ₱l0,000.00 per family/household.

b. The affected farmers, fisherfolk and other marginalized families/households who will receive the financial assistance shall be jointly determined by the PGLU and representatives of the Regional Field Units (RFUs) of the Department of Agriculture (DA) and the Department of Social Welfare and Development (DSWD) having jurisdiction over the PGLU.

c. The PGLU shall distribute the financial assistance to the beneficiaries within 30 days from receipt of the Grant in the presence of representatives from the DA and DSWD RFUs.

14.6. However, compliance with the 30-day distribution timeline and the required presence of DA and DSWD representatives could not be verified. The liquidation report and its supporting documents did not indicate the actual dates of distribution, nor did it include certifications or signatures from DA or DSWD representatives to confirm their presence or supervision in the distribution. These procedural safeguards are crucial to ensure the timely and proper delivery of assistance to intended beneficiaries.

14.7. During interviews, the PAFF Coordinator confirmed the absence of a DSWD representative and claimed the presence of a DA representative, though this could not be substantiated due to the absence of documentation such as photographs. The Coordinator also acknowledged a lack of familiarity with the DOD's implementation guidelines.

14.8. As regards the selection of beneficiaries, the prescribed joint determination of beneficiaries by the PGLU, DA, and DSWD was not consistently observed. Interviews with various Municipal Agriculturists revealed inconsistencies in the identification and validation of beneficiaries, to wit:

a. Bauang – The list was based on initial reports submitted to the DA and National Tobacco Administration (NTA), limited to those who reported damage. The Municipal Agriculturist was unaware of the one-beneficiary-per-household rule, which may have resulted in duplicate assistance within families.

b. Santol – Lists were based on monitoring conducted by barangay technicians, or the Barangay Councils. While they reported all affected farmers, only tobacco farmers were included in the final list. No full validation was conducted, nor could the Municipal Agriculturist provide complete documentation.

c. Caba – Beneficiaries were identified based on their registry system validated with assistance from the Barangay Council. While some documentation was available, full compliance with the guidelines by the Municipal Agriculturist could not be assured.

d. Santol – The list was submitted prior to the formal announcement of the PAFF program. As such, the one-beneficiary-per-household guideline was not applied during data collection, and validation was performed in only one barangay.

14.9. The PAFFF Coordinator also expressed uncertainty as to whether the one-beneficiary-per-household guideline was followed, noting that multiple household members were sometimes registered because they farmed separate parcels of land. This situation raises concerns regarding the potential for duplicate benefit allocation, which may lead to an inequitable distribution of limited financial resources. It is also emphasized that the disbursement of financial assistance frequently prompts complaints from constituents particularly from those who believe they are equally eligible but were excluded. Accordingly, the beneficiary selection process must be anchored in a transparent, objective, and systematic framework to mitigate grievances and ensure equitable access to government support.

14.10. It appears that the list of beneficiaries was not thoroughly validated prior to the distribution of financial assistance. The Audit Team noted at least one instance where a listed beneficiary had been deceased as early as 2023, as evidenced by the attached death certificate, yet was still included in the 2024 distribution list.

14.11. The absence of proper beneficiary validation, non-compliance with the joint identification process mandated by the DOD, and the lack of essential documentation constitute serious procedural lapse. These shortcomings undermine the integrity, transparency and accountability expected in the implementation of a project involving a substantial amount of public funds.

14.12. It is important to note that the OP entrusted the PGLU with the transfer of funds based on the expectation of strict adherence to the terms and conditions set forth in the DOD, and with the understanding that the intended objectives of the fund would be effectively achieved. However, the implementation approach adopted by the PGLU in the beneficiary selection and distribution processes appeared focused on satisfying liquidation requirements, rather than ensuring the strategic and impactful utilization of the funds. Moreover, given that the PGLU was granted the privilege of receiving additional financial resources to benefit its constituents, the observed deficiencies in implementation may adversely affect the credibility of the PGLU and potentially hinder the approval of future fund allocations.

14.13. **We recommended that the Provincial Governor issue a directive to all concerned implementing units to:**

a. **institutionalize a standardized and transparent beneficiary validation procedure across all implementing units, and develop a clear, standardized criteria for the identification and selection of beneficiaries, based on the specific objectives of the financial assistance received;**

b. **for future fund distributions, strictly adhere to the guidelines in the DOD and ensure proper and timely liquidation of funds by maintaining complete and verifiable documentation of all cash assistance distributions, including detailed records of distribution, signatures of involved officials and agency representatives, and photographic evidence of distribution activities; and**

c. **undertake capacity-building initiatives to ensure that all implementing personnel are fully oriented on program guidelines, particularly when implementation is governed by legally binding instruments such as Deeds of Donation.**

14.14. Management stated that it received a letter from the OP on April 25, 2025, acknowledging receipt of the distribution list, certifications, and supporting documents. They also conveyed that a geotagged photo documenting the distribution of financial assistance, though not originally attached to the DV, will be submitted. Nonetheless, the PGLU commits to strictly adhere to the guidelines set forth in the DOD for any funds to be received and shall ensure proper and timely liquidation.

Appropriation for the Program on Awards and Incentives for Service Excellence (PRAISE) Declared Inoperative in Part and Lacking of Required Documentation

15. Several issues were noted in the grant of Transformative Governance Performance Towards Service Excellence (TGSE) incentives totaling ₱46,430,538.30 by the PGLU, including (a) its appropriation being declared partially inoperative by the DBM; and (b) the absence of essential documentary requirements, contrary to pertinent provisions of the LGC, PD No. 1445, and Civil Service Commission (CSC) Memorandum Circular (MC) No. 01, s. 2001, due to delays in the adoption and implementation of the Enhanced PRAISE guidelines for CY 2024, thereby casting doubt on the regularity and validity of the incentive grant.

15.1. Pursuant to CSC MC No. 01 s. 2001, which outlines the revised policies on the PRAISE, the PGLU established its own PRAISE System that is designed to encourage creativity, innovativeness, efficiency, integrity and productivity in the public service. The System recognizes and rewards officials and employees, individually or in groups, for suggestions, inventions, superior accomplishments, and other personal efforts which contribute to the efficiency, economy, or other improvement in government operations, or constitute extraordinary acts in the public interest.

15.2. To align with the general principles and guidelines set forth in the MC, and to ensure the continuous improvement of its employee recognition program, the PGLU developed its Enhanced PRAISE System, which was approved by the CSC on December 23, 2024. Subsequently, Provincial Appropriation Ordinance No. 025-2024 was enacted on December 27, 2024, approving Supplemental Budget No. 23, amounting to ₱55,721,000.00, for the grant of TGSE incentives.

15.3. ***The Appropriation Ordinance for the TGSE was declared inoperative in part by the DBM***

15.4. Budget Review is the third phase in the local budget process. Its primary purpose is to determine whether the appropriation ordinance has complied with the budgetary requirements and general limitations set forth in the LGC, as well as provisions of other applicable laws. It starts from the time the reviewing authority receives the appropriation ordinance for review and ends with the issuance of the review action.[2]

15.5. Pursuant to Section 326 of the LGC, the DBM is mandated to review ordinances authorizing the annual or supplemental appropriations of provinces. As part of this review, the DBM validates the provisions of the appropriation ordinance to ensure compliance with the budgetary requirements and general limitations pursuant to Sections 324 and 325, respectively, of the LGC, and other applicable laws, rules, and regulations.

15.6. The DBM reviewed Appropriation Ordinance No. 025-2024, which was submitted on January 3, 2025. In its letter dated March 7, 2025, the DBM declared the Appropriation Ordinance inoperative in part. The DBM stated:

> *"..our review of the **FY 2024 Supplemental Budget (SB) No. 23** of the Provincial Government of La Union (PGLU) involving an appropriation of **₱55,721,000.00** under **Appropriation Ordinance (AO) No. 025-2024**, submitted to this Office on January 03, 2025, reveals substantial compliance with the same law and its Implementing Rules and Regulations (IRR), except for:*
>
> 1. *the appropriation for the Transformative Governance and Service Excellence (TGSE) granted to the employees of the PGLU for the awards received **prior** the approval of the Enhanced PGLU Program on Awards and Incentives for Service Excellence (PRAISE) on December 23, 2024 by the Civil Service Commission (CSC) per Item XII therein; and*
>
> 2. *The TGSE Incentive of the office/which supplementary contributions to the exceptional accomplishments of the lead office/s or unit/s are considered discharge of regular functions.*
>
> *Accordingly, the subject AO is declared **inoperative in part**, effective upon its approval or on the date fixed therein, subject to the posting requirement under Section 59 of RA No. 7160..."*

15.7. As provided under Section 327 of the LGC, when the Appropriation Ordinance is declared inoperative in part, the Local Treasurer shall not make further disbursements of funds from any of the items of appropriation declared inoperative, disallowed or reduced.

15.8. Prior the DBM's declaration, a total of ₱23,346,000.00 was already disbursed on December 27, 2024. In addition, an amount of ₱23,084,538.50 was recognized as accounts payable as of December 31, 2024.

[2] Budget Operations Manual, p127

15.9. Hence, these transactions may be deemed irregular, as they preempted the outcome of the budget review and potentially violated the prohibition under Section 327 of the LGC.

15.10. The primary issue stems from the delayed adoption and implementation of the Enhanced PRAISE System, which was approved only on December 23, 2024. Consequently, incentives granted based on awards conferred prior to this date cannot be validly justified under the Enhanced System, as such awards fall outside its effective coverage period.

15.11. While Management argues that a prior PRAISE System was already in place and that the Enhanced PRAISE merely served as an update to the existing framework, the submitted liquidation documents specifically reference the Enhanced PRAISE System. This implies that the incentives were granted based on the newly approved System. This inconsistency between Management's assertion and the supporting documents necessitates formal clarification to determine the valid legal and procedural basis of the disbursement and to establish compliance with applicable guidelines.

15.12. ***Absence of essential documents to justify the incentives to individual employees.***

15.13. Section 4(6) of PD No. 1445 provides that claims against government funds must be supported with complete documentation.

15.14. As mentioned earlier, the PRAISE System aims to foster creativity, innovation, efficiency, integrity, and productivity in public service by recognizing and rewarding exemplary individual performance. However, the documents attached to the liquidation report do not sufficiently establish the basis for the grant of incentives under the PRAISE System.

15.15. Specifically, the payroll submitted reflects only the distribution of incentives at the office level, without identifying the individual employees who received them. Given that the PRAISE program is intended to reward specific individuals based on merit, detailed payrolls listing the names of the recipients must be provided. The absence of such documentation hinders the verification of compliance with the criteria set forth in the PGLU's PRAISE Guidelines. Furthermore, documentation on the evaluation and selection process of the recipients must be submitted to support the corresponding monetary awards.

15.16. Additionally, the supporting documents for the non-monetary TGSE incentives, which were recognized as accounts payable as of December 31, 2024, have not yet been submitted, further limiting the ability to validate the legitimacy of these transactions.

15.17. **We recommended that the Provincial Governor direct the PRAISE Committee and other concerned officers to submit:**

a. **a written clarification specifying the basis for the CY 2024 TGSE incentive grant, indicating whether the existing PRAISE System or the Enhanced PRAISE System was applied; and**

b. **complete supporting documents including (a) payrolls identifying individual employee recipients; and (b) reports on the selection process and evaluation results that justify the distribution of incentives.**

15.18. The Provincial Accountant stated that a written clarificatory letter outlining the basis for the incentive granted will be submitted and the required supporting documents will also be provided. Management assured that they will strictly comply with the applicable provisions and guidelines governing the grant of employee incentives.

Improper Displaying of Name and Images on PPAs

16. The practice of displaying the name and images of the Provincial Local Chief Executive on government properties and procured goods distributed to employees and constituents is inconsistent with the provisions outlined in COA Circular No. 2012-003, COA Circular No. 2013-004, Department of the Interior and Local Government (DILG) MC No. 2010-101, and the General Appropriations Act (GAA) for Fiscal Year (FY) 2024, thereby undermining the principles of accountability, transparency, impartiality, and the proper use of public funds, which are essential for maintaining public trust and the integrity of government operations.

16.1. Under Section 2(2), Article IX-D of the 1987 Philippine Constitution, the COA is granted exclusive authority, subject to limitations, to promulgate accounting and auditing rules and regulations. This includes regulations aimed at preventing irregular, unnecessary, excessive, extravagant, or unconscionable expenditures or misuse of government funds and properties.

16.2. Item 3.0 of COA Circular No. 2012-003, dated October 29, 2012 defines an "irregular" expenditure as one incurred without adherence to established rules, regulations, procedural guidelines, policies, principles or practices recognized by law. Transactions conducted in a manner that deviates from or fails to comply with these standards are considered irregular. Annex “A” of the Circular presented specific cases of "irregular" expenditures, including the following:

> *"13. Including names or initials and/or images or pictures of government officials in the billboard and signages on government*

programs, projects and properties banned under DILG Memorandum Circular No. 2010-101 dated September 23, 2010."

16.3. Moreover, the same Circular defines "unnecessary" expenditure as expenditures which could not pass the test of prudence or the diligence of a good father of a family, thereby denoting non-responsiveness to the exigencies of the service. Unnecessary expenditures are those not supportive of the implementation of the objectives and mission of the agency relative to the nature of its operation. This would also include incurrence of expenditure not dictated by the demands of good government, and those the utility of which cannot be ascertained at a specific time. An expenditure that is not essential or that which can be dispensed with without loss or damage to property is considered unnecessary. The mission and thrusts of the agency incurring the expenditures must be considered in determining whether or not an expenditure is necessary.

16.4. Similarly, Items 2.2.6 and 2.2.7 of COA Circular No. 2013-004, dated January 30, 2013, regarding information and publicity for government PPAs state that:

"2.2.6. The display and/or affixture of the picture, image, motto, logo, color motif, initials or other symbol or graphic representation associated with the top leadership of the project proponent or implementing agency/unit/office, on Signboards, is considered unnecessary.

2.2.7. The display and/or affixture of the items mentioned in Item 2.2.6 above on equipment and facilities; vehicles of all type, whether engine, manpower or animal driven; wrappers, containers, and similar items; tokens, souvenir items, calendars, ballpens, T-shirts or other apparel, and other publicity materials relating to any PPA, is also considered unnecessary."

16.5. Meanwhile, DILG MC No. 2010-101, dated September 23, 2010, directs all Local Chief Executives to revisit all government projects and properties to ensure that they do not display their names, initials, or images.

16.6. Additionally, Section 19 of the GAA FY 2024 prohibits the display and/or affixing of the name, image, and likeness of public officials on government projects. It stipulates that the display and/or affixture of a public official's name, picture, image, motto, logo, color motif, initials, or any other symbol or graphic representation on signboards for programs, activities, and projects funded under the Act shall be considered unnecessary, in accordance with COA Circular No. 2013-004.

16.7. Upon reviewing the pertinent DVs and supporting documents for the period from January 1 to December 31, 2024, it was revealed that the PGLU procured items bearing the name of the Provincial Local Chief Executive (LCE) in contravention to the provisions cited above.

16.8. In a similar case, during CY 2023, the PGLU procured two brand-new Golden Dragon buses under the General Fund, totaling ₱27,950,000.00. A review of the supporting documents revealed a photo of the delivered buses, clearly showing four images of the Provincial Governor displayed on the rear side of the buses.

16.9. Additionally, during the inspection of goods contracted and obligated for CY 2024 but delivered in CY 2025, the Audit Team observed that the name and images of the Provincial LCE were again prominently displayed on the procured goods such as (a) 220 generator sets for distribution to various barangays; and (b) Multi-Purpose Health and Rescue Vehicles for distribution to the 40 barangays of Luna, La Union.

16.10. The practice of placing the name and/or images of the Provincial LCE on the procured goods was unnecessary and improper. Given the timing of the delivery and the intended purpose of the goods, the Management should have exercised greater caution in placing the Provincial LCE's name and images.

16.11. Consequently, the actions of the Management clearly contravene the provisions outlined above, which explicitly prohibit the placement of other information materials bearing the names, initials or pictures of government personalities on government projects, and properties. As stipulated in the DILG Memorandum Circular, the information displayed on government projects should be limited to the project's name, location, contractor, start date, and completion date. Furthermore, government projects and properties (e.g. buildings, waiting sheds, markers, etc.) and official vehicles should only display the official seal or name of the LGU. Additional information, such as the LGU's website address or email address, may also be included and the words "For Official Use Only" should likewise be marked in the government vehicle.

16.12. It must be emphasized that these guidelines are in place to ensure transparency and to prevent the misuse of government resources for personal recognition. Moreover, these guidelines ensure that credit is rightfully attributed to the taxpayers who fund these programs and projects through their taxes. Hence, public officials must strictly adhere to these regulations to preserve public trust and impartiality in public service.

16.13. **We recommended that Management immediately discontinue the practice of affixing the name, and/or images of the Provincial LCE on all government programs, projects, properties, and procured goods for distribution, ensuring that public resources are directed towards service delivery, thus promoting accountability, transparency, impartiality, and the proper use of public funds.**

16.14. Management reported that the removal of the images and names of the LCE from government properties has already commenced. For MPVs intended for distribution, the removal process is currently ongoing. The bus units have already been repainted, and Management assured that all remaining unauthorized markings will be fully removed. Furthermore, they committed to ensuring full compliance with regulations prohibiting the display of names and images of public officials in all future procurements.

Incorrect Assessments of Transfer Taxes

17. The internal controls over the receipt and collection procedures for transfer taxes on real property ownership were found to be inadequate in preventing loss and fraud, as well as in ensuring the accuracy and reliability of transfer tax collections totaling ₱15,623,192.48 for CY 2024 which is not in compliance with Section 123 of PD No. 1445, resulting in instances of incorrect transfer tax assessments and remittances, constituting a revenue loss for the PGLU.

17.1. Section 123 of PD No. 1445 defines internal control as the organizational plan and all coordinated methods and measures adopted within an agency to safeguard its assets, verify the accuracy and reliability of accounting data, and promote adherence to prescribed managerial policies. Moreover, Section 124 mandates that it is the direct responsibility of the agency head to establish, implement, and monitor a sound system of internal control.

17.2. One of the PGLU's key revenue sources is the Real Property Transfer Tax (RPTT) which is pursuant to Chapter III, Article 8 of Provincial Tax Ordinance No. 398-2022, otherwise known as the 2022 Revenue Code of the Province of La Union, in relation to its taxing power as provided in Section 135 of the LGC. This RPTT is levied on the sale, donation, barter, or any other form of transfer of ownership or title of real property at a rate of 60.50% of 1.00% of the total consideration involved in the transaction, or the fair market value, whichever is higher, when the monetary consideration is not substantial.

17.3. The CY 2024 financial statements presented a total collection of ₱15,623,192.48 in transfer taxes, showing a significant increase of ₱2,595,614.98 or 19.92% from the previous year's collection of ₱13,027,577.50. Given the materiality of this revenue stream, the Audit Team evaluated the procedures and controls over the receipt and collection of transfer taxes to determine whether they were adequately designed and effectively implemented.

17.4. Based on the 2024 Citizen's Charter uploaded to the PGLU's website, the following are the key steps and requirements for the collection of transfer tax:

1. Clients are required to secure the following documents: One original copy of the Tax Declaration; and One original and one photocopy of the Notarized Deed of Sale, Deed of Donation, or other acceptable mode of conveyance (1 original copy and 1 certified photocopy). The original copies are for presentation purposes only.

2. The Collecting Officer verifies the presented documents for completeness and authenticity. Processing proceeds only upon confirmation that the documents are complete.

3. Upon successful verification, the Collection Officer computes the applicable transfer tax and collects payment from the client.

4. After payment is received, the Collecting Officer issues two official documents: (a) OR; and (b) Certificate of Transfer Tax Payment (CTTP), containing the following details: Tax Declaration Number, property location, name of the previous owner, OR Number, transaction date, breakdown of tax paid (Transfer Tax, Surcharge, and Penalty) and notarial date of the Deed of Conveyance

5. A Customer Feedback Form is then provided to the client.

17.5. The foregoing assessment and collection of transfer tax follow a structured procedure with specific documentation requirements; however, it is important to note that all steps, including receiving and verifying submitted documents, computing the tax due, collecting payment, and issuing the OR and tax certificate, are handled solely by the same Collecting Officer. Further, since the Collecting Officers are detailed in the Office of the Provincial Assessor, the CTTPs, which should be signed by the Provincial Treasurer, were certified by the same Collecting Officers.

17.6. This consolidation or lack of segregation of duties represents a significant internal control weakness which increases the risk of undetected errors, fraud, or manipulation. Specifically, the same individual responsible for assessing the tax liability is also tasked with collecting and acknowledging payment, thereby making it easier to manipulate records and understate collections without detection.

17.7. Additionally, strict adherence to the checklist of documentary requirements is essential to ensure consistency, accuracy and reliability in the processing of transactions. As regards the Tax Declarations, while original copies were presented for verification, the submission of certified true copies was not required.

17.8. It was also observed that, in certain cases, clients failed to submit certified copies of the Deeds of Conveyance, yet the transactions were still accepted and processed by the Collecting Officers. According to the Provincial Treasurer, the requirement to submit certified photocopies of the Deed of Conveyance was only strictly enforced beginning in the last quarter of CY 2024.

17.9. There were also instances where clients submit only plain photocopies of the required documents, even though the originals are shown for verification. This practice increases the risk of relying on potentially inaccurate or altered documents. To uphold the integrity and reliability of the process, it is recommended that certified true copies of all essential documents be required upon submission and retained as part of the official records.

17.10. Moreover, on October 16, 2024, PGLU enacted Provincial Ordinance No. 466-2024, entitled *"An Ordinance Granting Relief on Surcharges and Interests Pursuant to Republic Act (RA) No. 11213 or the Tax Amnesty of 2019, as Amended by RA No. 11569* and *Department of Finance Department Circular No. 001-2019."* The relief from surcharge and interest may be availed of by the legal heirs, administrator, or executor of the estates of decedents who died on or before May 31, 2022, for a period of one year, or until June 14, 2025. In this context, the submission of the death certificate of the decedent is a prerequisite for the grant of such relief. However, it was observed that in some instances, this required document was not submitted.

17.11. Based on these initial observations, the Audit Team recomputed the RPTT using the submitted copies of the Tax Declarations and Deeds of Conveyance to verify the accuracy of the tax imposed. The recomputed amounts were then compared with the figures reflected in the duplicate copies of the ORs and CTTPs. During this review, the Audit Team observed the following:

17.12. ***Overcollection of Transfer Tax***

17.13. The Collecting Officer collected an amount significantly higher than what was legally due. While the duplicate copy of the OR and the Abstract of Collection reflected an amount close to the correct computation, the CTTP issued to the client indicated a substantially inflated figure.

17.14. This discrepancy was discovered only after the client requested certified true copies of the related OR and CTTP from the Provincial Cash Receipts Unit (PCRU). It highlights not only a computational error but also an overcollection that imposed an undue financial burden on the taxpayer. Furthermore, the failure to remit the full amount collected to the Liquidating Officer (LO) raises concerns of intentional misreporting of collections. Such conduct undermines public trust and constitutes a clear violation of the principles of transparency and accountability in government revenue collection.

17.15. ***Incorrect Computation of Transfer Taxes***

17.16. A review of selected transactions revealed discrepancies between the assessed transfer taxes and the recomputed amounts which resulted in both under-assessments and over-assessments of the transfer tax.

17.17. Such inconsistencies may impose an undue financial burden on taxpayers in cases of over-assessment, or result in revenue loss for the PGLU in cases of under-assessment. This observation highlights the importance of accurate tax computation to uphold fairness and maintain fiscal integrity.

17.18. ***Unremitted Transfer Taxes and Misuse of ORs***

17.19. Following a thorough comparison of the amounts receipted in the duplicate copies of the OR with those reflected in the corresponding CTTPs, it was found that the correct amount of transfer taxes collected was neither properly accounted for nor fully remitted by the Collecting Officer, resulting in an unremitted transfer tax totaling at least ₱207,931.73.

17.20. While the amounts recorded in the duplicate ORs matched those in the Abstract of Collection, they did not correspond with the actual amounts indicated in the CTTPs. The reported transfer tax collections in the duplicate ORs and in the Abstract of Collections were significantly lower than the amount paid by the clients as reflected in the CTTPs.

17.21. This not only undermines the accuracy and integrity of the revenue records but also directly impact the PGLU's revenue stream. The failure to properly report and remit the correct amount of transfer tax constitutes a serious breach of established protocols and accountability measures, which could result in financial losses and erode public trust in PGLU's collection processes.

17.22. Aside from the lack of segregation of duties, the incorrect computation of transfer taxes may also be attributed to the absence of an automated system specifically designed to support the accurate assessment and collection of such taxes.

17.23. Based on interviews conducted, it was determined that Collecting Officers rely on manual computations to assess transfer tax liabilities, a process that inherently carries a high risk of human error. Recalculations performed by the Audit Team confirmed that the computation of transfer taxes is susceptible to inaccuracies, primarily due to the complexity of the formulas involved, which vary depending on the mode of transfer of ownership or title of the real property. Although an automated system is currently in place to assist with the computation of transfer taxes, its functionality is limited to basic transactions, such as transfers of ownership through absolute sale, extra-judicial settlement, and donation. The system does not support more complex transfers, including adjudication, waiver, extra-judicial settlement with sale, adjudication with sale, or extra-judicial settlement with waiver, all of which require intricate computational formulas.

17.24. The discrepancy in the reported transfer taxes, amounting to at least ₱207,931.73, underscores the gravity of the issue, as it reflects a substantial amount that was not remitted to the appropriate authority which reflects inadequacy of internal controls over the receipt and collection processes within the PGLU.

17.25. Accordingly, it is also imperative to emphasize the essential role of the LO as an intermediary between the collectors and the Local Treasurer, serving as a key control point to ensure that collections are properly received, verified, summarized, and remitted.

17.26. Section 31, Chapter 3, Volume I of the MNGAS for LGUs provides that all collectors/tellers must turn over their collections to their designated LO and prepare the corresponding Report of Collections and Deposits (RCD). The LO is responsible for performing the necessary procedures for receiving and verifying the collections. He must also accomplish the RCD to summarize the collections received from collectors/tellers. Subsequently, the LO shall remit the total cash collections intact to the Local Treasurer or Cashier, together with copies of the RCDs and duplicates of the issued ORs.

17.27. In an interview with the LO, it was explained that all collections received by the Collecting Officers up to 2:00 PM are remitted to the LO on the same day, while those received after 2:00 PM are remitted the following day. A separate remittance schedule is followed for collections from district hospitals. The LO also noted that he is the sole designated LO handling the collections of seven to eight Collecting Officers, in addition to handling remittances from district hospitals, covering all types of revenue.

17.28. This set-up presents a potential risk of operational bottlenecks, delays, and oversight. Designating a single LO to manage such a high volume of transactions may compromise efficiency and internal controls. It is therefore strongly recommended that management evaluate the feasibility of assigning additional LOs to ensure the timely and accurate review of collections, and to uphold the principles of accountability and transparency.

17.29. Meanwhile, before remittance to the LO, all collections are first submitted to the Unit Head of the PCRU, along with the necessary documents and reports for review. The Unit Head conducts a reconciliation by comparing the amounts receipted, as reflected in the duplicate copies of the ORs, against the totals reported in the Abstract of Collections. Once verified, the documents are forwarded to the LO, who performs a secondary review and signs the certification portion of the Abstract of Collections. This two-level verification process serves as an additional internal control to ensure the accuracy of reported collections.

17.30. Although the CTTPs, along with copies of the Tax Declarations and Deeds of Conveyance, were submitted, these documents were not utilized as additional references in verifying the accuracy of the collected amounts. The receipted amounts could have been validated either through the breakdown of transfer taxes indicated in the CTTPs or by recomputing the transfer taxes using information from the submitted Tax Declarations and Deeds of Conveyance.

17.31. According to the Provincial Treasurer, supporting documents were not previously used to validate the accuracy of transfer tax collections. It was only in September 2024, that the submission of documentary requirements began to be strictly enforced, coinciding with the appointment of a new staff member specifically tasked with verifying tax computations. Since then, the use of CTTPs and related documents has become standard practice in verifying computed transfer taxes. These enhanced procedures led to the discovery of inconsistencies among receipted, reported, and remitted amounts. As a corrective measure, the LO now conducts recomputations of transfer taxes based on submitted Tax Declarations and Deeds of Conveyance to verify the accuracy of the amounts collected and remitted.

17.32. In conclusion, it is crucial to emphasize the importance of implementing a robust internal control system and continuously monitoring its effectiveness over time. The audit observations have revealed that the existing controls over the receipt and collection of transfer taxes are inadequate, resulting in incorrect tax assessments and the non-remittance of actual collections. These deficiencies not only jeopardize the accuracy and reliability of the financial records but also erode public confidence in the PGLU's revenue collection processes. Immediate corrective measures are essential to address these weaknesses, strengthen oversight mechanisms, and ensure strict compliance with relevant laws and regulations. By doing so, accountability can be restored, and the safeguarding of financial resources for the benefit of the constituents can be ensured.

17.33. **We recommended that the Provincial Governor direct the Provincial Treasurer to strengthen internal controls and enhance oversight and monitoring of the receipt and collection of RPTT to prevent losses and fraud, and to ensure the accuracy and reliability of tax collections, specifically, the following measures should be undertaken.**

a. implement segregation of duties by assigning different personnel to the following functions: document verification and completeness checking, tax assessment, payment collection and the issuance of ORs and CTTPs;

b. mandate the submission of certified true copies of all pertinent documents, such as Tax Declarations, Deeds of Conveyance, and Death Certificates for amnesty applications, alongside the presentation of original copies for verification;

c. upgrade the existing system to automate tax computation across all transaction types which should incorporate built-in formulas, audit trails and real-time validation and reporting features to enhance accuracy, efficiency, and transparency in tax assessments;

d. assess the feasibility of designating additional LOs to ensure the timely and accurate review of all types of revenue collections, while upholding the principles of accountability and transparency;

e. strengthen oversight and reconciliation procedures by directing the LOs to comprehensively conduct necessary steps to verify collections, using additional control measures to promptly detect and address discrepancies;

f. conduct periodic independent reviews and random spot checks to verify the accuracy of tax assessments and the completeness of collections and remittances; and

g. conduct regular training programs for COs and relevant staffs on accurate tax computation, applicable legal requirements, and proper handling and issuance of official documents

17.34. **Moreover, we recommended that the Provincial Governor instruct the Provincial Treasurer to:**

a. conduct an internal audit to determine whether similar cases or other personnel are involved, and to implement appropriate preventive measures;

b. recompute all transfer taxes collected in CY 2024 to ensure the accuracy of collections and remittances. Any discrepancies or shortages identified in the remittances made by the COs should be settled immediately; and

c. regarding the identified under-remittances totaling at least ₱207,931.73, direct the concerned Collecting Officer to facilitate the immediate settlement of this amount, including any additional under-remittances uncovered during the recomputation. Copy of the evidencing payment must be submitted to the Audit Team for verification

17.35. Management acknowledged the findings and observations of the Audit Team. The Provincial Treasurer expressed that even prior to the COA's audit, they had already initiated internal reviews and audits, and they are committed to complying with the audit recommendations. Management plans to request additional manpower to ensure proper segregation of duties and will strictly require certified true copies of all pertinent documents for the processing of real property tax payments. The Provincial Treasurer also mentioned plans to enhance the Citizen's Charter to include procedures of securing copies to validate transfer tax computations, and developing an in-house system for the collection of transfer taxes.

Inadequate Procedures and Controls in the Imposition of Livestock Quarantine Regulatory Fees

18. The procedures and controls employed in the imposition of Livestock Quarantine Regulatory Fee under Section 129 of the Revenue Code of the Province were not adequate to ensure the accuracy and reliability of the assessments and collections made. Consequently, the total collections for the quarantine regulatory fees in CY 2024, amounting to ₱14,720,437.28 could not be reasonably ascertained, which is not in accordance with Section 123 of PD No. 1445.

18.1. Section 123 of PD No. 1445 defines internal control as the plan of organization and all the coordinate methods and measures adopted within an organization or agency to safeguard its assets, check the accuracy and reliability of its accounting data, and encourage adherence to prescribed managerial policies. Section 124 of the same further provides that it shall be the direct responsibility of the agency head to install, implement, and monitor a sound system of internal control.

18.2. On June 27, 2002, the Sangguniang Panlalawigan of La Union enacted Ordinance No. 02-2002 or an Ordinance Providing for Animal Quarantine Regulations to Prevent the Entry and Spread of Communicable Diseases of Livestock, Poultry, Meat and Its By Products and Guidelines of Its Implementation in the Province of La Union or in short the "Provincial Animal Quarantine Regulation Ordinance of La Union". The said Ordinance was amended by Provincial Ordinance Nos. 417-2023 and 472-2024.

18.3. The objective of the ordinance is to prevent the uncontrolled entry of livestock and poultry diseases into the province, thus preventing the spread of communicable animal diseases not only within La Union but also to nearby provinces. As such, the ordinance mandates that it is unlawful to bring or transport into the PGLU animals, poultry, meat and their by-products found to be infected with communicable diseases with or without accompanying documents.

18.4. Relevant thereto, the PGLU imposed a quarantine regulatory fee provided under Section 129 of the Provincial Tax Ordinance No. 398-2022 dated October 4, 2022 or the “2022 Revenue Code of the Province of La Union”.

18.5. For CY 2024, the PGLU was able to collect ₱14,720,437.28 from Livestock and Other Animals Quarantine Regulatory Fee and Shipping Inspection.

18.6. The PGLU, through the Office of the Provincial Veterinarian (OPVet), disinfected 45,305,291 livestock and other animals, generating ₱9,170,039.60 in quarantine regulatory fees. Additionally, OPVet disinfected 11,100,975.36 kg. of fresh and frozen meats, generating ₱5,550,397.65 in fees. These disinfections were carried out by the quarantine inspection teams in the OPVet at six checkpoints strategically identified by the PGLU which includes three locations in Rosario (Camp One, *TPLEX*, Bani), and one each in Pugo, Burgos, and Sudipen.

18.7. However, the reported quantities of 45,305,291 livestock and other animals, and 11,100,975.36 kg of meats, could not be reasonably verified due to the absence of external source documents. The Audit Team inquired about the procedures for the assessment and collection of the Livestock Quarantine Regulatory Fee and learned the following:

a. Six teams were created and assigned to the designated checkpoints. Part of the teams are the deputized collectors stationed 24/7 in the checkpoints through shifting schedules. Each collector was issued Accountable Forms No. 51 for issuing ORs to clients.

b. Inspections were conducted to all live animals mentioned in the Ordinance, poultry eggs, and fresh/frozen/processed meat entering, exiting, or passing through the PGLU. The original copies of documentary requirements for presentation by shippers are enumerated in the 2024 Citizen’s Charter of the Province, which includes various permits and certificates.

c. The Quarantine Checkpoint Inspector will check and verify the presented documents. If documents are not valid or incomplete, the shipment will be denied of entry. If documents are valid and complete, inspector will proceed to inspect the contents of the transport vehicle.

d. Accordingly, the transport vehicle will be disinfected and appropriate fees will be collected from the shipper. If animals are for ship-out, the VSP and VHC will be prepared and issued to the shipper, as appropriate, and the vehicle is no longer subject for disinfection.

e. The deputized collector will issue an OR upon payment of the shipper of the computed fees. All the documents to be presented are returned to the shipper.

f. For transshipment cargoes, the same procedures as ship-in cargoes applied, but no fees were imposed.

g. All collections will be remitted by the deputized collectors to the Provincial Treasurer's Office for the subsequent recording in the books and deposit to the bank by the latter.

18.8. Upon reviewing the process, it became apparent that none of the external source documents to support the assessment of the imposed quarantine regulatory fee, such as shipping permits, were retained by the OPVet. The OPVet returned all documents to the shipper after inspection.

18.9. In an interview with the Provincial Veterinarian, it was explained that while the original documents were returned, the OPVet maintained as a control, a Monitoring Report for all the transactions inspected and disinfected. The name of the shipper, the time, the specie, the number of heads, the origin/destination, the VHC/VSP Number, the Vehicle/ Plate Number, the OR number and the Amount collected are among the data being recorded in the Monitoring Report. The shippers signed the information in the Monitoring Report for confirmation.

18.10. However, it is important to note that the Monitoring Report is an internally generated document. To validate or verify the accuracy of the assessment and fee imposition, external source documents such as the Shipping Permit issued from the originating location would be more reliable and credible. This is because information contained in external documents is more objective and less prone to manipulation or alteration.

18.11. The Audit Team was informed that the OPVet does not require submission of photocopies of shipping permits or other external documents declaring the actual quantities of shipment, due to the inconvenience it may cause to the shippers. This is particularly true since shipments are often transported at night or during dawn, when establishments offering photocopying services may not be available.

18.12. While the Audit Team understand this viewpoint, we emphasize that, in order to ensure the accuracy and reliability of accounting data, Management should implement adequate control mechanisms. This could not be dispensed with. In this case, the non-retention of any copies of external source documents declaring the quantities shipped to support the imposition of quarantine regulatory fee, raises uncertainties about the correctness, accuracy and reliability of the total reported collections of ₱14,720,437.28 in quarantine regulatory fees.

18.13. Moreover, if it is indeed inconvenient for shippers to submit photocopies of required documents, we suggest that management explore more practical solutions. For instance, the OPVet could provide a printer with photocopying/scanning capabilities at the checkpoints or adopt a more digitalized approach to streamline the process and provide more readily available data.

18.14. **We recommended that the Provincial Governor direct the Provincial Veterinarian and the Provincial Treasurer, to retain photocopies of shipping permits or other external source documents declaring the quantities shipped, or if inconvenient, devise a more practical or digitalized approach to ensure the accuracy and reliability of assessments made on Livestock Quarantine Regulatory Fees.**

18.15. Management acknowledged the observation and stated that they will require supporting documents from external sources and enhance monitoring and validation reports. The Provincial Treasurer further noted that they are considering the assignment of a dedicated LO to the OPVet to address the challenges posed by shifting work schedules and the considerable distance of collection areas from the Treasurer's Office. With the deployment of a LO, field collectors can directly report to the said officer, who will be responsible for submitting liquidation reports to the Treasurer's Office in a timely and efficient manner.

C. COMPLIANCE WITH TAX LAWS AND OTHER REGULATORY REQUIREMENTS

The PGLU was able to withhold taxes, GSIS, PhilHealth and HDMF contributions and remitted them to the concerned government agencies. The amounts withheld and remitted in CY 2024 for these government dues are broken down as follows.

Due to	Balance as of 01/01/2024	Amount Withheld	Amount Remitted	Balance as of 12/31/2024	Remarks
BIR*	46,182,208.33	158,930,536.08	157,036,428.68	44,288,100.93	The amount withheld was net of refunds totaling ₱3,802,958.48 and adjustments of ₱38,917.91. Ending balance was remitted on January 2025. However, there was an over-remittance amounting to ₱64,204.72 for refund and subject for further reconciliation.
GSIS	11,867,066.51	171,602,568.05	175,134,959.19	15,399,457.65	The amount withheld was net of

Due to	Balance as of 01/01/2024	Amount Withheld	Amount Remitted	Balance as of 12/31/2024	Remarks
					refunds totaling ₱232,117.03 and adjustments of ₱295,130.57. Of the ending balance, only ₱14,100,512.54 was remitted on January 2025. The balance of ₱1,298,945.11 were not remitted due to: a) some salaries of employees (increment, etc.) in the eBilling and Collection System of GSIS are yet to be updated; and b) loans to be refunded to employees after reconciliation.
Pag-IBIG	1,515,780.60	26,072,651.52	26,756,852.65	2,199,981.73	The amount withheld was net of refunds totaling ₱1,334.23 and adjustments of ₱72,661.38. Of the ending balance, the amount of ₱1,429,188.76 was remitted on January 2025. The balance of ₱770,792.97 is to be refunded to employees and premiums to be remitted after reconciliation.
PhilHealth	1,899,205.49	25,565,342.99	25,879,547.70	2,213,410.20	The amount withheld was net of refunds totaling ₱14,249.34 and adjustments of ₱16,102.87. Of the ending balance, the amount of ₱2,096,693.26 was remitted on January 2025. The remaining balance of ₱116,716.94 is to be refunded to employees and for

Due to	Balance as of 01/01/2024	Amount Withheld	Amount Remitted	Balance as of 12/31/2024	Remarks
					remittance after reconciliation.

**Consist of dues to BIR for employee withholding taxes, 5% VAT and Withholding Taxes from payments to suppliers and documentary dues.*

D. STATUS OF NOTICE OF SUSPENSIONS, NOTICE OF DISALLOWANCES AND NOTICE OF CHARGES

The Statement of Audit Suspensions, Disallowances and Charges as of December 31, 2024 showed that the PGLU has no unsettled suspensions, disallowances and charges.

E. REPORT ON DISPOSAL

The Report on Real Property Disposal showed that the PGLU has no real property disposed in CY 2024.

PART III

STATUS OF IMPLEMENTATION OF PRIOR YEARS' AUDIT RECOMMENDATIONS

STATUS OF IMPLEMENTATION OF PRIOR YEARS' AUDIT RECOMMENDATIONS

Of the 115 audit recommendations contained in the prior years' AARs, 30 (26.09%) were implemented and 85 (73.91%) were not implemented. Details are as follows:

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
1. Obligations were recognized only upon payment rather than at the time the contracts were perfected. Consequently, obligations for prior-year contracts of goods and infrastructure projects were only recorded in Calendar Year (CY) 2023. This practice is contrary to Internal Public Sector Accounting Standards (IPSAS) 24, resulting in an overstatement of the amounts presented under the Original and Final Budget and Actual Amounts columns of the Continuing Appropriations for Capital Outlay in the Statement of Comparison of Budget and Actual Amounts (SCBAA). The overstatement amounts to ₱124,363,836.47, respectively.	pp. 86-88, 2023 AAR		
We recommended that the Provincial Governor direct the Provincial Budget Officer (PBO) to ensure that all contracts entered into during the year are obligated within the same		A memorandum on the processing of Obligation Requests was prepared and disseminated by the PBO.	**Not Implemented** The review of the Notes to the Financial Statements revealed year-end commitments that were not

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
year, in order for the Provincial Accountant to accurately prepare the report for SCBAA.			supported by perfected contracts and, therefore, should not have been recognized as actual obligations in the SCBAA. Reiterated in Observation No. 3.
2. Accumulated depreciation was understated by at least ₱3,604,376.51 due to the inconsistent application of a salvage value of 10 percent for some Property, Plant and Equipment (PPE), instead of the prescribed five percent. Furthermore, certain PPEs with a total cost of ₱6,641,296.29 were not depreciated from the time of their acquisition, contrary to IPSAS No. 17 and Manual on the New Government Accounting System (MNGAS) for Local Government Units (LGUs), thus impairing the usefulness and reliability of the financial statements, which are essential for making informed management decisions. We recommended that the Provincial Governor direct the Provincial Accountant to adopt a consistent policy for depreciating PPEs by	pp. 88-89, 2023 AAR	 A depreciation policy of five percent (5%) estimated residual values for all PPEs was adopted, and	 **Implemented** Validation of the foregoing entries was undertaken by the

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
using the five percent estimated residual values in all PPEs subject to depreciation and accordingly prepare adjusting entries.		adjusting entries for depreciation were made through the following Journal Entry Vouchers (JEVs): 2024-04-5241; 024-04-5279; 2024-04-5395; 2024-04-5519; 2024-04-5265; 2024-04-5352; 2024-04-5434; 2024-04-5292; 2024-04-5269; 2024-04-5380; 2024-04-5385; 2024-04-5327; 2024-04-5307; 2024-07-239; 2024-08-11025; 2024-08-11029; 2024-08-11032; 2024-08-11034; 2024-09-11356; 2024-09-11390; 2024-09-11410; 2024-09-11424; 2024-09-12372; 2024-09-12373; and 2024-09-12383	Audit Team and found that the Provincial Accountant already complied with the audit recommendation.
3. Savings from completed project partly funded with agency counterparts or equity remained dormant in the Trust Fund (TF) books due to the practice of recognizing equity shares as Subsidy to Other Funds and consequently closing it to the Government Equity	pp. 90-91, 2023 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
account at year-end, contrary to Paragraph 27 of IPSAS 1, thereby understating the Due from Other Funds account by ₱1,718,186.29 and misclassifying the same amount to Other Payables instead of Due to Other Funds.			
We recommended that the Provincial Governor direct the Provincial Accountant to prepare the necessary correcting entries under the General Fund (GF) and TF.		The Provincial Account made the adjustments through the following JEVs: JEV-2024-06-322 and JEV-2024-06-8463.	**Implemented** Validation was conducted and found that the required correcting entries were duly prepared and recorded on June 28, 2024.
We also recommended that the Provincial Governor instruct the Provincial Treasurer and Provincial Accountant to prepare the disbursement voucher (DV) and supporting documents to revert the savings to the GF.		The DV was prepared and submitted by the Provincial Accountant. Corresponding entries were recorded in the books per JEV No. 2024-07-000372, and JEV-2024-07-009358.	**Implemented** DV was submitted and the corresponding entries were recorded in the respective books of the Provincial Government of La Union (PGLU).
Lastly, we also recommended that the Provincial Governor direct the Local Finance Committee (LFC) to include the amount of ₱1,718,186.29 as available for appropriation, particularly for Republic Act (RA) No. 7171 projects.		Certification from the LFC on the availability of funds for appropriation was submitted.	**Implemented** Complied with by Management.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
4. Insufficient information pertaining to completed and ongoing infrastructure projects resulted in their exclusion from the physical inventory and in the Report on the Physical Count of Property, Plant, and Equipment (RPCPPE), contrary to MNGAS for LGUS; hence, the presented PPE in the financial statements is greater by ₱521,703,586.14 than the RPCPPE. Furthermore, the one-time cleansing of PPE was temporarily set aside due to the complexity of the process and the shortage of personnel, disregarding COA Circular No. 2020-006; thus, the accuracy of both the financial statements or reports could not be established.	pp. 91-94, 2023 AAR		
We recommended that the Provincial Governor create an Inventory Committee that shall prepare a Physical Inventory Plan (PIP) containing the specific assignments/ duties of the committee members, the cut-off date, and a schedule specifying the dates and locations of the inventory-taking activities from start to finish in accordance with COA Circular No. 2020-006.		Submitted the copy of Executive Order No. 17, Series of 2022, *"Reorganizing and Strengthening the Provincial Inventory Committee of the PGLU,"* providing their duties and functions, and for other purposes.	**Not Implemented** The PGLU has yet to conduct its one-time cleansing of PPEs pursuant to COA Circular No. 2020-006, hence, the PIP was not yet prepared and submitted to the Audit Team.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
Thereafter, we recommended that the Provincial Governor enjoin the Inventory Committee, Provincial General Services Officer (PGSO), and Provincial Accountant to undertake the procedural guidelines enumerated in COA Circular No. 2020-006 for the one-time cleansing of PPE account balances to come up with more reliable account balances to be presented in the financial statements.		Ongoing preparation of Project Proposal and the PIP for One-time cleansing, and inclusion in the Local Expenditure Program of the PGLU.	**Not Implemented** The same reason as above. Further, Management is awaiting approval of their budget proposal to fund the One-Time Cleansing of PPEs of the PGLU.
Lastly, we recommended that the Provincial Governor direct the Provincial Engineer to furnish the PGSO supporting documents for completed projects. Likewise, there should be close coordination between the Property and Accounting Divisions for the regular reconciliation of PPE records.		According to the Provincial Engineer, a partial list of completed infrastructure projects with Program of Work (POW), Detailed Engineering Design (DED), and other documents has already been forwarded to and received by the PGSO. However, some POWs have not yet been submitted to the GSO for reconciliation and recording purposes. The Office of the Provincial Accountant (OPAcct) explained that all transfer documents received	**Not Implemented** The PGLU is still in the process of implementing the recommendation. The submission of all necessary supporting documents to the PGSO has not yet been fully completed; therefore, the reconciliation of PPE records remains incomplete.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
		by the Office have already been recorded in the books of accounts.	
5. **PPEs with total net book value of ₱2,033,284,695.86, which are already being used by other LGUs or entities, are still carried in the PGLU 's books due to the absence of donation documents as required by Article 749 of the Civil Code of the Philippines and Section 381 of RA No. 7160; therefore, the PGLU cannot yet be relieved of accountability and responsibility for these assets.** We reiterated our recommendation that the Provincial Governor continue requesting from the Sangguniang Panlalawigan (SP) to enact a Resolution authorizing the transfer of these identified assets to the different recipient barangays/municipalities/schools/beneficiaries; We further recommended that the Provincial	pp. 94-98, 2023 AAR	On the part of the SP, the referral was discussed by the SP Committee on Public Works and Utilities on September 12, 2024. The committee recommended the approval of the authority for the Governor to enter into the Deed of Donation (DOD); however, there was a request for an executive session to discuss matters raised during the committee hearing. Documents received by the Office of PGSO	**Not Implemented** The Management has not yet secured the SP Resolution granting the Provincial Governor the authority to enter into the DOD. **Not Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
Governor instruct the Provincial Legal Officer (PLO) in coordination with Provincial Engineer and PGSO to expedite the preparation of DOD for the subsequent transfer and acceptance by the latter to support the transfer of ownership of the said properties.		for review, coordinated by the PLO, were promptly returned for finalization. PGSO reviewed 21 DODs and returned them to the Provincial Engineering Office (PEO) on September 5, 2024 for finalization. They received 15 DODs in November 27, 11 were signed 11, and 4 were returned for finalization as of December 12, 2024.	The finalization of the DODs is still ongoing.
Thereafter, when the required supporting documents are already complied with, we recommended that the Provincial Governor direct the Provincial Accountant to make the necessary entries to fairly present the Property Plant and Equipment accounts.		All donated properties with complete documentation have already been recorded in the books of accounts. For other donated properties, the OPAcct has requested the offices of the PLO, PGSO, and the Provincial Engineer to furnish copies of the SP Resolution and DODs and Acceptance so that the PPE accounts can be properly adjusted in the books of accounts.	**Not Implemented** Some donated properties remain unrecorded due to the pending submission of required supporting documents, which have already been requested by the OPAcct.
6. The PGLU's current liabilities accounts, totaling ₱20,109,813.73, have remained	pp. 98-102,		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
outstanding or non-moving for over 10 years due to a lack of supporting documents, unclaimed stale checks, and unutilized, unliquidated, or unrefunded fund transfers, contravening IPSAS 1, Sections 4(6) of Presidential Decree (PD) No. 1445, COA Circular No. 94-013, and COA Circular No. 2016-004, hence making these funds idle and negatively impacting the agency's integrity, particularly for fund transfers. We recommended that the Provincial Governor direct the Provincial Accountant, with the help of the Provincial Treasurer and implementing offices and end-users, to:	2023 AAR		
a. Assess the validity of the past-due claims recorded for more than two years and initiate the prompt settlement, liquidation, or refund of such claims. If these claims are found to be invalid or if the purpose of the funds cannot be fulfilled or has already been accomplished, revert the unpaid claims to the accumulated surplus of the GF or refund the TFs to the		The OPAcct sent demand letters and request letters for the settlement, liquidation, or refund of claims. Monitoring was conducted and the status of past-due accounts was submitted to COA on a quarterly basis.	**Not Implemented** While Management has initiated steps to settle the claims, the assessment of the validity of the remaining accounts is still ongoing.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
source agencies, if appropriate;			
b. Ensure that all documents for payment of claims are intact before recording them as valid claims to facilitate a smooth and prompt settlement of liabilities. Thereafter, ensure strict monitoring of recorded liabilities for prompt settlement thereof, and		The OPAcct regularly monitors outstanding payables and reminds end-users to ensure prompt payment. OPAcct also regularly monitors unreleased checks and requests Provincial Treasurer's Office (PTO) to notify payees or claimants and to release checks to avoid them becoming staled.	**Not Implemented** The aging of accounts payable revealed that ₱12,319,247.39 is past due, including ₱802,100 outstanding for 6 to 10 years and ₱2,536,547.71 for 3 to 6 years. Moreover, some recorded payables were not supported with complete documentation.
c. For those reverted stale checks or closed bank Automated Teller Machine (ATM) accounts, prepare replacement checks, send notices, or exert effort to contact the payees.		The OPAcct notified the PTO of checks that were about to become stale, as well as those that had already become stale, and requested their replacement. It also recommended issuing written notices to payees. The PTO, through its Cash Disbursement Unit (CDU), coordinated with concerned offices to assist in contacting and locating clients or beneficiaries. Additionally, the CDU utilized online platforms, such as Facebook, to support these efforts.	**Not Implemented** Supporting documents for Management's claims, such as written notices or advisories to payees, were not submitted to the Audit Team for verification.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
7. The accounts receivable balance of ₱6,868,011.77 which has been dormant for more than 10 years is deemed inaccurate and unreliable due to the absence of supporting documents and sufficient records, which is not in conformity with IPSAS No. 1 and COA Circular No. 2023-008, thereby affecting the certainty of collections. We reiterated our recommendations that the Provincial Governor direct the Provincial Accountant and Provincial Treasurer to:	pp. 102-104, 2023 AAR		
a. exert effort to collect these dormant receivables, particularly the accounts with available reference documents, by sending demand letters. Exhaust all remedies to collect and properly document efforts made;		The OPAcct sent letters to the concerned offices and individuals. Assistance was also requested from the PLO and PTO for collection efforts. Demand letters were sent by the PLO to some delinquent payees.	**Not Implemented** The PGLU is still in the process of implementing the recommendation, though it has partially recovered dormant receivables.
b. continuously locate all related documents pertaining to the long outstanding receivables to establish their existence and validity;		The PTO extended that they will continue to collaborate with their partner offices in locating and delivering demand letters to Non-Government Organizations (NGOs) and other	**Not Implemented** The PGLU is still in the process of implementing the recommendation, as it awaits the submission of related documents on *KKK* and other receivables from its

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
		personnel. However, they will also consider the recommendation to write off these accounts from our records. Coordinated with municipal treasurers and accountants to reconcile the accounts.	municipal counterparts.
c. prepare and submit the quarterly Schedule of Dormant Receivables, Unliquidated Cash Advances, and Intra/Inter-Agency Fund Transfers (Annexes 1–3) and Schedule of Other Dormant Accounts (Annex 4) for monitoring of the dormant accounts in compliance with COA Circular No. 2023-008.		Prepared and submitted the required schedules of dormant receivables, unliquidated cash advances, intra/inter-agency fund transfers, and other dormant accounts.	**Implemented** The quarterly Schedules of Dormant Receivables, Unliquidated Cash Advances, Intra/Inter-Agency Fund Transfers, and Other Dormant Accounts were duly submitted to the Audit Team.
Lastly, we recommended that if these receivables are proven to be uncollectible but duly supported with required documents, to file the request for authority to derecognize dormant receivable accounts as prescribed under COA Circular No. 2023-008.		OPAcct requested the LFC to create a committee for the proper disposition of dormant receivables. OPAcct also drafted an Executive Order for the proper disposition of dormant accounts. LFC recommended the establishment of an investigation committee, as reflected in LFC	**Not Implemented** The filing of the request for authority to derecognize the receivables has not yet been completed, as the reconciliation with other LGUs is still ongoing through the Association of Local Government Accountants of La Union.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
		Resolution No. 045-2023.	
8. Inventories worth ₱24,539,001.60 were not included in the physical count due to a lack of coordination among the offices, contrary to Section 124 of the MNGAS for LGUs; thereby, the completeness, accuracy, and existence of inventories could not be ascertained which can undermine the reliability of the reports. We recommended that the Provincial Governor direct the following: a. All implementing units to inform the PGSO of all receipt of goods from suppliers; and	pp. 104-105, 2023 AAR	End-users have coordinated with the PGSO and submitted the necessary documents, including sales invoices, delivery receipts, and photographs, to verify the delivery and acceptance of goods and inventories. A policy for monitoring inventory within the concerned offices is currently being drafted.	**Implemented** Based on the inspections of goods attended by the Audit Team, a representative from the PGSO was consistently present. The Audit Team was regularly notified of inspection schedules, and relevant supporting documents were duly provided.
b. The PGSO to ensure that all inventories are all accounted during the		The PGSO has conducted the annual physical inventory count and confirmed	**Not Implemented** Based on the review of the Report on the

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
conduct of physical inventory.		that all items were accounted for during the process. The Report on Physical Count of Inventories is currently being routed to the members of the Provincial Inventory Committee for certification.	Physical Count of Inventories, some items were not physically present during the inspection conducted by the Audit Team.
9. Two Accountable Officers (AOs) in the CDU of the PGLU handle multiple cash advances simultaneously, transfer their cash advances to other employees, and grant additional cash advances despite the non-settlement or proper accounting of their previous ones. This condition was due to unexpected increase of cash needed for various programs/ projects/ activities (PPAs) and lack of bonded AOs, contrary to COA Circular No. 97-002. Consequently, the AOs exceeded their maximum cash accountability and expose the PGLU in a precarious position where funds are at greater risk of being mismanaged as well as the risk of not being fully indemnified in case of defalcations, shortages, and unrelieved losses.	pp. 106-111, 2023 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
We recommended that the Provincial Governor direct the PTO and the Provincial Accounting Office to:			
a. Ensure strict adherence to the bonding regulations outlined in Treasury Circular No. 02-2019 and COA Circular No. 97-002. This includes conducting regular reviews of AO's cash accountabilities and promptly adjusting bonding coverage as needed to mitigate risks associated with exceeding cash accountabilities;		The OPAcct monitored cash advances to PTO disbursing officers and reminded them to comply with bonding regulations. All accountable officers are properly bonded, and the PTO has confirmed its adherence to these requirements.	**Not Implemented** The same observations were noted during the first quarter of CY 2024, where some employees received cash advances exceeding their maximum cash accountability.
b. Refrain from granting additional cash advances unless the previous cash advances were already fully settled or a proper accounting thereof is made. A certification from the Chief Accountant that the previous cash advances have been fully liquidated and accounted for in the books should be required prior to the grant of cash advances;		The OPAcct consistently monitored and reminded PGLU officers and employees with unliquidated cash advances, including disbursing officers, to liquidate these advances within the prescribed period. As part of its internal controls, it issues a certification confirming that previous cash advances are fully settled before granting additional advances. The PTO, through the CDU, ensures	**Not Implemented** The same observations were noted during the first quarter of CY 2024, where some were granted additional cash advances prior to the full liquidation of their previous advances.

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		liquidation within the 60-day period and obtains certification of balances from the OPAcct prior to authorizing new cash advance transactions.	
c. Conduct a comprehensive review of its cash advance policies and practices, considering factors such as operational efficiency, accountability, and internal control requirements, to identify areas for improvement and ensure alignment with regulatory guidelines, particularly COA Circular No. 97-002; and		The PTO, through the CDU, reviewed the cash advance policies and practices. As a result, the CDU increased the funding of the Field and Current Operating Expenses to integrate all vouchers payments through cash, thereby eliminating the need for additional check withdrawals. Disbursing Officers have specified the nature of their Cash Advances in accordance with their bond limitations.	**Implemented** The COA Audit Team validated the letters documenting the actions taken in response to their review.
d. Discontinue the practice of granting cash advances for the Food Allowance/Subsistence of the Provincial Jail and Bahay Pag-asa and the Stipend Allowances under Provincial Social Welfare and Development Office (PSWDO) to the concerned AOs. Instead, an AO for such		The grant of cash advances to disbursing officers of the PTO for food allowance/subsistence expenses of the Provincial Jail and Bahay Pag-asa has been discontinued. The Office of the Provincial Governor (OPG)-Jail and PSWDO have already assigned	**Implemented** A Disbursing Officer has been appointed and assigned to the OPG–Provincial Jail for the granting of cash advances for Food Allowance/ Subsistence. Bonding requirement was complied, and the Disbursing Officer is bonded for a period of

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
offices should be bonded and later granted with the said cash advances.		Administrative Officers to be bonded. Through the PTO, the bond for the designated Administrative Officers were requested and approved in January 2025 for OPG-Jail, and May 2025 for PSWDO. Additionally, the PTO, through the CDU, has discussed with them the procedures for requesting and liquidating cash advances in accordance with COA rules and regulations.	one-year, effective January 27, 2025. Additionally, another Disbursing Officer, duly bonded on May 13, 2025, was appointed and assigned in *Bahay Pag-asa*.
10. The PGLU only utilized 51%, or ₱178,779,497.91 out of the total 20% of the Development Fund (DF) current year budget amounting to ₱350,071,598.00, due to weak linkage between planning and budgeting and the inclusion of PPAs that are not well-planned and procurement-and-implementation-ready, contrary to Sections 3.2.1 and 3.2.3 of the Department of Budget, Department of Finance and Department of Interior of Local	pp. 111-117, 2023 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
Government (DBM-DOF-DILG) Joint Memorandum Circular (JMC) No. 2020-001 and Budget Operations Manual (BOM); thus, the development needs of constituents were not satisfied in the most timely, effective and efficient manner. We recommended that the Provincial Governor direct the: a. Department heads of the implementing offices:			
i. With the coordination of the Provincial Engineer, to ensure that their proposed 20% DF PPAs undergo thorough planning and detailed engineering;		The infrastructure projects under the 20% DF have undergone in-depth planning and detailed engineering. The Provincial Planning and Development Coordinator (PPDC) regularly submits monitoring reports, containing pertinent findings to be addressed, to the Governor and Top Management. Moreover, several meetings have also been conducted with the implementing	**Not Implemented** The implementation of proposed PPAs by the implementing offices is still ongoing. Moreover, based on the review of the Quarterly Report on PPAs, there have been numerous issuances of suspension orders, and time extensions due to variation orders, ongoing projects of other agencies, project site issues such as the presence of illegal settlers, land disputes with private owners, and other related concerns. These indicate deficiencies in

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
		offices to discuss the causes of delays.	planning on the part of Management. Some of these issues are further discussed in Observation No. 11, Part II of this Report.
ii. Discontinue the practice of including PPAs that function like a contingency fund in the list of their proposed 20% DF PPAs; \		Prior to the enactment of the SP Resolution, SP personnel conduct an ocular inspection of the proposed PPAs. Project proposals are also attached for all PPAs.	**Not Implemented** The 20% DF utilization rate as of December 31, 2024, was only 56.58%, suggesting that Management should exert more effort to ensure that PPAs are implementation-ready in order to significantly improve fund utilization. Additionally, the Audit Team noted a PPA that could not be readily implemented due to the absence of specific details regarding its description or intended recipients, such as the 'Logistical Support to Component LGUs and Barangays – Purchase of Garbage Trucks, Equipment for Environmental Management, Ambulance, Other Medical Equipment, etc.”
iii. Identify specifically the description of their proposed		Specifications are stated in the project proposals. The LFC	**Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
infrastructure PPAs, including their complete title and location;		evaluates the conformity of the specifications of the PPAs, as well as the availability of funding sources.	The PGLU already specifically identified the description of their proposed infrastructure PPAs, including their complete title and location.
iv. Consider PPAs that do not involve any third-party counterparts as their proposed 20% DF PPAs. Otherwise, strictly monitor the timing of the implementation of the counterpart to avoid delay or reprogramming; and		The OPAcct monitored the implementation and utilization of the 20% DF PPAs. It also submitted updates to the implementing offices regarding the status of their PPA implementation.	**Not Implemented** Despite the letter submitted by the Provincial Accountant to the implementing offices, the responses regarding the status of the PPAs were not submitted for validation. Additionally, the utilization rate as of December 31, 2024, was only 56.58%, indicating the need for Management to exert more effort to ensure the full utilization of the funds.
v. Inform the Provincial Development Council immediately if the full implementation of their 20% DF PPAs within the current year is not feasible.		The LFC is to recommend policy guidelines on the utilization of the 20% DF for approval by the LCE (e.g. recalibrating PPAs to the 1st semester instead of the 2nd semester to avoid possible delays).	**Not Implemented** The PGLU is still in the process of implementing the recommendation. Currently, the LFC is drafting the policy guidelines.

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b. PPDC to verify the procurement-and-implementation readiness of the proposed 20% DF PPAs and continue strict monitoring and evaluation of their implementation; and		The LFC validated project proposals for LDF PPAs. The PPDC regularly submitted monitoring reports to the Governor and Top Management with pertinent findings to be addressed. Moreover, several meetings were conducted with implementing offices to discuss the causes of delay.	**Not Implemented** Based on the review of the Quarterly Report on PPAs, there have been numerous issuances of suspension orders, and time extensions due to variation orders, ongoing projects of other agencies, project site issues such as the presence of illegal settlers, land disputes with private owners, and other related concerns, indicating that the planned PPAs were not procurement-and-implementation-ready.
c. PBO must ensure that the budgeted PPAs align with those programmed in the Annual Investment Program (AIP) including the sources of funds. Any discrepancies should be promptly coordinated with the PPDC to ensure proper linkage between planning and budgeting.		The PPDC has consistently reminded the PBO to align PPAs funded under the LEP with the approved AIP. The PBO ensures compliance thereto and that budget hearings were being conducted.	**Not Implemented** Supporting documents were not submitted for validation.
11. Some farmer-beneficiaries who received distributed palay seeds, fertilizers, fingerlings, and animal feeds totaling	pp. 117-120, 2023 AAR		

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₱80,529,153.75 may potentially be categorized as non-tobacco farmers. This arises from discrepancies between the total number of tobacco farmers listed by the PGLU and those registered with the National Tobacco Administration (NTA), contrary to the objectives of RA No. 7171. We recommended that the Provincial Governor direct the OIC-Provincial Agriculturist, and the Provincial Development and Planning Coordinator, to:			
a. Coordinate with NTA for the reconciliation of the list of registered tobacco farmers; and		The PPDC has reached out to the Office of the Provincial Agriculture (OPAg) regarding partnerships for consultations.	**Implemented** Management has coordinated with the NTA, and profiles of tobacco farmers for the 2022-2023 crop year have been provided.
b. Conduct public consultations or assemblies with tobacco farmers, assisted by the Department of Agriculture (DA) and NTA, and use the results to efficiently facilitate and give tailored support and assistance to them.		A consultation meeting with NTA-assisted tobacco farmers was planned in coordination with the NTA-La Union (LU) Branch. Initial coordination with the NTA-LU has been conducted to determine the date of the meeting. Identified	**Not Implemented** Although a copy of the list of NTA-assisted tobacco farmers for the 2022-2023 crop year has been obtained, a public consultation or assembly with the farm leaders has yet to be conducted, pending schedule confirmation from the NTA-LU.

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		participants will be farmer leaders. The OPAg has also obtained a list of NTA-assisted tobacco farmers in the province, along with a copy of the NTA's 2-year Tobacco Development Roadmap. Additionally, the OPAg and NTA conducted a consultation meeting to discuss the PPAs of both offices, specifically catering to tobacco farmers.	
12. The PGLU only obligated 35.07%, or ₱243,105,878.66, of the ₱693,227,339.00 shares from RA No. 7171 and RA No. 8240 FY 2020 collections of excise taxes. This was due to delayed preparation of POWs, which contravenes Section 2.3 of the Local Budget Memorandum No. 86, compromising the timely delivery of project benefits to the intended beneficiaries. We recommended that the Provincial Governor direct the Provincial Engineer to ensure thorough planning and detailed engineering for the proposed RA No.	pp. 120-121, 2023 AAR	 AIPs were evaluated by the SP through ocular inspection prior to the issuance of an SP Resolution adopting the proposed	 **Not Implemented** As of December 31, 2024, the enactment of appropriation ordinance for PPAs

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
7171 and 8240 Fund PPAs, ensuring prompt preparation of the POWs to prevent delays in PPA implementation.		PPAs. SP Committee hearings on *KALSADA* programs/ infrastructure projects were conducted with the presence of all committee members, LFC, concerned offices, and stakeholders.	under RA 7171 and 8240 was not completed.
13. Cash donations received by the province totaling ₱3,141,850.69, intended as financial assistance for typhoons and disaster victims, remained unutilized due to inadequate monitoring and account misclassification, contrary to COA Circular No. 2012-002, thus undermining the very purpose of the donations and delays the benefits for the intended beneficiaries. We recommended that the Provincial Governor direct the Provincial Disaster Risk Reduction and Management Council (PDRRMC), with the assistance of the Provincial Accountant, to review whether the cash donations received are covered by an agreement. Accordingly, expedite the proper utilization of the idle funds.	pp. 121-123, 2023 AAR	The OPAcct monitored the utilization of the Local Disaster Risk Reduction and Management Fund (LDRRMF) and reminded the implementing offices to expedite the execution of PPAs funded under this program.	**Not Implemented** The utilization of said fund is still pending approval by the PDRRMC.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
14. A separate annual Local Disaster Risk Reduction and Management Fund Investment Plan (LDRRMFIP), which shall also incorporate the use of the unexpended LDRRMF balance from previous years and funds received from other sources, was not prepared and submitted to the Office of the Civil Defense (OCD) and DILG-Local Government Operations Office (LGOO) as prescribed under COA Circular No. 2012-002 dated September 12, 2012 due to procedural gaps, thus the funds for disaster, mitigation, response and rehabilitation activities remained unutilized at year-end. We recommended that the Provincial Governor direct the Provincial Disaster Risk Reduction and Management Office (PDRRMO) in consultation with the PDRRMC, to:	pp. 123-125, 2023 AAR		
a. Prepare the annual LDRRMFIP duly approved by the PDRRMC in accordance with COA Circular No. 2012-002 dated September 12, 2012, which shall incorporate the use of		LDRRMFIP was presented to the PDRRMC on March 12, 2024, and a copy was forwarded to the OCD and DILG.	**Not Implemented** The Audit Team received a copy of the LDRRMFIP submitted to the OCD and DILG. A review of the report revealed that funds received from other

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
all the available funds for DRRM, including the unexpended balances of QRF and DRRMF-MOOE of the previous years and those received from other sources; and b. Furnish the OCD and DILG-LGOO with a copy each of the annual LDRRMFIP and the monthly Report on Sources and Utilizations of DRRMF in accordance with Section 5.1.6 of COA Circular No. 2012-002.		The annual LDRRMFIP was furnished to the OCD and DILG, along with the monthly utilization report of the DRRM Fund.	sources have not yet been incorporated. **Implemented** Transmittal letters for the reports received by the OCD and DILG were furnished to the Audit Team.
15. **There are inconsistencies in the preparation and budgeting of the five percent LDRRMF, as evident in the AIP and the Annual Budget due to inadequate review. This is contrary to the BOM and RA No. 7160, and it affects the reliability of the reports, which could lead to unsound decision-making.** We recommended that the Provincial Governor direct the PDRRM Officer and the PBO, in coordination with the LFC, to conduct a strict and thorough review of the five percent LDRRMF Annual Budget and its local budget preparation forms to ensure	pp. 125-128, 2023 AAR	There is a linkage between the AIPs and the budget. The PBO shall ensure that all proposed PPAs in the AB are included in the LDRRMF Investment Plan.	**Not Implemented.** The PGLU submitted the results of the review of the OCD Regional Office No. I on the LDRRMFIP 2024. The said review disclosed that there are several PPAs in the

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
consistency in the financial reports.			LDRRMFIP which are not included in their LDRRMP.
16. **Instead of the correct balance of the five percent LDRRMF Continuing totaling ₱43,617,243.00, an amount of ₱51,334,443.00 was declared as savings and thereafter used to fund new PPAs as a result of the inadequate review. This action is contrary to Section 321 of RA No. 7160. Therefore, the amount of ₱7,717,200.00 under Supplemental Budget No. 16 lacks actual cash back up, which may potentially lead to legal and regulatory issues as well as negatively impact the cash flow of the LGU if not promptly addressed.** We recommended that the Provincial Governor, in coordination of the Provincial Treasurer, PBO, Provincial Accountant, PDRRMO, and the SP, to take the following actions:	pp. 128-130, 2023 AAR		
a. conduct a comprehensive review of the documents supporting the Statement of Funding Sources (LBP Form No. 8) prior to certification in order to		The LFC ensures that amounts declared as savings are supported by documentation prior to the enactment of SP Resolutions.	**Implemented** No similar instance was noted in CY 2024.

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ensure that the accurate amount is being reported or declared as savings and thereafter made as the basis for the enactment of a supplemental budget; and b. revisit the newly programmed LDRRMF PPAs under Supplemental Budget No. 16 and identify which among these PPAs will be excluded for implementation or decreased in appropriations amounting to ₱7,717,200.00.		Corrected in the Statement of Appropriation, Allotment, and Obligation Balances.	**Implemented** The "Disaster Rehabilitation and Recovery: Social Services – Donations" amounting to ₱8,930,000.00 under Supplemental Budget No. 16 was not implemented.
17. Out of the available funds amounting to ₱63,071,821.00, for the 70% mitigation fund, only ₱18,830,875.50 or 30% were obligated or utilized during the calendar year. Similarly, only ₱7,717,200.00 or 15% of ₱51,334,443.00 were utilized for LDRRMF Continuing Appropriations prior to reprogramming. This signifies inefficient use of available funds and slow implementation of PPAs, primarily due to ineffective planning, identification of PPAs, and budgeting, thus undermining the LGU's	pp. 130-133, 2023 AAR		

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disaster resilience and preparedness capabilities, which run counter to the objectives of RA No. 10121. We recommended that the Provincial Governor direct the PDRRMO and the PDRRM Council and LFC to:			
a. Optimize the utilization of its Mitigation Fund and 5% Continuing LDRRMF to enhance the disaster preparedness and response capability of the Province; and		On the part of the LFC, the utilization of the 5% Mitigation Fund and 5% Continuing LDRRMF is reported regularly and communicated to the end-users.	**Not Implemented** The PGLU is still in the process of implementing the recommendation. As of December 31, 2024, the utilization rate of Mitigation Fund, Continuing Appropriation and Special Trust Fund are as follows: 62.04%, 32.77% and 39.58%. The PDRRMO is committed to implementing its PPAs for the full utilization of the fund.
b. Ensure that the PPAs programmed and budgeted in the LDRRMFIP and as incorporated in the AIP are well-planned and procurement-and-implementation-ready in order to efficiently and effectively use the available funds and to avoid unnecessary		During the AIP formulation, offices were required to submit their project proposals. The PPDC regularly submits monitoring reports to the Governor and Top Management with pertinent findings to be addressed. Moreover, several	**Not Implemented** The non-inclusion of PPAs under other sources of LDRRMF contributed to non-implementation of the fund. Furthermore, project timelines were either not clearly specified in the Annual Procurement Plan

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subsequent discontinuance or abandonment of PPAs.		meetings were conducted to discuss the causes of delay with the implementing offices.	(APP) or, if indicated, were not duly followed during implementation.
18. The prolonged issuance of Notice to Proceed (NTP) and Purchase Order (PO) to the winning bidder and the grant of requests for extensions based on reasons that were not reasonably meritorious defeated the timely execution of other procurement activities conducted on the acquisition of disaster response and rescue equipment and supplies costing ₱7,795,600.00. This is contrary to Section 3(c) of RA No. 9184, thus impeding the immediate use of the equipment and supplies in times of disasters or emergencies. We recommended that the Provincial Governor, in coordination of the Bids and Awards (BAC) and the concerned offices, take the following actions:	pp. 133-135, 2023 AAR		
a. Streamline the process that involves the preparation, review and approval of NTPs and POs and ensure that the NTPs are strictly issued to the successful bidders within seven		The BAC strictly observes and adheres to the recommendations stated and ensures intensified monitoring of procurement activities with respect	**Not Implemented** The issued NTPs were left undated by the winning bidders and were issued beyond the prescribed period, as discussed in

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calendar days from the date of the approval of the contract; and		to the Updated 2016 Revised Implementing Rules and Regulations (IRR) of RA No. 9184.	Observation No. 9, Part II of this Report.
b. Grant delivery extensions only for grounds that are reasonably meritorious (e.g. fortuitous events, calamities, etc.) in order to oblige the suppliers to deliver within the period prescribed in the contract.		The BAC assured that the delivery timelines and requests for extension tendered by the supplier /manufacturer/ distributor were meticulously reviewed. If based on meritorious grounds, the circumstances asserted by the supplier/ manufacturer/ distributor were carefully evaluated to eliminate the risk of delivery delays that may be incurred by the end-user.	**Not Implemented** Review of documents granting delivery extensions revealed that unwarranted extensions were approved for the delivery of procured goods. Reiterated and discussed in Observation No. 9, Part II of this Report.
19. Eleven infrastructure projects amounting to ₱57,542,560.20 were delayed by 30 to 200 days due to inadequate planning, lack of detailed engineering, and coordination with the stakeholders and end-users, contrary to Annex "A" of the 2016 Revised IRR of RA No. 9184, therefore hindering the constituents from timely enjoying the benefit from these projects.	pp. 135-137, 2023 AAR		

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We recommended the Management:			
a. Ensure that all parties in the project, including the requestor and end-user, are involved in the planning phase so that their preferences, such as design, specification, location and timing, are considered in order to avoid changes during the implementation phase;		Prior to the publication of the Philippine Bidding Documents, the BAC schedules a meeting with all parties involved in the project, including the requestor and end-user, during the planning phase to ensure that their preferences such as design, specifications, location, and timing, are considered, thereby avoiding changes during the implementation phase.	**Not Implemented** Review of the Quarterly Report on PPAs disclosed the grant of time extensions due to similar reasons such as design modifications, changes in project location, and ongoing work at the project site. Discussed in part in Observation No. 11, Part II of this Report.
b. Require any requestor to disclose whether they have already requested the same project from other government agencies and remind them to wait for the response of the PGLU before submitting any request letter to other agencies to avoid duplication of project;		Various requests were validated by the LFC, the BAC and the implementing offices.	**Implemented** No similar instance of project duplication was observed during the year.
c. Coordinate with the different agencies, especially the Department of Public Works and Highways (DPWH) and the		Deliberations and evaluations are made during SP Committee hearings.	**Not Implemented** Review of the Quarterly Report on PPAs disclosed that time extensions were

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partner LGUs, and reconcile the respective APPs of the parties involved to detect any potential duplication or overlapping, and if necessary, to consider any possible schedule adjustment to harmonize the implementation of the infrastructure projects; and			for some projects due to on-going projects in the same locations where the provincial projects are situated.
d. Conduct a comprehensive assessment of the staffing needs for the PEO's, with specific focus on workload, especially tasks related to monitoring.		The PEO has been requesting additional manpower, specifically technical personnel, to lessen the workload related to project monitoring. The PEO also requested the immediate filling of vacant positions in order to promote the staff under contract of service.	**Not Implemented** The results of the assessment regarding the necessity of additional staff to handle monitoring-related responsibilities were not submitted to the Audit Team for verification of whether increasing personnel is justified or if alternative strategies should be developed to redistribute tasks more effectively.
20. The justification for granting time extensions due to material shortages and rain-related delays, ranging from 76 to 181 days, for 11 infrastructure projects totaling ₱54,555,776.27 could not be confirmed due to lack of supporting documents, discrepancies between the number of	pp. 137-141, 2023 AAR		

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suspended days and the data from Philippine Atmospheric, Geophysical and Astronomical Services Administration (PAGASA), as well as inconsistencies in the suspended days granted to nearly identically located projects. This does not align with the pertinent provisions of Annex E of the Revised IRR of RA No. 9184, thereby raising concerns about the reasonableness of the extensions granted, which prolonged the implementation of the projects. We recommended that the Provincial Governor direct the Provincial Engineer to:			
a. Require personnel who undertake inspection or assessment to make a monitoring, inspection, or accomplishment report for every site inspection, which must be duly documented and backed up with photos. Otherwise, require the contractor to submit the geotagged photos of the site to back up his claims, and		Actual project monitoring activities for infrastructures were conducted by the Provincial Project Monitoring Committee (PPMC). The PPMC is composed of NGOs, the DILG, and the LFC.	**Not Implemented** The grant of work suspensions and time extensions remained unsupported by inspection reports and other supporting documents, such as geotagged photos. Further discussed in Observation No. 11, Part II of this Report.
b. Defer the recommendation of suspension of work in		The PEO relied on PAGASA reports and other reasonable	**Not Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
the absence of proofs to the back-up reasons stated therein or those not in accordance with RA No. 9184. In the absence of supporting documents, the unworkable days perceived in the PAGASA Reports should be followed in the grant of time extensions.		circumstances, taking into account the scope of work and the location of the project.	Suspensions of work were still approved despite the absence of supporting documents. Further, several deficiencies in the grant of suspension orders using PAGASA Reports were noted, as discussed in Observation No. 11, Part II of this Report.
21. **The PGLU was unable to strictly and efficiently enforce the Construction Safety and Health Program (CSHP) throughout the construction phase of its infrastructure projects, despite its inclusion as a separate pay item in each infrastructure project's program of works, totaling ₱872,552.97 due to the leniency of the management. This infraction runs counter to Department of Labor and Employment (DOLE) Department Order (DO) No. 13, series of 1998, thereby compromising the protection and welfare of both the construction workers and the general public.** We recommended that the Provincial Governor direct the Provincial Engineer,	pp. 142-144, 2023 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
direct the Project Engineers to:			
a. strictly require all contractors to ensure their entire workforce is wearing the required safety gear or personal protective equipment at all times within the construction project site for the protection and welfare of both the construction workers and the general public;		In the preparation of the POW for every project, safety gears and personal protective equipment were included as pay items. Moreover, prior to the commencement of the project, the resident engineers conducted a pre-construction meeting attended by the beneficiaries, barangay officials, and contractors. One of the agenda items in the meeting was the discussion of occupational safety and health protocols.	**Not Implemented** Photos attached to the contractors' billings revealed their non-compliance with the personal protective equipment requirements. The PEO failed to monitor the contractors' compliance.
b. closely monitor the proper implementation of the CSHP and Standards by the contractors at the project sites by maintaining detailed records of contractor's non-compliance per site visitation, which can be referenced during future payment processes; and		During the inspection/ monitoring of the projects, the resident engineers checked the contractors' compliance with occupational health and safety (OSH) and document their findings.	**Not Implemented** Project Engineers conducted regular site visits; however, no record was maintained of the contractors' compliance/non-compliance with the personal protective equipment requirements.
c. formulate an internal policy that clearly defines the appropriate sanctions or penalties to		If the contractor submits a billing for their accomplishment but has not complied	**Not Implemented** Despite the attached photos in the

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
be applied to contractors found in violation of the CSHP to ensure accountability and adherence to safety protocols.		with the OSH requirements, the cost of safety gears and PPEs will not be included in the amount to be paid. Also, the PPMC monitoring team ensures that all contractors comply with the required safety gear or personal protective equipment, and documents any violations accordingly.	contractors' claims showing non-compliance with the PPE requirements, the corresponding pay items were still paid to the contractors. Additionally, Management has not yet formulated an internal policy defining the appropriate sanctions or penalties to be applied to contractors found in violation of the CSHP. Reiterated and discussed in Observation No. 12, Part II of this Report.
22. **Due to inadequate planning and monitoring by the Provincial School Board (PSB), the distribution of the meals and snacks assistance totaling ₱7,474,080.00 was delayed. This contravened the Board's proposal, hence defeating the purpose of the assistance intended to regional delegates.** We recommended that the Provincial Governor, as head of the PSB, direct the members from the Department of Education to continuously coordinate	pp. 144-146, 2023 AAR	 PSB meetings were conducted regularly, during which the OPAcct presented reports on the monitoring and	 **Not Implemented** The review of the quarterly reports on PPAs disclosed that certain PPAs under the

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
with the LFC of PGLU and monitor the timely implementation of the identified PPAs in the Special Education Fund (SEF) Budget.		utilization of the SEF to the PSB members.	SEF budget experienced delays in project completion due to change orders.
23. The Electronic Real Property Tax System (eRPTS) has encountered several issues, including miscalculations in the Abstract of Collection, failure to generate a list of delinquent taxpayers, and other reporting-related issues. These indicate sluggish development and a lack of coordination between the treasurers of the PGLU and the LGU partners. This resulted in the simultaneous adoption of the automated and manual systems by the end users. Consequentially, the additional time spent on duplicating efforts and reconciling data for report preparation may negate the benefits of the automated system. We recommended that the Provincial Governor enjoin the Provincial Assessor and Provincial Treasurer to expedite the development of the Treasury Module and the Real Property Tax Delinquency Management System of the eRPTS to	pp. 146-151, 2023 AAR	Partially implemented for report generation and continuous updates. Re-orientation and hands-on training of focal persons were completed in September 2024.	**Not Implemented** The PGLU is still in the process of implementing the recommendation.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
optimize the system's benefits We also recommended that the Provincial Governor encourage Municipal Mayors to expedite their respective data collection in regard to taxpayers in their jurisdiction in the eRPTS.		Ongoing manpower pooling in LGUs.	**Not Implemented** The PTO requested the necessary manpower, but due to budget re-enactment in the first quarter, and the election ban, implementation has been delayed.
PY 2022			
24. Posting of commitments and recognition of accruals were simultaneously undertaken only upon payment or receipt of progress billing from the contractor, contrary to IPSAS No. 1, thereby resulting in a net overstatement of Actual Amounts for Capital Outlay in the SCBAA amounting to ₱21,870,634.12, understatement of commitments amounting to ₱88,265,451.80 and understatement of Accounts Payable amounting to ₱34,799,343.27. We recommended that the Provincial Governor direct the Provincial Engineer to conduct a mandatory inspection at year-end with duly certified inspection	pp. 76-79, 2022 AAR	The PEO conducted mandatory monitoring and inspections.	**Not Implemented** While the PEO submitted its quarterly reports on PPAs, the Audit Team was not

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
reports to support the percentage of completion reported in the Status Report on Quarterly PPAs for all ongoing projects for the Provincial Accountant to accrue the same in the books.			provided with certified copies of the inspection reports to support the reported percentage of completion for verification purposes.
25. **The validity and collectability of Receivable accounts amounting to ₱8,443,788.31 that have been dormant for more than ten years could not be ascertained due to the absence of supporting documents and sufficient records, contrary to IPSAS No. 1, thereby affecting the faithful representation of the balances of the receivables accounts at year-end.** We further recommended that the Provincial Governor direct the following: a. The LFC to fast-track the policies and guidelines for the provision of allowances for impairment in accordance with IPSAS; and	pp. 79-82, 2022 AAR	 In previous year, the LFC has agreed to formulate agency guidelines on the provision of allowances for impairment of dormant receivables as prescribed under COA Circular No. 2016-005 dated December 19, 2016.	 **Not Implemented** Internal policies and guidelines for the provision of allowances and impairment are recommended especially that there is deferment in the implementation of

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
		During the year, the OPAcct stated that it follows the Government Accounting Manual (GAM) for LGUs	some policies in the GAM for LGUs.
b. Thereafter, the Provincial Accountant to recognize an allowance for impairment to present the financial statements fairly.		Recognized allowance for impairment of receivables as per JEV No. 2023-12-19759 (RA 7171).	**Not Implemented** The recognition of allowance for impairment could not be fully undertaken due to absence of policies governing the recognition, although the OPAcct has recognized impairment loss on December 30, 2023, amounting only to ₱489,760.00.
26. Local road networks ballooned to a gross amount of ₱3,200,711,867.20 due to annual and continued rehabilitation and improvement of roads even though the roads were not fully depreciated yet and costs of demolished portions of pavements that were rehabilitated/improved were not derecognized in the books contrary to COA Circular No. 2015-008 dated November 25, 2015, thereby affecting the fair presentation of the Road Networks	pp. 85-89, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
account in the financial statements. We recommended that the Provincial Governor direct the following:			
a. The Provincial Engineer to provide a report of improvements/ rehabilitations for which a part of the POWs/ Detailed Estimates include removal of existing pavement (with a cost estimate of the removed portion); and		The PEO submitted a report of improvements/ rehabilitations.	**Not Implemented** The PEO submitted a list of removed and replaced road projects for derecognition in the books. However, the POWs/Detailed Estimates for road improvements/ rehabilitations still did not include the removal of existing pavement (with a cost estimate for the removed portion).
b. The Provincial Accountant to ensure that the carrying amount of the asset replaced shall be derecognized pursuant to COA Circular No. 2015-008 dated November 25, 2015.		Derecognition was made based on the PEO's report, as per JEV Nos: 2023-12-019744, 2023-12-019746, 2023-12-019747.	**Not Implemented** Validated JEV Nos. 2023-12-019744, 2023-12-019746, and 2023-12-019747, all dated December 1, 2023. However, the sampled POWs/ Detailed Estimates for road improvement/ rehabilitation projects for CY 2024 still did not include the removal of existing pavement (with a cost estimate for the removed portion).

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
27. Other Incentives for Transformative Performance Towards Service Excellence under the Program on Awards and Incentives for Service Excellence (PRAISE) system of the PGLU that were granted en masse to all employees in the total amount of ₱181,050,614.76 for CY 2021 and 2022 do not adhere to the principle of providing incentives and awards based on performance, innovative ideas, and exemplary behavior envisioned under Civil Service Commission (CSC) Memorandum Circular (MC) No. 01, s. 2001 due to the absence of appropriate criteria for the selection and recognition of eligible employees, thus defeating the purpose and essence of the system. We recommended that the Provincial Governor direct the PRAISE and LFC Committee to:	pp. 96-100, 2022 AAR		
a. Establish suitable criteria or appropriate guidelines in the selection of deserving employees who made exemplary suggestions, innovations, or accomplishments		Enhanced guidelines were drafted and consulted with CSC Region. The PGLU has stopped giving transformative governance incentive under the PRAISE.	**Implemented** The proposed amendments were sent to the CSC and the Enhanced PRAISE of the PGLU was approved by the CSC

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
which contributed to the efficiency, economy, or improvement of government operations, as evidenced by the awards received by PGLU; and b. Submit subsequent amendments to the PRAISE guidelines to the Civil Service Commission for their evaluation and approval.		 Subsequent amendments to the PRAISE guidelines were submitted to the CSC, and the latter provided its recommendations on the matter.	on December 27, 2024. **Implemented** The proposed amendments to PGLU's PRAISE were submitted to the CSC. In response, the CSC returned the amendments without approval through a letter dated January 2, 2024, citing deficiencies in the proposed monetary incentives under Item 6.4, Section VI. Subsequently, the Enhanced PRAISE of PGLU was approved by CSC on December 27, 2024.
28. Savings from completed and implemented projects funded from the Share on Tobacco Excise Tax Funds (RA Nos. 7171 and 8240) totaling ₱93,195,125.36 were not reverted to unappropriated surplus for re-appropriation to new PPAs contrary to Section 322 of RA No.	pp. 100-103, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
7160 and Article 454[b][1], IRR of RA No. 7160 due to voluminous PPAs being and yet to be implemented, thereby resulting in the accumulation of idle funds and preventing the LGU from funding and implementing other PPAs that will advance the self-reliance of tobacco farmers and promote the development of the tobacco industry in the Province. We recommended that the Provincial Governor direct the PBO to revert the savings from completed projects under the Share from Tobacco Excise Tax Fund (RA No. 7171 and 8240) to the unappropriated surplus and re-appropriate the same to new PPAs allowed under the said fund.		On-going coordination with concerned offices in identifying the list of projects to be funded from the unappropriated surplus.	**Not Implemented** Coordination with the concerned offices to identify the list of projects to be funded from the unappropriated surplus is ongoing.
29. The NTPs and Purchase Orders POs of 42 contracts involving the procurement of various goods worth ₱32,531,681.18 were only received by the winning bidders and suppliers with the Single or Lowest Calculated and Responsive Quotation (LCRQ) after a period ranging one to five months due to bottlenecks	pp. 106-110, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
in the internal procedures of the PGLU involving the preparation and approval of documents contrary to Section 37.4 and Annex H of the IRR of RA No. 9184 resulting in a substantial delay in the fulfillment of the obligation to effect delivery, thereby, ultimately depriving the end-users/beneficiaries of the timely distribution and consummation of intended benefits of the procured goods. We recommended that the Provincial Governor, in coordination with the BAC and the OPG reviewing units, ensure that procurement documents are prepared, reviewed, approved, issued, and eventually received by the winning bidder/supplier within the timelines provided under our Procurement Laws, Rules, and Regulations.		The BAC ensures that procurement documents are prepared, reviewed, approved, issued, and eventually received by the winning bidder/supplier within the timelines provided under procurement laws, rules, and regulations.	**Not Implemented** There are instances where winning bidders did not indicate the receipt date of the documents, making validation impossible. For those that were dated, the documents were received beyond the prescribed period. Reiterated in Observation No. 9, Part II of this AAR.
30. Various suppliers of the PGLU were not able to completely deliver within the agreed contract period the various goods aggregating to ₱36,449,544.27, and liquidated damages for the same with an estimated amount of	pp. 110-113, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
₱1,574,677.95 were not imposed due to the injudicious leniency of the Management in granting requests for extensions based on unmeritorious grounds contrary to Section 3 of Annex D of the 2016 Revised IRR of RA No. 9184 and Guidelines on Contract Implementation of the Generic Procurement Manual Volume II, thereby compromising the timely consumption of the subject goods to the disadvantage of the end-users. We recommended that the Provincial Governor, in coordination with the BAC, End users, and Accounting Office:			
a. Intensify their post-qualification procedures to ensure that potential contractors/suppliers are qualified to be awarded the contract, such that the availability of stocks that comply with the technical specifications is prudently ascertained to be available and delivered within the contract period; and		The BAC conducted on-site inspection to ensure that the availability of stocks complying with the technical specifications is prudently ascertained to be available and delivered within the contract period.	**Not Implemented** The lack of proper post-qualification procedures remained evident, as winning suppliers continued to fail in meeting the delivery requirements of their contracts. Consequently, Management granted several delivery extensions due to recurring issues such as supply chain disruptions and stock shortages, as discussed

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
			in Observation No. 9, Part of this Report.
b. Institutionalize a judicious set of procedures and guidelines in the deliberation, investigation, and assessment of the propriety of every request for delivery extensions from suppliers.		Deliberations and investigations were being conducted by the BAC for requests for delivery extensions.	**Not Implemented** Unwarranted extensions for delivery were still granted. However, the PGLU is currently improving its procedures for reviewing and approving delivery extension requests.
31. Inventories held for distribution and consumption amounting to ₱25,990,523.04 are either: (a) exposed to elements that lead to possible deterioration, destruction, or loss; (b) expired or nearly expired; or (c) slow-moving or remain idle due to the absence of an appropriate storage facility, lack of proper management and monitoring of stocks, and inefficient procurement planning, contrary to Section 2 of PD No. 1445, COA Circular No. 92-386, and Article II of RA No. 9184, which entailed wastage of government funds and hindered the maximum delivery of desired benefits to the constituents or intended recipients.	pp. 114-126, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
We recommended that the Provincial Governor: a. In coordination with the LFC to:			
i. Reassess the necessity of having a PGLU warehouse for their inventories; otherwise, devise alternative strategies that would ensure that their inventories are properly stored and not exposed to various elements that lead to possible deterioration, destruction, or loss;		The Multi-purpose Building in the Sevilla Complex is currently being used as a temporary warehouse. The PGSO has already issued a letter requesting the PEO to prepare a POW and Cost Estimates for the upgrading/ re-purposing of the Multi-Purpose Building (Sevilla Motorpool) and the upgrading of equipment for warehousing.	**Implemented** Management conducted a reassessment, and as a result, the PGSO submitted a proposal for upgrading thorough a letter dated October 7, 2024, requesting the PEO to make a POW and Cost Estimates for the upgrading/re-purposing of Multi-purpose Building (Sevilla Motorpool) and upgrading of equipment for warehousing.
ii. Thoroughly review the totality of approved PPAs of the PGLU, especially the procurement of various goods for distribution and consumption, to avoid the instance of overstocking and overlapping purchase of goods;		Prior to procurement, project proposals were reviewed by the LFC, with the implementation period and intended beneficiaries clearly specified. Implementing offices were required to submit the list of beneficiaries for the procured goods intended for distribution.	**Not Implemented** Despite the project proposals that are submitted and approved, indicating the specified beneficiaries, prior to the procurement of goods, there are still items in the Report of Physical Count of Inventories that were not yet distributed to the specified beneficiaries.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
b. Direct the GSO to devise an internal control system that would ensure that the expiration dates of perishable inventories are adequately monitored;		The PGSO has a monthly report on Inventory of Supplies and Materials for Non-Food and Food Items being submitted to the Office of the Provincial Administrator (OPA) for them to notify and remind the PDRRMO and PSWDO to process immediately the request for issuance for items that can be used or distributed to avoid waste.	**Not Implemented** While the PGSO submitted the Inventory of Supplies and Materials for Non-Food Items as of July 31, 2024 to the OPA to notify and remind the PDRRMO and PSWDO to promptly process issuance requests, final assessment of compliance will be subject to further validation upon submission of the updated inventory as of December 31, 2024. Evidently, internal controls in this area have not yet been duly established.
c. In coordination with the concerned PGLU offices/end-users of the slow-moving/idle inventories to provide a plausible plan and action on the direction and eventual utilization of these inventories;		The PGSO has a monthly report on Inventory of Supplies and Materials for Non-Food and Food Items submitted to the OPA for them to notify and remind the PDRRMO and PSWDO to process immediately the request for issuance that can be used or distributed to avoid waste.	**Not Implemented** The Audit Team validated a letter dated July 31, 2024, which was submitted to the OPA, containing the Inventory of Supplies and Materials for Non-Food. The letter aimed to notify and remind the PDRRMO and PSWDO to immediately process the request for issuance of the inventories. However, substantiating documents for the

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
			proposed plan have not yet been provided.
d. Instruct the different PGLU offices/end-users to timely prepare their Project Procurement Management Plan (PPMP) based on approved project proposals so that the BAC will be able to schedule its procurement properly; and		Offices/end-users were required to prepare project proposals for all PPAs and those included in the PPMPs. Although the BOM clearly states the responsibility of the PBO with regard to PPMP Preparation during the AIP Formulation, offices are still required to submit draft PPMPs, with soft copies endorsed to the PBO.	**Not Implemented** The PGLU did not submit supporting documents to validate that the PPMPs were timely prepared.
e. Direct the BAC to meticulously and holistically prepare the APP based on the PPMPs submitted by the different PGLU offices/end-users.		Approved project proposals are required for all procurement.	**Implemented** PGLU submitted a memorandum addressed to all department heads, providing the template and procedure for the preparation of project proposals, and indicating that all proposals for the year 2024 should have been submitted for review.
32. Deviations were noted in the Implementation of the “Bakuna Muna Vaccination Incentives Program” and “Conduct of Search for the Cleanest, Safest, and	pp. 126-131, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
Greenest LGUs". More particularly, instead of prizes in the form of projects, 20 awards in the form of cash prizes and financial incentives totaling ₱16,950,000.00 were fund transferred to various LGUs in the Province due to inadequate planning and indicating that the projects are not procurement-and-implementation ready, contrary to DBM-DOF-DILG-JMC No. 1 dated November 4, 2020, which exposes the fund to the risks of non-attainment of desirable socio-economic development and environmental management outcomes for which the fund was established and non-attainment of expected outputs or objectives as indicated in the CY 2022 AIP and project proposals. We recommended that the Local Chief Executive direct the following:			
a. The implementing units to implement the PPAs in accordance with the approved expected outcomes/objectives in the project proposals and AIP; and		Endorsed to the SP the request for the enactment of an ordinance amending Sections 4, 5, 8, 10, and 11 of Provincial Ordinance No. 267-2020, entitled	**Not Implemented** The Ordinance amendment is still in progress, with the second hearing held on September 25, 2024.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
		"Institutionalizing the Search for Cleanest, Safest and Greenest Local Government Unit in La Union" (Section 10. Appropriation. The budgetary requirement/logistics for the Annual CSG Search shall be chargeable against the General Fund-Proper)	
b. The Budget Officer and PPDC to ensure that PPAs charged against the 20% DF are in accordance with the expected outcomes of the AIP aligned with the DBM-DOF-DILG-JMC No. 1 dated November 4, 2020, to achieve the desired socio-economic development and environmental management outcomes of the Province.		The "Conduct of Search for the Cleanest, Safest, and Greenest LGUs" is to be funded under the General Fund to be facilitated by the PG-ENRO. The PPDC has consistently reminded the PBO to align PPAs funded under the LEP with the approved AIP. Funding requirements in the AIP should be consistent with approved ordinances unless amended prior to the approval of the AIP.	**Implemented** The results of the budget review of the PGLU's Appropriation Ordinances do not indicate the presence of PPAs under the 20% DF that are not aligned with DBM-DOF-DILG Joint MC No. 1.
33. Requirements and procedures for the availment, release, and utilization of funds granted to 138 Non-Government Organizations/Private	pp. 131-136, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
Organizations (NGOs/POs) amounting to ₱5,132,445.00 were not strictly observed, contrary to COA Circular No. 2007-001 dated October 25, 2007, which resulted in the duplication of the agency's PPAs as well as the funding of other PPAs that are not included in the Work and Financial Plan (WFP) of the agency, thereby affecting the regularity of the transactions.			
We recommended that the Provincial Governor direct the concerned LGU officials and employees to submit the Memorandum of Agreement (MOA) for the 138 grants of fund transfers to various NGOs/POs. Additionally, submit the other pertinent documents as prescribed under COA Circular No. 2007-001, particularly the following:		Management provided the status report on the liquidation of the 2022 Financial Assistance (FA) to CSOs, which reflected 85.44% compliance, along with follow-up letters issued to CSOs with outstanding balances. It also provided the revised guidelines for claiming FA for 2023 and the approved IRR of Provincial Ordinance 44-2024 for the 2024 FA, intended to address COA findings.	**Not Implemented** Supporting documents were not submitted for validation.
a. Authenticated copy of the latest Articles of Incorporation, or the Articles of Cooperation as the case may be, showing the original incorporators/organizers and the Secretary's certificate for incumbent officers,			**Not Implemented** Supporting documents were not submitted for validation.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
together with the Certificate of Filing with the SEC/Certificate of Approval by the CDA;			
b. Disclosure by the NGO/PO of other related business, if any, and extent of ownership therein;			**Not Implemented** Supporting documents were not submitted for validation.
c. WFP, and Sources and Details of Proponents' Equity Participation in the Project; and			**Not Implemented** Supporting documents were not submitted for validation.
d. An affidavit of the Secretary of the NGO/PO that none of its incorporators, organizers, directors, or officials is an agent of or related by consanguinity or affinity up to the fourth civil degree to the officials of the GO authorized to process and/or approve the proposal, the MOA and the release of fund. We further recommended that the Provincial Governor direct the LFC to:			**Not Implemented** Supporting documents were not submitted for validation.
a. Ensure strict compliance with Section 4.5 of the said Circular pertaining to the availment, release,		Requested assistance from OPAg and PPDC to comply with the COA Circular in the implementation of their PPAs. Provincial	**Not Implemented** Despite the mentioned Ordinance serving as a guide for the grant of cash assistance to

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
and utilization of government funds; and		Ordinance No. 444-2024, otherwise known as "An Ordinance Granting Financial Assistance to Accredited La Union Civil Society Organizations," was enacted for the grant of FA to CSOs/NGOs /POs. Its IRR was already formulated to serve as a guide for the grant of cash assistance to CSOs/NGOs/POs taking into consideration the COA rules and regulations.	CSOs/NGOs/POs, the supporting documents for its implementation were not submitted for validation.
b. Ensure that government funds entrusted to NGOs/POs cover the implementation of a project included in the WFP and budget of the Province so as to avoid duplication of PPAs and ascertain that projects pertain to items enumerated in Section 4.3 of COA Circular No. 2007-001.		The provisions of the said COA Circular are incorporated into Provincial Ordinance No. 444-2024. Implementing offices are also reminded of the provisions of COA Circular No. 2007-001.	**Not Implemented** Despite the mentioned Ordinance serving as a guide for the grant of cash assistance to CSOs/NGOs/POs, the supporting documents for its implementation were not submitted for validation.
34. The 135-day extension granted for the delivery of the Philippine Rural Development Project (PRDP) I-REAP funded project for the procurement of bagging materials and plastic crates amounting to	pp. 137-140, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
₱2,258,420.00 exceeded the maximum allowable extension provided under the Guidelines on Contract Implementation of the Generic Procurement Manual Volume II due to the unpremeditated granting of extensions on grounds which are not reasonably meritorious, thereby compromising the timely implementation of the project. We recommended that the Provincial Governor:			
a. Direct the BAC to intensify their post-qualification procedures to ensure that potential contractors/suppliers are qualified to be awarded the contract such that the availability of stocks that comply with the technical specifications are prudently ascertained to be available and delivered within the contract period;		The BAC post-qualifies the technical and financial documents, as well as other required bidding documents.	**Implemented** No similar instance was noted as regards PRDP funded projects.
b. Grant delivery extensions only for grounds which were cautiously investigated to be meritorious and to attach supporting documents and		Requests for extensions are evaluated by the BAC members, and the OPAcct requires approved requests for	**Implemented** No procurement transactions related to PRDP Funds was conducted this year.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
justification in the disbursement vouchers for all grants of delivery extension, including the subject of this AOM; and c. Ensure that delivery extensions granted based on meritorious grounds shall not exceed the maximum allowable period.		extensions as attachments to DVs. The BAC assures that the delivery timelines and requests for extension tendered by the supplier/ manufacturer/ distributor are meticulously reviewed. If based on meritorious grounds, the circumstances asserted by the supplier/ manufacturer/ distributor are carefully evaluated to eliminate the risk of delivery delays that may be incurred by the end-user.	 **Implemented** No procurement transactions related to PRDP Funds was conducted in CY 2024.
35. Out of the ₱5,030,386.88 total revenue, gross profit from the 24-hour cash pharmacies amounted to only ₱398,894.84 for CY 2022 due to the absence of a business plan detailing the proper operational, marketing, and financial management contrary to Ordinance No. 128-2018 dated February 1, 2018, Section 313 of RA No. 7160, and Local Budget Circular (LBC) No. 111 dated June 10, 2016, or	pp. 140-148, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
the Manual on the Setting Up and Operation of Local Economic Enterprises (LEEs), thereby precluding this revenue enhancement program of the District Hospitals to maximize its profit-making capacity and to realize the goals and objectives of the local economic enterprises.			
We recommended that the Provincial Governor, with the assistance of the Provincial Health Office, LFC, and Chiefs of Hospitals to create a technical committee assigned explicitly to studying and updating the price list of drugs and medicines according to brand names and generic brands to maximize profits from the sale of drugs and medicines.		Provincial Pharmacy and Therapeutics Committee (PTC) in the Province of La Union was created by virtue of Executive Order No. 14, series of 2022. The Cash Pharmacy in the District Hospitals has not been operational since CY 2023. However, the PHO, in coordination with the District Hospitals, is currently assessing and reviewing, how it can be improved and made operational again.	**Not Implemented** The creation of PTC did not explicitly specify PTC's role in studying and updating the price list of drugs and medicines by brand name and generic brand. Supporting documents proving the existence and functionality of the technical committee were not yet submitted.
36. Management was unable to fill two hundred nineteen (219) vacant plantilla positions, which have a total appropriation of ₱75,385,140.00 for salaries and wages, affecting the PGLU's	pp. 150-156, 2022 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
effective and efficient operations and denying deserving employees the opportunity for career advancement, as well as defeating the government's development agenda to employ the citizenry. Similarly, despite the availability of vacant plantilla positions, Management has engaged 367 Job Order Contract (JOC)/Contract of Service (COS) workers who performed key activities at various PGLU offices. COA recommended that the Provincial Governor, in coordination with the Human Resource Office and the PGLU Department Heads:			
a. Revisit and study the organizational structure of the PGLU, particularly the staffing pattern of all its offices, and consider abolishing items that are not regarded as vital, specifically those that have been left vacant for an extended period;		The Human Resource Management Unit (HRMU) conducted a review of the plantilla and recommended the abolition of certain positions to the concerned office heads due to their duplicative nature. The abolished positions are reflected in LBP Form 3.	**Not Implemented** The PGLU has not yet submitted the supporting documents proving the abolishment of some positions.
b. Fill up all vacant positions that are still considered vital by		The conduct of Human Resource Merit Promotion and	**Not Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
hiring new employees or expediting the promotion of deserving employees; and		Selection Board (HRMPSB) interviews or deliberations is scheduled on a monthly basis.	Filling-up of vacant positions is still on-going.
c. Stop the practice of creating new vacant positions that would later be abolished to avoid having unused appropriated funds that could have been appropriated to other priority projects.		Guided various offices in studying the priority positions to be created or retained, as well as the abolition of positions that are less vital to the execution of the office PPAs.	**Implemented** No similar instance was noted in CY 2024. None was demolished in the newly created 77 vacant positions in CY 2024.
PY 2021			
37. Lack of proper planning and coordination with the Department of Health (DOH) Center for Health Development Region I (CHD-I), Municipalities and barangays resulted in the delays in the full liquidation of Covid-19 Special Risk Allowance (SRA) of eligible health workers amounting to ₱37,615,418.18 covering the period December 20, 2020 to April 30, 2021 leaving an undisbursed amount of ₱17,537,748.02 as of December 31, 2021 which consequently incumbered the release of the funding for the same SRA covering the period May 1, 2021 to June 30, 2021.	pp. 61-64, 2021 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
We recommended that the Provincial Governor direct the Provincial Health Officer in coordination with the Provincial Accountant to facilitate the creation of a database of all the public health workers in La Union, regardless of nature of appointment, by coordinating with the LGUs within their jurisdiction.		The system was already deployed locally.	**Implemented** The PGLU has established a database of all the public health workers in La Union.
38. Incorrect classification and usage of expenditure accounts during budget preparation due to lack of judicious planning affected the budget execution and accountability phase which resulted in a) discrepancies amounting to ₱113,556,814.38 between the Statement of Appropriations, Allotments, Obligations and Balances (SAAOB) and the Statement of Financial Performance, and b) reconciling items amounting to ₱123,982,356.73 in Reconciliation Statement between the SCBAA and SFPer, thus, affecting the delivery of accurate information in the financial reports. We recommended that the Provincial Governor direct the department heads to	pp. 79-81, 2021 AAR	 PPAs were supported with approved project proposals.	 **Not Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
properly and adequately plan their PPAs so that specific PPAs are already identified during the budget preparation.			Not all PPAs were supported with project proposals during the budget preparation especially those not yet specifically identified.
39. **Implemented PPAs under the 20% DF totaling to ₱25,147,043.99 were only supported with Supplemental Procurement Plan (SPP) instead of SP Resolution Authorizing the Local Chief Executive to enter into contract and Appropriation Ordinance while procurement totaling ₱7,949,213.80 awarded in CY 2020 were charged against the current appropriations in CY 2021 instead of continuing appropriations because the concerned department heads did not ensure availability of specific appropriations prior to procurement, hence affecting the regularity of the transactions.** We recommended that the Provincial Governor direct the PBO to charge the amount of ₱7,949,213.80 to continuing appropriations and revert the same amount to the current appropriations.	pp. 82-84, 2021 AAR	Reported as continuing appropriations.	**Implemented** A review of relevant reports shows that the continuing appropriation balance was adjusted in CY 2022.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
40. Lack of adequate planning, coordination among the department heads and monitoring of utilization of funds and accomplishments resulted in the reprogramming of PPAs and consequently, 14 ordinances with a total amount of ₱282,788,164.38 were enacted but not submitted to the DBM Regional Office for review contrary to Article 454(b) of the IRR of RA No. 7160. We recommended that the Provincial Governor direct the:	pp. 85-87, 2021 AAR		
a. Department heads to adequately and properly plan their PPAs to avoid reversion and re-programming during the year;		Projects proposals were attached for all PPAs. The PPDC consistently adheres to the approved plan, and only amendments approved by the PDC are considered in the AIP.	**Not Implemented** For CY 2024, reprogramming was still noted.
b. Provincial Accountant and the Provincial Treasurer as signatories in the Certification of savings to ensure that these are really savings and no awards of contract were undertaken yet from these declared sources of funds;		Ensures that declared savings are properly supported with documents.	**Implemented** For CY 2024, the declared savings were properly supported with documents, including monitoring reports showing the remaining balance after the passage of a supplemental budget.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
c. Secretary to the SP to ensure submission of the approved Supplemental Budget within the reglementary period.		The Secretary to the SP transmitted copies of the Appropriation Ordinance to the DBM for review within three days after its approval.	**Implemented** It was noted that supplemental budgets for 2024 were duly submitted by the Secretary of the SP to the DBM for review within three days after its approval.
41. Nine AOs for supplemental budgets with total amount of ₱283,802,654.81 were only submitted to the Department of Budget and Management Regional Office (DBM RO) for review on the ensuing year contrary to Sections 326 of Republic Act No. 7160 and Budget Operations Manual for Local Government Units, thus, may affect the validity of transactions paid out of the AOs. We recommended that the Provincial Governor request the Secretary to the SP to submit the approved Supplemental Budget within the reglementary period in order to ensure validity of the transactions paid out of the AOs.	pp. 87-88, 2021 AAR	 The Office of the Secretary to the SP now adopts a notification system for legislative measures with a required review period.	 **Implemented** It was noted that supplemental budgets for 2024 were duly submitted by the Secretary of the SP to the DBM for review within three days after its approval.
42. The PGLU resorted to piecemeal procurement thru Small Value Procurement (SVP) and	pp. 91-93,		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
Shopping as alternative mode of procurement for various PPAs totaling ₱21,181,530.32 which resulted in the splitting of requisitions contrary to Section 54.1 of the Revised Implementing Rules and Regulations of Republic Act No. 9184, evading the conduct of competitive bidding, thereby depriving the government of the opportunity to avail the most advantageous prices available in the market. We recommended that the Provincial Governor direct the:	2021 AAR		
a. Department Heads to include in their PPMP not only office supplies but for all PPAs that are to be procured;		All offices are required to include in their PPMPs all PPAs that are to be procured.	**Not Implemented** The Audit Team noted that infrastructure projects were not included in the PPMPs.
b. Provincial Administrator to enjoin the End-Users to stop the practice of independently preparing purchase requisitions by Office for Capital Outlays which are only supported by SPP; and		All offices are advised to coordinate with the PGSO and the OPG-Information and Communications Technology Unit (OPG-ICTU) for any purchase requisitions that need to be consolidated prior to procurement.	**Not Implemented** Validation of documents still showed independent requisitions by each office.
c. BAC to include Capital Outlays in the		The Capital Outlays reflected in the	**Not Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
consolidation of the APP.		PPMPs of the various offices are included in the consolidated APP.	For CY 2024, the APP included Capital Outlays except for infrastructure assets, which were still supported by the SPP.
43. The Vinegar Processing Center constructed for the benefit of Gallongen-Maragayap Farmer's Association in Bacnotan, La Union recognized as Other Infrastructure Asset costing ₱3,230,458.18 under Tobacco Excise Tax Fund (RA 7171) is not yet fully operational after more than one year from its completion date due to: a) Incomplete fulfillment of the provision on processing equipment and materials; and b) Non-compliance of the built structure with the accreditation standards of the Food and Drug Administration, thus, the overall goal of the project to increase the income of the farmer-members that will lead them to better quality of life is not achieved. We recommended the Provincial Governor to direct the: a. Provincial Agriculturist to ensure the sustainability of the	pp. 110-112, 2021 AAR	 Management made reference to the quarterly report of	 **Not Implemented**

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
project once it became fully operational by conducting periodic inspection and requiring the Association to submit quarterly reports of operations.		operations of the Association, for validation.	The quarterly report of operations by the GMFA was not submitted to the Audit Team for validation.
b. Provincial Engineer to correct all the deficiencies noted in the construction and design of the Center and refer to AO No. 153 s. 2004 of the DOH so that other infractions not noted will also be corrected.		The PEO has already complied all the deficiencies in the construction and design of the facility as per relevant guidelines. The processing center is now being utilized by the end-users.	**Not implemented** The Audit Team noted JEV No. 2024-05-006299 which represents the first and final payment for the Improvement /Completion of Vinegar Processing Center. However, full validation of compliance will be conducted upon the Audit Team's request for technical inspection.
44. Lack of coordination with end-users resulted in the procurement of various medical equipment with extra specifications not vital to the intended purpose amounting to ₱1,660,000.00 contrary to sound management and fiscal responsibility encapsulated under COA Circular No. 2012-003 dated October 29, 2012 which requires judicious prudence and economy in using public funds, hence, ₱1,634,000.00 could have	pp. 113-116, 2021 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
been saved had they bought a more reasonable item which can similarly deliver the functions sought. Likewise, the warranty for those units that are already malfunctioning were not availed of and no retention money was withheld to serve as warranty security as required under Section 62 of the IRR of RA No. 9184, thus, putting the PGLU at a disadvantageous situation. We recommended that the Provincial Governor direct:			
a. All offices/units in the PGLU to refrain from initiating purchase requests without closely coordinating with the main end-users; and		End-users were invited by the BAC for judicious review of Purchase Requests. The BAC conducted a training workshop to update procurement personnel on September 10 and 11, 2024.	**Not implemented** There have been similar instances where the delivered goods did not meet the actual needs of the end-users or requesting departments; resulting in non-acceptance. See Observation 8, Part II of this Report.
b. The Provincial Administrator in coordination with the PGSO and the Technical Working Group (TWG) of the BAC to judiciously		End-users were invited by the BAC for a judicious review of Purchase Requests.	**Not implemented** A review of contracts disclosed that there were Purchase Requests in which the technical

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
review the propriety of every purchase request by evaluating whether the specifications listed are commensurate and not disproportionate to the intended purpose.			specifications were not clearly indicated, thereby precluding the BAC from properly reviewing their propriety.
PY 2020			
45. Revised APP and Procurement Monitoring Report (PMR) for CY 2020 were not prepared contrary to Government Procurement Policy Board (GPPB) Circular No. 02-2020 dated May 20, 2020 and 2016 IRR of RA No. 9184, therefore, maximization of their use as effective procurement activity monitoring tool from posting of opportunities up to payment of projects/programs/activities was not attained. We recommended that the Provincial Governor, who is the Head of the Procuring Entity direct the BAC Chairman to submit the perfected contracts with all the necessary attachments to this office within the prescribed period.	pp. 87-89 of CY 2020 AAR	Perfected contracts were submitted to COA.	**Not Implemented** Similar instances were noted in CY 2024, where perfected contracts and necessary attachments were not submitted to this office within the prescribed period.
46. Collection from lease may be classified as an exercise of proprietary activity as stated in RA No. 7160, thus, raising a possibility	pp. 90-92 of CY 2020 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
of estimated basic tax dues payment amounting to ₱118,333,202.32 exclusive of legal increments as an adherence to salient provisions of the National Internal Revenue Code. We recommended that the Provincial Governor direct: a. Provincial Accountant to file income tax and Value Added Tax (VAT) returns for the lease income from Globe Telecom and Royal AGL Quality Foods as this is an exercise of proprietary function; and b. The Provincial Accountant to provide separate financial statements on the leasing activity including the related expenses attributed therefrom.		A letter or explanation has already been filed with the Bureau of Internal Revenue. The Certificate of Registration of PGLU does not include filing of such returns.	**Implemented.** The recommendation is deemed implemented since the subject property (Bauang Diesel Power Plant) was already sold in 2022. **Implemented** The recommendation is deemed implemented. The same reason as above.
47. The PGLU used 12% instead of the 5% in computing the VAT component of the Approved Budget for the Contracts and POWs of three sub-projects of PRDP- I-Build with an aggregate contract cost of ₱115,950,177.42, hence resulted in excessive	pp. 107-108 of CY 2020 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
project cost of ₱7,012,593.85. We recommended that the Provincial Governor direct the contractors of the PRDP-I-Build projects to refund the excess costs billed due to overstated indirect costs mainly the programming of 12% instead of 5% VAT component. Thereafter, ensure that the indirect costs computations are within the allowable rate.		Management explained that a query was raised during the PRDP RPCO-P/MPMIU I-BUILD Assessment and Action Planning Workshop held on October 3-4, 2024, at the Azalea Hotels and Residences, Baguio City, regarding the VAT issues, and the Department of Agriculture (DA) instructed the PEO to formally raise the issue through a letter in order for them to answer the COA audit observations.	**Not Implemented** No refund has been made. Nonetheless, the Audit Team will validate the issue upon receiving the DA's response in order to resolve the matter.
PY 2019-2018			
48. The accuracy, ownership, and existence of Land account in the aggregate amount of ₱746,927,961.99 could not be ascertained due to non-reconciliation of records between the Provincial Accountant and PGSO and that of the Provincial Assessor and the absence of Transfer Certificates of Titles (TCTs), or its equivalent in the name of the Province, thereby casting doubt on the fair presentation of the financial statements.	p. 53 of CY 2019 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
We recommended that Management direct the Provincial Accountant and PGSO to reconcile their records with the Provincial/City Assessors in order to ascertain the ownership and valuation thereof. Likewise, exhaust all possible means to document the legality of ownership of the lots through a TCT in the name of the Province pursuant to Section 39 of PD No. 1445.		Coordination meetings through the Local Road Asset Management were conducted, and letters addressed to the Provincial Assessor Office were issued to verify land ownership and valuation.	**Not Implemented** Per verification, the records were not yet fully reconciled.
49. **The accuracy of the balance of Road Networks and Construction in Progress accounts amounting to ₱1,924,447,824.32 and ₱178,703,687.27, respectively, could not be ascertained due to various deficiencies noted inconsistent with the provisions of IPSAS 17, and COA Circular No. 2015-008, thereby, casting doubt on the fair presentation of the Financial Statements.** We recommended the Provincial Governor to direct the Provincial Engineer to complete the cost segregation and mapping of Local Road Network and furnish copy of report to the Provincial Accountant and the PGSO.	pp. 56-57 of CY 2019 AAR	 All projects completed within the provincial roads as of December 31, 2023, have been cost-segregated as per COA regulations and submitted to the Provincial Accountant.	 **Not Implemented** The PGLU is still in the process of implementing the recommendation. The cost segregation and mapping of the LRN are currently

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
			ongoing. The report will be forwarded to the concerned offices upon completion.
We recommended the Provincial Governor to direct the PGSO to render a Report on Local Road Network and Road Map using the prescribed format.		Updating and finalization are in progress. A letter was issued to the PEO requesting the list and status of Provincial Roads so that the PGSO can create and update the Local Road Network and Road Map. A meeting was conducted on October 11, 2024. The report on the LRN, using the prescribed format, is as of December 31, 2023.	**Not Implemented** The PGLU is still in the process of implementing the recommendation. The PGLU only submitted the La Union Road Network Development Plan, which was approved in 2017.
50. Infractions in the post qualification of bidders and evaluation of bids were noted, contrary to Sections 34.1 and 34.3 of the Revised IRR of RA No. 9184, thereby exposing PGLU to risks of delay in project completion and substandard quality of work.	p. 83 of CY 2019 AAR		
We recommended that the Provincial Governor direct the BAC and the TWG to conduct an in-depth post-qualification by verifying, validating, and ascertaining all statements made and documents submitted by		Post-qualification and evaluation by the TWG are conducted onsite.	**Not Implemented** The contract review of sampled projects revealed that contractors and suppliers failed to disclose all ongoing

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
the bidder with the Lowest Calculated Bid and ensure that the Post-Qualification Evaluation Report contains comprehensive results on the verification of technical requirements.			projects on their Statement of All Ongoing Projects, which the BAC and TWG were unable to verify during their post-qualification, as discussed in Observation No. 6, Part II of this AAR.
51. **Delayed submission of copies of the perfected contracts awarded within the year with an aggregate amount of ₱229,657,758.18 was not in accordance with the provisions of COA Circular No. 2009-001 dated February 12, 2009 thus, precluding the Auditor on the timely auditorial and technical review and prompt detection/correction of possible deficiencies.** We have recommended that the Local Chief Executive require the BAC through the BAC Secretariat to submit immediately the copies of awarded contracts and all related documents forming part thereof as enumerated in Annex A to this Office. Thereafter, submit within 5 days upon perfection contracts and its supporting documents in compliance with COA Circular No. 2009-001 for auditorial and technical	pp. 89-91 of CY 2019 AAR	Submitted copies of awarded contracts to COA.	**Not Implemented** Similar instances were noted in CY 2024, where perfected contracts and necessary attachments were not submitted to the Audit Team within the prescribed period.

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
review to avoid administrative disciplinary action provided in (a) Section 127 of Presidential Decree No. 1445; (b) Section 55, Title I-B, Book V of the Revised Administrative Code of 1987; and (c) Section 11 of RA No. 6713.			
52. Unserviceable properties amounting to ₱11,044,089.67 were not disposed of contrary to COA Circular No. 89-296 dated January 27, 1989 and Section 79 of Presidential Decree (PD) No. 1445.The non-disposal would entail further deterioration and loss of income that could have accrued to the Province. We recommended that the Disposal Committee fast track the disposal of the unserviceable properties inasmuch as additional income which can be earned therefrom will finance other projects greatly needed by the constituents.	pp. 102-104 of CY 2019 AAR	Conducted disposal of unserviceable motor vehicles on September 18, 2021 and October 6, 2023.	**Not Implemented** The disposals of unserviceable equipment and waste materials for the year is currently in progress.
53. Claims from the Philippine Health Insurance Corporation (PHIC) totaling to ₱1,381,750.00 were denied/disallowed and remained uncollected due	p. 115 of CY 2019 AAR		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
to the lapses of the billing/PhilHealth sections to strictly comply with pertinent requirements of the RIRR of RA No. 7875, hence, resulting in accumulation of uncollected receivables from PHIC and loss of income. We recommended and the Local Chief Executive agreed to direct the officers concerned to monitor intensively the processing of PhilHealth claims and ensure the timely processing thereof.		The PHO and Chiefs of Hospitals are closely monitoring the timely processing of PHIC claims to ensure the submission of complete documentary requirements and prevent the return of claims due to deficiencies. During the Program Implementation Review of the District Hospitals held last August 26 to 30, 2024, there was a remarkable increase in the payment of PhilHealth claims as of June 2024. The District Hospitals have committed to the on-time processing of claims.	**Not Implemented** The Due from GOCC account pertains to receivables from PhilHealth for hospital fees of the district hospitals and professional fees of medical doctors. As of 2024, the account still reflects a balance of ₱28.3 million. However, this represents a decrease of ₱5.2 million compared to the previous year's balance, suggesting that Management should exert more effort in monitoring PhilHealth claims.
54. Absence of proof of investment for the recorded Financial Assets-Other Investment	pp. 48 – 49 of CY		

Observation and Recommendation	Ref.	Action Taken by Management	Result of Auditor Validation
account under the TF amounting to ₱290,073.40, thus, casted doubt on the existence, reliability and fair presentation of account. We recommended that the Provincial Accountant and OIC-Provincial Treasury locate the document/s pertaining to the Other Investment account to ascertain the existence, reliability and fair presentation of the account.	2018 AAR	Efforts were exerted to locate the document/s, and based on prior year financial statements, the said account constitutes balance of Investment in Securities for Other Interest-Bearing Loans, which was recorded in the books of account in December 1998. This will be included in the request for write-off of dormant accounts.	**Not Implemented** The PGLU is still in the process of implementing the recommendation. As noted, the said balance appeared as early as 1998, prior to the implementation of the New Government Accounting System, and related records or documents have not yet been found.